

Dilip Buildcon (DBL)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

May 25, 2023

Scrip code of Listed NCD: 959525/959643

Subject: Transcript of the Analyst/Investors conference call

In continuation to our letter dated May 18, 2023, please find herewith the transcript of the Investor conference call for Investor and analyst held on Friday, May 19, 2023 at 06.00PM (IST) related to the financial results for the quarter ended March 31, 2023, conducted through digital means.

The aforesaid information is also being made available on the website of the Company i.e.

<https://www.dilipbuildcon.com/wps/portal/dbl/investors/shareholders-centre> .

This is for your information and record.

With Regards,
Sincerely yours,

For, Dilip Buildcon Limited

Abhishek Shrivastava
Company Secretary
Encl: Transcript of call

To
BSE Limited
Listing Department
P.J Tower, Dalal Street
Mumbai – 400001

To
National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051

Stock Symbol -540047 Stock Symbol –DBL

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“Dilip Buildcon Limited Q4 FY23 Earnings Conference
Call”

May 19, 2023

MANAGEMENT : MR. DEVENDRA JAIN – MD AND CEO, DILIP
BUILDCON LIMITED

MR. ROHAN SURYAVANSHI —HEAD STRATEGY AND
PLANNING , DILIP BUILDCON LIMITED
MR. SANJAY KUMAR BANSAL – CFO, DILIP BUILDCON
LIMITED
MODERATORS : MR. MR. JITEN RUSHI – AXIS CAPITAL.

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Moderator: Ladies and gentlemen, good day and welcome to the Dilip Buildcon Limited Q4 FY23 Earnings Conference Call hosted by Axis Capital Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Jiten Rushi from Axis Capital. Thank you and over to you, Sir.

Jiten Rushi: Thank you Zico. Axis Capital welcomes all the participants to the Q4 FY23 Earnings Conference Call of Dilip Buildcon Limited.

We would like to thank the management for giving us this opportunity to host the call. Today from the management. We have Mr. Devendra Jain – MD and CEO, Mr. Rohan Suryavanshi— Head Strategy and Planning and Mr. Sanjay Kumar Bansal – CFO along with the investor relation team.

We shall begin the call with the opening remarks on the management followed by Q&A session. Thank you and over to you, Sir.

Rohan Suryavanshi: Thank you Jiten ji. Good evening, ladies and gentlemen. A warm welcome to each of one of you to the earnings call for the 4th Quarter and Year Ending 31st March 2023. We are grateful to each of you who have joined this call today and I would like to show my gratitude to all our stakeholders who have continuously demonstrated and put their trust and confidence in our Company and the management.

Before I begin, I will just go with our standard disclaimer:

Certain statements made during the course of this call may not be based on historical information of that and may be forward-looking statements including those relating to general business statements, plans, and strategies of the Company, the future financial condition, and the growth prospect. The forward-looking statements are based on expectations and projections and may involve a certain number of risks and uncertainty and other factors that could cause actual results, opportunities, and growth potential to differ materially from those suggested from by such statements.

So, now I would like to begin with a brief update on the economy and the industry trends followed by the highlights of the Company over the year:

The first is the Indian economy has continued to show a strong resilience to external shocks. The economy's overall growth has remained robust with an estimated 6.9% growth rate estimated for the fiscal year 2023. Real GDP experienced year-on-year growth of 7.7% up to December 2022.

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The strong investment activities which were driven by the Government's emphasis on capital expenditure and robust private consumption also accelerated this growth. For the upcoming year 23-24 World Bank has forecasted 6.3% of growth for India's GDP. We have seen inflation levels being elevated this year around 6.7% for the fiscal year 2023.

However, it is projected to decline to an average of 5.2% in the fiscal year 2024. The Government has had strong revenue collections like gross GST revenue collection grew by 21% year-on-year to about 18,00,000 crores in FY23 from about 14,80,000 crores in FY21-22. The center budgeted capital expenditure for FY24 stands 33% higher than the previous year at about 3.3% of the GDP. Even the Indian state's capital expenditure was about 11.9% higher during April to February 2023 on a year-on-year with approximately 54.7% of the budgeted capital expenditure spent during this period. So, the Government, not only the central government but also the state Governments have been putting into CAPEX which is a good heartening sign.

In FY23, MoRTH constructed 10,993 kilometers of National Highway and awarded 12,375 kilometers. It is also important to mention here that o

ver the last 9 years, national highways have added almost 50,000 kilometers. So, as of March 23 India has a total of 1,45,155 kilometers of National Highway whereas in 2014-15 this number stood at about 97,830 kilometers. So, it has been commendable, but the Government has been doing and working tirelessly as all of you

have noticed and seen. Also, some other details into how this will drive the growth in the sector. According to a credit rating agency, the road construction sector is expected to see a ramp-up in road execution activities during this year by around 16% to 20%. This is backed by basically an increase in capital outlay made by the Government's healthy pipeline of projects and focus on project completions ahead of the general elections.

It is also expected that the toll collections will grow between 6% to 9% during the fiscal year 2024 supported by growth in traffic. Also, the Ministry of Road Transport and Highways has set a target to generate about Rs. 35,000 crores through asset monetization during the current fiscal year surpassing the previous year goal of Rs. 32,855 crores. In this year the ministry intends to raise Rs. 15,000 crores through project-based financing of the expressway by securitizing future toll revenues. Additionally, the Ministry also aims to collect Rs. 10,000 crores through TOT model. I think these measures demonstrate the Ministry commitment to leverage innovative financing models and generate revenue for infrastructure development projects. So, along with the capital structure given by the Government, all these will definitely aid in the Ministry's endeavor.

Having said that now let me run you through the highlights of the year for the Company:

As you all know our major focus has always been on the execution of projects in hand. This has been a strength which we were known and we continue to do the same. I am very happy to announce that we have also crossed 10,000 crores in revenue for the first time in the history of the Company. This number had eluded us for the past 2 - 3 years because of COVID and other things, but we have finally done that and we hope to go upwards from here in this coming year

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as well. In this year, we also won orders worth Rs. 10,918 crores compared to Rs. 7,811 crores during the last financial year. So, this is almost an increase of about 40% over the last financial year. Out of this order won about 46% of projects are in road sector, 23% in metro and 31% in water supply.

I am also happy to tell you that this year we have completed 5 HAM projects and 3 EPC projects worth Rs. 9,053 crores. Another thing that I am very proud to tell all our participants is that we have completed the divestment of three HAM projects to Cube Highways and completed 100% equity stake development in 5 HAM projects and 49% equity stake development of 3 HAM projects the Shrem InvIT. So basically, the trend of completing projects and then monetizing them has continued to go on that. I should also mention here that we are expecting to complete 8 more new projects in this financial year where we will be expecting a good amount of capital to come in here and we are in the process of monetizing those assets as well. In those 8 assets we have invested about 900 some odd crores of equity and we are expecting a very good monetization there as well.

Besides this, I am also very happy to announce that we have started both our MDO projects so both Siarmal and Pachhwara are on and they are doing coal extraction, delivery has started, and revenue has started there. So, just a quick update there Siarmal as you all know that it is the largest mine in private hands right now and it is about 50 million metric tons of coal production every year which is almost one eighth of what Coal India does. So, we have started this. I should also mention here that this project was started a year and a half since we h

ave got this. So, this

is one of the quickest MDOs to have started production so extremely proud to do that. Similarly, Pachhwara also after years of litigation started in that and the racks are going very well. Then I would also like to mention in this year we have reduced debt of around Rs 400 crores about 370 crores we have reduced in debt as we had focused and spoken about and in this coming year we are targeting a good number of debt reduction as well.

So, we are hopefully targeting about 800 to 1,000 crores of debt reduction in this coming year and this will happen through a mixture of internal approvals that we will be doing along with that the monetization of the 8 assets that I mentioned to you earlier we are expecting those will fetch a good valuation and that money will help us in reducing the debt.

Finally, while distributing there I must also say we were also lucky to have had a strengthening in our financial team with our CFO – Mr. Sanjay Bansal joining in. He is an ex-ICICI Banker and ex-JM Baxi Group. So, he comes with a large experience in infrastructure and also understands the banking sector well. So, these are the big highlights that the Company had.

Now let me quickly run you through our order book:

So, our order book currently as of March 31st, 2023, stands at Rs. 25,395 crores 40% of our order books is constituted by roads, highways and bridges projects. Water supply constitutes 12%, mining is 18%, irrigation is about 14% and others make up about 16%. We are also happy

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to inform you that recently we won the award for our latest project which is the four-lane Urga Palhalgaon section. Now this is under the Bharatmala Pariyojana and it is a HAM project. It amounts to about Rs. 1,955 crores and all these details are available in our presentation. Guidance for the year that I would like to just say before I hand it over to our CFO for the financials.

We are hoping to do a top-line growth of about 10%. The EBITDA guidance that we are kind of trying to focus towards is about 13% to 14%. New orders that we are trying to win in this year will be about 10,000 to 12,000 crores and I have already mentioned about the debt reduction that we are looking to reduce about 800 to 1,000 crores of debt we will be targeting to reduce in this financial year and improve our working capital cycle as well by from 8 days, 10 days that is the target that we have for this year. We are excited about all the older projects that were a drag on the Company's profitability and balance sheet of they getting out of it and now the new projects where we see a lot of potential.

Now let me hand over the presentation to our CFO for insights and comments on the financials of the Company to you, sir.

Sanjay Kumar Bansal: Thank you Rohan ji. Good evening everyone. I welcome all our stakeholders to our earning call.

Let me present the results for the current quarter and the year ended FY2023. First, on the revenue side, the revenue increased by 14% in Q4FY23 and 12% in the full year on YoY basis. This is mainly because of the better execution of the projects. On the EBITDA side on absolute terms in Q4 the EBITDA increased by 15% on a year-on-year basis. For the full year, EBITDA in absolute terms increased by 31% YoY basis. The finance cost in Q4 decreased by 6% and 15% in FY23 on account of the reduction of outstanding debentures term loan and lower utilization of working capital facilities.

The Company registered a profit of 583 million in Q4FY23 vis-a-vis Rs. 30 million profit in Q4FY22. This increase in profit was due to the good EBITDA margin, lower finance cost, profit on account of the divestment of HAM assets to Shrem InvIT and Cube Highways. On full-year basis DBL registered a profit of Rs. 2,218 million vis-a-vis a negative Rs. 860 million in FY22. This is on account of higher revenue, lower finance cost, and profits on account of dive

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to Cube and Shrem InvIT. The net debt in absolute terms decreased by 370 crore from FY22 to FY23. The net debt-to-equity ratio decreased by 11 basis points in FY22 it was 63 basis points. Now in FY23 on 31st March it is 52 basis points.

Here, I would like to highlight that the Company is continuously on track of reducing debt on a quarter-on-quarter basis since last two years. Now, we can open the floor for the questions and answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

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Shravan Shah: Thanks for the opportunity. It is good to hear that we are looking at 800 to 1,000 crore debt reduction so that is a significant positive thing for us. I just wanted to further understand how we want to achieve this 800 to 1,000 crores. So, just to dwell further are we looking at further improvement in working capital days or is it on primarily from the asset monetization that we will be able to reduce the gross debt by 800-1,000 odd crore?

Sanjay Kumar Bansal: This is the combination of all the points you said. So, this is like the better performance meaning the EBITDA margins we are expecting are around 13%-14%. Second, reduction of debt because long-term debt there are scheduled payment of around Rs. 400 crore, and basically from divestment proceeds also we are expecting a good amount of cash flow. And the last one is basically working capital days also we are expecting 8 to 10 days reductions. So, all these four items put together the free cash flow would be around Rs. 800 to 1,000 crore which will basically reduce the debt.

Shravan Shah: So, on the top-line front we are looking at how much percentage growth?

Sanjay Kumar Bansal: About 10% growth. So, this year we are at 10,100 crore. So, from here we expect around 10% growth.

Shravan Shah: And on the order inflow front how much we are looking at?

Sanjay Kumar Bansal: 10,000 to 12,000 crore orders we are expecting in this year.

Shravan Shah: This will be across the sectors anything in terms of the 4,000-5,000 crore from HAM or it would be much lesser HAM would be?

Sanjay Kumar Bansal: I can only say on the investor presentation you can say we are in 8 sectors. So, primarily the mix would be more or less same.

Shravan Shah: Just to still further understand on particularly on the debt reduction part so if I see this time I think the creditor days has actually have supported from December to now if I can see creditor days has significantly helped in terms of the reduction in the working capital. So, will this remain

at this level or it will further come back to the normal level of 95 odd days?

Sanjay Kumar Bansal: This is very good question. So, basically we are expecting the creditor days will go down, but considering the total working capital we are expecting around 8 to 10 days lesser. So, creditors will reduce and similarly, the networking capital also improve by 8 to 10 days.

Shravan Shah: So, also just to again clarify so inventory days which is at that close to 128 days we are expecting that to reduce and creditors days 108 will come back to normal 95 odd days, is it the case?

Sanjay Kumar Bansal: Shravan there will be a mix, there will be reduction in inventory days also, there will be reduction in debtor days also, there will be increase in creditor days also. So, put together everything there is a reduction of 8 days to 10 days from the current level of 70 days.

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Shravan Shah: And then from the monetization how much are we having in terms of the cash how much are we? Are we expecting this year?

Sanjay Kumar Bansal: So, these numbers are like our previous Shrem InvIT. So, out of 10 assets we have already completed 5 assets 100% divestment, 3 asset 49%. So, from balance there will be sign

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cash flow, but for future divestment, we do not want to give any number now.

Shravan Shah: Because there I understand I think larger sum would be through the InvIT units that we will be getting. So, that is what I was asking how much cash we have already received for the Shrem and how much cash that we are because my understanding was that the larger amount we will be getting through the Invit units?

Rohan Suryavanshi: We are not talking about the deal that we have already done. This is the Shrem deal that we have monetized 10 assets that is a mix of cash and a mix of units. So, that is a different deal. We are not talking about the fact that besides these 10 assets that we will be completing another 8 assets in this financial year. These are new assets where we do not have a final buyers right now in place where we have not announced or done a deal, in these 8 assets we have invested about invested about Rs. 900 crores of total equity, from this we are expecting a good release when we monetize it as we are in discussions with different ways to monetize that. So, we are expecting a good release to happen and a majority portion of which will come in this year. So, because of that we are expecting good cash flow. Now the units that you asked and the cash that you have received that is already on our investment debt as well.

Shravan Shah: Okay, Understood. So, these 8 assets that we are looking at to monetize, so that is the route will not be the InvIT route. I am not asking in terms of the valuation or the buyer who is the buyer I am trying to understand it will be more like a cash deal that we are looking at and buy if we are looking at in terms of the timeline to get the cash will it be before March '24 we will be able to get the cash?

Rohan Suryavanshi: Sir, you are right. We are not looking to there is no automatic this thing to Shrem InvIT what we are looking as shareholders of this Company and as prudent management we will go out and get whatever is the best possible valuation for these assets wherever we get that valuation we will get that as a deal; and this will be in all probability this will be all cash deal only when this year we will be looking and 4 projects out of these 8 that I am talking about by 4 of them will be finished by July. So, you will start seeing the monetization happen very, very soon.

Shravan Shah: Sorry sir last part I missed I did not get your voice?

Rohan Suryavanshi: Out of 8 projects that I am mentioning where we do not have a deal out of those 8 projects, 4 projects will be finished by July. So, the COD of those 4 projects will be achieved by July. So, you will see monetization happen very soon. So, we are on the job of getting that monetization and wherever I mentioned we will get the best valuation. We will monetize those assets there.

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Shravan Shah: Okay, okay that's a great thing. Just to catch up in terms of the CAPEX for this year how much we are looking at?

Rohan Suryavanshi: So, we are looking to do a CAPEX of about 50 to 75 crores like we had mentioned even last year. So, that is the same kind of and this is all kind of small replacement CAPEX in a Company of our size like any large CAPEX that we used to do in the earlier years as part of our stated goal that we will not be looking at doing CAPEX and because we are using our equipment right across all the different sectors that we are working in and then we had made that public this thing and we will be looking at focusing on reducing our debt improving and focusing on getting the best efficiencies out of equipment. So, that is what we have been trying to do and even the smaller CAPEX that we do is more of replacement CAPEX or small, small things that might need to change here and there.

Shravan Shah: And then last on the margin front so this quarter again we have seen a QoQ front another 100 bps odd reduction to 9.5% EBITD

A margin and now we are looking at 13% to 14%. So, two things trying to understand till now still we are not able to get the higher margins and now we are confident to get this 13% to 14% margin, so will it start reflecting from the Q1 itself. And if that so what gives us the confidence that we will be able to achieve a 13% to 14 EBITDA margin?

Rohan Suryavanshi: Sir the confidence that we get from the order book that we currently have the margins at which we have won those projects at. So, number one is what are the kind of values I mean the different commodity rates at which we had won those on that we have also seen a cooling off in the prices of commodities. So, it was also not like we were hitting getting hit by those prices. We are also expecting to do those on time or before time so that will also be something that we are kind of now focused on and doing that. So, it is a bunch of all those things which historically till now we were suffering from all the extra baggage as I mentioned from the older projects because as you will remember a lot of these projects one in actually 2018 like this was March of 2018 that we had won a lot of those HAM projects that we are currently monetize and those projects got stuck first by the Government, by the appointed dates getting delayed by in most cases by over a year and then eventually when they finally got I mean in fact the last project that we got at appointed date was one packet of the Bangalore-Mysore Highway which we got appointed date in December 2019 which was just 3 months before COVID lockdown happened. So, we had just got an appointment date there. So, all those projects which were causing a drag on the Company performance. Now because we have more or less kind of exited them and getting move on and the future projects we see a good kind of potential along with hopefully docile inflation scenario. We do not expect things to now move suddenly and some of that confidence in terms of inflation not going out of hand is also based on global factors if the West is looking at an economic uncertainty and depression. It will obviously have a cooling effect on those prices as well. So, I think that so part of global scenario, part of what we are and obviously all these are anticipations that we are looking at whenever we look at those kind of guidance. So, that is kind of what we are doing and also to answer whether it will be quarter-on-quarter no I mean I am giving guidance for the overall year-on-year. It is very difficult for me to give you an exact accurate

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picture of how things will look every quarter. So, this is a whole year thing, but we are confident of achieving these kind of numbers with the diversified order book that we have and with coal firing on all cylinders with roads projects coming, with irrigation projects happening. So, across all those pipeline projects all across the sectors where we are confident that we will be able to get those kind of margins going forward.

Shravan Shah: The purpose of asking I am not trying to get the quarter-on-quarter EBITDA margin guidance the purpose is if we do not get a 13% in the first quarter then the ask rate for the remaining three quarters and the same if do not achieve in the second quarter the ask rate for the second half is much higher that is the main reason I was looking it should be a kind of equal 13% across the four quarters. So, if we let us say do 11% in Q1 then the ask rate to achieve for full year 13% for three quarters is much higher so that is the main reason I was looking at, the last question is DBL Infra the debt is the same 750 odd crores?

Rohan Suryavanshi: Yes sir it is actually Rs. 675 crores.

Moderator: Thank you. Our next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal : Hi Rohan, just wanted to understand, if I do the quick Math so you said there

is 10% growth if

I take 13% margin on the 10% growth about 14 crore, 15 crores of EBITDA and if I take same interest of 500 crores and 400 crores of depreciation about 550 crores of PBT and 400 crores of PAT we will make roughly about 800 crores of cash profit which will go towards funding your equity requirement further HAM and coal projects. So, I am not adding CAPEX and I am not adding any working capital infusion. So, a large part of your debt retirement will depend on how much you can pay on your working capital despite 10% growth whether you can reduce the NWC and secondly on the monetization of this 900 crores worth of 8 projects which are getting completed. So, how confident are you because these 4 projects may get complete by July, but eventually when you get all the NOC all approvals it will still take life good two quarters or three quarters and also you have to find an investor before that, have you assumed anything, any inflows coming in from the monetization for the debt reduction?

Rohan Suryavanshi: Sir so coming to this yes you are very right with the numbers whatever you have done the calculation those are the same calculations that we have also kind of done. Now coming to how confident we are about monetization happening and very confident and we have a long track record and history of monetizing assets as you have also seen for the last few years and so there is a reason for confidence where we build projects are of extremely good quality and as for that you can look at any of our of any of the players who are buying assets, all of them can tell you that whoever has looked at our assets, they will always be very confident of our quality. So,

because of that comfort and the fact that this is a sizable portfolio and a huge portfolio any of the large investors who are looking to build a road portfolio. So, from that sense, we are very, very confident that kind of thing should happen and even on a conservative estimate like I mentioned this we have invested about 900 crores of equity in these projects and if I look at 1000
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crore of inflow from those projects I think we will still be in good place to achieve what we are trying to go and achieve.

Parikshit Kandpal : But typically, you will sell 49% and then after like annuities coming after 6 months you will be able to then sell the rest and then flow comes in so which may go into a FY25, so maybe in the entire amount may not be able to come in FY24?

Rohan Suryavanshi: No very good question. So, you are assuming that my assets are not going to be onetime book value we are expecting the book value to be very high book value because these assets were one at a time when the interest cost scenario was low, and now with a higher this thing that is also there. Also, while we are adding that even if you do, we are also getting a whole bunch of Shrem InvIT units where we will be getting that also. We are in conversation with them that there will be some more cash compensation that they will be doing instead of some units. So, it is a mix of all the things that will happen and since we are giving you that kind of.

Sanjay Kumar Bansal: So, let me summarize what Rohan ji said. Basically, from the current divestment which is under progress we are expecting the balance consideration around 1,000 crore and we will be receiving at least minimum 50% in cash and balance in units from the further divestment of 8 assets as Rohan said 4 assets are in advanced stages and will complete by 31st July those assets you can see if we are receiving the COD in 31st July then 100% money can come by 31st March, but the assets the other 4 assets which will complete in Q3 and Q4 those assets 49% will be divested. So, you can say in terms of numbers we will be receiving at least 1,000 crore types cash flow from those projects also. So, put together 1,000 to 1,500 crore cash flow will come only from

divestment.

Parikshit Kandpal : Sir Shrem InvIT so what is you said 500 is still the cash payout which has to happen, right?

Sanjay Kumar Bansal: So, I am saying balance consideration is close to 1,000 crore out of that minimum we are expecting 500 crore in flow and from new asset divestment the plant divestment we are expecting 1,000 crore by March 31st. So, in total 1,500 crore we are expecting in this financial year.

Parikshit Kandpal : So, of the total Shrem InvIT how much you have received already as units as of now and how much is the cash inflow you have received?

Sanjay Kumar Bansal : If you have seen the investor debt you can see the valuations were 1,775 crores and out of that 455 crore is already received 860 crore units. So, those types of numbers already we have achieved.

Parikshit Kandpal : And roughly you will get about 170 crore plus as dividend from this Shrem InvIT.

Sanjay Kumar Bansal : Sorry.

Parikshit Kandpal : And you will be annually getting what kind of dividend payout?

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Sanjay Kumar Bansal : Dividend history of the Shrem InvIT is around 14% on gross basis. So, the last 7 distribution they have distributed Rs. 24 on all single unit. So, this distribution is very good.

Parikshit Kandpal : So, this distribution will be over and above 500 or it is part of 500 crore?

Sanjay Kumar Bansal : Yes it is over and above.

Parikshit Kandpal : So, that will be roughly like 300 crores?

Sanjay Kumar Bansal : So, let me tell you we have 860 crore units today with DBL and DBL subsidiary and we will be receiving say suppose 500 crore cash and 500 crore units then we will have around 1,300, 1,400 crore units and then 14%, so close to 150 crore.

Parikshit Kandpal : So, next year close to about in FY24 you will get close to about 150 crores of dividend from that?

Sanjay Kumar Bansal: Yes, not only dividend I said total distribution of around 140, 150 crore.

Parikshit Kandpal : Yes, distribution of 115 and 500 crores of this and 500 crore of units roughly?

Sanjay Kumar Bansal : Right.

Parikshit Kandpal : And last thing sir this Gujrat project was there that got over or it is still going on that big project we had one?

Sanjay Kumar Bansal : Sir that project is a total of 48 months.

Devendra Jain : Parikshit that is a four-year project and it has started last year and another three year it will run, but in the last year the progress is very good and it is running at full swing.

Parikshit Kandpal : In that a time has passed and it is competitive bidding I think in between L&T and some difference is there so from that negative surprise cannot come because we are saying that next

year margin will increase?

Devendra Jain : It is not a negative surprise and it is in track and in the first two years the way it got bidding and after that Corona third wave has come and after that design and drawing it take time and from last four month that billing is more than 70 crores in each month. So, now the project is in full swing and the project is still very good. And there is no problem in that and it will get complete in timeline and profitability will be sustained.

Parikshit Kandpal : One last question you are thinking that Company has come in the turning point in FY24 both on balance sheet margin and growth everything will now slowly come back on track the way it was before the status which was there we will come back?

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Devendra Jain : Yes, definitely we have come back and like in last financial year like Rohan has said big coal mines India's biggest mine of 50 million that we have started, 370 crore debt we have reduced, 10,000 crore order book we have won at different sectors. We are the most diversified Company right now and this is not a diversification. It is not a proven diversification. We are doing dams, metros, coal mining special technique bridges all work we are

doing and in this year our team

has said 800 to 1,000 crore we will reduce it obviously this is an absolutely turning point for the Company.

Parikshit Kandpal : One thing I have always with you that in inventory is stable and this year focus more to reduce that?

Devendra Jain : 100% we are focusing on that and quarter-to-quarter this financial year end all your questions will be replied automatically.

Parikshit Kandpal : But from Q1 onwards you will see the difference 10% margin it will start moving from Q1 we will be able to see that or it will be in second half?

Devendra Jain : Incrementally it would be better than Q1 in Q2 and Q3 as Sanjay and Rohan has said divestment which is of strength in that new project of 8 project divestment which we are talking in that 4 of them will be done in July the COD and the remaining 4 project that will complete in December and January, but even Q3 all project will be get completed.

Parikshit Kandpal : Margins improvement we will see from Q1 or it will be Q2 type?

Devendra Jain : Q1 we will see an improvement and from Q2 type fully margins we will see already in margin pressure as Rohan has already said 2018 projects which was there covid impacted two and three waves were impacted and after that high spike in between steel prices saw the after that all project got completely in last financial year. Now we are moving with the new projects only in which there is no threat of inflation and they are all projects and there is no problem at all.

Rohan Suryavanshi : When we got listed the debt level which was there in that time, we have already reached that level now and 3,000-4,000 crore top-line use to be there. And for the next year we are targeting from here 8,000 crore we are reducing it. So, if we see historically with it almost 10,000, 11,000 crores topline for this target we are talking and even since the listing time Company it hasn't ever been. So, we are focused on what we had promised to them markets in the Company has going to take in a certain direction in its lifecycle and we have sort of committed to fulfilling that so we are working on that.

Parikshit Kandpal : How is bid pipeline is seeing because election year is there and what is your view?

Devendra Jain : Still 80,000 crore bids for pipeline NHA and board and which sector we bid altogether it is around 1.3 lakh crore bid it is still in pipeline.

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Parikshit Kandpal : And last thing the four assets which you are talking which is going to get completed in July already we have started discussion with potential platforms on investors?

Devendra Jain : Discussion in very advanced stages.

Moderator : Thank you. Our next question is from the line of Prem Khurana from Anand Rathi Shares. Please go ahead.

Prem Khurana : Sir essentially you have given guidance of inflow of Rs. 10,000, Rs. 12,000 odd crore and we are at the same time guiding revenue growth of almost around 10 odd percent which essentially means 11,000 crores we are targeting I am sure I mean the aspiration would be to kind of grow even further even beyond FY24 as well at least at the same rate, so over this 10,000, 12,000 crore of order inflow is suffice because it is as good as what you would be executing so there is no buffer that you are creating for FY25 growth, so should it be seen that you believe that it will be a truncated year because of election which is why you are guiding conservatively or how should we see it?

Rohan Suryavanshi: Sir you are doing a direct calculation and correlation between what we are guiding for the order book versus what we are guiding for growth. So, bear in mind order book guidance if you look

at for the last few years we have always been consistent with that kind of order book, we have never given very aggressive guidance and even you can say of previous two, three, four years. So, we have always given that kind of guidance whether

our internal strategy would be to win a bit more depending on how the competitive landscape is looking or some other factors that we kind of see. So, these are extremely I cannot pinpoint and give you an exact thing that is the kind of guidance that we have always kind of moved with. Even if it would be more or if for three years, we will not be able to take it where many orders may not have come all those times you had the same thing. Also, we are looking at measured growth now. At an earlier stage of the Company, we were looking at a much higher growth and everything, but now we are looking at a measured growth because we are also not doing CAPEX. Earlier we also used to do CAPEX commensurate to what commensurate to whatever topline we were looking to do, but because we have reduced that thing as well and our idea and our focus on reduction of debt making sure that the Company becomes lighter because in certain sectors we see an increased amount of competition we do not want to take project just at silly risk without any focus on margins. We are given a diversified order book and the fact that we have started many years ago. As you can see some of our competitors who are primary focus on road sectors have also now started looking into other sectors because of these pressure and I think someone mentioned to me why have not enough listed players won the lion share of awards from NHAI which used to happen in the earlier part and it goes to unlisted player because a lot of smaller players have come and big very aggressively. So, here diversified order book a strategy around that and not doing CAPEX is what we want to do and go for the next year or so. And also, yes obviously there is an election year you want to see how things will plan out going forward as well. So, it is a mix of all those things if I can sort of put it.

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Prem Khurana: So, two more questions one was essentially just an observation if you could clarify this so when I look at our notes to accounts, I mean the profits that you show which ideally should have accrued to you as a part of the asset divestment that you have done during the quarter. The total that I get to and the total that you have in your income statement there seems to be some sort of gaps so I think 54 crores what is mentioned in the notes to accounts and what we have booked in our income statement in this quarter is 22, so what explain this gap I mean the kind of multiple that we are able to manage and we have sold at more than 1.5 times this entire portfolio, but somehow when I look at our exceptional gains that we maybe booking seems to be on a lower side and is it that I mean a large part of this would the profit would be booked once we have deferred consideration come to us?

Devendra Goyal: Yes, you are of course correct and if you want the detail calculation you can have a separate call because it is not possible here. So, you are very much correct when you will receive deferred consideration you will see the exceptional item is increasing.

Sanjay Kumar Bansal: And let me add here the divestment is basically the equity share holding of DBL and there is a DBL infra-asset who also holds 49%. So, the exceptional margins are in DBL infrastructure on console level if you will see your question will be answered partly and partly what Devendra has said about deferred consideration.

Prem Khurana: And sir one just Rs. 285 crore deferred consideration would you be able to share any timeline by when are you expecting this money and Rs. 500 crore number what you are saying from our existing transaction in that Rs. 280 crores is included in that 285 or is it separate number.

Sanjay Kumar Bansal: It is not included number one. Number two these 285 crore has two process one is 230 crore against change of law approval. So, regarding the change of law approval, we have sold assets in two branches, one in N

ovember, one in March the November 1 the change of law is in advance stages we are expecting that to receive it by Q2 and the asset what we divested on 31st March will be either the end Q2 or you can say mid Q3 we will be receiving. So, this entire money 230 crore of change of law we are expecting by Q3 and the balance 54 crores which is basically working capital held back amount by the authority that will be released once the SPV will receive the money the InvIT will pay apple-to-apple basis to us.

Prem Khurana: On a net debt side the reduction that were seen during the quarter near to 220 crores possible to split this into how much could have been because of the monetization proceed and how much is essentially because of the lower working capital?

Rohan Suryavanshi: So, basically we can give you the total number the number is fungible. So, basically full year basis we said the total debt is reduced by 370 crore.

Moderator: Thank you. That was the last question of our question-and-answer session. I would now like to hand the conference over to the management for closing comments.

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Rohan Suryavanshi: I would like to thank all our participants for coming on the call today and asking the questions. I hope you were able to resolve most if not all of your queries. For anything else please feel free to reach out to us here on our investor relation S-ancial for any questions you may have and look forward to seeing you guys in the next quarters, may you have great financial year going forward. Thank you everyone on behalf of the Dilip Buildcon family.

Moderator: Thank you. On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

August 11, 2023

Subject: Transcript of the Analyst/Investors conference call

In continuation to our letter dated August 2, 2023, please find herewith the transcript of the Investor conference call for Investor and analyst held on Friday, August 04, 2023 at 5.30 p.m. (IST) related to the financial results for the quarter ended June 30, 2023, conducted through digital means.

The aforesaid information is also being made available on the website of the Company i.e.

<https://www.dilipbuildcon.com/wps/portal/dbl/investors/shareholders-centre> .

This is for your information and record.

With Regards,
Sincerely yours,

For, Dilip Buildcon Limited

Abhishek Shrivastava
Company Secretary
Encl: Transcript of call

To
BSE Limited
Listing Department
P.J Tower, Dalal Street
Mumbai – 400001
To
National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051

Stock Symbol -540047 Stock Symbol –DBL
Page 1 of 14

"Dilip Buildcon Limited
Q1 FY '24 Earnings Conference Call"
August 04, 2023

MANAGEMENT : MR. DEVENDRA JAIN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DILIP BUILDCON
LIMITED
MR. ROHAN SURYAVANSHI – HEAD STRATEGY AND
PLANNING – DILIP BUILDCON LIMITED
MR. SANJAY KUMAR BANSAL – CHIEF FINANCIAL
OFFICER – DILIP BUILDCON LIMITED

MODERATOR : MS. JILL CHANDRANI – S-ANCIAL TECHNOLOGIES
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '24 Earnings Conference Call of Dilip Buildcon Limited hosted by S-Ancial Technologies Limited. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Jill Chandrani. Thank you, and over to you, ma'am.

Jill Chandrani: Thank you, Mr. Aman. Good evening, everyone. Welcome to Dilip Buildcon Q1 FY '24 Earnings Conference Call. From the management, we have Mr. Devendra Jain, Managing Director and CEO; Mr. Rohan Suryavanshi, Head- Strategy and Planning; and Mr. Sanjay Kumar Bansal, CFO. Now, I request the management to take us through the key opening remarks. And after that, we can open the floor for Q&A.

Now, I hand over the call to Mr. Rohan Suryavanshi for the opening remarks. Thank you, and over to you, sir.

Rohan Suryavanshi: Thank you, Jill. Good evening, ladies and gentlemen. A very warm welcome to all of you for the Q1 FY '24 earnings call of Dilip Buildcon Limited. The results and presentation have been uploaded on the stock exchange, and I hope all of you have had a chance to look at it. Before I begin, let me mention our standard disclaimer. The presentation that we have uploaded on the stock exchange, including the interaction in this call contains or may contain certain forward-looking statements concerning our business prospects and profitability, which are subject to some uncertainties, and the actual results could differ from those in such forward-looking statements.

Let me now share insights on the macroeconomic environment of the sector and give you some company updates as well. Following that, our CFO, will present the financial update of the company, post which we will dive into Q&A session.

So firstly, from a global perspective, growth momentum is pretty stagnant, especially in manufacturing and investment segments in the face of moderating headline inflation with the southern core. Market expectations of future interest rates have gone up in response to the hawkish policies set by central banks around the world. Equity prices have flattened and bond yields have hardened.

At the same time, the big picture in India is that the manufacturing and services activity continue to grow with some sequential moderation in June in composite terms from a 13-year high in April and May. Coincident indicators for the construction sector have grown robustly, with cement production at a 6-month high on the back of a strong public spending on infrastructure and good private sector demand as well.

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The Government's GST collection for the quarter was Rs. 462,793 crores. The real GDP growth for FY2022-23 was placed at 7.2%, higher than the second advanced estimate of 7.0%.

According to RBI, the real GDP is expected to grow by 6.5% during FY23-24. And according to World Bank and OECD, India is estimated to remain among the fastest-growing large economies in 2023 despite some sequential moderation in economic activity in June.

Now let us look at some updates for the sector. For the quarter ended 30th June 2023, MORTH has constructed 2,250 kms and awarded 611 kms. 436 land acquisition notifications were issued and land acquisition compensation of approximately Rs. 1,178 crores were profits for the quarter. The Government is ramping up its highway building target for the current year as it aspires to fast-track infrastructure in a year of multiple state polls and ahead of the general elections next year.

The Government has set its target of quality construction to a

bout 38 kms and plans to construct

approximately 14,000 kms of national highways. The breakup of this is as follows: about 6,000 kms will be built by MoRTH. About 6,000 kms will be built by NHAI and about 1,500 to 2,000 kms will be built by NHIDCL. The Government also has plans to raise about Rs. 30,000 crores from TOT and Rs. 15,000 crores from Infrastructure Investment Fund on interest.

The total capital expenditure of the Ministry of Road Transport and Highways for FY 2024 has been set at Rs. 2.58 trillion, which is an increase from the Rs. 2.06 trillion spent last year. And according to a recent press release, MoRTH targets to achieve 91% of this capex outlook by December 2023 given the general election next year. So, they will try to do that, and that's what they're saying.

Now let me come to our company performance for the Q1FY '24. Our order book was Rs. 24,051 crores at the end of June quarter. 37.1% of our order book comprised of roads and highways. Mining contributes 18.1%, irrigation at 17%, water supply at 12.4%, tunnel projects at 7.3%, metro projects at 5.7% and special bridge projects at 2.4%. So, we are happy to inform you that we have a very diversified order book with orders in all these sectors are firing in every different state that we are working in.

It is my pleasure to inform you that the current order floated by NHAI is about Rs.1 lakh crores already, which we are expecting to build in the coming quarters. So, all of these will be coming finally, another sector also has a nice order pipeline coming in all the sectors that we're currently working. So, our strategy of diversification has really helped us there.

Let me also give a recap of some of the guidance that we were given on the earlier call. On the revenue front, we had guided 8% to 10% growth and, we are targeting for the same. Our EBITDA, we have guided about 13%. We had also guided for a debt reduction of Rs. 800 to 1,000 crores. We are confident, and you will start seeing that sequentially from next quarter onward, but the larger reduction will happen in the final 2 quarters.

Finally, we are targeting about Rs. 10,000 crores to 12,000 crores of new orders in this year, and this will be across all the sectors that we're working in. We are also targeting some moderation in working capital cycle days. We're targeting about 8 to 10 days of reduction. And for the capex, Dilip Buildcon Limited

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we have already mentioned earlier as well that for now we are not looking to do any large capex and only replacement capex.

So even this year we're only targeting about Rs. 50 crores to 75 crores. Our target is to focus on becoming a debt-free company in the next 2 to 3 years, and that's where we are kind of focused on. So that's the biggest goal for the company, improving and strengthening balance sheet, along with keeping and continuing to do the diverse sectors that we work in, and setting our assets more and more.

Now let me hand over the call to our CFO, who will give you insights and comments on the financials of the company.

Sanjay Bansal: Thank you, Rohan ji. Good evening, everyone. I welcome all stakeholders to our earnings call.

Let me present the results for quarter ended 30th June 2023. During the quarter and upto the date as we speak, we have completed 2 projects, HAM projects, Pathrapali-Kathghora package 2 and Bilaspur-Kathghora section in the state of Chhattisgarh under Bharatmala Pariyojana worth Rs. 487 crores. The second project, Dodaballapur bypass to Hoskote section in the state of Karnataka under Bharatmala Pariyojana worth Rs. 1,278 crores on 21st July 2023.

Further, during Q124, the company won an irrigation project worth Rs. 699 crores for construction of Malhargarh. Construction of a project on turnkey basis in the state of Madhya Pradesh.

Now moving from business to the financial performance. The revenue marginally decreased by about 1%

in Q1 FY '24 on Y-o-Y basis from Rs. 26,215 million in Q1FY '23 to Rs. 26,084 million in Q1 FY '24. This is due to delay in execution of old HAM projects.

The EBITDA increased by 63% in Q1 FY '24 on Y-o-Y basis from Rs. 2,054 million in Q1FY '23 to Rs. 3,348 million in Q1FY '24. The EBITDA margin increased on account of better execution of the projects and reduction in the commodity prices.

Now coming to the profit after tax. The profit after tax increased by 321% in Q1 FY '24 on Y-o-Y basis from Rs. 198 million to Rs. 834 million in Q1FY '24. The paid margin mainly increased because of the better EBITDA margins in the quarter.

Now let me take you through some important balance sheet items. The capital expenditures during the quarter was Rs. 430 million. The inventory decreased in Q1FY '24 by Rs. 675 million from Q4FY '23, which is mainly on account of reduction in WIP. Trade Receivables increased to Rs. 18,633 million in Q1FY '24 from Rs. 16,064 million in Q4 FY '23 on account of debtors booked at the quarter end.

But let me tell you, these debtors were realized subsequently. The net debt-to-equity ratio marginally improved from 51 basis points in Q1 FY '24 versus 52 basis points in Q 4 '23. The working capital days increased to 75 days as on 30th June 2023 versus 70 days as on 31st March '23. This is mainly because of the increased debtors position as of 30th June 2023. And as I said, these debtors were realized subsequently. Now we can open the floor for the questions and answers.

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Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes

to ask a question may press star and one on their touchstone telephone. If you wish to remove your cell from question queue you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentleman, we will wait for a moment while the question queue assembles. First question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Thank you and Congratulations on the significant improvement in the EBITDA margin. So, the first question is on the same. So definitely, we have highlighted all the guidance numbers, but just trying to reconfirm or trying to re-understand further. This EBITDA margin, 12.8%, and now we are seeing a 13% for this year. So, from here on, we will be seeing a steady state of improvement or maybe the same run rate of EBITDA margin. That's the first question I wanted to understand.

Sanjay Kumar Bansal: Yes, Shravan ji, the EBITDA margins will remain in the same range and whatever guidance we have given. So, we had given 13% to 14% EBITDA margin and the numbers will basically progress in that manner.

Shravan Shah: Okay. Secondly, on the debt reduction front and the asset monetization. So last time we have talked about the MoRTH HAM projects we want to monetize, where we have a Rs. 900-odd crores kind of equity investment. And we are expecting the entire cash to be received this year. So, what is the update? And is it the main if there is any delay in receiving the cash of this Rs. 900 crores equity invested will deduction to Rs. 1,000 Crores debt reduction will get postponed maybe in 1Q or 2Q of FY '25?

Rohan Suryavanshi: Shravan ji, that process is underway right now. That old mandate is currently running. And we are in negotiations with a whole bunch of investors. What we had stated earlier as well that we are only expecting about whatever money, only about half of it to come in this year or whatever the whole deal is, we are only expecting about half of it to come because all these projects as they are getting completed will only be able to transfer in a whole bunch of projects only 49%, and the rest 51% will be able to transfer the next year.

So that money will also come accordingly with that. So, we have accounted those calculations when

we have given you this guidance of Rs. 800 crores to 1,000 crores. And right now, as things stand, we expect everything running as per the time schedule that we had anticipated.

Sanjay Kumar Bansal: So, let me add, Shravan ji. On the equity investment side, FY '23-24, the total equity requirement was Rs. 825 crores. Out of that, Rs. 268 crores was already invested in Q1. We have balanced Rs. 544 crores equity, which is to be invested between Q2 to Q4 and this equity investment will be mainly in the HAM projects, which is Rs. 503 crores and Rs. 41 crores in the coal project.

Shravan Shah: Yes. So, I will come to that also, will want to understand further that. So, it's good that we are on track, and we will be completing the monetization. Second, just to understand in terms of the order pipeline. So till now, though we have just received a Rs. 700-odd crores order inflow, we are looking at Rs. 10,000 crores to 12,000 crores. Definitely, we have said that for NHAI pipeline

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is Rs. 1 lakh-odd crores. But are we kind of confident that before the like maybe October and November, we will be able to get this much order.

Rohan Suryavanshi: Shravan ji, as you are well aware, and you've been tracking the sector for a very long time, there were a lot of orders in our sector happened in the second half of the year and historically for every year that has been true. So, we are expecting the orders to continue in such a manner. And now depending on how much quickly the Government does in different areas, we are looking. But the good part is there are healthy orders which have already been floated. And then there are a lot other that the Government is in the process of floating in the different sectors that I mentioned earlier that we work in. So, our confidence stands from that. Also, important to note, again, like I mentioned, that about almost Rs. 1 lakh crores of NHAI orders are already floated. So, there is a huge pipeline of orders that is available.

So, it should come. So, we're expecting to kind of build prudence that we've kept. We're expecting to get a decent amount of orders. And we are giving a very conservative guidance anyways of Rs. 10,000 crores to 12,000 crores that we have been winning every year anyways.

Shravan Shah: Okay. Just further to understand, one is on the appointed date of our HAM we have already mentioned in the presentation, one more mining project is a big one or 2,274 crores Amadand OCP. When are we going to receive the appointed date for the same?

Sanjay Kumar Bansal: So, Shravan ji, basically that project is delayed.

Shravan Shah: Okay. But no clear idea maybe next 6 months we are going to get. So just trying to understand in the sense that these 4 HAM projects around 3,500 crores EPC value in order book and this Rs. 2,200 crores. So, what we are looking at 8% to 10% kind of a revenue growth for this year.

This quarter, we haven't done anything. So, 13.7% or 14% ask rate is there for 9 months. So that's what I'm just trying to understand.

Are we able to do that? And apart from this, is there any project delays in any of the other

projects where there is still risk that this 8% to 10% that we are looking at can finally come into a 5% kind of a number by the year-end?

Devendra Goyal: Shravan ji, when we have given the guidance, we have accounted all what you have mentioned in there, okay? So, we have accounted delays in the Amadand mines also. Amadand mines there is a delay on account of the land issues. So, we are expecting that will be resolved soon, but right now, it is very difficult to say anything about that. But whatever you have mentioned, we have accounted and we are confident that whatever guidance we have given for the revenue we will achieve that.

Shravan Shah: Okay. Lastly, on the HAM part, in terms of the equity, the first in the frame. So, whatever the deal we have done Rs. 2,349 odd c

rores that we are going to receive and we've already mentioned that Rs. 676 crores we have received in cash. So further, how much more cash that we are going to receive? So just trying to break this Rs. 23,49 crores into cash and in its time line, definitely, we have mentioned just broadly, what would be the cash and the InvIT number?

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Sanjay Kumar Bansal: So basically, Shravan ji, as you know, till today, we have received Rs. 868 crores worth InvIT units and even last quarter, we are receiving only cash consideration. So, in future, there will be no further units planned to be issued. So whatever asset we will divest from now, everything will receive in cash. So as on today, out of the 10 projects, nine projects are divested. Out of nine, seven projects, 100% divested, two projects 49%. The balance, one project 100% and two projects 51% will be done within this quarter, means August and September. And one asset for 51% in December first half. So basically, with that, the entire 10 asset deal will complete.

Shravan Shah: Yes. That I understood. So, till now, we have received 869 crores InvITs and now onwards, we are not going to receive any InvITs whatever will come, will come as a cash.

Sanjay Kumar Bansal: Right, right sir.

Shravan Shah: Okay. And second, just part to understand the equity that we want to invest in 18 HAM projects so that definitely from the last presentation we have excluded this Rs. 987 odd crores so 978 million equity invested as on June, the number what we have mentioned in the presentation, what would be the like-to-like number as on March '23? So just 3 months before, what was the number? So just trying to understand how much equity we have invested for 18 projects in one quarter?

Sanjay Kumar Bansal: Shravan ji, once again. So, the 5 HAM projects, which is completed is removed from the requirement and actual equity invested. So, I'm saying the – the 5 projects, the required equity was invested. So, there is no reason to keep this equity requirement on the completed projects. So, we removed from the requirement and invested equity. So Rs. 986.5 crores reduced from the requirement and the similar amount reduced from the actual invested because those projects already completed. So, you can add up these same numbers what we gave in the last quarter presentation will match.

Shravan Shah: Okay. And broadly, just the DBL infra, that Rs. 750-odd crores, that number remains the same, the debt number remains the same?

Rohan Suryavanshi: Yes, that number is the same. We have, in fact, paid down a little bit debt in DBL Infra.

Moderator: Thank you. The next question is from the line of Narendra from Robo Capital. Please go ahead.

Narendra: Thanks for the opportunity and congratulations on a good set of numbers. So, my first question would be regarding the debt and equity that you are planning to raise. What's the reason for that?

And regarding the equity raise, what would be the method of the raise, if you could summarize on it?

Sanjay Kumar Bansal: Narendra Ji, first of all, we are not planning to raise any further equity from now. If you are referring to our equity that is from the monetization, we are not trying to raise any secondary or primary equity from the equity market.

Narendra: Okay. So, in the document that you have submitted, I mean, the results, you have said that consider the issuance of other shares. So, what's that if I could understand that?

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Rohan Suryavanshi: Sir, that is a permission that we have bought every year from the time we have come listed that every year as a prudent policy, a lot of companies do that, whether it's for equity raise, whether it's for NCD for all those bunch of different things that you see. It has been there for many last 10 years. So that is not an indication of us looking to raise any equity

or raise any other funds.

It is just an enabling clause. That's all that it is.

Narendra: We have excessive rains across India, has it affected our execution rate, and what could be the

effect of it on our top line? Any indications that you have got?

Sanjay Kumar Bansal: So Narendra ji, if you are referring to the rain, heavy rains on various part of India, let me tell you whatever guidance we had given, the company will achieve those numbers. We are very confident.

Narendra: Okay, Yeah, That's what I was asking. Thank you.

Moderator: Thank you and any participants who wish to ask this time, they may press star and one . The next question is from the line of Janmajay Gandhi from IVG Trust. Please go ahead.

Janmajay Gandhi: Hello. I wanted to understand, sir, about the CRML project coal mine that you have got, what is the projection for this year and next year? And what is the margin are you expecting on this front?

Sanjay Kumar Bansal: Basically, the project has achieved appointed debt on 2nd January 2023. The project is in production. So, this year, the first year of our operation, we will do a 7 million tonne of coal excavation and the estimated revenue is around Rs. 550 per tonne. So basically, there will be Rs. 1,000 crores revenue and the margins would be in the range of 20% to 25%. And this project is in subsidiary.

Janmajay Gandhi: Sir, the financials of the performance of this company would be consolidated with the balance sheet?

Sanjay Kumar Bansal: Yes.

Janmajay Gandhi: So, the profitability also would be visible in the consolidated performance?

Sanjay Kumar Bansal: Right. On full year basis, it will.

Janmajay Gandhi: So, for this year projection, have you included this profitability?

Devendra Goyal: We have given the projection for the single loan number, for the consolidation.

Janmajay Gandhi: Sir, and what is the growth are you expecting for the next 2 years in this coal mines?

Rohan Suryavanshi: Let me tell you, this coal mine has a fixed production plan. So, first year, it was 5 million, then 10 million, then 16 million, then 25 million, then 35 million, and 6th year, it will achieve the optimum capacity, which is 50 million tonnes, and that will run for another 19 years. So, in 25 years, we will excavate 1,091 million tonnes in total.

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Janmajay Gandhi: At a price of Rs. 550 per tonne.

Sanjay Kumar Bansal: No, no. The current price is 550 Rs, but the price is linked to the inflation numbers, the CPI, WPI.

Janmajay Gandhi: Okay, Sir, I understand this year, it will be 1,000, next year, around 2,000 and henceforth according to the plan?

Devendra Jain: Please rectify, 525 multiply 7 around 350 crores revenue this year, next we will do the 10 million then that will be 500 million, and then next year 16 million, then 25 million or incrementally inflation will also increase. This is the revenue guidance for that project.

Janmajay Gandhi: Okay sir. Thank you very much sir.

Moderator: Thank you. Reminder, participants please press star and one to ask a question. The next question is from the line of Prem Khurana from Anand Rathi Shares. Please go ahead.

Prem Khurana: Thank you for taking my question . So just book keeping first question. So just want to understand, did we receive any payments or cash consideration from Shrem during the quarter?

And how much was infused by us in the hybrid annuities? Because when I look at the cash flow statement, it seems like we've infused Rs.190-odd crores

But if I try and reconcile it with our presentation so the presentation suggests, I mean, we have received some payments because the cash received number, which was around 454 crores last quarter has gone up to 675 crores. So, this 190 crores adjusted for the money that we've received or how does that work? Or is it that I mean these were part of loans and advances or not ex

actly

compared.

Devendra Goyal: So, if you are referring to the slide of the presentation so it is up to date. So we have not received any money from the Shrem InviT during the Q1, the money has been received during the Q2.

Prem Khurana: Okay. And how much did we infuse during Q1 in our hybrid annuities?

Sanjay Kumar Bansal: So total investment was Rs. 268 crores. So mainly, it is in HAM only.

Prem Khurana: Okay. And how do I reconcile it with the Rs. 190 crores that you show in your cash flow statement, purchase of investment is 190 crores. And when I look at our balance sheet numbers.

So, I can see that increase in investments, Rs. 190 crores, but at the same time, loans and advances have come down by 70-80-odd crores. So how do I reconcile INR268 crores and where does it lie in the balance sheet?

Devendra Goyal: Prem, there are the two types of investment we had in the HAM project one through the Quasi Equity that is unsecured loan and one through the equity, okay. So you will have to reconcile separately so it will not directly reconcile with the cash flow statement.

Prem Khurana: Okay. No, because, I mean, generally, the money that you invest in the form of Quasi Equity forms a part of your loans, right? And loans seem to have come down during the quarter. So, no

worries, I mean I'll get in touch with you, and I will take it offline.
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Devendra Goyal: yes, because there is some repayment also on unsecured loan so that will not simply reconcile the cash flow statement.

Prem Khurana: Sure. And Rohan, just small, I mean, if you could help us understand a little better the pipeline that you spoke about Rs. 1 lakh crores of NHAI prospects that you talk about. How much do we intend to kind of bid for of this Rs. 1 lakh crores? And how would the split be between EPC and hybrid, if you could share these things, please?

Rohan Suryavanshi: Sir, I mean, the split is as we've done in the past as well, 60% target of about HAM and 40% EPC. But all these things are obviously very dynamic based on how the bidding is happening at that point of time, how do we face competition and a whole bunch of other factors, and a whole bunch of what projects we won in that area. And so, it is very difficult to just state a number off the cuff, but that's there.

The pipeline is looking healthy, and those numbers have been sorted. And even if you look at DBL in the last year, we bid for more than the overall project that we bid for other companies was for over Rs. 1 lakh Crores that we had bid for.

So, our bidding team is geared and capable enough to handle and bid for that kind of orders in a year. So yes, we are fairly confident that given this is the year before elections, the Government will try and put out as many projects as possible.

Prem Khurana: Sure. And just 1 last. I mean, when I look at the history, I mean, generally, whenever you get to a general election, the preceding year, generally tends to be get somewhat curtailed in terms of awarding activity because I mean you get to a code of conduct, which is there, generally, I mean, you get to see some slow down once the code of conduct comes into play. Would you believe I mean, you will be getting some other situation, which is there? I mean, most of these projects would have to come out either in Q2 or Q3 because Q4, again, I mean most of these Government authorities would be busy with the election preparation.

Rohan Suryavanshi: Yes, sir, I think it's fair to assume that Q2 and Q3 should be heavier activity than Q4, as you rightly said. And the end of Q4, we come to about model code of conduct somewhere in the time of March or in that range, it starts kicking in. So hence, we also expect more to happen that. And whatever can happen before that. But given the high budget that the Government had announced for infrastructure, the Government probably when also when they announced bec

ause the capital expenditure for infrastructure went up from Rs. 7 lakh crores last year to 10 lakh crores this year. So, which was a 40% increase in capex for infrastructure.

So, the Government obviously had a clear intention on increasing the outland wanting to push out projects. And even all the commentary that you will see from the different departments has been in line with that goal. So we are hopeful that they should do it. Otherwise, they would have not announced such a large budget and also compound it everywhere.

Prem Khurana: And any update on Bharatmala Phase 2? Because I mean Bharatmala Phase I there's hardly anything left, that's only for a couple of years that you would get to have something come from NHAI. So, any update on Bharatmala Phase II in terms of...

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Rohan Suryavanshi: I would not be the best person to be able to give you an update on that because that Government schemes are run with the Government having their own thought process. So, I think the Government will be a better place to answer that.

Prem Khurana: Sure, thanks a lot and all the very best.

Rohan Suryavanshi: Thank you.

Moderator: Thank you . The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, just continuing the previous question. So till now, how many projects that we would have bided and where the bids have yet not open?

Rohan Suryavanshi: Shravan Ji, there are about 10 projects that we bid for where the bids have not opened up till now.

Shravan Shah: What will be the broader value?

Rohan Suryavanshi: I think roughly about Rs. 10,000 crores. And this is in all the different sectors that we are doing.

Shravan Shah: Okay. And just though you mentioned in the previous reply that you are not the right person in terms of the Bharatmala Phase 2. But just a broader perspective of whatever your understanding in terms of. Is there in terms of the broader when the Bharatmala Phase 1 started, they started with 5.75 odd crore and 7 lakh odd crore finally So this Phase 2, do you think that this size would be this Rs. 5 lakh crores, 6 lakh crores, 8 lakh crores or now most of the road phase is kind of

the remaining small patches are there so the value could be much lower.

Rohan Suryavanshi: Shravan ji, see Bharatmala Phase 1 is done, for Phase 2 there are enough and plenty of roads to be made in India, and there's a lot of upgradation to happen from, like we mentioned 2-lane roads getting to 4-lane and 4-lane to 6 and onwards. So, all of that is happening and all states are also focused on building expressways and all. So, there is a lot of work that is happening. For me to be able to comment on how exactly will the Government teams pan out would not be I would not be the very best person.

But we know the intent of the Government. They have come out with a very detailed paper on the national infrastructure pipeline. They've mentioned in a lot of detail what they want to do.

So, I think referring to that and then looking at and having conversations with the Government, it would be a better place. But even they will not be able to give you such a long plan.

They can say, "Yes, this is all that we are intending to do." How and when and how much will happen and what pace will happen is also a function of the Government that comes to power and what is their intent. So, a lot of things that will affect that.

But I think directionally, there seems to be a healthy pipeline of orders across infrastructure sector. And 1 thing I'd definitely like to highlight, right now, if you look at our order book, less than 40% is in the road sector. So, it's not like we are dependent only on the road sector.

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And there are a lot of orders coming in all the different sectors. So, our idea of diversification that we started

is a journey that we started in 2015, 2016, has come handy given how much competition we are seeing in this sector as well. So, I think, for us, we are more focused on winning good quality orders across all the sectors that we're working in, sweating our assets, not making any large capex commitments, and that's lag for us.

Shravan Shah: Okay. Sir, again, in terms of just coming on the number on the HAM part. So once these 3 HAM projects, which is still to be transferred to Shrem, once if that will be transferred in terms of the on stand-alone books, whatever the equity till now we are showing part of this Rs. 998 crores, how much will be removed from that?

Rohan Suryavanshi: You mean like the equity that is on the presentation right now, once you transfer these assets, how much will get reduced from here?

Shravan Shah: Yes.

Sanjay Kumar Bansal: So basically, we complete the project. Whatever projects getting to be directed to Shrem InvIT that is already removed. So, there will be no further removal from the equity requirement. So, all the projects already removed from the equity requirement. It was completed.

Shravan Shah: No, sir, I'm not saying equity requirement. I'm saying whatever we have invested and which is part of so Rs. 998 crores, what we are saying, we have already invested. So, this is only in 18 HAM projects and the 10 Shrem projects is this already out of a stand-alone balance sheet. That's what we are trying to say?

Sanjay Kumar Bansal: Yes.

Shravan Shah: Okay. Got it. And so just further, just trying to understand, the Shrem InvIT is in the DBL infra books and not in the stand-alone books?

Devendra Goyal: Shravan ji whatever we have removed the equity capital still there is in the book. But for the sake of clarification and whatever acting project is there, that is also in the book. And whatever we have not divested through the Shrem InvIT like Nidagatta-Mysore and the Patrapali so that is standing in the Dilip Buildcon stand-alone books also.

Shravan Shah: That's what I'm trying to understand, sir, on the number part so part 2 things just whatever you said. So broadly, roughly how much equity still will be there, the 3 projects that we still have to transfer to the Shrem? On the standalone books, how much equity we are still showing?

Devendra Goyal: So, Shravan ji, can we take it separately because the equity standing in the books of DBL stand-alone also, and it is extending in the DBL infra also. So what will be transferred when the entire 10 projects will get completed. Okay. So, we can take it separately and we can give you the numbers.

Shravan Shah: Okay. And then in DBL Infra sorry, Shrem InvIT what we are receiving is shown in part of DBL infra and DBL stand alone.

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Sanjay Kumar Bansal: So basically, we have received units in DBL Infra Assets and DBL both. So out of the total Rs. 868 crores worth unit, the total units in DBL Infra Assets is Rs. 324 crores. And in DBL, it is Rs. 513 crores. So, both the entity the units are there.

Moderator: Thank you. The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.

Jiten Rushi: Good Evening sir, Congratulations on a good set of numbers. Sir, my question is on the order

inflow target which we are talking about around 10,000 crores to 12,000 crores. Sir, what would be the non-road portion and kind of work we are targeting this year?

Sanjay Kumar Bansal: So basically, if you can see our order book breakup, the road is generally close to 40%. So yes, this year also we are targeting road close to 40%.

Jiten Rushi: So, it is safe to assume around 4,000 -5,000 crores should be from the books?

Sanjay Kumar Bansal: Right.

Jiten Rushi: And sir, on what kind of margin do we expect from the non-road segment? Because now, as you said, steady state margin going forward would be 13%-14%, but can we see any better margin coming from

the non-road segment, which can take us our margin...

Rohan Suryavanshi: Jiten ji, the margin guidance that we've given is a blended margin. And to give it from different segments would be unfair again, like I mentioned, every time when you bid for a project, it's based on multiple factors when we bid and the margins that we get. So hence, to pick out and give each existing would be difficult. Also, as part of our bidding strategy, it would be wrong to hand out different margin profiles of each sectors and give it to all our competitors as well.

Jiten Rushi: I understand. There are corporates who give, but that's okay. My point was, from the non-road as you said 6,000 to 7,000 crores. But can you just give us a breakdown like what you are looking from the non-road because we have been present in many segments. So any particular segment or news we are targeting this time aggressively of non-road so we are going to focus on...

Rohan Suryavanshi: Sir, all those segments that we work in those are the segments that you should see orders coming in. There is no specific breakup that we, at this point of time, have to offer.

Jiten Rushi: As you said NHAI has a strong pipeline. We understand that. Any pipeline you have identified like some metro or water supply, irrigation or we'll be bidding the way it will come. That is what I understand, right, sir?

Rohan Suryavanshi: All these segments have healthy orders coming, and we are looking at all of them.

Jiten Rushi: And sir, in terms of competitive intensity, what is your view now? So, we have seen competition in the past. So this year, what is your view, like do you see this intensity to remain or it will come down? Or how has been the experience so far like this year?

Rohan Suryavanshi: The intensity is dependent on multiple factors on the size of the project, smaller size projects will see more competitive intensity. It also depends on the type of the project, let's say, EPC versus HAM, EPCs have more competitive intensity. HAM has reduced competitive intensity.

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So different segments have different competitive intensity, different states have different competitive intensity.

So, it's not like a 1 size fits all. It all depends on where exactly are we working, what segment are we working, how big is the project, all of those different things. Who is the payment agency, like which agent whether it's a municipal project, whether it's a state Government project, whether it's a multilateral funded project, whether it's a national Government funded project, all these things change, all these have a different VC, different, things happening and based on or multiple of these factors.

So, it would be very different. But yes, competition intensity in between has become much higher because of the Government reducing the requirements for bidding, which we again brought it up. So, there's some parity there, but there still very competitive in the lower range of projects in the lower cost of EPC projects, yes.

Jiten Rushi: But sir, just last thing. So you mean to say that we will focus on central Government and multilateral agency funded projects. That is something which we are focusing on so that the payments should be on time that's the whole thought process?

Rohan Suryavanshi: We focus on multilateral and national Government project and also state Government project where the funding has been tied up or we know that there is a very good visibility.

Jiten Rushi: Just last thing. Sir, you said 10,000 crores is the outstanding pipeline as of now, right? Where you are awaiting the results?

Rohan Suryavanshi: Yes, 10,000 crores of projects where we have bid, but the results have not opened.

Jiten Rushi: And any segment you can highlight, breakup between the segments?

Devendra Jain: There are different segments that we bid in, sir.

Moderator: Thank you. Reminder to all participants to please

press one and star to ask a question Ladies and

gentlemen, as there are no further questions, I would now like to hand the conference over to

Mr. Rohan Suryavanshi for closing comments. Thank you, and over to you, sir.

Rohan Suryavanshi: As always, I'd like to thank all the participants for attending our conference call and all our partners for patiently asking all the questions that they had. In case we've not been able to answer some of your questions or you still have doubts, please feel free to reach out to our Investor Relations at S-Ancial or our own team internally, and we'd be happy to help you with any doubts

that you may have. Again, we appreciate all of you coming on the call, and I look forward to seeing all of you guys in my next quarter call. Have a good happy monsoon.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of the Dilip Buildcon Limited that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Thank you

Call: Nov 2023

November 14, 2023

Subject: Transcript of the Analyst/Investors conference call

In continuation to our letter dated November 03, 2023, please find herewith the transcript of the Investor conference call for Investor and analyst held on Wednesday, November 08, 2023 at 11.00 AM. (IST) related to the financial results for the quarter and half year ended September 30, 2023, conducted through digital means.

The aforesaid information is also being made available on the website of the Company i.e.

<https://dilipbuildcon.com/investors/shareholders-centre/>

This is for your information and record.

With Regards,
Sincerely yours,

For, Dilip Buildcon Limited

Abhishek Shrivastava
Company Secretary
Encl: Transcript of call

To
BSE Limited
Listing Department
P.J Tower, Dalal Street
Mumbai – 400001

To
National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051

Stock Symbol -540047 Stock Symbol –DBL
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“Dilip Buildcon Limited
Q2 and H1 FY '24 Earnings Conference Call ”
November 08, 2023

MANAGEMENT : MR. DEVENDRA JAIN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DILIP BUILDCON
LIMITED
MR. ROHAN SURYAVANSHI – HEAD STRATEGY AND
PLANNING – DILIP BUILDCON LIMITED
MR. SANJAY KUMAR BANSAL – CHIEF FINANCIAL
OFFICER – DILIP BUILDCON LIMITED

MODERATOR : MS. JILL CHANDRANI – SANCIAL TECHNOLOGIES
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Dilip Buildcon Q2 and H1 FY '24 Conference Call hosted by S -Ancial Technologies Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note the conference is being recorded.

I now hand the conference over to Ms. Jill Chandrani from S -Ancial Technologies. Thank you, and over to you, ma'am.

Jill Chandrani : Thank you, Mr. Akshay. Good morning, everyone. Welcome to Dilip Buildcon Q2 and H1 FY '24 Earnings Con Call. From the management, we have Mr. Devendra Jain, Managing Director and CEO; Mr. Rohan Suryavanshi , Head - Strategy and Planning; and Mr. Sanjay Kumar Bansal , CFO. Now I request the management to take us through the key opening remarks. After that, we can open the floor for question -and-answer session. Now I hand over the call to Mr. Rohan Suryavanshi for his opening remarks. Thank you, and over to you, sir.

Rohan Suryavanshi: Thank you, Jill. Good morning, ladies and gentlemen. A very warm welcome to all of you for the Q2 and H1FY '24 earnings call of Dilip Buildcon Limited. The results and presentation have been uploaded on the stock exchange, and I hope all of you have had a chance to look at it. Before I begin, let me mention our standard disclaimer. The presentation that we have uploaded on the stock exchange, including the interaction in this call contains or may contain certain forward -looking statements concerning our business prospects and profitability, which are subject to some uncertainties, and the actual results could differ from those in such forward -looking statements.

Let me now share some insights on the macroeconomic environment of the sector and give you some company update as well. Following that, our CFO, Mr. Sanjay Bansal, will present the financial update of the company, post which we will dive into the Q&A session, as Jill updated you.

So the global economy faced a slow down due to shifts in global geopolitics and rising oil prices. Although headline inflation is showing signs of improvement, it continues to surpass targets in major economies. In contrast, the local economic landscape displays resilience supported by a robust domestic demand.

Agriculture activities in Q2FY24 maintained their momentum despite uneven monsoon patterns. The Government's gross GST collection grew 11% Y -o-Y for the H1FY '24 and stood at INR 9,92,508 crores.

Now moving to some updates for the sector. For the half year ended September 30, 2023, MoRTH have constructed 3,567 kms and awarded 2,286 kms. MoRTH aims to accomplish 91% of the GBS capital expenditure outlay by December '23, targeting an annual sum of INR 2,58,606 crores. And as of September 23, the expenditure reached INR 1,62,220.86 crores, which contributes 62.7% of the annual target. So , you can see the Government spending is going at a good pace.

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According to the Ministry of Road Transport and Highways, the sector's health has significantly improved, bolstered by various policy interventions. The Indian Government renewed commitment to fostering public private partnerships in the road construction can be seen in their constant support to the sector. The Government plans to award INR 2,00,000 crores worth of BOT project by March '24. Projections indicate that India is on track to achieve record net toll collection of INR 67,000 crores by the end of F Y '24.

The ministry has also announced the Government's extensive plan to construct 10,000 kms of greenfield expressways nationwide, amounting to a total cost of INR 4,50,000 crores.

This

initiative aligns with the overarching Bharatmala Pariyojana, aiming for a comprehensive 65,000 kms highway development program across the country. The initial phase focuses on our road network spanning 34,800 kms.

The honourable minister also highlighted the successful financial strategies employed by NHAI, generating over INR 70,000 crores through innovative financial modelling . This includes INR 26,000 crores from BOT model and INR 10,000 crores via the NHAI InvIT, and INR 34,000 through securitization via SPVs. According to a recent report, the National Highway Authority has the potential to monetize around INR 2,00,000 crores from its HAM assets between fiscal 2024 and 2027.

Now let me shed some light on the recent developments on the company side. I am very excited to tell our partners about the new development and direction for our company. DBL 2.0 is a

vision which was down after the turbulent times of COVID. We looked at all the challenges we face what was the most unprecedented event in all our lifetime and deliberated on the way forward for us as a company and management.

As you all know, our business is a cyclical business, and we are heavily dependent on the state of the economy and the Government spending capacity. Knowing these facts, we aligned our goals to the reality of an uncertain world with a view to reduce the volatility in our business and ensure smooth predictable cash flows in future. One of the key focus areas of our strategy is to make our balance sheet leaner and lighter as we have already stated in the past as well.

In continuation to that, we have reduced about INR 300 crores of debt from the FY '23 levels and are on target to reduce a total of about INR 800 crores to INR 1,000 crores from FY '23 to FY '24, as we had stated on our last call. That would take our net debt to somewhere in the range of INR 1,300 crores to INR 1,500 crores by the end of this financial year. Our target is to make DBL a net debt-free company by the next financial year.

A company like us, which has been known for our large capex commitments, had taken a conservative choice that we will now focus on improving our cash flow. We will focus on reducing our capex and monetizing our assets. In that same breadth, we also decided that our large big target is to have both long-term and short-term revenue streams contributing to our top line and bottom line.

Our EPC work is the short-term revenue stream, and our asset business will be our long-term revenue stream. With that goal, we have decided to set up our own InvIT with a reputed financial

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partner. Think of this partnership on the line of an Embassy and a Blackstone REIT where one partner brings in the financial experience and the other partner brings in operational health. DBL has had a long and storied track record of winning and building the biggest percentage of HAM projects awarded by the Government until now.

In terms of numbers, we have won 37 HAM projects worth INR 45,000-plus crores till date, out of which we have sold and divested 19 projects worth INR 24,000 crores. And currently, we are left with 18 projects worth INR 21,000-plus crores. It is DBL's strength to do EPC, and DBL will always keep winning good projects on the PPP model. Hence, what we want to do is that, going forward is we want to retain the EPC profits at DBL and make sure that we return the invested capital of equity as soon as possible to the parent.

At the same time, we want to set up a permanent mechanism, where we're not always looking for a buyer to sell our projects to. Because this way, we realize we can also maximize the value for our company and our shareholders. This InvIT will be a milestone for us as it will not only give us a committed buyer for our own future assets, but it will also open a new stream for us to look at as set business opportu

nistically.

The level of commitment of our financial partner can be gauged from the fact that not only are they partnering with us on the InvIT, but they're also taking a significant minority stake in the company as they see a good value unlocking happening at the company level as we become a net debt-free company in the next financial year with a top line of INR 11,000 crores-plus and operating in 8-plus sectors of the infrastructure business.

We will be the most diversified company in that kind of revenue stream amongst all the EPC companies, where all the different businesses are contributing a significant percent to our revenue. And that is what excites our partner as well as we see significant investments by the Government in the infrastructure sector and us being a beneficiary of all those investments, whether it is in roads, whether it is in waterways, whether it's in mining, whether it's in metros, airports. So, all the different sectors that DBL is currently operating in, there is a decent amount of work that will be coming. And that's how Alpha Alternatives, who is our partner is looking in the EPC business.

Let me also give you some brief information on our partner, Alpha Alternatives, while we've attached some information on them on the presentation. I'm sure a bunch of you already know them. So Alpha was founded by Mr. Naresh Kothari, who was earlier with Edelweiss and worked very close with Mr. Rashesh Shah in setting up and building the Edelweiss business. He is supported by a team of very experienced professionals, all of whom come from IIT, IIM kind of background.

Currently, they manage about INR 10,000 crores of assets under management, and this is managed under different demand verticals that they have. They have a track record of setting different verticals for different businesses with different risk return appetite for different kind of investors. They were very excited about setting an infrastructure vertical where they see us partnering with them, not just on the road, but also other sectors going forward as the

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Government opens up more and more sectors into the PPP model. That is how these partnership came in.

Let me also give you some brief about the deal. So, the total value that DBL is expecting through this partnership in terms of capital coming from Alpha is about INR 2,000 crores. Now this is divided into 3 different buckets. One is the warrants, so they're taking up to 10% stake in the company at a price, which is defined by the SEBI methodology. Along with this, they're taking 26% stake in the 8 HAM projects, which are either completed or almost about to complete in this financial year.

And they will also be taking 26% stake in the balance 10 under construction HAM projects. To these 3 buckets, they will be pouring in about INR 2,000 crores of capital in DBL. And this money will come in this financial and the next financial year.

In FY '24, we're expecting about INR 700 crores - INR 800 crores of capital coming in from them.

This is divided between the 25% warrant that they will come in and the 26% stake that they are taking in the first 8 HAM projects, so majority of the money in that will come in this FY '24.

In FY '25, we expect another INR 1,200 - 1,300 crores to come in. This will come in, in the balance value of the 8 HAM projects currently that are developed, plus the 26% in the 10 HAM projects that are currently under construction and the 75% money of the warrants. So, this is the break-up - INR 2,200 crores. Along with this, what DBL will also get in FY '25 is InvIT units of about INR 2,500 crores to INR 2,600 crores that will come to DBL for the first 8 projects. In FY '26, as our other 10 HAM projects are to be completed, we will get another INR 1,300 crores to INR 1,500 crores of InvIT units.

So, to summarize, DBL is getting through this deal about

INR 2,000 crores of capital from

Alpha, plus about INR 4,000 crores worth of InvIT units. Now these InvIT units will translate into a cash of upwards of INR 400 crores per year for DBL.

So, as you can see, our idea and agenda is that, the EPC business giving us regular business, plus making sure that we are taking off whatever invested capital DBL has put in these projects, plowing it back to the company via this deal. Plus, the leftover, we are trying to make sure we maximize and set up a long-term revenue stream, which will be the InvIT units and the cash that they will keep on providing.

As our EPC given business keeps on growing and the PPP projects that we keep on building keep on increasing, we will keep adding more and more units into our InvIT. We will also be looking at other project opportunistically of other players, and it will all depend on whether they meet our IRR hurdle, and that's the idea of this partnership.

It is a monumental change and shift for us at everyone at DBL, and we're very happy to share this information with all of you. Now let me hand over the call to our CFO, who will give you insights and comments on the financials of the company.

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Sanjay Kumar Bansal: Thank you, Rohan. Good morning, everyone. I welcome all our stakeholders to our earnings call for the quarter ended September 30, 2023. Let me present the results for the quarter ended September 30.

During Q2 FY '24, the company has completed 4 projects, that is a greenfield airport at Rajkot on EPC side of INR 570 crores and 3 HAM projects on National Highway, that is Dhrol -Bhadra Patiya section, of INR 538 crores. Further, during Q2 FY '24, the company won 3 projects across 3 sectors, that is irrigation, water supply and urban development, aggregating to INR 19,423 million.

Now moving from business to financial performance. On a Y-o-Y basis, the revenue of the company increased by 7.30% to INR 24,270 million from INR 22,619 million, which is due to better execution of the projects. On Y-o-Y basis, the EBITDA of the company increased by 12.82% to INR 2,935 million from INR 2,613 million. The EBITDA margin increased on account of better execution of the projects and reduction in the prices of construction materials.

On Y-o-Y basis, the profit after tax increased by 86.45% to INR 1,197 million from INR 642 million. This is mainly on account of better EBITDA margins and exceptional income from sale of equity of few HAM projects to Shrem InvIT during the reporting quarter. Now let me take you through some important balance sheet items.

During first half FY '24, the company has reduced long-term and short-term debt of INR 300 crores which is in line with our projection. The net debt equity ratio improved to 43 basis points at the end of Q2 FY '24, vis-a-vis, 52 basis points at the end of Q4 FY '23. The debtors also decreased by INR 2,615 million to INR 16,018 million at the end of Q2 FY '24.

Thank you. Now we can open the floor for the questions and answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question

is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Congratulations on signing the deal with Alpha Alternatives. So before asking the question on this Alpha Alternatives, just understanding the broad guidance or the basic numbers. So first, on the revenue and margin guidance. So, on the revenue, we said 8% to 10%. We have done 3% in H1. So, for the second half, we need to do a 13% to 16%. So, are we on track? And also, we mentioned INR 11,000 crores revenue in the initial opening remarks. So, this is for this year or FY '25?

Rohan Suryavanshi: Shravan ji, we had given our guidance earlier as well, and we are sticking to the same guidance that we had given, that 5% to 8% growth will come from FY '23 numbers. The EBI

TDA will

also be as what we have guided earlier. When I gave you that INR 11,000 crores top line number, I said we will be in INR 11,000 crores plus top line company in future, so this year and that year as we keep on growing. So, when the investor who is coming in, he is looking at the company of that site with such a diversified portfolio, which will be a net debt-free company by the end of FY '25. So that's how they are also investing on the parent level through warrants.

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Shravan Shah: True. So, margin at EBITDA level on standalone 13% to 14% that we are maintaining and inflow, what we have received, INR 2,641 crores. So, this is all EPC, value excluding GST and under certain take off—since one project is in JV with Patel Engineering. So there also, we are doing 100% stake, just wanted some clarification on that.

Rohan Suryavanshi: Yes, we'll be doing that project. That's an EPC project that we're doing. We'll be executing it. 100%, we'll be doing that project, sir.

Shravan Shah: Okay. And for order inflow now for this year, we were previously looking at INR 10,000 crores to INR 12,000 crores. So, are we having the same number or targeting the same number for this year?

Rohan Suryavanshi: Yes, sir, we are looking at the same target what we had given you in terms of new order inflow. And areas that we had mentioned.

Shravan Shah: Okay. And the capex till now, we have done INR 84-odd crores in H1. So last time, we have said INR 50 crores to INR 75 crores. So now what's the higher number for this year?

Sanjay Kumar Bansal: Basically, Shravan ji, the capex will be same only. But when we talk about the capex, it is net capex, because certain equipment's are very old. So, from there also, we are getting money. So, net-net basis, the capex will be in the range what we had given.

Shravan Shah: Okay. INR 50 crores to INR 75 crores. Okay. Got it. So now the main question on the Alpha Alternatives and whatever is the remaining on the Shrem part. So, 2-3 aspects just to understand clearly. So, these 18 HAM projects, broadly, what would be the equity that we'll be needing to invest? What's the equity requirement for these 18 projects where Alpha Alternatives is taking a 26% stake? So that is cost aspect.

Second, so against that, so the remaining 74%, when we will be transferring to the InvIT and we are getting close to INR 4,000 crores units, where we will be reaching INR 400 crores kind of a dividend, plus interest on an annual basis. So just trying to understand that. So, INR 2,000 crores what they will be investing. So broadly, if you can help us in terms of 10% equity stake when the warrants will be converted by end of next year, what would be that value roughly?

Rohan Suryavanshi: Shravan ji, the equity tracker for all these projects, what you asked, is in the presentation. It's on Page 26 of the presentation, where we stated clearly how much was required in 18 HAM projects, how much is invested till now and what is the balance that will be invested in the years going forward. So, I think that once you'll have a look at it, you will have a clear that part of the question. You asked something around Alpha warrants, what exactly do you want to understand about the warrants?

Shravan Shah: So, INR 2,000 crores, when they will be getting INR 2,000-odd crores from them. So, this will be against the 26% stake in 18 HAM projects that we will be receiving because they will be taking the 26% stake and 10% for the stake in the DBL standalone. So, roughly on the 10% for the DBL stake, what would be the figure? So current market cap, if I look at INR 5,000-odd crores, so INR 500 crores, that's the way one can look at?

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Rohan Suryavanshi: Absolutely, sir. So, about INR 500 crores is coming in through the wa

rrants and the rest, that is

for the 26% in the 18 HAM projects.

Shravan Shah: Okay. So just to understand better in terms of the Shrem plus this. So this year and next year, on the standalone book in terms of the equity investment in the HAM, how much will be the value

broadly, whatever the numbers we have given in the presentation? And how much will be the InvIT units that we will be having on the standalone book by end of FY '24 and FY '25? So that's the 1 point I wanted to understand.

Sanjay Kumar Bansal: Shravan ji, as Rohan said, the equity, what is to be required in 18 HAM projects and the core projects, that is given on Slide 26 of the investor presentation. But at the same time, you asked how the units will basically look at FY '24 end and FY '25 end.

So today, we have around INR 500 crores plus invest in InvIT unit as an investment in our standalone books. Further from 8 HAM projects, first 26% at the time of flipping into InvIT, we will be getting INR 2,500 crores to INR 2,600 crores units. So, the around total INR 3,000 crores. And after that, when we will split the 26% in the balance 10 projects, another INR 1,300 crores to INR 1,500 crores. So, the total would be around INR 4,000 crores from our InvIT and around INR 500 crores from the Shrem InvIT, so put together is INR 4,500 crores worth units we will have in total.

Shravan Shah: And the equity, pure equity from the standalone by end of FY '25 there will be no equity investment at standalone in the direct equity. It will be only the units that we will be having by FY '25.

Sanjay Kumar Bansal: Shravan ji, I said the equity breakup is given in presentation. But let me tell you, we had INR 825 crores projection of projected equity to be invested in FY '23 -24. Till today, we have invested almost INR 390 crores equity and balance INR 472 crores equity will be invested this financial year -end. And in FY '25, another INR 547 crores year -on-year, so total equity as of September 30 to be invested is basically around INR 1,700 crores.

Shravan Shah: No, sir, I got it. What I'm trying to understand is that you will be investing and against that, so this equity requirement, you are talking on a 100% basis. But once the 26% stake will be taken by the Alpha Alternatives and once you will be getting the InvIT unit. So, InvIT units will be replacing pure equity investment. So, in that sense, so by FY '25, once we have this INR 4,500 crores InvIT units in standalone books, then we will not be having any pure equity investment in the HAM assets. That's the way I can understand?

Sanjay Kumar Bansal: I understood your query. You are trying to say once the equity from Alpha will come in, whether our equity investment will reduce. So yes, for first 8 projects, the equity requirement was INR 910 crores, which is already invested. These projects are nearing completion. So, balance 10 projects, when Alpha will invest 26%, yes, the equity requirement from DBL will go down, and they will invest 26% equity with us.

Shravan Shah: Okay. And lastly, so by end of FY '25, how one can look at in terms of the finance cost. So now in the second half and FY '25, how much one can think of in terms of the reduction in the finance cost?

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Sanjay Kumar Bansal: Shravan ji, as we detailed out our strategy towards debt in the short to longer term, we are trying to make the company net debt free by next financial year -end. So, this year, the impact of reduction in financial cost would be INR 50 crores to INR 75 crores. So, we will be in the range of INR 450 crores to INR 475 crores and next year because we will reduce significant debt this year. So, we are expecting the finance cost will be reduced around INR 300 crores to INR 350 crores in FY '24 -25 and thereafter, around INR 200 crores year -on-year.

Shravan Shah: Okay. Got it. And lastly, this quarter,

other income was higher. Any specific reason? And is it a recurring in nature? So INR 34.5 crores versus last quarter, INR 18.5 crores.

Sanjay Kumar Bansal: So Shravan ji, we are holding INR 535 crores worth Shrem InvIT units. So, we have got the distribution within this quarter and Q1. So basically, our investment income is added.

Shravan Shah: Okay. So, this number is sustainable on a quarterly basis?

Sanjay Kumar Bansal: Yes.

Shravan Shah: Okay. Okay. All the best, and I hope we will become a debt -free company. It's a great DBL version 2.

Moderator: Next question is from the line of Narendra from Robo Capital.

Narendra: Congratulations on the deal InvIT. So, a few clarifications. So, are we saying that FY '24 will be 5% to 8% top line growth?

Rohan Suryavanshi: Yes, that's what we had indicated earlier as well that we'll be targeting.

Narendra: If I remember in the last call, you had said 10%. So just wanted to clarify that.

Sanjay Kumar Bansal: Narendra ji, the revenue will be closer to INR 11,000 crores. We have already clocked INR 5,000 -plus crores revenue. And please note, the Q2 is a rainy season quarter. So always, every year, all infra companies, the revenue in Q2 is lesser. So, first half is always lesser than second half. We expect, that we will close this year at the projection level what we had given in last quarter con call.

Narendra: Okay. Okay. Got it. And the margins will be 12% to 14%, right?

Rohan Suryavanshi: Yes, we said between 12% to 14%. So that's what we've given an indicative idea for you.

Narendra: And on the deal, so it's INR 4,000 crores in units and INR 2,000 crores in cash, right?

Rohan Suryavanshi: Yes, sir.

Narendra: Okay. Got it. And on a longer -term perspective, how do we see the order inflow coming up?

Your order growth or top line growth over the next 2 -3 years, if you could provide some idea.

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Rohan Suryavanshi: So the order book for us, because it is coming from various sectors. It's not just roads. Currently it's like less than 40%, what used to be 80%-plus for our business. Because it is coming from various different sectors and sources that we are doing, we see a very robust order book.

Like I mentioned earlier, roads are also a very strong pipeline. Water, a very good pipeline.

We're looking at railways also opportunistically. Metro projects also. Airports, mining, dams, canal. So all across the different sectors that we're working in, there is a good amount of pipeline.

And our comfort is coming from the Government's continued focus on it and also what they've outlined in the national infrastructure pipeline that they want to build.

So there is a good push on infra that is happening, and we remain confident. In terms of order book growth, it will be like a more measured growth year -on-year because we are not looking to grow at the pace that we used to grow in the earlier years of 20% -30%. The order book would also be growing commensurately to what revenue we want to do.

Typically, as a policy in the past, we've always targeted having about 2.5x order book to revenue.

So, we want to continue having the same kind of thing, and we will continue winning somewhere in the range of INR 10,000 crores of orders every year.

Now to give you an exact number for each year is obviously would not be possible because we would keep looking at project's year-on-year and seeing how the margins and how the landscape is panning out. But that's roughly how we should think about strategically how the company is thinking.

Narendra: Okay. Got it, got it. That's it. And also, before COVID, we used to earn those early completion bonuses. So has that been behind us? Or are we looking at those again returning?

Rohan Suryavanshi: So, what has happened is before COVID happened, the timeline at every single project was different. The completion

of projects has also increased in the last 3 years. While we continue to target early completion bonus, it is not a God -given right. And that is only available in the road sector.

Now we are doing various other sectors. Road business is, like I mentioned, it's only like 40% now of our total order book. So other sectors do not have an early completion bonus per se given in. The value or the bonus that we earn on our own by doing a project before time is what we still try to do, but there is no written sort of bonus in the other sectors where the Government will pay you more if you complete a project before time.

So, while we try to do and optimize our costs by controlling and trying to complete a 2 -year project less than that time, there's no bonus.

Narendra: Okay. So earlier, our margins used to be 2% -3% more due to this, if I'm not wrong. So going ahead, we can assume that it will be around 14% to 15% because there's no early competition bonus, right?

Rohan Suryavanshi: So, at the time when we had early completion bonuses, the direct benefit that used to come from the early completion bonuses was in the range of 1% to 2% and the indirect benefit, which is us

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completing before time, was another 1% to 2%. So it used to add a like a 3% to 4% pop to our total margin profile on the bottom line.

Right now, what we've indicated towards a 12% to 14% is what you should sort of take as the indication. If there are any changes in the future, we will update you. But to predict the long term how things will look is a function of how the competitive intensity is looking at what changes is happening in the Government tendering system, all those things. So it's difficult to sort of state the long term.

But yes, we are continuing to target in this range of EBITDA. But what the big change will have to happen is as we become debt free, we will have a lot more to give and the PAT margins will keep on increasing. So that will be the big sort of headline picture, and it will remove as we also focus on not doing capex . Future also, we won't be raising a lot of debt at the parent level. This will continue to do. And because we're working in different sectors, we won't be trying to win projects at aggressive rates. Also , the equipment that you already have, as we keep setting it, it will give us a better return than just continuing to invest in capex .

Narendra: Okay. Okay. It's a very great thing that you are trying to get lean. That's making our company very interesting. So another clarification regarding the finance cost. So , you said that FY '24, it

should be around INR 450 crores to INR 475 crores; FY '25, around INR 350 and going ahead, INR 200 crores, right? Roughly ballpark numbers.

Rohan Suryavanshi: Yes, roughly, that is what we did. Our finance cost is 2 parts. One is the interest component, and the other part is, obviously, the BDL T costs because the bank guarantees and all those are like the large portion of what we also need for our business.

Moderator: The next question from the line of Vaibhav Jain, an independent investor.

Vaibhav Jain: Yes. I just had a couple of questions. One is on the raw material front. I wanted to understand how do we think about procuring raw materials. We keep it as inventory or is it like project backed? Just wanted some sense on that.

Rohan Suryavanshi: So, for different raw materials, there's a different strategy. For stuff like black metal, which is produced on site, what we know as satanic metal. That we try and procure because there is always a lag. For other raw material, like steel and cement, we have different inventory levels that we have assigned at each site depending on how the work progress is going. There is always a certain inventory that is held for all the different items, whether it's for bitumen, whether it is for steel, for cement, for p

latinum. So, all those are different raw materials that we keep holding at our sites.

Vaibhav Jain: So, if I understood correctly, a part of your inventory, you hold it and then the bulk of it, you procure it as per your requirement. Is that understanding, correct?

Rohan Suryavanshi: Yes, it's different. Like I said, for black metal, there is a larger portion that we have to hold because that is all procured locally, and it takes a certain time for it to be procured.

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Vaibhav Jain: Yes. So also on the debt front, I wanted to ask. So, our net debt is around INR 6,300 crores. And we'll be getting an inflow of INR 2,000 crores from this deal with a pay. So how are we going to pay the rest of the debt, since we're going to be a net debt 0 company. So just wanted to understand whether a gap of INR 4,000 crores, INR 5,000 crores will be filled.

Sanjay Kumar Bansal: Vaibhav, you should look debt of standalone and consolidated separately. So, whatever we talked about on the call on debt side is standalone balance sheet.

An infra company, where we are operating in concession environment, the debt on the SPVs where projects under execution, HAM projects, that debt is self-sustainable. So that debt will continue after also, whenever we will be winning other projects.

So, when we are talking net debt mix, the standalone net debt free company. So consolidated debt will always remain because we will continue to win projects and we'll continue to execute projects. So, no HAM projects will be without debt. So, if you're comparing INR 6,000 crores, then you should exclude that INR 400 crores of the subsidiary debt separate.

Moderator: The next question is from the line of Vishal Periwal from IDBI Capital.

Vishal Periwal: One clarification. Does Alpha Alternatives value the 18 HAM projects at the price to book of 2.6x, is that a fair understanding?

Sanjay Kumar Bansal: So basically, we don't look the value in terms of equity and multiple. Basically, the 8 projects were won by the company when the bank rate was at a low side, around 4.25%. And the valuation is basically basis the bank rate. And the annuities, future annuities, which we receive in 15 years. So, it is a combination. So, you should not basically compare the multiple basis. But yes, the numbers are like that only.

Vishal Periwal: Okay. Okay. Fine. And in other income, can you give a breakup of what is the distribution income from Shrem unit in this quarter?

Sanjay Kumar Bansal: So, Shrem units distributing is around INR 3-3.5 crore every quarter. So Q2, we have received around INR 26 crores of total distribution. So, this distribution has 3 parts: dividend, return of capital and interest. So, whatever is reported in other income is dividend and interest.

Vishal Periwal: Okay. So this INR 26 crores, probably this will be the first quarter when we have received it.

Can we say that's quarterly basis, recurring or how the structure will be?

Sanjay Kumar Bansal: So, it is basically recurring income. But when I say INR 26 crores, 26 total units as on today. As a group, we are holding 868 crores unit. From there, we are receiving INR 26 crores worth distribution every quarter. So, at DBL level, 535 crores units out of 868 crores we are holding. So, this is recurring income for the group in future also till the time we hold the units.

Vishal Periwal: Yes, sure. Got it. And then, I mean, a bit of conceptual. So, we already have this, Shrem InvIT. So probably like thought process is having one more InvIT and then the background of creating one more structure.

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Rohan Suryavanshi: So, sir the Shrem InvIT is the InvIT which is owned by the Shrem Group, and they had bought out all our assets. And they build it on their own. So, it's a different entity. Now with th

is InvIT, our idea was to build our own InvIT, the DBL InvIT. And that's why we've kind of done that. So, they are a separate partner. And while we have enjoyed a great partnership run with them as well. But this idea of setting this up was, setting up something of our own, which will give value to the company and to their shareholders on a long-term basis where we don't have to keep counting. So right now, also we ran a whole mandate looking at different investment and everything. And looking at all the numbers, we decided this was the best way forward for us. So hence, we took this call of setting up an InvIT of our own. And the idea behind, like when we were setting this up, as we were contemplating the various structures, which we could do it, we were very sure that we wanted to do it with a trusted financial name and a trusted financial partner who would bring in all the financial expertise and will be running it in a very professional manner. So that's how Alpha Alternatives came on board. That was the idea. So, like I mentioned on the opening remark, the idea was to build a partnership like an Embassy and a Blackstone. Vishal Periwal: Sure. So maybe going ahead, like any more HAM assets that we're in. So that moves to particular -- I mean, like the initiatives that we have done with Alpha, is that fair bit of understanding? Rohan Suryavanshi: Obviously, now our future HAM asset that we win, it will always be our first preference for it to move into our own InvIT because that will be the best value unlocking. Every other investor out there will look at keeping some value for themselves in between as we do, whether it's any of the -- I mean all the buyers, which will be there, whether it's a Canadian pension funds or Cube or anybody else who love it. They be discounting these projects at a higher rate versus what an InvIT of our own will be doing. It's a better value unlocking for DBL and our shareholders.

Vishal Periwal: Sure, sir. Sir, in second, can you provide a breakup of this interest cost in condition charge or maybe the interest cost related to debt for this quarter, maybe a number. The reason I'm asking is because you did mention like from FY '25, when we're seeing net debt to be almost 0, there's still a projected some numbers for FY '26 in terms of interest cost, so just want to understand that.

Rohan Suryavanshi: Sure. So, you can speak to our team separately on it. Though as a policy, we don't talk selective information to investors. But this is how we've always structured, but you can speak separately to my team.

Vishal Periwal: Okay. Sure. And on this, a couple of more bit of clarification. So, on this standalone, I think in terms of revenue breakup, we have given revenue one pie as a mining. So, is the mining activity happening at a subsidiary level? If you can just clarify like why this income is coming standalone?

Rohan Suryavanshi: So yes, the thing is under SPVs, like there are different SPVs, which are the long-term mining projects. There are 2 types of mining projects that we have. There are the short-term mining contracts and then the long term, which are SPVs. So even in the long term, which we have Dilip Buildcon Limited

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under SPVs, the EPC work corporate is done by DBL. So, the mining revenue comes there. But let me hand it over to our CFO. He might want to add something more.

Sanjay Kumar Bansal: So like Rohan ji said, some overburdened projects at the EPC and DBL itself. And we have 2 concessions, Pachhwara and Siarmal. So that is in SPV level. So, the EPC work as, Rohan ji said, is executed by DBL. And in terms of Siarmal, the even mining is done by DBL for the subsidiary.

Vishal Periwal: Okay. Got it. One last question from my side. Can you give, I think your understanding and reading of lack of ordering in the road sector, that would be useful.

Rohan Suryava

nshi: It has been deferred while the ordering should have been more, it will defer. So currently, the orders which have been floated by the Government, which already there, is about INR 75,000 crores in HAM and about INR 25,000 crores in EPC.

Vishal Periwal: Okay. And if I may ask, like in terms of various segments, in terms of ordering, which segment, you see bidding pipeline is pretty strong. I mean not pipeline, but actually, the work is also getting awarded, where do you find the opportunities there. Because I can see that like in terms of order book buy, it is moving away from sectors other than road. So in other than roads, which are more exciting in terms of inflow for us?

Rohan Suryavanshi: So, we are seeing it in all the sectors that we work in. We are seeing activity in all the sectors that I've mentioned, we work in, whether it's road, whether it's metros, airports, whether it is water projects, dams, canal, water supply projects, mining. So, all the sectors have a decent amount of activity happening. So, we are fairly confident of like a very diversified order book by the end of the year as it is currently.

Vishal Periwal: Okay. And do we also provide a big pipeline for sectors other than road?

Rohan Suryavanshi: No, we don't provide that, sir.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Yes. first, how much is the DBL infrastructure debt as on September?

Sanjay Kumar Bansal: DBL infra -assets, we had INR 675 crores outstanding debt as of September 30...
Shravan Shah: Okay. Why I'm asking is because if I look at our HAM equity investment, which is INR 1,074 crores and the Shrem InvIT that we have is INR 868.5 crores. So broadly INR 1,943 crores that we have in the form of HAM equity and Shrem unit. But if I look at the balance sheet correct me if I'm wrong. Since I'm trying to understand that non-current investment is INR 1,294 crores, and the loans is INR 330-odd crores. So INR 1,624 crores is the equity that we are showing in the standalone book, and INR 675 crores is infra debt which is used to fund the equity. So, it is not telling. So only INR 1,943 crores we have invested Shrem InvIT and HAM equity, whereas the standalone balance sheet, it is INR 1,624 crores.

Rohan Suryavanshi: I just told you : I think there is some confusion in how you're reading the numbers. Why don't I recommend that you connect with our team after the call to understand because I think you are
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comparing consolidated and standalone, and confusing between the two. So, it's separate and the consolidated is separate ...

Shravan Shah: Okay. I will connect. And second...

Rohan Suryavanshi: Yes. Well, you connect with them and they'll answer all your queries. There is no problem.

Shravan Shah: Yes, Sure, sure, sure. And sir, on working capital, so we were looking at a 10 days kind of a reduction, so in H1 we have seen a marginal increase. So as per presentation this 2 days which has increased. So, by end of March, as the execution pickups and maybe we will get some more repayment from date or maybe working inventory reduction. So are we looking at or hit 10 days kind of a reduction in working capital days?

Rohan Suryavanshi: Yes, sir, we are looking at that kind of reduction, yes.

Shravan Shah: Okay. Great. And second, how much value of projects that we have already bidded and where the result has not come?

Rohan Suryavanshi: We would have bid about INR 10,000 crores of projects where the result would have not opened up till now.

Shravan Shah: Okay, okay. Okay. And the 4 HAM projects, appointed date are likely to be received by?

Rohan Suryavanshi: Sir, those are all in the presentation. I request, please have a look at the presentation, please. So that it will be more valuable.

Moderator: The next question is from the line of Narend

ra from Robo Capital.

Narendra: I just wanted to know that you said you are not aggressively trying to bid for projects with low margins. I just wanted to understand that how will the top line growth come if we are targeting INR 10,000 crores employ and on the same and doing the INR 10,000 crores, INR 11,000 crores of revenue. So, if you could help me understand how the top line growth will come going ahead?

Rohan Suryavanshi: So, the top line growth will come from the diversified sectors that we have. We are not looking, like I mentioned earlier as well at a very aggressive growth. We're looking at a very measured growth.

When we target a higher growth, given our business model of doing everything on our own, we also need to do a significant capex. Because right now, we are looking at being a net debt free company, by the end of next financial year. Our target right now is to have a measured growth, which will be supported by our current assets and maybe a little bit of addition, if needs to be. So that's the idea.

And the growth will come from all the different sectors. There will be enough opportunity that is coming. There might be a higher competition in those sectors, but the other sectors are still looking pretty decent.

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Narendra: Can we say that we are targeting around the same rate that we are targeting for FY '24 over the next couple of years?

Rohan Suryavanshi: Yes, 7% -8%, like what we mentioned, is the consistent growth that we are looking at 8% or so that you should think about it.

Narendra: And last question regarding your tax rate. So, what is the effective tax rate?

Rohan Suryavanshi: The metric is about 22%.

Moderator: The next question is from the line of Gopika from Mint.

Gopika: I just wanted to understand. So much of the capital that you're raising, that will go into debt repayment, right?

Rohan Suryavanshi: The capital that is coming into the company, we will be increasing and will obviously help reduce our debt as well. That will be happening along with the profits that we make every year.

So Gopika ji, we make investments into our equity projects as well. So, it depends on how you want to look at it. The debt that is getting reduced is getting reduced via a function of our internal

profits and also the external capital that we're getting. So , it's a mixed bucket of money that is contributing.

Gopika: Right. And you said you would go slower on capex . Why is that?

Rohan Suryavanshi: We're going slower on capex of like the DBL business model was, we will invest in our own equipment when we have a growth block of about INR 4,000 crores. So , the idea is right now, we're not investing in our growth block, and that's the capex that we're avoiding. We will continue to look at PPP projects selectively those who meet our IRR hurdles.

So, those are the areas that we will be doing. But in the equipment side, we are not doing capex . And our idea is to reduce or like make our balance sheet leaner and lighter. With that kind of goal. So , to sustain the growth that we have in mind, we have enough equipment to continue that. And because we are a diversified infrastructure player, we will continue to look at all those factors.

Gopika: Right. After this capital raise and you will not be looking at any more fundraising, at least for the next 2 to 3 years.

Rohan Suryavanshi: Yeah ma'am, may not be. Even currently, we were not looking at raising any funds in terms of warrants at the parent level company, but our investor was insistent. But because we're coming in as a big way and setting up our own InvIT. They also saw a lot of opportunity that could have happened at the parent level company. So that is why it was. Otherwise, as promoters, we were not looking to do.

But given that the investors found a lot of comfort in where the current share price was and

what

it was going to, given our asset business alone would be valued x amount, plus the EPC business will be valued at certain multiples.

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Then when it would be a debt -free company, how that multiple should move. Second when they were doing that, so that's how they were insistent that they also wanted to do that in terms of the partnership. And because this was a large partnership that we are also looking to expand into other sectors of infrastructure, we were happy to sort of get them on board.

Gopika: The mining and all that?

Rohan Suryavanshi: Yes, mining pipeline, railways, PPP. So whatever PPP project because there's a lot of PPP projects that the Government is coming up with. So , the investor is looking at building a nice infrastructure portfolio. And they found that our EPC capabilities are conferred to what they are looking at and someone like us who can execute projects across the book. So that's how this partnership happens. Them having the capital and us having the experience and the expertise of working across different infrastructure segments.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Rohan Suryavanshi for closing comments.

Rohan Suryavanshi: I thank all of you, all of our partners, for asking all the questions and being on this call today. In case any of you guys have more questions, please feel free to reach out to us, to me, or any of our team members, and we'll be happy to address any of your queries.

Also wishing all of you guys are very, very happy and prosperous Diwali in advance. I look forward to seeing you guys in the new year, I guess, speaking to you. So have a great Diwali and safe Diwali. Enjoy it with your family. Thank you, guys.

Moderator: Thank you. On behalf of Dilip Buildcon Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

Date: 16.02.2024

To
BSE Limited
PhirozeJeejeebhoy Towers
Dalal Street
Mumbai - 400001

Scrip Code – 540047

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E)
Mumbai – 400 051

Scrip Code - DBL

Subject: Transcript of the Analyst/Investors conference call

In continuation to our letter dated February 07, 2024, please find herewith the transcript of the Investor conference call for Investor and analyst held on Monday, February 12, 2024 at 06.00 PM. (IST) related to the financial results for the quarter and nine months ended December 31, 2023, conducted through digital means.

The aforesaid information is also being made available on the website of the Company i.e.

<https://dilipbuildcon.com/investors/shareholders-centre/>

This is for your information and record.

With Regards,
Sincerely yours,

For Dilip Buildcon Limited

Abhishek Shrivastava
Company Secretary

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"Dilip Buildcon Limited Q3 FY-24 Earnings
Conference Call"

February 12, 2024

MANAGEMENT : MR. DEVENDRA JAIN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DILIP BUILDCON
LIMITED
MR. ROHAN SURYAVANSHI – HEAD STRATEGY AND
PLANNING – DILIP BUILDCON LIMITED
MR. SANJAY KUMAR BANSAL – CHIEF FINANCIAL
OFFICER – DILIP BUILDCON LIMITED .
MR. GAUTA M JAIN – HEAD – INVESTOR RELATIONS

MODERATOR : MS. JILL CHANDRANI – S-ANCIAL TECHNOLOGIES
LIMITED

Dilip Buildcon Limited
February 12, 2024

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Moderator: Ladies and gentlemen, good day and welcome to Dilip Buildcon Limited Q3 and Nine Months FY24 Conference Call hosted by S-Ancial Technologies Private Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Jill Chandrani from S -Ancial Technologies. Thank you, and over to you, ma'am.

Jill Chandrani: Thank you. Good evening, everyone. Welcome to Dilip Buildcon Q 3 & 9M FY24 Earnings Call.

From the management, we have with us Mr. Devendra Jain – Managing Director and CEO; Mr. Rohan Suryavanshi – Head (Strategy & Planning); and Mr. Sanjay Kumar Bansal – CFO.

Before I begin, let me mention our standard disclaimer. The presentation that we have uploaded on the stock exchange, including the interaction in this call contains or may contain certain forward -looking statements concerning our business prospects and profitability, which are subject to some uncertainties, and the actual results could differ from those .

Now , I request the management to take us through the “Key Opening Remarks .” After that, we can open the floor for a question -and-answer session.

Now , I hand the call over to Mr. Rohan Suryavanshi for his “Opening Remarks .” Thank you, and over to you, sir.

Rohan Suryavanshi: Thank you , Jill. The results in presentation have been uploaded on the stock exchange and I hope all of you had a chance to look at it.

So, to start, I would like to share our perspective on industry. As per the latest CRISIL report, India will spend nearly Rs.143 lakh crores in the next seven years , that is almost double we spent in the last seven years. In addition to core infra major contributing verticals will be roads, railways, urban infrastructure, etc. In a step towards this direction, the Government has already increased infrastructure spending budget by 11% for the next year bringing to a total of 11 lakh crores, which is almost 3.4% of the GDP. This is a testament to the fact that Government has complete focus towards improving Indian infrastructure on a long-term basis.

The timing of these planned investments could be varied due to elections or any other reasons, but we have full confidence of achieving these targets as a country. The national infrastructure pipeline has outlined what the Government is thinking and we are excited about the opportunity that it is presenting. From DBL perspective, as you all are aware, we are now a fully diversified infrastructure EPC company , covering eight major verticals, roads and highways, irrigation, Dilip Buildcon Limited

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water supply, railways, metro, tunnels, special bridges, urban infrastructure, and mining. We had embarked on this diversification journey a few years ago, to make ourselves not only ready for the future infrastructure needs of the country, but to also shield ourselves from any unforeseen circumstances in a particular sector. Due to this diversified presence, we would be the direct beneficiary of these planned CAPEX by the Government in the infrastructure sector . While also ensuring that our risk is spread over multiple sectors and agencies.

Obviously, to capitalize on these upcoming opportunities over the past few years, we have developed a very strong team, equipment banks and the highest level of pre -qualifications and almost all the new verticals we have added over the last six to eight years. With our judicious approach in tendering, meticulous planning and technology backed execution skills, we are more than confident to achieve a profitable and sustainable

growth journey.

Our another , major endeavor which I had highlighted in our previous call was looking at and

dividing our business / cash flows in two buckets, short term and long term . I have termed our new strategy as DBL 2.0. This strategy focuses on strengthening balance sheet, becoming a net debt free company on standalone basis in the next two years, generating consistent and predictable cash flow , delivering a measured growth, improving RO E and ROCE, reducing concentration risk from any sector, client or geography. All of which we believe will help us in building a strong company capable of handling any disruptions.

Our short-term business will be our EPC business. While our long-term business will be our asset business, which currently consists of road , and coal mines. I 'm happy to report that our low-risk long term assured revenue portfolio is progressing well . This business is the coal and the road business. So , our coal mining business has a potential annual revenue of Rs.5,000 crores per annum for the next 25 to 50 years once it achieved full output capacity .

Just to share , currently we are overachieving our targets by almost 40% by extracting 7 million tonnes as compared to the annual target of 5 million tonnes in this financial year at our Siarmal mines. At this mine for the next year , we will be doing 50% higher than our target of 10 million tonnes that is , we will end up doing 15 million tonnes and the other mine which is Pachhwara mine, we are delivering the total requirement of 7 million tonnes to the Government. With this run rate, we should achieve a combined revenue of about Rs.1,500 crore plus in the next financial year from just these two mines.

Now the second long term business is the road that I mentioned. From all the things that we have set into motion, we are expecting to get annual distributions of about Rs.400 to Rs.500 crore from our 18 road assets as we set up the InvIT. This gives us visibility for the next 15 years of cash flow. As I had announced in the last call, we are in the process of creating our own InvIT in partnership with Alpha Alternatives . In the proposed InvIT DBL will be holding 74% stake and the balance 26% will be owned by Alpha Alternatives. This InvIT will enable us to diversify our existing and future PPP Road projects with much ease and without much dilution while

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ensuring free cash flows in the form of distributions . As per this agreement , Alpha will be investing in our 18 road assets where we are divesting the 26% for a total consideration of about Rs.1,400 to Rs.1,500 crore . Besides this , they are also investing in warrants of the company of about Rs.500 crore additional .

Tentatively in this year till now we have received about INR 130 odd crores through just issuing 1.6 crores convertible warrants in the last quarter . We are expecting to receive another Rs 500 crores in quarter four of this year , after which the total amount received from Alpha will be about 630-650 odd crores for the current year . In the next financial year , we are assuming another amount in similar nature, and with limited balance we are expecting in FY 26. And these are all tentative timelines which are based on construction timelines and other deliverables .

Alpha has taken rights for almost 9.99% of the paid-up capital, they have the right to exercise these warrants in the next 18 months at an exercise price, which is determined by the SEBI process of Rs.328.05 per share. For the InvIT creation, most of the initial contracts are executed. Due diligence of each project is underway and prerequisite conditions fulfillment work is nearing completion . We are targeting and are confident of creating the InvIT during FY25.

Besides this long-term business, the current EPC business is going strength from strength while ordering in this financial year

and, given it an election year has been slow. In the road business alone , there are projects worth almost 1,30,000 crores which have been floated and we expect some of them to be awarded in this quarter and over the next couple of quarters. But the visibility of those projects is very clear. With this update, I would like to hand over the call to our CFO , Mr. Sanjay Bansal, to provide insights on the financials .

Sanjay Kumar Bansal: Thank you , Rohan ji. Good evening, everyone. I welcome all our stakeholders to our earnings call. Let me present the results for the quarter ended 31st December 2023 . During Q3FY24 the company has completed one HAM projects that is Repallewada to Telangana -Maharashtra Border worth INR 7,082 million . At the end of Q3FY24 the company is having well diversified outstanding order book of INR 2,18,429 million.

Now, moving from business to financial performance . The revenue of the company increased by 8.08% in Q3FY24 on Y-o-Y basis from INR 23,788 million in Q3FY23 to INR 25,711 million in Q3FY24. This is due to better execution of the projects . On EBITDA front, the EBITDA of the company increased by 27.55% in Q3FY24 on Y-o-Y basis from .INR 2,497 million to Q3FY23 to INR 3,185 million in Q3FY24. The EBITDA margin increase on account of better execution of the projects and reduction in the construction materials prices. Profit after tax increased by 19.87% in Q3FY24 on Y-o-Y basis from .INR 795 million to INR 953 million in Q3FY24, this is on account of better EBITDA margins . In terms of the milestone, the company has basically crossed net worth of INR 5,000 crore at the end of December 31 st, 2023.

Now, let me take you through these important balance sheet items and order book position . The

company has reduced debt of INR 5,315 million during FY 24 which resulted in net debt equity
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ratio improved to 36 basis points at the end of December 31st, 23 versus 52 basis points at the end of March 23. The receivable also decreased to INR 13,819 million in Q3FY24 from INR 16,018 million in Q2FY24. This is on account of better collections by the company. Working capital days also decreased from 72 days to 67 days. This is again on account of better collection of the receivable.

So, basically after this, we are on target to achieve our goal set at the start of the year. Revenue growth is in-line with our estimates 5% to 10%, EBITDA margins improving, CAPEX is planned between 50 to 100 crores, debt reduction already done in nine months by INR 530 crore. And we will be achieving our goal set at the start of the year of 800 to 1,000 crore reduction of debt. Now, we can open the floor for the questions -and-answers. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, couple of just some clarifications and then the questions. So, we are saying that for 5% to 10% revenue growth for this year, so fourth quarter then at least to achieve a 5% also we need a +3,000-crore kind of revenue. So, this quarter we have done closer to 2,570 crores. So, we are confident that we can cross +3,000 crore kind of revenue in the fourth quarter?

Rohan Suryavanshi: Absolutely sir, we are confident that we will cross the 3,000-crore revenue in the same quarter four.

Shravan Shah: Okay. And in terms of the margin now will be, is there a still a possibility that this margin will pinch up to +13% kind of a number so, 12.4% this and nine months also it is a 12.4% EBITDA margin. So, is there a possibility that maybe in next year we can see a +13% kind of a margin?

Rohan Suryavanshi: So, currently you should take the guidance that we have given in the past only, as the current numbers only whatever improvement let us keep it in the back pocket and

if anything comes let

us hopefully surprise you on the better than setting any aggressive goals right now. So, let's just assume this for now.

Shravan Shah: Okay. And sir now in terms of the order inflow so, that is for across almost all road companies are facing because there is a slowdown from NHA side. So, just a couple of things. We have received 2,140 odd crore kind of an EPC value in terms of order inflow. So, how much more we can look at in next one and a half months. Also, how much value of projects we have already bid that bid is yet to open and how much more we are planning to bid. If you can broadly classify in terms of where, which sectors for water, irrigation, metro, any other sectors?

Rohan Suryavanshi: Shravan, so obviously the order that we have won this year till now is about a little over 2,500-2,600 orders that we have won in this year till date. We have highlighted those in our presentation as well. There are another 10,000 crores worth of orders in the road sector alone which we are awaiting them to open. Besides this, I mentioned there is 1,30,000 crores of old tenders which

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have been floated but obviously it has kept on getting delayed, the Government have kept on pushing the dates ahead. So, we are expecting some to happen then, but then we are expecting a majority of it to happen in Q1 and then Q2 the next financial year. That is what we are expecting, in the other sectors we will keep looking at it opportunistically as we don't give out numbers on that, but we are looking at it. So, what is the plan irrigation projects, we are continuously looking and evaluating and bidding that as well. Those are more, those are awarded by the state Government. So, different state Governments have floated their contracts, and we keep looking at them.

Shravan Shah: Okay. So, in water also are we seeing the states are already the election is over, so MP, Rajasthan, Chhattisgarh or is there any scope going on for UP also?

Rohan Suryavanshi: There is a huge scope in this and they are not dependent on the national election. So, there's a lot of scope.

Shravan Shah: Okay. And now definitely, it's a good thing that debt we have reduced 500 crore plus odd crore. So, by this year, we will see a 300-crore kind of a reduction in the fourth quarter. And hopefully, the last time as we guided and this time also, we guided that we will be a net debt free by FY25. But in FY 24, how much more reduction can be possible because in your opening remarks, you said that Alpha Alternative last quarter we were looking at in FY 25 the higher cash inflow, now we are seeing some may spill over to FY26. So, if you can help us with that?

Rohan Suryavanshi: You asked a bunch of questions but I'll try and answer. If I missed out on something do let me know. So, number one you are right, we have already reduced our debt by about (+500) crores in the first nine months as we had indicated. And that has been a big sort of challenge when

outside investors and all of you guys' support of company had looked at, and that is what we have addressed that we will now focus on building a lean, strong company with a very strong balance sheet. The target that you are saying about (+800) crore of debt reduction we will do, what that will do is and by the end of FY 24, we will have a debt to EBITDA of about 1:1, debt equity of about 0.25, somewhere in that, and I'm giving you ballpark figures right now, obviously, so don't hold me the exact numbers. And in the next year, we are hoping to reduce it by another similar amount of what we are reducing in this financial year. So, that is the target. So, it might not be completely but it will be almost near net debt free type of company, that's what we are kind of targeting. And that's the plan, because while we are reducing our debt, we are also

investing in new projects as we go along. So, we are balancing out between both those things, and doing but our long-term agenda, but in FY26 like you said, we will completely be debt free. Our long-term focus is on that only and that's what we are trying to do and besides the debt reduction as mentioned, we are also looking at and dividing our business into long term and short-term cash flows. So, the short-term cash flow was the EPC, which I mentioned, and the long term is the coal and the road business.

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Now, as far as you are asked, how is that money kind of flowing. The money that we are indicating, we have indicated last quarter or we are indicating in this quarter to you, how it's going to flow is based on certain parameters or when projects are starting, when are we first starting some projects and then when are we finishing those projects. So, if there's any delay in any start, it will also end up delaying and if the Government dates have not come to start, it might end up delaying the ending dates. And that's why as we go on, on an ongoing basis we keep evaluating what are the chances of different projects and when are they starting finishing, when will we get the clearances from the Government to flip it into the InvIT and so on. So, based on those careful considerations, we eventually decide how the money flow at that point of time looks to us. So, while obviously this is an exercise, which will keep on continuing but you can take these as broad guidance towards how money should flow, how the deal is looking. For us most important thing was building this InvIT platform, which I would have mentioned over the last quarter call as well. That the way we have thought about it is, this is a platform like Embassy and a Blackstone REIT that we want to continue building investing in this platform and keep increasing the distribution income that will come to DBL, so #A not only does it give us a good platform to keep flipping our assets into but it also gives a good visibility of long term revenue as we are already focusing on becoming a net debt zero company over the course of next two years. So, after that the cash that we will be getting as a standalone business, we will be looking to deploy that opportunistically in whatever assets or opportunities that we deem best for us, which will ensure further long term visibility of cash flow for the company.

Shravan Shah: Good. Just to understand further, so InvIT broadly, it would be in by 2nd Quarter of FY 25 we will be able to set up and the 400-500 crore kind of annual distribution we are seeing so, if let's say this InvIT get set up even in end of 2nd Quarter of FY 25, then also this 400-500 crore distribution can come or this is an annual number. So, this would be a FY 26 level one can look at 400 crore, 500 crore kind of annual distribution?

Rohan Suryavanshi: So, out of the 18 projects, eight will be going online now, and then the 10 will be going so, this number the total 400 to 500 crores which is always closer to 500 crore that will be achieved in FY26. Before that, it will be half of it, like let's say will come and these are full year numbers that I'm talking about obviously, the distribution income. Now, you spoke about setting up the InvIT in the 2nd Quarter of FY 25, the endeavor is to do that, but obviously this is not just singularly dependent on us and Alpha it is also a regulator involved which is SEBI, based on their comments, observations, the back and forth that goes we can only take a best estimate, typically this whole process takes about nine months I would say we have embarked on it. So, six to nine months is the time that one should estimate for this kind of exercise. So, we have embarked on that journey. So, we are also expecting it to hopefully be done within that timeframe.

Shravan Shah: Okay. And i

n terms of obviously, it's great that slowly, slowly even our working capital also we are reducing so 67-68 days, we say it last time also that 8, 10 days more reduction is possible. So, even in fourth quarter also we can see some further reduction is possible in working capital?

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Sanjay Kumar Bansal: Shravan ji, it is already improved around 7-8 days and further when we will reduce the debt and

we will get more cash. So, yes there will be impact but , will be in the range of 10 to 15 days in a year total. So, if you compare March 23 versus now it is already moved by five days, further basically it will improve on similar line.

Shravan Shah: Okay, so major possibility would be there in FY 25 and not maybe in this quarter maybe one or two days are possible but if 5 , 10 days if one can look at it would be possible in FY 25?

Sanjay Kumar Bansal: You are right , in total it will be like 10 days reduction in the full financial year basis. So, yes, three , four days or five days improvement will happen in next year .

Shravan Shah: Okay , got it. And sir whatever the pending appointed date and we have already mentioned in terms of the likely this February , March we will be getting this. So, just trying to getting understanding in the sense that , just because of the election will it be , we will be getting appointed or will it be coming even post April , May. So, there can be a further delay in the appointed dates and so net , the revenue for FY 25 will it get impacted by that ?

Sanjay Kumar Bansal: Shravan ji, out of the total four AD awaited , three ADs we will receive this month, Urga - Pathalgaon and two packages of Bengaluru – Vijayawada package one and package four and package seven, Bengaluru – Vijayawada will be received in March. So, certainly all four projects will receive the appointed date this financial year by 31st March 2024.

Shravan Shah: Okay . And lastly so broadly in FY 25, we can still , based on this and whatever let say even the order inflow doesn 't come fully this this year, the next year hopefully post-election it will come so we can see 8% to 10% kind of revenue growth in FY 25. That 's the way we are we are targeting ?

Rohan Suryavanshi: Sir, see right now the order book that we have gives us enough visibility for the next year, in fact, almost for 1. 15 years, when you look at a pure sort of back of the envelop calculation of revenue and order book remaining. So, next year we don 't see any challenge , our growth target that we have given in between 5% to 10% is what we had indicated. And based on that, only we have kind of built everything on back. As we mentioned earlier as well, our focus right now is not on any kind of aggressive growth that you would have witnessed with us in the years of 2016 , 17, 18. where we were focusing primarily on growth, and a lot of that growth was also fueled by taking our external capital for equipment and , etc. We our focus now , so we are not doing CAPEX , earlier we used to do CAPEX of 500 crores plus every year in equipment, and we consistently kept on doing that. But now we have brought it down to less than 20% of that. So, it's 50 to 100 crore CAPEX only per year . So, hence, focus is on measured growth, with the focus is on cash flows improvement , focus is on improving RO E, ROC E, those are the kinds of focuses that we have taken debt reduction, that is the focus that we are , and because obviously, our business model is doing everything on our own, using our own equipment and people, if we are focusing more on that and reducing our cost and controlling them , improving asset turns, Dilip Buildcon Limited
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then we won 't be focusing so much on growth, because to get that higher growth, you need to invest again in CAPEX , which we are not looking to do currently.

Shravan Shah: Okay, got it. So

, it's the similar 5%, 10% kind of a growth one can look at in FY 25 also, and the CAPEX or till nine months we have done 104 odd crores . So, 20-30 crore more one can expect in the fourth quarter or is it mostly done in the nine months CAPEX is the full year number?

Rohan Suryavanshi: Maximum another 10 crores to 15 crores comes or something like that. We can account that .

Moderator: Thank you. The next question is from the line of Narendra from Robo Capital. Please go ahead.

Narendra: So, my first question would be regarding other expenses. So, is there any one off or it's a steady state rate for other expenses?

Rohan Suryavanshi: Just one sec. I 'm just asking my team to listen to what the question that you asked whether it 's one off . Any other questions that you have till then, till the time my team is looking into that what you asked, what number exactly is that?

Narendra: Okay, so I will ask my next question. Last call you had mentioned that you are also expecting to reduce your depreciation amount. So, any outlook on that and how much savings can we expect in that thing?

Rohan Suryavanshi: Last quarter, we look to reduce our depreciation amount ?

Narendra: Yes, we had a target to reduce our depreciation too. So, is there any outlook on that ?

Rohan Suryavanshi: Depreciation amount because we are not investing in new assets , so automatically , depreciation amount will keep on reducing as that keeps getting going down and down as per the accounting standard. So , I think and maybe you are indicating towards that .

Narendra: Okay , got it . And the other expenses part?

Sanjay Kumar Bansal: You are referring, the total other expenses or specific one items?

Narendra: No, I am asking that is there any one off in that or?

Sanjay Kumar Bansal: There is one off of 10 , 12 crores that's it.

Moderator: Thank you. The next question is from the line of Sanika from Sapphire Capital. Please go ahead.

Sanika: I want to ask; we are on a debt reduction strategy. So, going ahead what kind of interest rate can we expect especially in Q4 and FY25?
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Sanjay Kumar Bansal: Thank you , Sanika, for your question. The interest rate will be basically in the range of 9% to 10%, because we have a large consortium, and we are trying with every lender to reduce the interest rate basis our significant positives. So, there will be reduction in near future.

Sanika: So, the finance cost can be in the range of ?

Sanjay Kumar Bansal: 9% to 10%.

Rohan Suryavanshi: So, we are looking to improve from our credit thing, which will be a slight improvement , the idea is to also improve the rating of the company, which is also the company has started that process as well. So, as both those things, the external things and as the negotiation with the bankers has been happening, we are looking to do that. But obviously, as you may understand and imagine, it 's an ongoing process and with a large consortium it requires the approval of everyone involved.

Moderator: Thank you. The next question is from the line of Prem Khurana from Anand Rathi. Please go ahead.

Prem Khurana: So, my first question was with respect to one of the press releases that were given out on 8th of February. This pertains to some notice of claims with invocation of arbitration. And I assume this is with respect to the asset which we sold to Cube , would you be able to share some more information , what exactly is this matter?

Rohan Suryavanshi: This is in regard to a claim that Cube has actually filed against us. And obviously, it 's regard to the three assets that we sold to them . We were quite surprised by Cube sending us that and obviously we have sent them a counterclaim. The thing was, and cube is already arbitrating against the Government against the wrong ful against , Government meaning NHAI against their wrongful deduc

tion in the annuity payments, that Cube has, Government has claimed some deficiencies in the maintenance of it and which is what Cube is contesting and obviously maintenance is of any of those Cube asset is not part of our sort of agreement with Cube, they are maintaining on their own. So, given that it is a maintenance issue, and they are already in court against the Government, and they have also got some kind of initial stay or something like that. they are also in receipt of that. So, to send it to us was a little surprising. And , if you look we as a company, we are already managing more than (+30) assets. So, for Shrem , and all those assets that we are doing the maintenance, we haven 't ever had any deduction of any annuities ever. There has never been any maintenance issue or anything else that has happened. And these are not just assets in, geographically located in one state, they are in different , different states across the country. And it involves both national Government assets and state Government assets. So, we are very confident whenever we are done O&M and there 's a certain way of dealing with the Government maybe Cube, because they are new in the O&M space and the asset buying space , maybe they have faced certain challenges, and they diverted their responsibilities wrongfully towards us. But we are fairly confident that we , because you can 't be claiming to the Government on one hand that the Government is wrong in terms of deducting
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payments, and they are entitled to all, while also saying on the other side, that it is our responsibility. So, basically, you can't be on one side saying that heads also mine and tails is also mine. That 's what's basically happening in this case .

Prem Khurana: I completely agree. But do we have any payments due from Cube and I realized that you have received a large part of the payment, but generally in most of these cases, you tend to have some of these deferred payments linked to some GST change in law, and all?

Rohan Suryavanshi: We don't have anything outstanding from Cube.

Prem Khurana: Everything is recovered?

Rohan Suryavanshi: Yes.

Prem Khurana: And Rohan, so the prospects pipeline that you spoke about INR 1,30,000 crore would you be able to kind of break it down into how much of this would be EPC , how much HAM and BOT and given the fact that I 'm buying next year, maybe would be as good as zero debt company , would you be willing to let go and explore the BOT toll, because there I 'm assuming that the competition will be lower and compare to EPC or HAM would you be willing to kind of go and explore BOT toll once the balance sheet is deleveraged ?

Rohan Suryavanshi: So, sir first the breakup between those projects, 1,30,000 crore that I spoke about, it 's about 20 % odd is EPC and the rest 80% is in PPP so about 1 lakh crore of PPP projects are there in that breakup. And for the second thing that you spoke about whether we would be open to BOT , of

course we are open to BOT as there is a HAM project , we are completely open. And as we are getting lighter , we have no problem along with that our own balance sheet getting lighter we also have a partner here who is also willing to invest and grow that pie of the InvIT that they are going to be part of. So, we have also some options open to us, we evaluate all projects individually on their own merits. In the past also, we have done BOT toll projects, one of which was Guna -Biaora project which was on NH3 or Agra -Bombay Road, so it was part of that. And that has done very well for us. While obviously, we have divested that to Shrem , and it 's a good part of their portfolio. So, even in future, we will be continuing to evaluate projects wherever we feel the traffic numbers justify the economic cost of building the project, and we see enough safeguards built in for a lo

ng-term traffic, sort of comfortability that you need .

Prem Khurana: Sure. And the InvIT that you are planning to create would have mandate acquire any sort of PPP projects, it is not restricted only to HAM, your company so I am not sure about Alpha Alternatives whether they would be comfortable with BOT . If you have any mandate in place, wherein it restricts the asset addition only to a single category, let 's say HAM , or is it open and you can consider BOT as well ?

Rohan Suryavanshi: It's an open -ended thing , we are looking both Alpha and us, we are people who have taken a call on evaluating opportunities as they come , as long as they are meeting IRR hurdle, we will be
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open to looking at them , we have no other sort of hiccup or restriction on any of that to not look at something . We are open to buying it from other players, we will open to look at both BOT and HAM .

Prem Khurana: Sure. And, the fact that the balance sheet has become very, very light now and it is supposed to go lighter even further. Any thoughts on accelerating growth in between because we want to conserve cash, the idea was to deliver , we went a little slow in terms of growth and even this year 5%, 8% odd sort of number in terms of growth. Could you think of accelerating and would that need you to kind of invest more in capital or other equipment's or let say working capital?

Rohan Suryavanshi: Sure. Accelerating growth.

Prem Khurana: What should be the ideal number when you look at growth , I'm sure we won't set it for 5% , 8% odd the idea would be to kind of grow better than that number for sure. But any thoughts there ?

Rohan Suryavanshi: Sir our focus is on free cash flow that the company generating at the end of the day. That is my biggest focus currently, that is our biggest focus inside the company. That we want to make sure that we get that , now when it comes to . So, when we speak about why the growth and everything.

Growth is always based on #A, the company 's own current stance, which is an internal factor and the external factor, which is how the external market, the opportunity from the Government is looking. Now, in our case, if I 'm sure since you follow the sector very carefully, the road sector has seen a lot of competition of late. And it 's not when you look at from 2014 to 2019, the average number of bidders in any bid will be about six to eight we didn 't find more than that in that era, because all the earlier growth well company has gone bust, so all of us younger guns, we know whether it was us or any of our peer sets who are in the listed space currently, all of us had a good run at that time. Currently, the number of bidders in the road sector has increased quite a bit. And if you look at it , in the last few years the number of HAM projects that have been won by the smaller players has been actually 2/3rd. So, a lot of the smaller players have come in. So, you don 't want to chase growth at the expense of your profitability and at the expense of your cash flow. Our idea is that , why when we started diversifying a few years ago, we knew that sooner or later, this is an industry which suffers from the same issues globally, we wanted to make ourselves more resilient to such shocks, we wanted to be able to be operating in different areas, wherever we find good opportunity take those opportunity. And that 's how kind of we have done it. If you look at our peer sets as well, there was a struggle to build order books currently, because they were primarily focusing on a single sector or a certain geography maybe primarily , through this, all of those strategy of people who have consistently remained in th is road sector my peer sets all of them are also facing those challenges far more than us. But at least for us, what 's the good that has happened is because we diversified, much ahead of the p

ack, we build teams in all those sectors that are diversified, we build capabilities, we build the required credentials, we did all those things, equipment bank , so we are in a good strength and that's why we are evaluating projects across geographies , across sectors and that 's what 's most concerning for us right now . Chasing growth, as when the opportunity arises, when you see that
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this is the right opportunity to strike or if you find a new project, which really excites us and we get it at the right place. Sure, we will do that when we get the right opportunity. But the idea of growth dictating every of our strategy is not there anymore. We would probably, as a young upstart, my father and Deven dra bhaiya both are first generation entrepreneurs. Both of them came from very humble middle -class backgrounds. So, for them, when they were growing the business, the idea of big, diversified business , a listed business, growing size, with it in different sectors. And geography was a sexier idea at one point of time. As we have, gone through our own journey, and they have gone through their journey, as a company and entrepreneurs, facing the shocks of COVID. There we 're certain realignment of things that we felt of how we want to sort of go forward. And what do you want to do . And that is basically why we have identified how we want to take forward this company. And those are the metrics that we are currently focusing on. And measure d growth is the focus, not aggressive stance on growth, any opportunity comes we look at it opportunistically, but it 's not dictating our overall strategy.

Prem Khurana: Sure. I have two more question, may I please. So, both are bookkeeping sort of , so one is, we have some exceptional gains during the quarter, what 's the tax implications, exceptionally how much would be the number in our tax for the quarter which would pertain to the exceptional gain. And second is , I'm not sure if you gave any inflow guidance for the year FY 24. You spoke about some of these tenders , kind of thing in Q1 or Q2, but then do we have any target for this year, because it 's been only 2,600 odd crore?

Sanjay Kumar Bansal: The exceptional gain basically these are the long-term capital gain. So, the long-term capital gain rate that is (+10%) the surcharge will be applied, but we have past capital loss so there will be no cash out ago , very significant ly.

Prem Khurana: Okay.

Rohan Suryavanshi: The second for the order book. Originally, we had targeted about 8,000 odd crore of orders this financial year. Till now we have only done about 2 ,600 crores . And as we mentioned, there are some projects which are still waiting to be opened up. So , I can 't finally say how much will open and how much do we end up getting this year. But our order book to bill is still 1.75 years of still forward looking. So, we have enough visibility for the next year and for the majority of this year after as well.

Moderator: Thank you. The next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead.

Vishal Periwal: Sir, on the footnotes, there are couple of clarifications if you can provide , one is the Shrem units that we have sold, so is this the first such transaction we have done or have you done this before also?

Sanjay Kumar Bansal: So, this is first time we have sold certain units for around1 .1 crore units we have sold, this is first time .

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Vishal Periwal: Okay. And will it be fair to say like, it 's more of opportunistic point of view or any such things planned to the parties to whom we have sold it again FY25 or anything , that you can provide a color ?

Sanjay Kumar Bansal: This is opportunistic sales; we were getting good price. And the units were free , so basically and the other side we are reduci

ng the debt also. So, the idea is to basically capitalize everywhere.

So, that is one, and this is a completely opportunistic sell.

Vishal Periwal: Okay. So, is it like to individual or institutions without naming it?

Sanjay Kumar Bansal: Majorly it is one institution .

Rohan Suryavanshi: It's a Global institution, which has bought it .

Vishal Periwal: Great sir. And second , there 's one more footnote wherein you mentioned that incurred a loss of some amount. So, is that fair to understand like, the total amount received is something like 57 or 67 odd crore, loss is like 44 crores so, something like we have done this transaction on a price to book basis at around 0.6 times is that fair to understand that ?

Sanjay Kumar Bansal: No, actually we just sold total 10 assets to Shrem InvIT out of 10 assets , in one asset while transferring 51% there was a loss of 40 odd crores and that is because there are valuation model and on second closing there are adjustments in terms of the agreed mechanism of valuation. So, that is why it is loss. So, it is not 0.6 times or so, the overall deal , multiple is more than 1.4 times .

Vishal Periwal: Okay, so basically , it's not for one particular project one should look it 's a portfolio and the deal is concluded on 31st December, so maybe like in combined total this is the probably that you have booked?

Sanjay Kumar Bansal: No, so the asset is transferred one by one. So, once we receive 49% approval from NHAI we transfer after collection of first annuity the 51% goes. So, yes, on an overall basis , on 10 asset basis the multiple is 1.4x plus . However, in this asset specifically, while transferring 51% there is a loss of 40 odd crore . So, including this 40-crore loss, still the total valuation is 1.4x of the total investment.

Vishal Periwal: Got it, sir. And then one last thing, probably you would have covered this in previous call, in the coal mine when we do extraction and we are probably doing a 1,500 crore in FY25, what sort of margins that we can make and as the mining increase in terms of the million-tonne increase, does the margin also expand?

Rohan Suryavanshi: So, we are expecting margins of around 20% in that business.

Vishal Periwal: Okay, so that's the kind of peak probably like, 1,500 is a 20%?

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Sanjay Kumar Bansal: Yes, we are looking at it on an EBITDA basis.

Vishal Periwal: Sure, got it. And then one last thing, you did mention initially that short term is construction business and long term is asset ownership business. So, in terms of asset ownership, any sector that probably looking attractive to you or probably anything that you are heading from an industry that will venture going ahead, anything that you can provide a color will be useful sir.

That's all from my side.

Rohan Suryavanshi: Currently the two sectors that you mentioned, focusing on that other sectors that we might be looking at would not be right through you are speaking about our strategy over the call but we keep on evaluating like I said on an ongoing basis and if anything starts for us, we will obviously share with our lovely well-wishers such as you, once that gets executed.

Moderator: Thank you. The next question is from the line of Manisha Agarwal from Middlecon Advisors.

Please go ahead.

Manisha Agarwal: I joined the call a bit late, so just one bookkeeping question, what is the trajectory of our interest costs going ahead?

Rohan Suryavanshi: Manisha ji, it will keep on reducing as our debt keeps on reducing the trajectory will be of the interest cost will also keep on reducing, in totality it will keep on reducing and as also we negotiate better terms with the banks, given that the outstanding liability would have reduced quite a bit both those things should have a positive impact.

Manisha Agarwal: So, do we have like any target going forward

for FY25 or FY 24 in terms of finance cost?

Sanjay Kumar Bansal: So, in terms of the interest cost, so, interest cost is between 9% to 10%, but there are other items like the infra business requires a lot of non-fund based limits. So, it is not just 9% on the fund based outstanding. So, yes there will be a reduction in the interest cost in absolute terms and in terms of the interest rate on fund-based facilities between 9% to 10% and we are continuously negotiating with the lenders to reduce the interest rates.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial Limited.

Please go ahead.

Vaibhav Shah: Yes, so, we have booked the present value of the claim amount of 209 crores pertaining to the three assets that we have sold to InvIT. So, when do we expect the actual cash to come in under the deferred consideration?

Sanjay Kumar Bansal: Sir basically, the 209 crore which is a total receivable to the SPV and SPVs have already sold to Shrem InvIT so, they will be receiving till the time all annuities are not paid, but between DBL and the Shrem InvIT, they will be discounting all the change in law on the financial model, valuation model so for DBL the value accrues to 64 crores.

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Vaibhav Shah: That 64 crores will be receivable or we have already received the amount?

Sanjay Kumar Bansal: We will be receiving this amount in near future.

Vaibhav Shah: Okay. So, secondly when do we expect to receive, when do we expect to receive the balance amount of the warrants, 75% warrants?

Sanjay Kumar Bansal: As per the SEBI rule the investor can subscribe the shares within 18 months from the first subscription which is December 21st, 2023. So, from there they got 18 months. So, balance money as per SEBI guidelines comes after 18 months from December, but the investor may invest even earlier.

Vaibhav Shah: Okay. Sir we factor that around 500-600 crores are expecting from Alpha in FY 25. So, are we factoring anything from that front or that would be expected in '26?

Sanjay Kumar Bansal: From our 18 assets 26% so from first eight assets the first 500 crore will be coming and from another 10 assets 26%, the other money will be coming but these 400 crores is not included in FY25.

Vaibhav Shah: Okay. And sir what is the tax rate that we can expect in '25 and '26?

Sanjay Kumar Bansal: So, as Rohan ji updated you during this call, we are targeting FY 26 March 31st, '26 net debt zero.

Vaibhav Shah: I am asking about tax.

Sanjay Kumar Bansal: So, the maximum claim that is 35%.

Vaibhav Shah: Okay. And sir lastly, for the initial 19 assets that we are under deal with Shrem and Cube , what is the amount sitting in our balance sheet as of third quarter ?

Sanjay Kumar Bansal: So, at the end of the third quarter there is only one asset pending to be transferred which is Pathrapali -Kathghora 51% to be transferred , we will be receiving around 4 2 odd crores against that transfer.

Vaibhav Shah: So, our investments and loans in the books are for the current portfolio now, apart from that among for Pathrapali ?

Sanjay Kumar Bansal: Pathrapali the exact invested amount I will just check and it is around 18.2 crore.

Vaibhav Shah: Okay. So, apart from that there is nothing for the other 18 and 19 assets that we already sold are under the process ?

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Sanjay Kumar Bansal: So, with the transfer of 51% in Pathrapali -Kathghora the entire 18 asset s will be transferred completed.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat C apital . Please go ahead.

Shravan Shah: Sir, j ust a clarification you mentioned that in other expresses t here was a 10 to 12 crore one of f what was this related to ?

Rohan Suryavanshi: We will look into the details and get back to Shra

van ji, I will ask my team a detailed thing to look into it and get back to you.

Shravan Shah: Okay , got it. So, this 35% tax rate at t hat P &L level will be there for FY25, FY 26 also the same rate will continue or we will be moving to 26% tax rate in '26?

Rohan Suryavanshi: We will continue with this rate only because we still have some outstanding tax , mat credit available with us.

Shravan Shah: Okay . And DBL infra date as of December is how much?

Rohan Suryavanshi: Same as it was the last quarter 675. So, it 's the same, we haven 't drawn any more money, we are in fact looking to reduce that also.

Shravan Shah: Okay. Previous t wo participant has also asked so; we are just trying to figure it out in terms of the finance cost in terms of absolute level. So, this quarter was 129 odd crore . So, by end of this year or further whatever 300 odd crore debt reduction and next year also we are looking at 800 crore kind of a gross rate reduct ion. So, in that scenario in FY25 at finance cost level and how one can look at , how much more reduction so, this year will be 520 crores to 530 odd crores . So, will it be reduced by 130 crore, 150 odd crore at least minimum. So, that 's the way we are trying to understand.

Rohan Suryavanshi: So, we expect that it will reduce at least by 100 crores o r whatever financial cost will be this year. It will reduce by at least 100 crore even on the conservative side. I don't want to give this outstanding but on a very conservative side. So, it should be a descent item, but on the conservative side it should reduce by that much at least .

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. Rohan Suryavanshi for closing comments.

Rohan Suryavanshi: I, on behalf of the whole DBL team would like to thank all the participants who are coming and asking questions about the company. As always, it was my pleasure to be able to share our journey and till now and our thought process going forward. I look forward to seeing all of you guys on the next conference call. At the end just wishing all of you guys a very, very Happy

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New Year in advance and hoping that this year may be the best year for all of you guys. Thank you.

Moderator: Thank you . On behalf of Dilip Buildcon Limited, that concludes this conference . Thank you for joining us . You may now disconnect your lines .

Call: May 2024

Date: 15.05.2024

Sub: - Transcript of the Analyst/Investors conference call

In continuation to our letter dated May 03, 2024, please find herewith the transcript of the Investor conference call for Investor and analyst held on Friday, May 10, 2024 at 06.00 PM. (IST) related to the financial results for the quarter and year ended March 31, 2024, conducted through digital means.

The aforesaid information is also being made available on the website of the Company i.e.

<https://dilipbuildcon.com/investors/shareholders-centre/>

With regards

For Dilip Buildcon Limited

Abhishek Shrivastava

Company Secretary

To

BSE Limited

Listing Department

P.J Tower, Dalal Street

Mumbai – 400001

To

National Stock Exchange of India Ltd.

Exchange Plaza, C -1, Block G

Bandra Kurla Complex,

Bandra (E), Mumbai – 400051

Stock Symbol -540047 Stock Symbol –DBL

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"Dilip Buildcon Limited

Q4 and FY '24 Conference Call "

May 10, 2024

MANAGEMENT : MR. DEVENDRA JAIN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DILIP BUILDCON
LIMITED

MR. ROHAN SURYAVANSHI – HEAD STRATEGY AND
PLANNING – DILIP BUILDCON LIMITED

MR. SANJAY BANSAL – CHIEF FINANCIAL OFFICER –
DILIP BUILDCON LIMITED

MODERATOR : MS. JILL CHANDRANI – S-ANCIAL TECHNOLOGIES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Dilip Buildcon Q4 and FY '24 Conference Call, hosted by S -Ancial Technologies Private Limited. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Miss. Jill Chandrani from S -Ancial Technologies. Thank you, and over to you, ma'am.

Jill Chandrani: Thank you, Sagar. Good evening, everyone. Welcome to Dilip Buildcon Q4 and FY '24 Earnings Con Call. From the management, we have with us today, Mr. Devendra Jain, Managing Director and CEO; Mr. Rohan Suryavanshi, Head Strategy and Planning; and Mr. Sanjay Kumar Bansal,

CFO.

Before we give proceed with the call, let me mention the standard disclaimer. The presentation that we have uploaded on the stock exchange, including the interaction in this call contains or may contain certain forward-looking statements concerning our business prospects and profitability, which are subject to certain uncertainties, and the actual results could differ from those.

Now I request the management to take us to the key remarks. After which, we can open the floor for question-answer session. Now I hand over the call to Mr. Rohan Suryavanshi for his opening remarks. Thank you, and over to you, sir.

Rohan Suryavanshi: Thank you, Jill. On behalf of the whole DBL family, I'd like to welcome all our partners here, who have come here on this auspicious occasion of Akshaya Tritiya. The results and the presentation have been uploaded on the stock exchange, and I hope all of you had a chance to look at it.

So today, I'd like to start with some data on the industry, just getting straight into business. So, for FY 23-24, as per the Government data, MORTH has constructed 12,349 kilometres of roads, registering growth of 20% year-on-year. This roughly translates into 34 kilometers per day of road construction. While the execution was decent, on the awarding front, there was a major fall this year, and it stood at a total of 8,581 kilometers. This slow awarding was primarily because of this being an election year and as we have seen in all the election years preceding this, if you look at the trend for the last five elections, it's been the same trend that the election year has a slow awarding. But we expect this scenario to now improve significantly in this financial year and expect the second half of FY 24-25 will be quite heavy in terms of ordering from all sectors of the Government.

Now coming to the company, in FY 23-24, the company won orders worth Rs.3,602 crores, which obviously was lower than expected for the reasons that I mentioned. Of this total orders, 42% of the projects are in irrigation, 35% in water supply, 15% in roads and 8% in urban development. Now over the years, as part of our risk mitigation strategy, we have reduced our

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exposure from the road sector to a great extent. In the pre-COVID year of FY '20, it was 65% and in the current year, it's at 37%.

This speaks of how we have prioritized on diversifications and expanded our business vertical from purely the road segment to other business verticals, such as irrigation, water supply, urban development, metro, special bridges, mining, tunnels, etc. All these diversification strategies that we have done, sectorally and geographically have provided DBL a strong footing in all these areas and as ordering has kept on increasing all these sectors, we are very optimistic of accomplishing targets that we're setting out for ourselves this year.

I'm very happy to

report that when we spoke last year at the end of last financial year, I said that we are looking to reduce our debt by INR 800 crores to INR 1,000 crores. So I'm very happy to say that we have reduced our debt this year by INR 861 crores through our various initiatives. This I'm talking about the stand alone level. What this translates into is now the net debt-to-equity ratio stands at 0.29x.

This, in the COVID year was at almost 0.8x and then COVID had hit. And if I talk to you in terms of net debt to EBITDA, now we are almost at 1.15x net debt to EBITDA. This obviously shows our company's commitment in fulfilling our promises. And our focus, as I mentioned, on debt reduction. I'm happy to report that in this financial year in FY '25, we are targeting to further reduce the net debt by at least INR 500 crores plus. As the year goes, we will keep on seeing in how we need to more look at our target or reaffirm, but we can safely say this is a target that we are putting.

Now moving on, let me also update you on some of the other deals in the company. Let me start with the Alpha deal. In this year, the company issued warrants worth INR 533 crores to Alpha Alternatives, out of which Alpha has taken 25% as the rules for the warrant and the company has received INR 133 crores. The rest of the money as per the guideline, and rules provided by SEBI, that will come into the company by June 2025. In the same deal, in terms of diversification and a divestment, the company has divested 26% in 3 HAM assets to Alpha in which we have received about INR 130 crores.

In this financial year, we will be divesting 26% in the balance five HAM assets through which we are expecting INR 508 crores as money to come. This money is expected in the first half of the financial year. Now let me focus on our coal business. In Siarmal coal mine, in the financial year, the company has overachieved its target by more than 40% by extracting over 7 million tons compared to our target of 5 million tons. For the next year, we are planning to achieve production of 15 million tons compared to the scheduled target of 10 million tons. So we are expecting almost 50% of over achievement in next year as based on the current run rate. In this

mine, in the next four years, the total extraction will be about 80 million tons cumulatively and from the sixth year onwards of this mine, we will be expecting 50 million metric ton of coal per year.

On the other Coal MDO in the Pachhwara mine, we have delivered 4.6 million tons in this financial year as per the agreed terms as based on when we started this mine. The net sales target for full year is of 7 million tons, we are on target to deliver that too.

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So friends, when I spoke to you at the end of last session, I had mentioned that earlier in this financial mentioned, we are now gearing up for DBL 2.0 and I explained DBL 2.0 is how we have in the post -COVID era aligned our company strategy, our focus, towards us building a more stronger DBL, which can withstand any kind of external unseen problems such as what we faced in COVID.

The two parts to that was, one we will have our short -term business, and then there is the long -term revenue business. The short -term business will be our EPC business that we continue to do. In the long -term strategy, there are two things that the company is focusing on - the asset business where one is the coal MDO assets; and the second is the InvIT assets. There'll be, in three years from now, there'll be three different power houses for DBL, one will be the EPC company, one will be the coal MDO power house, and then there'll be a InvIT power house. The InvIT and the Coal will assure long -term revenue visibility for DBL.

In two years, as our whole InvIT gets completed, we are expecting INR 400 crores to INR 500 crores of free cash flow coming from

the InvIT as dividends and principal repayment back.

Besides that, the coal business will also be providing a good cash flow and a visible cash flow, which gives us visibility from current to the next 25 to 55 years.

And the EPC business will be our short -term business, which will keep on giving revenue on a regular basis. Our aim is to become a net debt -free company on a stand alone basis within the next two years. So FY 25-FY '26, we will be net debt free company. Our focus is on generating free cash flow, which is what we are doing and reducing our debt through that. Our focus is on improving our return on equity and our return on capital employed. I'm very happy to report that if we look at our return on equity, on a core basis, where we minus our investments into our assets, it has jumped from 6.9% of last year's ROE to 13.8% ROE this year.

Our focus is to keep on enhancing this and same goes for return on capital employed. Our target is also to mitigate concentration risk across sectors, across lines and across geographies. So we are also building our order book accordingly. All these different actions that we are doing and also facilitated in the enhancement of the company's credit rating. We're happy to report that CRISIL has reaffirmed its rating for the company and also improved its outlook to positive. So we are also hoping for an increase in rating for the company in this financial year. And that trend should continue in the next year as our debt keeps on getting paid down. And as our cash flow keeps getting stronger.

Friends, now I'd like to hand over the call to our CFO for the financial overview.

Sanjay Kumar Bansal: Thank you, Rohan ji. Good evening, everyone. I welcome all our stakeholders to our earnings call. Let me present the results for Dilip Buildcon Limited for quarter ended 31st March 2024 and FY23-24. During Q4, the company has completed four projects and on yearly basis, the company has completed nine projects worth INR7,400 crores.

During FY '24, the company has won total six projects worth INR 3,602 crores and during last quarter, company won two projects worth INR 961 crores. Now moving from business through financial performance. Quarterly performance Q4FY '24 versus Q4FY '23 Y -o-Y basis, the Dilip Buildcon Limited

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company's revenue increased by 2.5% in Q4 FY'24 versus Q4 FY '23. This is due to better execution of the projects.

The EBITDA increased by 29.56% in Q4 FY '24 on Y -o-Y basis from INR 272 crores in Q4 '23 to INR 352 crores in Q4FY '24. The EBITDA margin witnessed a significant increase by 250 basis points. The EBITDA margin increased on account of higher revenue and reduction in construction material costs. In terms of profit after tax, the profit after tax increased by 112% in Q4FY '24 on Y -o-Y basis from INR 58 crores to INR 124 crores in Q4FY'24. The PAT margin also witnessed a significant increase by 218 basis points. This is mainly on account of better EBITDA margin and reduction in expenses.

On yearly performance, FY '24 versus FY '23, the revenue increased by 4% in FY '24 on Y oY basis from INR 10,119 crores in FY '23 versus INR 10,537 crores in FY '24. This is due to the better execution of the projects. And EBITDA margin increased by 31.44% in FY '24 on Y -o-Y

basis from INR 988 crores in FY '23 versus INR 1,299 crores in FY '24. The EBITDA margin witnessed a significant increase by 256 basis points. The EBITDA margin increased on account of better execution of the projects and reduction in cost of construction material. Profit after tax also increased 90% in FY '24 on Y-o-Y basis from INR 222 crores to INR 422 crores in FY '24. The PAT margin witnessed a significant increase by 181 bps. This is mainly on account of EBITDA margin and the reduction in expenses.

Let me take you through the some important items of the balance sheet. During FY '24, the

company surpassed INR 5,000 crores net worth, and it reduced INR 861 crores of the debt. Due to the reduction in net debt and increase in net worth, the company's net debt -equity ratio improved to 29 basis points as of 31st March '24 versus 52 basis points at the end of March '23. In terms of debtors has also, on 31st March '24, the debtors has reduced to INR 1,392 crores versus INR 1,606 crores at the end of March '23. Working capital days also improved by five days from 70 days to 65 days from FY '23 to FY '24. And now we can open the floor for the questions and answers. Thank you, all.

Moderator: The first question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Congratulations on the INR 800 crores plus debt reduction. Sir, a couple of broader questions on the guidance front, First on the revenue. So, what kind of growth are we looking at in FY '25 and if possible, if you can guide for FY '26 as well?

Rohan Suryavanshi: Shravanji, thank you very much. So, Shravan ji, as we mentioned earlier, the order book this year, as we had expected, they have not come because of the ordering. But as the elections get over, we're expecting a flurry of orders. So in terms of full year guidance for revenue, I think it'd be a little early to give you what kind of growth because we're all seeing what kind of orders. But even if you want to see at take a bet is like this revenue that we are doing this year, easily, we should be able to do that kind of revenue next year as well. Now how much growth will come will all depend on how the ordering opens up and how much we win and at what time. So allow us time and as we move on through the quarters, it would be much better to do it. Right now,

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you can like I mentioned, you can take a similar number as we have done in terms of revenue for this year. But as it opens up, we'll give you more clarity on that.

Shravan Shah: Okay. So in terms of order inflow, obviously, we have received a much smaller number in terms of the inflow in FY '24. So in FY '25, now, how much order inflow are we looking at? And if you can help us broadly how much are we looking at from the road and in HAM? So based on that, let's say, whatever the number you will say. So out of that, how much revenue can be expected from that in FY '25?

Rohan Suryavanshi: Shravanji this year, the total order inflow that we're looking at is to INR 10,000 crores to 12,000 crores at least that is the kind of range that we're looking for. And this is across all sectors that we work in. So on the conservative business, it's easy to take that kind of number. Those are the kind of orders that we are kind of looking at.

It would be very difficult to give you a split on the different, sectors and it would not be prudent on our part to be disclosing how much we are targeting. But we can assure it will be in all the different sectors we work in, and it will also be a mix of both EPC and HAM. So let's see how the orders come, and what we end up winning. But broadly, that's the strategy that has been in the past as well. We will be following a similar kind of strategy.

Shravan Shah: Okay. But let's say, if you get a INR10,000 crores and broadly, let's say, HAM the revenue will come in FY '26 as the appointed date will take time. So let's say, if you get a INR4,000 crores, INR5,000 crores EPC, can we expect some revenue from that? Just trying to understand what extra growth can come from the revenue in FY '25.

Rohan Suryavanshi: Shravanji as we win more EPC contracts, you will see revenue coming from there. Also, we've very recently won another INR 1,000 crores contract in the rail segment railways. So that is also not visible here. There are different sectors and orders that we are targeting. And based on which one open up at what time, it will definitely have an impact on the revenue.

ue.

Shravan Shah: Okay. And in terms of the EBITDA margin and capex, how much are we looking at for this year?

Rohan Suryavanshi: So for EBITDA, like we have given you a target for last time. We are looking at that same 12% to 14% kind of EBITDA targets, that I mentioned earlier as well. In terms of capex, the same INR50 crores to INR70-odd crores of capex is what we will be looking at. I'm also very happy to report at the same time that, currently, our equipment debt stands at about INR170-odd crores, like I said, somewhere in that range is where we are standing, almost 80% of which we will be paying down in this financial year anyways. That is a scheduled repayment. So our equipment debt is almost completely off and we are on target to as I said already give you the kind of target

we're looking. So by the end of this financial year, our net debt will be less than INR 1,000 crores.

Shravan Shah: Okay. And our net debt you are saying will be less than INR1,000 crores -- so at the gross level, we are looking at a INR 500 crores debt reduction?

Rohan Suryavanshi: Yes, INR 500 crores plus.

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Shravan Shah: And so next year would be a significant reduction, of INR1,000 crores of the number will be there in the next year.

Rohan Suryavanshi: The INR 1,000 crores number for debt, you said?

Shravan Shah: Yes net debt reduction.

Rohan Suryavanshi: It will be less than 1,000 from where we are targeting.

Shravan Shah: Okay. Got it. And on the working capital front, any further improvement from current 66 days.

So particularly on the inventory front we are not seeing such improvement so.

Sanjay Kumar Bansal: So Shravan ji, basically, we are working towards a reduction in overall working capital days.

What I briefed in the beginning was 5 days improvement from 70 days to 65 days. Yes, on the inventory side more or less it is looking like the same. So the inventory levels are the same, but the overall basis 5 days increment.

But individual items wise we're working, there will be improvement quarter-on-quarter every time. So yes we are doing that. But it is basically coming in the results also.

Shravan Shah: Okay. And sir, now on other income and finance costs. So how do we now look at the finance cost for this year FY '25 and if possible for FY '26 and other income? Why I'm asking other income is the Shrem InvIT, we have received I think close to INR106 crores as a distribution. So also help me out of that how much will be coming at the standalone level and now with the Alpha whatever distribution we will be receiving the entire will be coming at standalone or how it will be?

Sanjay Kumar Bansal: In terms of finance cost, the finance cost this year reduced marginally because the debt reduction significantly happened in Q4. But for FY '24 -25 the targeted finance cost is INR 350 crores against the INR 500-plus crores finance costs. In terms of the other income total from the existing set of Shrem InvIT units we have already detailed out in the investor presentation, we will be receiving around INR 94 crores total distribution. And generally, the distribution is a principal is around 30% of the total distribution. So yes, you can say around INR 65-70 crores from the dividend and interest and balance 30% from the principal returns.

Shravan Shah: And this entire will be shown in the standalone other income?

Sanjay Kumar Bansal: No. Basically the units are held in DBL and DIAPL. So I gave the number on the console basis.

Shravan Shah: So at standalone level anything will flow as other income or whatever the dividend we will be getting from the InvIT?

Sanjay Kumar Bansal: Shravan ji, the numbers DBL level and DIAPL level is not ready with me. You can connect with us separately we will give you the breakups.

Shravan Shah: Okay. And on the DBL Infrastructure debt it is the same INR675 crore

so or has the number changed?

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Sanjay Kumar Bansal: So INR 675 crores as on today is, yes, we have already started prepayment of around INR30 crores. So by next month this will be reduced by INR30 crores.

Shravan Shah: Got it. And just a clarification on the presentation the 16 HAM projects that we are showing. So currently, right now we have 18 HAM projects and I think the one new that we have received.

So Alpha Alternatives we will be transferring the 18 HAM projects, 26% equity stakes. So in the presentation why we are mentioning the 16 HAM projects and not the 18. So we will be owning 74% stake in 18 HAM projects.

Sanjay Kumar Bansal: So you can basically see the breakup is mentioned in the HAM portfolio. You can see that -- there are basically total of 18 projects that were targeted to be given to Alpha 26% stakes and just a second.

Shravan Shah: So I was referring to Slide 24 where we have mentioned the equity and divestment tracker.

Sanjay Bansal: So basically total of 19 projects that we have today. 19 breakup is 18 of Alpha and 1 project we won last quarter. So out of the total 19 projects, 3 projects, 26% were already given to Alpha after completion. So as of 31st March, 16 projects were under construction. Out of 16 projects also 5 projects out of the first bucket 8 assets buckets are remaining.

So out of 5 HAM projects, 2 projects the COD is received, 2 projects COD will be received in June, one in May and one in June. So out of 16 also, 11 projects will remain after you can say June under construction. So, this quarter, only 11 projects will continue and of 5 projects, 26% will be divested between Q1 and Q2 of FY '25.

Shravan Shah: Yes. I got it. I got the point. What I was trying to understand is actual invested equity as on March '24 is INR 1,265 -odd crores. So this is only for 16 projects or it is for 18 projects?

Sanjay Kumar Bansal: It is 16 projects only. And out of 16 projects, I said 5 projects, 2 projects we already received. So basically you saying the actual invested equity. So it is all 16 projects.

Shravan Shah: So it should be 18 projects because we also own the 74% in the 2 projects that we are not mentioning here.

Sanjay Kumar Bansal: Sharvan ji, this INR 1,265 crores is 11 to 16 projects only. So whatever projects we already completed is removed from this sheet.

Shravan Shah: Okay. Got it. I understood. Just a clarification, sir, whatever the remaining 10 projects Alpha Alternatives will be taking a 26% stake. So once we complete the entire project and we will put in 100% and then they will invest 26% and we will get back that 26% cash. That's the way it will work or we will invest 74% and then 26% is invested by them.

Rohan Suryavanshi: We putting our capital only. And while we have the option, but once the PCOD is done then we will get Alpha 's Capital into those assets.

Shravan Shah: So initially, we will put the entire 100%. And once we get the PCOD then we will get back the 26% from Alpha.

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Rohan Suryavanshi: Then we'll flip and do that. But like I said here again I'll repeat , that while we have the optionality to pull that money earlier, but we'll take a call on it as our strategy goes.

Shravn Shah: Thank you and all the best sir.

Moderator: Thank you. The next question is from the line of Narendra from Robo Capital. Please go ahead.

Narendra: Thanks for the opportunity. So my first question is regarding the money that we have to receive from Alpha. So what is the timeline for this money? I believe that the INR 133 crores have already come in and about INR 400-odd crores is left from the warrants , right ?

Sanjay Kumar Bansal: Yes.

Narendra: So when is that expected to come in?

Management: Narendra ji , yes, from warrants, Rs 133 crores you rightly said received already in December

2023, Rs 400 crores as per SEBI guidelines under warrants they can put within 18 months from the first tranche. So 18 months will be completed in June 2025, around 20th June 2025. So this money Alpha can put by June 2025. So that is why we kept it in 2026. This money may be received before the bid is optional. They can put it earlier also. So the end line is June 2025.

Narendra: Okay. Understood. And what about the InvIT money when will that be coming in?

Sanjay Bansal: So investment out of this total 8 projects, the first set of 8 projects, 3 projects we already received INR130 crores. And from the next 5 projects 26% will receive total INR 508 crores and out of INR 508 crores majority of money will be received in this quarter and around INR 60 crores, INR65 crores will be received in quarter 2.

Narendra: So H1, we are expected to receive around INR500 crores?

Sanjay Bansal: Right.

Rohan Suryavanshi: Can I also direct your attention to Page 24 of our presentation where we have highlighted how the money will come. So that it will be very simple for you to refer to it and understand how this money inflow will be coming in.

Narendra: Okay. Understood. So just a clarity on the deal. So we are expected to receive around INR 4,000 - odd crores in units and INR 2,000 -odd crores in cash, would that be fair?

Rohan Suryavanshi: No, no. In total, we're also receiving for our 18 assets, our units will be worth about INR 4,500 crores that is the rough. I'm giving a very rough estimate right now. Our 74% would be around that kind of value. Besides that, we are receiving the other cash that you mentioned, the cash has two components.

One is the warrant money that is coming and the second is the InvIT 26% money that they're doing. If you want to refer to the exact all those calculations I would highly recommend look at our earlier presentation as well where we first spoke about the Alpha deal. There we have

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detailed out how the different cash from Alpha would be coming. And here also in this area it's mentioned here in this presentation as well. If you want to look at so it will be very clear to you. So once this transaction is completed DBL will be holding about INR 4,500 odd crores of InvIT units. That will roughly translate into INR450 crores to INR 500 crores of cash flow per year. And this is I'm talking about the 18 assets that we have sold to Shrem . So that's what it is. So we are getting that cash flow coming from there.

Narendra: Okay. Understood. And the deal multiple would be around 2.5x of the equity invested, would that be right?.

Rohan Suryavanshi: We have given you the idea of how much equity we had invested in it that we put in our slide. But yes, there is a good multiple. But if you want to do the exact calculation look at the cash component that is coming to the company along with the value of the inventories that you are doing and then you can subtract the investments to get an exact number.

Narendra: Okay. Understood. My second question is regarding the coal projects? So what are the handling charges per ton and what kind of margins would be making on that?

Rohan Suryavanshi: Where what in the typical MDO project what happens is we quote a price for extraction per ton. So, in both the different contract there is a different price that we have quoted. In terms of margins, it's kind of similar margins what we are doing in other EPC projects. So those kind of margins is what we should be looking at.

Narendra: Okay. So 12% to 14%?

Rohan Suryavanshi: Yes, mid-teens is what we have guided for that.

Narendra: Okay. Understood. So for a Siarmal coal unit would you be able to give the handling charges per ton or extraction charges per ton whatever it is?

Rohan Suryavanshi: So the thing is for all the contracts there is an inflation component built in.

Currently, if you

want to understand Siarmal we are getting about INR 550 or somewhere in that range of price.

It's INR 500 something range. And obviously this keeps on moving based on certain parameters of the government that's set for the contract.

Narendra: Okay understood. That's it from my side. Thank you so much.

Moderator: Thank you. The next question is from the line of Ketan Jain from Avendus Spark. Please go ahead.

Ketan Jain: Sir, what is the interest rate you're seeing at a project level for financing HAM projects?

Sanjay Bansal: Now the HAM projects financing because the MCLR of all the banks are close to 9%. So the various banks basically financing new project between 9% to 9.5% in the construction phase.

And post-construction, it is on MCLR around 9.1% types.

Ketan Jain: Okay, thank you sir. That was my question. Thank you.

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Moderator: Thank you. The next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Most of my questions have been answered. Just two questions, sir. One is what is the current cost of debt that we have on for the debt on books. And second, with the elections coming in, do you see any risk of more orders slow down or maybe if the Government doesn't form. So what kind of broad-based risk that you see in order inflow?

Sanjay Kumar Bansal: So in terms of cost of debt, so cost of debt fund-based facilities we are around 9.5% to 10% in long-term and short-term both including all costs. But at the same time one non-fund because the EPC business runs on non-fund base. So there are LC and BGs issued. So basically they are also around 1% to 1.25% cost. So we had given guidance of INR350 crores overall finance cost for FY '25.

Darshil Jhaveri: Okay. Perfect. And sir, with regards to the risk?

Rohan Suryavanshi: As in terms of election risk you asked sir. So like I mentioned in my opening remarks election year is always a slow ordering year. And if you look at this detailing from back from a Vajpayeeji's era to now every election year is a slow year. But the year after it is usually or ordering increases significantly.

I can also tell you right now that all the different ministries are working on a very aggressive 100-day plan. So the Government is also very focused on wanting to start immediately off the blocks. So once the election gets over and results are out and the new Government comes into place, we should see a flurry of orders happening.

Even at the NHAI level there is more than INR 1,00,000 crores of orders that have already been floated. So, INR 1,20,000 crores of orders purely on NHAI and MORTH levels that have been floated. So there is a huge order line in the road ministry, in railways, in every ministry. So code of conduct because of that it's currently stalled, but as soon as this happens we should see a lot of ordering.

Darshil Jhaveri: Perfect sir. That helps a lot. All the best. Thank you.

Moderator: Thank you. The next question is from the line of Shubham Shelar from IDBI Capital. Please go ahead.

Shubham Shelar: Yes, sir, based on the current order book that we have and the delivery schedule that is pegged to that. So what kind of revenue that you are expecting assuming like no inflow or any inflow is delayed just based on the current order book?

Rohan Suryavanshi: Sir, even if we had zero inflow coming in this financial year, the new financial year. Even if there is zero inflow of orders we would still be doing a revenue of almost what we have done in this year the same range we should be getting in FY '25 as well of the same '24 revenues. So the revenue for '25 is pretty much visible for us.

Year going forward after that is where we will be looking at all new orders. The only caveat that I made is

depending on how much orders we win immediately after what this does and how the execution picks up there. We can have slight changes to the given the revenue guidance for this financial year.

Hence, I mentioned earlier that allow us some time and allow the year to move forward and how direction it does, we will be able to give a more exact idea about the ordering till then about the revenue till then I think taking this as a base case that this kind of numbers the company should be able to do next year as well is a good starting point.

Shubham Shelar: Sure, sir. And then recently CRISIL has revised the outlook to positive. So does this also have a bearing in lowering our finance costs or only the actual rating upgrade that has a bearing on the finance cost?

Sanjay Kumar Bansal: So Shubham basically the rating impacts the borrowing cost when it goes to the next category. So we are in A category with positive outlook. So now we are expecting credit rating increase also based on the plans of reduction in debt and all. So we expect when the credit rating will go to next level, then there will be a deduction in borrowing costs as well.

Shubham Shelar: Okay. And typically when just like in the month of April, so this outlook is revised. So after a gap of how many months or quarters, but a ratings change, they review it how exactly it works?

Sanjay Kumar Bansal: Basically, the review they are doing closely. So, sir basically, this time the upgrade is done after a year, but the review is done every quarter.

Shubham Shelar: Okay. So sorry, I think I just missed that. When are you expecting probably upgrade sort of review, I mean, if I have to put it that way?

Sanjay Kumar Bansal: So between 12 to 15 months I believe.

Shubham Shelar: From now?

Sanjay Kumar Bansal: Yes, from now.

Shubham Shelar: Okay that's all from my side. Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Rohan Suryavanshi for closing comments.

Rohan Suryavanshi: Thank you again, guys for coming and asking all your questions. In case we have missed out on answering anything and in case if you have more follow-up questions, please feel free to reach out to our team. We'd be happy to answer. I look forward to seeing all of you guys in the next quarter.

And hopefully, we'll have a more clarity on the order book going forward by then with the Government firmly in place. So wishing all of you a great financial year ahead.

Moderator: Thank you. On behalf of Dilip Buildcon Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2024

August 16, 2024

Subject: - Transcript of the Analyst/Investors conference call

In continuation to our letter dated August 07, 2024, please find herewith the transcript of the Investor conference call for Investor and analyst held on Tuesday, August 13, 2024 at 06.00 PM. (IST) related to the financial results for the quarter ended June 30, 2024, conducted through digital means.

The aforesaid information is also made available on the website of the Company i.e.

<https://dilipbuildcon.com/investors/shareholders-centre/>

This is for your information and record.

With Regards,

For, Dilip Buildcon Limited

Abhishek Shrivastava
Company Secretary

To
BSE Limited
Listing Department
P.J Tower, Dalal Street
Mumbai – 400001

To
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051

Stock Symbol -540047 Stock Symbol –DBL
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“Dilip Buildcon Limited Q1 FY 2025 Earnings
Conference Call ”

August 13, 2024

MANAGEMENT : MR. DEVENDRA JAIN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER - DILIP BUILDCON
LIMITED
MR. ROHAN SURYAVANSHI – HEAD STRATEGY AND
PLANNING - DILIP BUILDCON LIMITED
MR. SANJAY KUMAR BANSAL – CHIEF FINANCIAL
OFFICER - DILIP BUILDCON LIMITED
MODERATOR : MS. JILL CHANDRANI – S-ANCIAL TECHNOLOGIES

PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Dilip Buildcon Limited Q1 FY '25 Earnings Conference Call, hosted by S -Ancial Technologies Private Limited.

As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*", then "0 " on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Jill Chandrani from S -Ancial Technologies. Thank you and over to you, ma'am.

Jill Chandrani: Thanks to you. Good evening, everyone. Welcome to Dilip Buildcon's Q1 FY '25 Earnings Call . From the Management we have with us Mr. Devendra Jain – Managing Director and CEO; Mr. Rohan Suryavanshi – Head Strategy and Planning; Mr. Sanjay Kumar Bansal – Chief Financial Officer.

Before we begin this call, let me mention the standard disclaimer :

The presentation that we have uploaded on the Stock Exchange, including the interaction in this call contains or may contain certain forward -looking statements concerning our business, prospects and profitability, which are subject to some uncertainties and actual results could differ from those.

Now, let me trend over the call to Mr. Rohan Suryavanshi for his "Opening Remarks ". Thank you and over to you, sir.

Rohan Suryavanshi: Thank you, Jill. On behalf of Dilip Buildcon Limited, I welcome all the participants in our Quarter 1 FY '25 Results Con Call . The Results and Presentation have been uploaded on the Stock Exchange and I hope all of you have had a chance to look at it.

At the outset, I would like to share some industry updates :

It has been evident in the recent Union Budget that the Government has high aspirations for the infrastructure sector with a view to making it a powerhouse in our economy. There has been an allocation of Rs. 11,00,000 crores for the infrastructure sector this year, indicating a growth of 11.1% as compared to last year's budget. This contributes to approximately 3.4% of the GDP. Road transport and highway has been allocated Rs. 2.78 lakh crores. Railway has been allocated Rs. 2.65 lakh crores. Logistics and supply chain sector has been allocated Rs. 2 Lakh crores . And metro rail has been allocated Rs. 24,900 crores.

Cabinet has also approved eight national high speed rail corridor projects worth over Rs. 50,000 crores to improve logistics, efficiency and connectivity across the country. All these things are said to have a multiplier effect on our economic growth and a Iso boost employment

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opportunities. Above all, it will give impetus to India's unwavering commitment to a futuristic and connected India. This scenario definitely augurs well for our growth trajectory given the Government 's sharp focus on the infrastructure segment.

Now coming to the sector and the Company :

During the quarter under review, ordering activity was weak across all sectors, which was as expected because of the elections, but now is expected to pick up. For us also we have received a single order in the railway segment of Rs. 926 crores. But going forward , on the back of a strong order pipeline and across all our segments, we are confident that we will get an order inflow of Rs. 15,000 crores to 16,000 crores for the full year. And there are enough orders across the segments like I mentioned that we look at.

On this quarter onwards, in our order book we have also started including order value from our coal MDO, which we were not doing in the past. As is the current market practice, players are including that, so we have also made changes. And in our current order of Rs. 18,600 crores, we have added three years coal MDOs of Rs. 2,400 crores. So, while the total

estimated revenue

from our coal MDO would be around Rs. 5,500 crores over the next three years, but this will be accounted at the SPV level, out of which DBL will be getting around Rs. 2,400 crores, like I mentioned.

On the Execution front :

We have experienced payment related challenges primarily from JJM projects that resulted in higher debtors and stretched working capital. It's a temporary phenomenon because of election

and other things that were happening in the Government . But it is the top agenda of the central Government , and the sector would see a major execution ramp up soon, along with solution for all these stuck payments. So, while our debt has temporarily increased, we are very confident that as the financial year goes forward and the payment from the Government gets normalized, we will achieve our target debt levels of Rs. 1,000 crores net debt by the end of this fiscal year, as we had indicated on our last call.

In our investment portfolio of HAM assets :

I am happy to inform that recently we have fully concluded the Shrem InvIT deal with transfer of 51% equity stake in the last asset that is Patharapali -Kathghora project. With this transfer, our entire deal is concluded with the Shrem Group. While we will continue to do O&M of their assets for the live duration of those assets.

In other news, in our Alpha InvIT asset deal, we are progressing as the plan. Till now we have transferred 26% stake in four assets out of a total deal of 18 assets. Our InvIT formation process is also progressing well. We have applied to SEBI, and we have already received initial remarks. We are still very confident that we will be able to create the InvIT by the end of this financial year.

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In our coal MDO business that constitutes Siarmal coal MDO, which is the largest coal MDO in the country. I am happy to report that we have achieved production of 3.27 million metric tonnes in the last quarter. To give perspective of our execution progress , last year we had done a total production of 7 million metric tonnes versus contractual requirement of 5 million metric tonnes at Siarmal. This year, our contractual requirement is 10 million metric tonnes. But we are already running with a run rate to achieve 50% more than that, that is 15 million metric tonnes in this financial year.

Another good news, Pachhwara MDO is also progressing as per plan. During the quarter under review, we have achieved our coal production of 1.46 million metric tonnes. Here, we are on target to achieve the 7 million metric tonnes which is the full capacity for this.

As I have discussed before as well, but just to reiterate, as I conclude my remarks here, this is DBL 2.0 where we are in the process of creating a fully diversified Company working across 8-10 different infrastructure sectors, with an aim to achieve zero net debt in the next two years, along with having a healthy mix of short term and long term assured cash flow businesses, and industry leading return ratios. So, that is the goal that we are working towards, and we hope to keep delighting you quarter -after-quarter.

Now, I would like to hand over the call to our CFO for the "Financial Overview ". Thank you.

Sanjay Kumar Bansal: Good evening, everyone. I welcome all our stakeholders to our Earnings Call .

Let me present the Results of Dilip Buildcon Limited for the quarter ended June 30th, 2024, and highlights of current Financial Year :

The Company has completed four projects aggregating to Rs. 3,604 crores and won one railway projects worth Rs. 926 crores.

On financial side, year -on-year basis :

Quarter 1 FY '24 versus Quarter 1 FY '25. On the revenue front, the revenue is decreased by 9.61% in Quarter 1 FY '25 from Rs. 2,609 crores in Quarter 1 FY '24 to Rs. 2,358 crores. This is mainly due to lesser revenue from roads and highway business.

EBITDA dec

reased by 21.62% in Quarter 1 FY '25 from Rs. 335 crores in Quarter 1 FY '24 to Rs. 262 crores in Quarter 1 FY '25. The EBITDA margin mainly decreased on account of reduction in revenue and overhead expenses on the reduced revenue. Profit after tax has also decreased by 43.17% in Quarter 1 FY '25 from Rs. 83 crores to Rs. 47 crores in Quarter 1 FY '25. This is mainly on account of reduction in revenue and corresponding EBITDA margin reduction.

Thank you all and now we can open the floor for questions and answers, thank you again.

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Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Shravan Shah from DoI at Capital. Please go ahead.

Shravan Shah: Sir, first on the order inflow front. So, now we are seeing the higher order inflow of Rs. 15,000 crores to Rs. 16,000 crores versus last time you said Rs. 10,000 crores to Rs. 12,000 odd crores.

So, just trying to understand for that, how many projects we have already bid and where is yet to open? That is one. And second, how much more we are planning to bid? And broadly, if

we break up this Rs. 15,000 crores to Rs. 16,000 crores order inflow, so how much we are looking in the HAM, and any other sectors which you want to highlight?

Rohan Suryavanshi: Thank you, Shravan ji, for your question. Yes, you are very right, in the last quarter we had given a more muted guidance. But as the year has progressed, and as you are well aware, the sector has seen a depleting order booked because of weak ordering from last year, to ensure a steady growth going forward we have reassessed our numbers, and that's why you see the numbers of Rs. 15,000 crores to Rs. 16,000 crores that we have done.

We are quite confident of reaching these numbers across all the sectors that we are working in, the sectors that we are in. Besides the sector that you are aware that the Company works in, we have also gone in the optic fiber segment and about Rs. 50,000 crores worth of orders were floated in that. So, we were participating there as well. Those bids have also already been done. So, let's see. We are hoping to have some good news there as well as pass there.

I cannot give you sector specific breakup of orders, how it will flow. But like I mentioned, we look across all the sectors and it has been our endeavor in the last few years to move away from a single sector dependency to a more robust multi-sector sort of order book. And that is what our agenda and aim will be this year as well.

Talking about the HAM versus EPC, our primary focus and our primary liking is always EPC projects. The HAM route has always been used by DBL to fulfill its equity needs. But even since you asked, I think we would still be thinking about at least Rs. 5,000 crores to Rs. 6,000 crores of HAM in this total order book. So, to break it up, two-thirds of the order book would be straight up EPC, one-third would be HAM/BOT, like any kind of PPP project.

Shravan Shah: Second in terms of the revenue front, so obviously this quarter was a muted one, and we were looking at kind of a flat full year FY '25. So, now is there any upward revision in the revenue also for this year? Or if possible, for next year, given the order inflow will be higher this year, so FY '26 is there any kind of a guidance that are we likely to give for FY'26?

Rohan Suryavanshi: Shravan ji, it would be too early to give you an indication for FY'26. But I am very confident that it will be much better than this year, because once the order book formulates, this year in fact we have given you a flattish guidance earlier as well, but I think looking at how the ordering has still been weak till now, we would actually be looking at a 5% degrowth from last year's number. I think that would be a better assumption to make at this stage, given the order inflow sort of pace that has happened.

We were expecting it to start much faster but given that we think
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that is a better number. But FY'26 I think would be a good year. But we would only be able to comment on that once the end of the year numbers are in hand where we know how the order book looks and stands, anything earlier than that would be premature.

Shravan Shah: And in terms of the margins also, so this quarter was 11.1%. So, we were looking at 12% to 14%. So, given now we are seeing the 5% lower revenue growth, or degrowth rather this year, so in terms of the margin also will it be a kind of 11%?

Rohan Suryavanshi: Yes, I think given that we are geared up for more and the margins should, I think as a good prudent strategy, it would be good to take the current numbers as the EBITDA numbers which is around 11% to 12%. I think that would be a good way to think about it. I think earlier we had indicated 11% to 13%. But I would say 11%, 12% is a good figure to kind of think about given the, like I said, some of the challenges around the depleting order book.

Shravan Shah: And sir, on the debt front, correct me if I am wrong. You mentioned this year that though this quarter Rs. 700 crores gross debt has increased because of the working capital. So, want to understand two aspects, whether this working capital, particularly debtor, have we collected post the June till now? And how we look at the working capital by end of FY '25? And broadly you mentioned Rs. 1,000 crores gross debt reduction in FY '25?

Rohan Suryavanshi: We have collected some after June, and I did mention in terms of like the target debt level you mentioned, from here we are looking at the reduction of Rs. 1,000 plus crores of debt level from where we are standing right now. So, you are right about that, from the current levels where we look at. But I had given you a target of around Rs. 1,000 crores by the year end, which was Rs. 1,500 crores as of last financial year. But to elaborate more on debt collection, I will hand over to our CFO. Sir?

Sanjay Kumar Bansal: Shravan ji, basically total net debt on 31st March was Rs. 1,515 crores, now it has increased by almost Rs. 700 crores. The total term loan is only Rs. 140 crores as on 30th June. So, the reduction in debt will happen only in the working capital. So, what Rohan ji said, the reduction in the working capital limits, so from Rs. 1,500 to Rs. 1,000 crores. So, today the outstanding is around Rs. 2,226 crores, so that will be reduced to say Rs. 1,000 crores at the end of this financial year. I feel this clear.

Shravan Shah: So, from Rs. 1,226 crores net debt, we will be reducing that close to Rs. 1,000 -odd crores, so

around Rs. 1,200 crores, Rs. 1,250 odd crores net debt by end of March that we are looking at?

Rohan Suryavanshi: This is right.

Shravan Shah: And then the next one, we will become a net cash kind of a Company by FY '26?

Rohan Suryavanshi: Yes, that is the agenda, sir.

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Shravan Shah: So, there just wanted to elaborate further. So, in the Alpha Alternative, for four projects we have mentioned that Rs. 161 crores we have received. So, how much more cash are we going to receive so that would be a major driver in terms of the debt reduction, and plus the working capital?

Rohan Suryavanshi: I think we mentioned that in the presentation on Page 26 we have mentioned how the equity would flow from the investment that will come from Alpha in the year. So, if you want to look at it share, Sanjay sir will explain.

Sanjay Kumar Bansal: So, Shravan ji, as of 31st March we had divested three assets in 26% and this quarter in July first week we divested 26% in another asset. So, out of this Rs. 478 crores which is shown in page number 26 of our Investor Presentation, around Rs. 190 crores precisely we received in July. So, out of the b

alance, this will be received majorly in this quarter. And one asset may go to early next quarter. So, balance money, out of Rs. 477 crores we received Rs. 190 crores, and balance will be received in quarter two majorly, and some money in quarter three.

Shravan Shah: And lastly, particularly on the standalone in terms of the finance cost and other income, just wanted to understand. So, we were kind of looking at Rs. 350 odd crores kind of total finance cost for this year at standalone. So, this quarter it has, because of the debt has increased, so finance cost has also increased Rs. 119 -odd crores. So, how do we look at for full year the finance cost? And then the same way, the other income was just Rs. 13 odd crores, so there how much more are we going to receive any kind of dividend from any of the InvITs from Shrem or any other MDO through where this income, other income can go?

Sanjay Kumar Bansal : So, still, even after increase in debt in first quarter, we still believe the debt cost will be between Rs. 350 crores to Rs. 400 crores. This is number one. And in terms of other income, let me tell you, the other income consists of various items like dividend from the existing Shrem InvIT units, the distribution and interest on our income tax refund and all. So, yes, in Quarter 1 there is a reduced other income, but we feel this quarter the distribution from Shrem was around Rs. 5, which is more than our expectation. So, going forward, we think whatever we had given in slide number 26 will be more or less achieved.

Moderator: Thank you. Next question is from Ishita Lodha from SVAN Investments. Please go ahead. You may go ahead with your question.

Ishita Lodha: The revenue in coal mining business has actually declined despite like better production volumes. So, is this due to lower realization or what has led to the reduction in revenue from Rs. 162 crores in the last quarter to Rs. 150 crores in current quarter ?

Sanjay Kumar Bansal: Madam, let me answer this question. First of all, we have not given the coal revenue in the Investor Presentation. What we are saying, out of the total order book of the two MDOs, Rs.

5,500 crores is three years' revenue. Out of that, Rs. 2,400 crores revenue in next three years will accrue to DBL. And we had given the MDO performance in terms of the physical, so against 15 million tonnes target we have already done 3.23 million tonnes coal production in Quarter 1, and

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in Pachhwara against the 7 million tonnes capacity, we did 1.46 million tonnes. So, I do not know from where the revenue is taken. If you can elaborate, we can answer further.

Deepak: Hi sir, this is Deepak this side. Just continuing on that part, in the standalone revenue, on the vertical wise we have shown the segmental breakup where we have shown road, special bridges and tunnel revenues of Rs. 1,081 crores which has declined 43%. And mining has come down to Rs. 150 crores, which has declined by 6.74%. So, on the standalone basis, this quarter there has been a decline on vertical wise. So, just wanted to understand on that part.

Sanjay Kumar Bansal: So, Ishita and Deepak, we had given the total, I mean, the total revenue of DBL. So, nowhere we have given we coal revenue separately. We had even given the order book breakups. So, in order breakups, as Rohan ji explained, we have added Rs. 2,400 crores revenue from these two SPVs to DBL for the order book purposes. But revenue, which page you are referring to, can you please tell me?

Deepak: So, basically in the Press Release we have given the segmental break. Just a second, I am sharing the details. On the page number 20 of the Press Release.

Sanjay Kumar Bansal: So, basically you are referring to, so if you can see my order book position, basically the total order book if you are referring --

Rohan Suryavanshi: Sir, I think you are looking at the P

ress Release, right?

Deepak: Yes, Press Release, segmental contract revenue break -up on the Page #22.

Rohan Suryavanshi: Right. So, there why the reduction you are seeing is because besides the two coal MDOs where we are doing well, there were also EPC contracts that you are doing which are finished. Nigahi and Samaleswari are finished, that is why you are looking at that number, because the revenue that was contributed by Nigahi and Samaleswari is over now, that's why there is that reduction because of the other projects getting done. But those are very small contracts compared to the MDO contract that we will be doing where we mentioned the revenue potential is Rs. 5,500 crores for the next three years.

Deepak: So, basically in the mining division, our external orders have been finished, now internal orders will get executed over a period of next three years which will drive the revenue growth?

Rohan Suryavanshi: This is not an internal order, MDO is also an external order, sir. It's just the nature of the contract is different. And MDO is a long-term contract. So, one Siarmal project is a 25 year s contract and other Pachhwara project is a 55 year s contract. So, it's just the nature of the contract, this is not an internal mine for us. This is ultimately we are supplying to the Government at a predetermined price, which also includes inflation indexes. So, that's what we are doing in the MDO process. So, the thing that it does for us, it gives us predictability of revenue and the stability of sort of income coming on a long basis.

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Deepak: And secondly, looking at the debtor position, debtors from the last quarter, from Rs. 1,392 crores it has moved to Rs. 1,766 crores. I do understand you mentioned about the payment related these things, but just wanted to get the sense, what is the updated position at the current juncture? Has there been any further reduction in this? And in the current debtors of Rs. 1,766 crores, how much is from the JJM projects?

Rohan Suryavanshi: Sir, there is a reduction on this from the numbers where we are looking at, what you are looking at, there is definite reduction. We do not provide specifically breakups on that. But if you want to get in touch with my team separately, you can talk about it separately. But JJM is the larger bit of it, the big reason for this increase.

Deepak: Sure. And finally on the guidance, just wanted to check it again, on the revenue basis we maintain the flattish revenue growth, or would we expect some decline in this year? And what is your current bid pipeline from the order inflow perspective at the current juncture?

Rohan Suryavanshi: Sir, like you mentioned, I think it would be prudent right now to take a more measured approach to our revenue. And that's why we said, instead of the flattish, we should account for sort of a degrowth of 5% given the weak order book that had happened. But going forward, there is a very good order book that we see in front of us of Rs. 2 lakh crores plus. The road sector alone has a very decent order book, along with the other sectors that we are working in. So, we are confident that we will be able to do Rs. 15,000 crores to Rs. 16,000 crores in new orders in this financial year.

Deepak: How much is your current bid pipeline, the projects where we have done the bids at the current juncture?

Rohan Suryavanshi: I think less than Rs. 25,000 crores where we have already bid out.

Deepak: And finally, just wanted to check it out, in this quarter our margin profile has come down to 11.1%, and there I can see other expenses has increased to 4% of the revenues. So, just wanted to check, is there any one-off in this quarter in the other expenses in terms of provisioning or any other expenses? And what could be the broader margin we should be looking out for the year as a whole?

Rohan Suryavanshi: Sir, ma

argin profile is weak because of the lower execution. And we have guided towards a 11% - 12% EBITDA that I have mentioned. So, that should be the guidance going forward. Any larger details that you want, you can get in touch with my team and they can explain to you.

Moderator: Thank you. Next question is from Darshil Zaveri from Crown Capital. Please go ahead.

Darshil Zaveri: A lot of my questions have already been answered. So, I just wanted to like to understand now we are also now getting into another segment of optic fiber. So, how are things looking out there, sir? Just a brief, what will our strategy be? Because there might be some intense competition out there or no, how is it sir?

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Rohan Suryavanshi: Thank you for your question. We have already bid out on those projects, the one that optic fiber. So, there were 16 packages and in total about Rs. 50,000 crores plus of order book for us. And I am sure a few of our peers also bid in it. We went on a joint venture mode in those projects. And let's see, in next couple of months as they open up then we will be able to give you updates. But those projects have already been bid for.

Darshil Zaveri: And sir, just wanted to understand, I understand we are being a bit conservative, like maybe how our Q1 has been. But is there a possibility of good, surprising edge to execution pick up and order pickup, like is that a fair assumption? How are we looking at it, sir?

Rohan Suryavanshi: Sir, in terms of revenue pickup, I do not see a lot to happen there because the point of time where we are sitting in the financial year right now, with ordering still sort of not opened up completely. Had orders opened up a little bit more, there were more of the chances. While someone like me would always like to be optimistic. As a realistic picture, I think that would be very sort of tough at this stage. So, let's see how the year shapes out. But how the rains, our projects progress happens, if any unique surprises happen anywhere, let's see how that progresses out. But while what we have in hand, we are looking to do it with our sincere efforts. What we do not have in our hand currently, but we are very optimistic about is the large order book, typically in a year after we see the orders really flowing out fast. And usually, the second half of any financially is heavier in terms of ordering. So, that is what gives us that comfort and confidence.

Darshil Zaveri: And just like last question, so there are some state elections coming up. So, will that also impact order inflow or majorly ours will be related to center? Or it can have positive or negative impact because maybe center has to allocate more projects, so just like any idea on that?

Rohan Suryavanshi: There are only few states that are going to elections, and we are not very big on the state order book anyways. So, we do not foresee that as a challenge, as a large challenge anyway. So, I think because the larger order book from our part is from the national Government, and the Government subsidiary. So, I do not foresee that as a large challenge.

Moderator: Thank you. The next question is from Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Sorry, I am looking at your slide number 26, on the Shrem InvIT part and the Alpha DBL unit. So, it looks like you will be recording almost Rs. 280 crores plus Rs. 94 crores, so almost Rs. 375 crores of distribution in FY '26. So, this will get reflected in your standalone other income?

Sanjay Kumar Bansal : So, basically, you must have seen in the Shrem InvIT units as well, so distributions are in three forms; one is the dividend, interest and capital return. So, we are talking about the total distribution. So, in Slide # 26 it is showing total distribution. So, we do not know today whether it will be interest or dividend or capital return. So,

actual breakup will be at the time of distribution, but this is projected distributions. From Shrem we have taken around 13% distribution. First quarter was higher than the expected, and the Alpha DBL we have taken 10%, 11% distribution on conservative side. So, these are the distributions we have taken into account.

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Parikshit Kandpal: Sir, given the nature of the capital structure of these InvITs, so how much do you think can accrue to your P&L out of this Rs. 380 odd crores in the FY '26 how much do you think can come into your P&L?

Sanjay Kumar Bansal : So, though that is not known to us now, but if you can see last year, it is two-third one-third, so two-third in the income and one-third as a capital return. But this ratio will change based on various parameters. So, I do not know as on today.

Parikshit Kandpal: This is a substantial number coming accruing to your profitability, that's why I was questioning. So, I understood you said two-thirds as of now given the historical capital structure and distribution, it could be two-thirds. But it will be known closer to when it gets distributed. Second question is on the MDOs, now these MDOs, at least in Siarmal we are ahead of actual contracted production, and in Pachhwara we are lagging. So, just wanted to understand why, so if you can give us what was the total profitability of MDO in the last financial year? And in this one quarter, how much these two MDOs would have contributed? And given that there's a significant ramp up happening, so how do we see the profitability of these MDOs over the next few years?

Rohan Suryavanshi: Parikshit ji, we are not lagging in Pachhwara, we are on track how much we have to deliver. And we have to do only 7 million metric tonnes of coal production in the financial year. So, we are on track to achieve that, so there is no lag there. We are sorry if there is some miscommunication, but there is completely true, like I said in my opening remarks as well, and Siarmal we are 50% above target.

Parikshit Kandpal: Yes, Siarmal we are above target, but I saw the number of FY '24 where 7 metric tonnes was to be --

Rohan Suryavanshi: It was in full year.

Devendra Jain : It was the first year, Parikshit ji, that was the first year of the starting of the mine, so there were so many problems in the road transport. But now this year we will achieve the full target of 7 million tonnes.

Parikshit Kandpal: But if you see, when so much ramp up is happening, I mean, we can share some numbers on how the profitability has been in Q1, because if they are ahead of schedule then your profits get preponed, right. And also, if you can throw some light on how much CAPEX is pending to ramp up to the full potential in both the mines?

Rohan Suryavanshi: Sir, we do not share profitability by project or by sector. So, combine way would be a better way to look at it. But the projects are better profitable than our number that we mentioned. So, at EBITDA level it's better, but we should look at the company combined.

Parikshit Kandpal: And pending CAPEX is how much in both these projects to ramp up to the full potential, like how much would be the CAPEX you will need to incur to ramp up the mines?

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Sanjay Kumar Bansal: Parikshit ji, Pachhwara we have no CAPEX . And in terms of Siarmal, the total CAPEX originally projected was around Rs. 2,700 crores. Out of that, around Rs. 280 crores is already done, which is HEMM we have bought in the Siarmal SPV. And once the coal handling plant will start, then there will be more CAPEX . But let me tell you, out of the total Rs. 2,700 crores, Rs. 2,040 crores financial tie -up is already done in FY '22 with SBI, Union Bank and Power Finance Corporation. So, that will be funded from there. And that CAPEX is in SPV level, not at th

e DBL level.

Parikshit Kandpal: So, Rs. 2,040 crores project finance tie -up that you have, against that you have given the equity outflow I think in your slide where you show the HAM. So, total in equity balance requirement in Siarmal is Rs. 419 crores?

Rohan Suryavanshi: Yes.

Parikshit Kandpal: So, debt will be Rs. 1,600 crores?

Sanjay Kumar Bansal : So, total I said Rs. 2,700 crores, out of that equity is Rs. 576 crores, around Rs. 2,042 crores is the debt. And out of debt we have already taken divestment of Rs. 224 crores and we have invested equity of Rs. 157 crores. So, total Rs. 380 crores is already done out of Rs. 2,700 crores.

Parikshit Kandpal: So, once on this InvITs, if you start getting this InvITs, what should be your intent then? Because will it pass on to the investors as dividend or you will reinvest it into business? Because this will be substantial cash flow which will come, accrue to us, because Rs. 400 odd crores, if I see FY '27 numbers, you are already showing Rs. 450 odd crores of inflows.

Rohan Suryavanshi: Absolutely right, there will be a significant inflow to the Company . In terms of how we think about the money that comes into the Company , it will be dependent on the opportunity that will be from the Company , if we see that we do not have any good opportunity, we might end up just giving dividends to our shareholders. If we see there is a better opportunity and higher return ratio, higher ROE for our shareholders and what they are looking at us from, then we might look at investing in those assets.

But let me tell you a few things, very categorically. Number one, our intent for the next, like we mentioned, for the next two years is to reduce debt completely. So, our intent is very clear, whatever money that comes to the Company , currently first and foremost would be used for debt reduction to make the Company debt free at the standalone level. So, that is happening on the standalone.

Number two, our intent is to make sure that the consolidated debt keeps on going to the InvIT. So, even the consolidated balance sheet of DBL looks good. And wherever we have debt, it is all backed by the project financing, that would be our number two intent.

After that whatever cash flows are coming, we will look to see whether we can deploy it in long term assets which will keep generating returns for the shareholder of the Company over a long

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term, and with higher return ratios like I mentioned. If not, then we will take a call of distributing it to shareholders as dividend. So, it will all depend at that time. But our intent is as I am sort of articulating to you.

Parikshit Kandpal: Once all these InvIT units that you receive, as per our understanding, Rs. 4,000 crores, Rs. 4,500 crores put together, is it right like that number will be close to about Rs. 4,500 crores? And if yes then will you be consolidating this debt of this InvIT s, or it will become an associate once the InvIT is operationalized?

Rohan Suryavanshi: Debt does not come to us, we are only the unit holders of that InvIT, the debt is not there. The

debt goes to the InvIT level. We are just like a shareholder to the Company ; we will just be unit holders there.

Parikshit Kandpal: So, that HAM which you are currently carrying on will get knocked down because of consolidation, so it will not reflect in your consolidated balance sheet, right?

Rohan Suryavanshi: The asset level debt if you are talking about, so number one, the assets that we transfer to the InvIT, the debt will transfer there. Instead of the equity that we have invested, against that we will get the units. So, the Rs. 4,000 crores plus of units in the Alpha DBL InvIT, and the Rs. 800 crores odds units in the Shrem InvIT, those are all equity instruments. That's not any debt instrument, so those will be the equity holding of DBL.

Parikshit Kandp

al: That means your consol will closely mirror your standalone debt, which will be anyways net cash by then in two years, which you are guiding. So, you will be hardly carrying some debt on your MDO which may be, you said, Rs. 2,000 crores and plus something in other coal mine. So, that could be what will remain. So, MDO debt will largely remain, right, rest all debt will get out?

Rohan Suryavanshi: MDO debt will remain. And if any new HAM projects come to us, that will come. But then those will only have a churning time. So, you should think of it like DBL will be holding that debt for any time of three years, from the time we win a project to the time we are able to finally sort of move it to an InvIT. So, from getting it in to finally getting rid of the project to the InvIT or to investor, that time frame is three, three and a half years from the start of the debt date. That's roughly you should sort of think about.

Parikshit Kandpal: Sir, just my last question on balance sheets and where one thing which always creates, I mean, kind of like which I am very not much comfortable is your inventory levels. So, now you have started degrowing, you have stabilized your growth, but still your inventory is not coming down, it's still at 33, 40 days, which is almost one-third of your sales may be potentially for this year. And this is the highest in the industry. When the industry is running at 40 days or 25, 30 days, we are still at 110, 120 days. So, now we do not get any early completion bonus where we used to maintain aggregate inventory, and road as a percentage has also come down.

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So, just wanted to get a sense on guidance on how will be the rundown of this inventory, because this is what is depleting our return ratios and elevating our working capital. So, if this is not there, I mean, so why still so much of inventory you are carrying on your books? If you can give some more color that will be helpful. And where do you see that at the year end, I mean, by FY '27?

Rohan Suryavanshi: Thank you for your question. I understand this has been a case of concern for people. But like you mentioned, you only looked at one bit of it, which is the inventory. When you look at the working capital level, our working capital days are in line with the industry only, how we are kind of sort of converting our cash. That cycle is in line with the industry. Now, obviously, DBL, our business model, our way of working has been of one style for a very long time. It's a big ship. As we are turning around, as we are making amends to the way that we do things, as we also explore many sectors, it will take time. So, while there are amendments and there are different targets that we have, this also will keep on coming down over the next two years. To give you a target right now, because as the mix of projects change and all other things change, our strategies keep on changing around how we are doing projects. These all things will change. But it will be early for me to give a target. But yes, we are aiming for reduction of that also.

Parikshit Kandpal: I think this is one last thing which I mean, if you are able to tackle it, I think then there could be substantial --

Rohan Suryavanshi: We will, for 100% that is also a work in progress, and we are doing that work as well. So, you will see that will also keep on progressively happen over the course of the next two years. Like I mentioned, as we keep on changing the direction of the ship, this will also happen.

Moderator: Thank you. The next question is from Vishal Periwal from Antique Stockbroking. Please go ahead.

Vishal Periwal: Sir, a couple of questions. First, you mentioned on the coal side that we will do something like Rs. 5,500 crores kind of top line for the next three years, cumulative. So, is that fair to say, because the order book for this coal is Rs. 2,500 crores, whi

ch is kind of OpEx for the MDO.

So, I mean, we can make an EBITDA of like Rs. 3,000 crores cumulative for the coal business for us?

Rohan Suryavanshi: Well, I am not sure what calculation that you are doing, but EBITDA we are not giving, sector wise breakup we are not doing.

Vishal Periwal: No, I think basically based on the numbers, I was just, whatever is shared by you, that's what

like, Rs. 5,500 crores is the top line for three years. You mentioned Rs. 5,500 crores is what we will do for the coal MDO business.

Rohan Suryavanshi: At the SPV level, yes.

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Sanjay Kumar Bansal: I am answering your question. Vishal ji, basically this Rs. 5,500 crores is the total revenue of SPVs. Out of that, Rs. 2,400 crores worth scope is given to DBL, balance scope is directly done by SPVs. So, it is not correct to say the EBITDA is Rs. 3,000 crores, it cannot be. So, there is only some scope given to DBL which is Rs. 2,400 crores.

Vishal Periwal: And second, you mentioned that optic fiber cable, 16 packages that we have bid, I mean like though the outcome will be known in times to come, but in terms of, is it like what exactly our role in this? Any JV that we have done, what is our share? Will it be okay to share that?

Rohan Suryavanshi: Sure. The site construction thing, which is trenching and laying of optical fiber, all those will be done by DBL's site construction operations.

Vishal Periwal: So, on our own we are doing it or it is in some JV whatever the order that we get?

Rohan Suryavanshi: It is an EPC project, sir, but it's a JV with Sterilite.

Sanjay Kumar Bansal: So, Vishal ji, the total optical fiber business, as Rohan ji said, the trenching and laying off optical fiber will be done by us. And balance like supply work, like optic fiber and routers and all will be supplied by our JV partner, Sterilite Optical. So, there is a split between both the partners, the scope is split.

Vishal Periwal: And maybe two bookkeeping sort of questions. So, in terms of tax rate, how exactly we see for FY '25 and '26 for us? This quarter it was something like 40% odd, so just thought to check.

Sanjay Kumar Bansal: Tax rate is around 33%, sir.

Vishal Periwal: So, it will be 33% for FY '25 and similar for next year, right, sir?

Sanjay Kumar Bansal: Yes.

Vishal Periwal: And then one last thing, even on depreciation, I mean, a sharp reduction that we are seeing. Is it just because I mean the gross block you are seeing a reduction, or you have changed the depreciation rate also?

Sanjay Kumar Bansal: There is no change in depreciation rate. The only reason is net block is reduced because we have not bought fresh equipment in last two years, whereas the depreciation is going on, so net block itself is reducing.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir, in the equity tracker sheet, we have mentioned that the investor equity till June is Rs. 1,646 crores. So, what would be the same number as on March '24?

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Sanjay Kumar Bansal: So, around Rs. 160 crores, Rs. 165 crores is invested this quarter. So, you can minus that from the total equity. So, it is say 1,800 minus 160, so around --

Vaibhav Shah: Sir, have we invested something in Siarmal in this quarter? I wanted the HAM equity as of March. In the last quarter presentation, it was for 16 HAM, so it is not comparable.

Rohan Suryavanshi: I know the reason for that, so we changed this because of feedback from market participants that maybe the way that we were explaining was not giving characters. That's why we changed this.

Sanjay Kumar Bansal: So, Vaibhav, you can see, there is Rs. 164 crores investment in Quarter 1 FY '25. So, you can minus from Rs. 1,800 crores, so it is Rs. 1,540 crores as of March 31st, 2024

4, out of 19 HAM projects and Siarmal.

Vaibhav Shah: So, investment in HAM project in first quarter would be how much out of that Rs. 165 crores? That is what my question is.

Rohan Suryavanshi: Sir, it's all largely to HAM projects only. Siarmal might be very negligible, less than Rs. 5 crores, I am guessing.

Vaibhav Shah: And secondly, the incremental Rs. 760 crores we would be spending, so that would be done from the standalone books now or some subsidies also would be investing, incrementally?

Rohan Suryavanshi: Sorry, some what would be investing?

Sanjay Kumar Bansal: Vaibhav, we are proposing to invest the balance equity from DBL from now onwards.

Vaibhav Shah: Sir secondly on the units which you are expecting the distribution from units of Shrem and Alpha, we have indicated the number. So, what will be the tax implication on this?

Sanjay Kumar Bansal: So, with tax wise the interest is taxable in the hands of the receiver at the maximum tax rate. So, if DBL is showing the interest then it is taxable at the DBL's tax rate. Dividend is free because same is into the old tax design. And then principal return there is no tax. So, we can say, out of

the 13%14% distribution from Shrem, the net tax return is around 11%.

Vaibhav Shah: And the same number for Alpha?

Sanjay Kumar Bansal: Alpha we have projected or estimated around 10 more percentage. So, the net tax return would be lower than even 10%.

Vaibhav Shah: And sir lastly, what are our CAPEX plans on the standalone business for FY '25 and '26?

Sanjay Kumar Bansal: FY '25 we can guide you now, because the total CAPEX would be in the range of Rs. 150 crores to Rs. 170 crores. Out of that, Rs. 30 crores is already done in Quarter 1 .

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Vaibhav Shah: And sir, earlier we had indicated that over a longer term, we are targeting EBITDA margins of 12% to 14 -odd-percent on the standalone DBL. So, this year has been weak in the first quarter and we are expecting somewhere around 11% to 12% for FY '25. But once the execution takes up in say '26 or '27, over the next two to three years, what would be our margin trajectory?

Rohan Suryavanshi: Yes, sir. Once the order book is in line and once , we have good orders, and once the cycle goes back again, that is the margin profile that we think that is very achievable. And that's what we are targeting.

Vaibhav Shah: So, 12% to 14% looks achievable maybe over a longer term?

Rohan Suryavanshi: Yeah, yes sir.

Moderator: Next question is from Prem Khurana from Anand Rathi Shares and Stockbrokers. Please go ahead.

Prem Khurana: Most of my questions are already answered, just one small clarification on our financials that we have reported. So, in consolidated numbers that you have reported, the segment highlights, there was this Rs. 510 crores of loss in annuity projects and others. What exactly would this be?

And even on the EPC side, the margin seems to be almost to the extent of 30 -odd-percen t, which generally used to be sub -10%. Would you be able to kind of clarify these two, please?

Rohan Suryavanshi: Which page are you referring to, if you would be kind enough.

Prem Khurana: The results released tender 15 of 19, the segment highlights consolidated.

Sanjay Kumar Bansal: Which page you are looking at?

Prem Khurana: 15 of 19 of the PDF.

Rohan Suryavanshi: So, I think probably what you are referring to is the losses that are on project during construction period. I think those are the ones because of IndAS rules. But why do not you have a separate call with my finance team to understand it in detail.

Prem Khurana: Because when I look at the comparable quarters, I mean, this number was not this large any time in the past. And even on the EPC side, Rs. 920 crores on Rs. 3,000 crores of top line again seems to be on the higher side versus you look at Q4 or Q1 last yea r was sub 10% sort of

number. So,

no worries, I will take it offline.

Rohan Suryavanshi: Why do not you take it separately.

Prem Khurana: One more small clarification, I think the money that we shared and was supposed to receive from the Alpha Alternators, right, for the 26% stake, Rs. 478 crores there is on Slide 27 is adjusted for the Rs. 160crores that we have received, right?

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Sanjay Kumar Bansal: Out of the Rs. 478 crores, we received Rs. 190 crores this the quarter, current quarter in July 2024.

Prem Khurana: Rs. 190 crores in Q2, you are saying?

Sanjay Kumar Bansal: Yes, and balance will be received majorly in this quarter. And one asset probably may go to early next quarter. So, the balance revenue around Rs. 300 odd crores will be received during this quarter and early next quarter.

Moderator: Thank you. The next question is from Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, this InvIT distribution that we have spoken and what is there in the Page 26 of presentation.

So, broadly, how one can look at in terms of how much this will come to standalone P&L because something will also go to DBL Infra also, so that can help in terms of percentage, broader percentage will help.

Sanjay Kumar Bansal: Shravan ji, out of these 18 assets, these units will come from DBL Alpha. 26% is held by Alpha, balance 74% is held by us. 51% is direct DBL and 23% by the subsidiary to DBL. So, directly in DBL you can see the ratio of 51:23 in total 74%.

Shravan Shah: So, broadly kind of 60%, if I broadly look at it, 51% of 74, broadly 60 -odd-percent that we are doing. And for Shrem how one can look at?

Sanjay Kumar Bansal: Shrem 60:40, 60% DBL and 40% DBL Infra.

Shravan Shah: So, same way, for both broadly it is the 60% that we will be receiving at standalone?

Sanjay Kumar Bansal: Right.

Shravan Shah: And sir, though we have said, I just wanted to further clarify in terms of debtor, on the entire working capital obviously you have explained the inventory at that, wanted to reduce. But in terms of particularly the debtors, will it come back to the normal? As on March it was 48 days, so now as you are saying you have received some money, so in terms of by end of March '25 we will be having the similar 48, 50 odd debtor days?

Sanjay Kumar Bansal: Yes, Shravan ji.

Shravan Shah: And overall total whatever the increase has happened 15, 18 days, so that should also come back to the normal level in terms of the working capital days by end of March?

Sanjay Kumar Bansal: Yes, Shravan ji.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference over to Mr. Rohan Suryavanshi for closing comments.

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Rohan Suryavanshi: On behalf of the whole DBL family, I would like to thank all of you guys for coming here and asking your questions. In case the questions that we were unable to answer, if you were unable to ask, please feel free to reach out to us personally and we would be happy to answer any questions. I look forward to seeing all of you guys in our next quarter call.

Moderator: Thank you very much. On behalf of Dilip Buildcon Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Nov 2024

November 20, 2024

Subject: - Transcript of the Analyst/Investors conference call

In continuation to our letter dated November 08 , 202 4, please find herewith the transcript of the Investor conference call for Investor and analyst held on Thursday, November 14, 2024 at 09.30 AM . (IST) related to the financial results for the quarter ended September 30 , 202 4, conducted through digital means.

The aforesaid information is also made available on the website of the Company i.e.

<https://dilipbuildcon.com/investors/shareholders-centre/>

This is for your information and record.

With Regards,

For, Dilip Buildcon Limited

Abhishek Shrivastava
Company Secretary

To
BSE Limited
Listing Department
P.J Tower, Dalal Street
Mumbai – 400001

To
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051

Stock Symbol -540047 Stock Symbol –DBL
Page 1 of 16

“Dilip Buildcon Limited
Q2 & H1 FY '2 5 Post-Earnings Conference Call ”
November 14, 202 4

MANAGEMENT : MR. DEVENDRA JAIN – MANAGING DIRECT OR AND
CHIEF EXECUTIVE OFFICER – DILIP BUILDCON
LIMITED
MR. ROHAN SURYAVANSHI – HEAD STRATEGY AND
PLANNING – DILIP BUILDCON LIMITED
MR. SANJAY KUMAR BANSAL – CHIEF FINANCIAL
OFFICER – DILIP BUILDCON LIMITED

MODERATOR : MS. JILL CHANDRANI – S-ANCIAL TECHNOLOGIES
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Dilip Buildcon Limited Q2 and H1 FY '25

Post-Earnings Conference Call hosted by S -Ancial Technologies. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Ms. Jill Chandrani from S -Ancial Technologies. Thank you, and over to you, ma'am.

Jill Chandrani : Thank you, Neha. Good morning, everyone. Welcome to Dilip Buildcon Limited Q2 and H1 FY '25 earnings conference call. From the management, we have with us today, Mr. Devendra Jain, Managing Director and CEO; Rohan Suryavanshi, Head, Strategy & Planning; and Mr. Sanjay Kumar Bansal, Chief Financial Officer. Before we begin this call, let me mention the standard disclaimer.

The presentation that we have uploaded on stock exchange, including the interaction in this call which contains or may contain some forward -looking statements concerning our business prospects and profitability, which are subject to some uncertainties and actual results could differ from those.

Now I request the management to take us through the key remarks, after which we can open the floor for question -and-answer session. Now I hand over the call to Mr. Rohan Suryavanshi for his opening remarks. Thank you. And over to you sir.

Rohan Suryavanshi : Thank you, Jill. On behalf of Dilip Buildcon Limited, I welcome all the participants in our Q2 and H1 FY '25 results con call. The results and presentation have been uploaded on the stock exchange, and I hope all of you had a chance to look at it. At the outset, I would like to share some industry updates, and then I'll touch upon the company. So the infrastructure awarding activity in recent months has seen some deceleration.

However, we anticipate a pickup in the near future, fuelled by several initiatives like the PM Gati Shakti. Ministry Of Road Transport and Highways has outlined a remarkable goal for FY '25. In the new union budget 2025, the government has high aspirations for the infrastructure sector with a view to making it a power house in our economy.

Road and highway transport was allocated INR2.78 lakh crores. And despite a slow start this fiscal year due to election season and modern code of conduct and the various ministries getting set up in place, MoRTH is committed to finalizing these contracts as confirmed by the honorable Union Minister. The Honorable Minister has stated that India will achieve the highest ever highway construction level this fiscal year. So , we remain optimistic.

As of August 2024, around 700 kilometers of projects were awarded while 2,700 kilometers of national highway have been completed. Although this is lower than last year's pace, we expect a significant uptrend as awarding activities regain momentum.

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Another noteworthy development is the MoRTH's ambitious INR1 trillion investment in 74 new highway tunnels, spanning 273 kilometers. Notably 35 tunnels, covering 49 kilometers have already been completed, and this sustained focus on tunnelling is poised to unlock further growth opportunity for our company.

In other infrastructure news, in FY '25, Indian Railways has allocated INR1.74 trillion for infrastructure facility upgrades and safety enhancements. Similarly, Coal India Limited is advancing 119 projects, adding 896 million tons in annual capacity with INR1.33 lakh crores using advanced technology for productivity and sustainable mining.

Even from an outsider perspective, according to Morgan Stanley, investments in India'

s

infrastructure are projected to grow at an impressive 15.3% CAGR over the next five years, amounting to an estimated \$1.5 trillion in cumulative spending. This investment wave will significantly boost India's growth trajectory, reinforcing its position as an emerging global economic powerhouse.

Now coming to the sector and the company. During the quarter under review, ordering activity was weak across all sectors, which was expected because of elections, but now it is expected to pick up going forward. Just like in the past years, quarter three and quarter four specifically get heavy ordering. On the back of our strong order pipeline and our presence across all infra segments, we're expecting a good order flow in the next few months.

Currently, over INR1 lakh crores of NHAI and MoRTH orders already floated and expected to open in this financial year. In this, there is about 70% HAM and 30% EPC. Besides these rolled orders, company is also looking at opportunities in other sectors where we are evaluating orders of INR90,000 crores.

I'm happy to announce that we got our first breakthrough in optical fiber laying business by securing first order of BSNL in partnership with STL of about INR1,625 crores. In this order, our share is about 70%. Also to update, as I mentioned last time, there were certain challenges

in the JJM project's money coming through. We still continue to face those challenges, even though it is of an improvement trajectory, but the situation has still persisted in this current quarter as well. We're expecting more improvement in relief from the this quarter and next onwards.

Now in continuation of our vision of DBL 2.0, I'm happy to report that our long -term revenue base business is growing at a fast pace. This plan envisages predictable free cash flows, improving return ratios and zero debt on a standalone basis. So , when you look at DBL going forward, you will have to look at the consolidated numbers to get a better perspective. Even in this quarter, we have achieved the highest ever quarter ly PAT on a consolidated basis.

Our focus is to keep increasing this. But in the same breath if I have to give you guidance on the standalone revenue for this year, given that the order inflow has been weak till now, we're expecting a degrowth of around 10% in FY '25. The EBITDA margins are still created to be in the 11%, 12% as we had indicated earlier. However, the consolidated margin will be higher than last year. Let me reiterate that, that the consolidated margin will be higher than last year.

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The debt reduction guidance on a standalone basis for this year may change slightly because of lower revenue and lower order inflow, but it will still be reduced from the past year debt. So , the key takeaway here is that DBL is focused on being a net debt zero company as we had indicated earlier. Even if the timing is postponed by six months or so, but our target still remains the same.

Now coming to our investment portfolio of HAM assets, I am happy to inform that recently we have fully concluded the Shrem InvIT deal with transfer of 51% equity stake in the last project. With this, our entire deal with Shrem is concluded and we will continue to do the O&M of their assets for the life duration of those assets. This provides us with long -term assured revenue stream. And this O&M revenue stream, which will keep on increasing as our own InvIT asset pool is getting larger in size.

To talk about our own InvIT as well and to give you update on that, the InvIT Alpha, we are progressing as per the plan. Till now, we have transferred 26% stake in seven assets out of a total deal of 18 assets. These seven assets have received COD and the annuity has started. One more asset will receive COD in this month, post which it will also be transferred to Alpha and eventually to the InvIT. This will c

onclude the first tranche of Alpha deal. Our InvIT formation process is also progressing well. We have received SEBI approval for forming public InvIT. Now coming to our coal business. Our coal MDO business is on an accelerated execution path. I'm very happy to report that we have achieved production of 10.2 million metric tons in the first half of the year as compared to our target of 22 million metric tons for the full year. We are also confident and on track to beat this target by at least 10% to 15%, meaning we will end up doing this year with almost about 25 million metric tons of coal production.

Now with this update, I would like to hand over the call to our CFO for the financial overview.

Thank you.

Sanjay Bansal : Thank you, Rohan Ji. Good morning, everyone. I welcome all our stakeholders to our earning call for the quarter ended 30 September, 2024. Let me present the standalone and consolidated results of Dilip Buildcon Limited for the quarter and half year ended 30 September, 2024. On standalone basis, on Y -o-Y basis, revenue decreased by 10.3% to INR2,177 crores against INR2,427 crores in quarter two FY '24. The EBITDA decreased by 24% in quarter two FY '25 against INR294 crores EBITDA in quarter two FY '24.

Profit after tax increased by about 8% in quarter two FY '25 to INR129 crores against INR120 crores in quarter two FY '24. Now let me update on the consolidated performance of Dilip Buildcon. The revenue on Y -o-Y basis decreased by 13.6% to INR2,461 crores in quarter two FY '25 against the revenue of INR2,849 crores in quarter two FY '24.

The EBITDA increased by about 47% in quarter two FY '25 to INR500 crores from INR340 crores in quarter two FY '24 and this is mainly due to better performance of our MDO business and completed six HAM projects at the end of 30 September, 2024. The profit after tax is also increased by 263% to INR266 crores in quarter two FY '25 against INR73 crores in quarter two FY '24.

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The consolidated performance for half year basis, Y -o-Y, so the revenue decreased by about 3% in H1FY '25 to INR5,595 crores from INR5,769 crores in H1 FY '24. The EBITDA increased by 33% to INR977 crores in H1 FY '25 versus INR734 crores in H1 FY '24. The profit after tax increased by 374% in H1 FY '25 to INR406 crores from INR85 crores in H1

FY '24. This increase in profit after tax by 374% is mainly due to the better performance of MDO business, completed six HAM projects and exceptional items of INR158 crores .

Thank you, all. And now we can open the floor for questions and answers.

Mod erator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Kunal Ochiramani from Kitara Capital. Please go ahead.

Kunal Oc hiramani: Hi, sir. I just wanted to ask like you told you are evaluating some orders of INR90,000 crores in other sectors. We are well diversified. How to look at your company at five years' perspective as to how will we gauge the order book? And as our realizations or let's say the conversion is going down this year, there's a dip in revenue this year. How do you see it in next year and next year up?

Rohan Suryavanshi: Kunal ji, a great question. When we're looking at DBL five years down the line, how should we envisage this company? So, I think there are two sort of distinct ways that you'll have to look at the company. One is DBL as a short -term revenue and DBL on the long -term revenue basis that I mentioned. The short -term revenue will be the EPC projects that we do. These are typically two to four years' timeline projects.

And this DBL will continue to do because of all the inherent engineering and execution capabilities that we have built over the last few years. We have our own equipment bank, our own people and all the credentials and an experience of having worked in all ar

ound 22 states

now. So , we will be continuing to do work in all those states in all the sectors that we are already doing. And we may also add some more depending on what new opportunities are presented by the government in the country at that point of time.

Bcause at the end of the day, the trick or I guess the biggest thing of doing any infra project is the execution capability and where we are very confident of being able to manage all those nuances of a project very well. So that will be one part of the DBL that will continue to keep growing.

The second pie which we mentioned and which will set us apart in the sector and in this area is that we are focusing on a long -term revenue business model as well. So , there will be an increasing share in both our revenue and, more than that, our bottom line from the long -term business. These businesses, the two pillars of those business will be -- one, will be the coal business where four or five years down the line, we will be possibly the second largest maybe after Adani in terms of the coal production that we'll do, because we will be doing almost 60 million metric ton of coal production by that time.

Currently, in this year, we will do about 25 million, but at that time we will be doing about 60 million metric ton of coal production which will give us a clear revenue of about INR3,500 crores to INR5,000 crores of revenue coming from that sector. So that, and this is without Dilip Buildcon Limited

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accounting for new projects that we are already bidding for. I'm just talking about the current order that we already have. So, when I say this 60 million metric ton of coal production, this accounts or amounts to almost 10% of the Coal India current production.

So that is the scale of operations that DBL will be sort of doing that. And as we add more mines to it, this will keep on increasing. The second bit of this long -term revenue pie will be our InvIT business, the one that we're setting up with Alpha. The 18 projects that we've already committed there already gives us about equity valuation of our 74% that we'll be holding of about somewhere in the range of INR4,000 crores, which will give us INR400 crores, INR450 crores of cash flow every year.

This, in the next five years, will also increase because we will add more HAM projects of our own. Also, the InvIT will be procuring more assets from market. So , our revenue from that will also keep on increasing. So , if I look at a five year down the plan, my two large sort of fixed businesses alone will be throwing out an EBITDA of more than INR1,500 crores easily like when I'm talking about the coal and just this InvIT business.

Besides that, whatever revenue we do on the standalone basis will again, let's say, even if you're doing like some INR8,000 crores, INR10,000 crores of revenue, let's assume at the same current ratio, again if you imagine 10%, 12% of EBITDA, it will again throw out that initially. So , we will have not only increased that bottom line.

But we will also have very predictable and assured long -term cash flows, which in this sector and this industry is difficult to find. So , our learning after COVID was we want to build an institution where there are long -term predictable cash flows and we can continue growing that business year after year. So that was the idea and that's where we see ourselves in five years from now.

Kunal Ochiramani: In H2, how we see as the company is when we value or when we see our coal business and InvIT business is fairly estimable that we can estimate and we can arrive at a value or we have some visibility on the business. Can you comment something on EPC side as to how will our

order book grow or some internal estimates you guys see that at least 10% or some ballpark number you have in mind?

Rohan Suryavanshi: So DBL in the past was obviously known for a faster growth rat

e where we were also investing

a lot in both our bank facilities and also investing our equipment going forward as we have indicated. We are really targeting a growth of 5% to 10%. So that is the growth rate that we will continue to target.

Now when it comes to a five -year plan around what are the businesses, that question is better asked to the government because they are the ones who planned out. They have laid out a vision. If you look at the last 10 years of this government, they have kept on increasing the infrastructure budget year -on-year, when in 2014, the total infrastructure budget was about INR2.5 lakh crores or somewhere in that ballpark.

Last year it was about INR10 lakh crores -- sorry, INR11 lakh crores. This financial was INR11 lakh -something crores. So , this pie will keep on increasing. And as this pie keeps

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increasing, our business should keep on increasing as we have also gone into different sectors.

So that's how it will look, sir.

Kunal Ochiramani: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Hi, sir. Thank you very much. Sir, just a couple of questions on the pure construction part. You have explained very well on the MDO and InvIT part. So , first is this BSNL order, so what would be the 70% EPC value excluding GST for us?

Sanjay Kumar Bansal : Shravan ji, the total order value is INR1,625 crores , and we have about 75% work basically allocated to us. And this value is basically construction. And thereafter around seven years, there is a O&M also. So, there will be additional revenue from O&M also, which is not included in INR1,625 crores .

Shravan Shah: Okay. So here also, the 18% GST is there?

Sanjay Kumar Bansal : Yes.

Shravan Shah: Okay.

Rohan Suryavanshi: This is exclusive GST. This number that you see, INR1,625 crores , is excluding GST.

Sanjay Kumar Bansal : Excluding GST and the O&M value which is about INR925 crores or something...

Rohan Suryavanshi: INR975 crores. About INR1, 000 crores of O&Ms will also come.

Shravan Shah: Okay. You have mentioned that is including the GST, INR1,625 crores is including GST.

Rohan Suryavanshi: I don't think it's including GST. But we'll

Sanjay Kumar Bansal : But we'll rectify the mistake there.

Shravan Shah: No issues.

Sanjay Kumar Bansal : DBL part is 70% in the execution and the O&M. So, O&M is also INR975 crores above the INR1,625 crores .

Shravan Shah: Okay. Got it. So now broadly in terms of order inflow for this year, so you have highlighted

even INR90,000 crores tenders you are evaluating. So , if you can also help us in terms of sector -wise breakup which are the segments and also road also if you can help us what's the pipeline and what we are looking at. So , net-net, INR1,100 crores plus this INR1,200 -odd crores , so kind of a INR2,300 crores kind of order inflow that we have already received.

So how much more we will be looking at for this year. So INR15,000 crores , INR16,000 crores last time we said that we are looking at in terms of inflow. And also, just to clarify, out of this, are we also including the MDO mining inflow that we normally take for three -year

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kind of a revenue? So that is also included in this whatever the full year order inflow we are looking at?

Rohan Suryavanshi: Sir, when we speak about new order inflow, when we mentioned INR15,000 crores to INR16,000 crores, that means the new order that we are targeting this year. It doesn't include what have already we won, number one. Number two, the target remains to be in that zone only that INR15,000 crores , INR16,000 crores target that we've mentioned. I obviously can't give you a breakup of all the sectors, like piece

-by-piece breakup of all the sectors that like how you expecting.

But the current sectors that we're working in, these orders are in all those sectors and we are looking at those orders. So that's the key takeaway. Even in the past, we've never given like a

detailed breakup of each sectors, this thing. The road sector we do mention. The other sector, we give you an overarching picture and that we are bidding for these projects. So that's what we're trying to do here also.

Shravan Shah: Okay. And now in terms of debt reduction, so just to get a more clarity, so which has increased close to INR700 crores plus in 1H at a gross level. So from now onwards, how much more reduction we are looking at by March end ? And in terms of the net debt free by FY '26, so that remains intact?

Sanjay Kumar Bansal : Shravan ji, the debt is primarily increased because of the working capital changes, especially the delayed receivable from JJM projects and the accumulation of the GST and TDS credit and we have faster paid to creditors. So, in all, we have basically invested in working capital around INR700 crores and corresponding debt has increased. In terms of debt reduction, Rohan ji already detailed in his speech. Rohan ji, please.

Rohan Suryavanshi: Shravan ji, like I mentioned in the speech as well, our target still remains to reduce debt. While we will be able to achieve the earlier number that we have done or not remains to be seen. We are optimistic. But even though if we rationalize it a little bit to take a prudent sort of look at things, we will reduce the amount of debt . The amount of total debt will be lower than last year's debt.

So that is for sure we are aiming, even though it might not reduce to the level that we earlier thought it will and primarily because we didn't get the orders that we thought we will, which would have culminated into revenue and improved our margins. Number two, when you get new orders you also get the mobilization advance which culminates the older projects where mobilization advance is getting cut. So , there is always a sweet spot which continues going there. So that's why.

Sanjay Kumar Bansal : And Shravan ji, let me add to what Rohan ji said. So , this is temporary phenomena. Our debt free company, the estimates are printed, so what we envisage in past, the company will be debt free on the similar lines.

Shravan Shah: So now, are we saying that we can be a net debt free by even FY '27 and may not be in FY '26?

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Rohan Suryavanshi: Yes, sir. If not FY '26, so FY '27. So, like '27 is where we will do it. So that's why I said, there is a postponement of this trajectory that we had started on because of the things which are outside our control. The lower order sort of inflow that came in and all of that and revenue that got hit. But the trajectory still remains the same. There is no plan to sort of change this or do anything else. The trajectory you will see here on are happening.

Shravan Shah: Okay. And what was the DBL Infra debt? Was it the similar INR650 -odd crores as on September?

Sanjay Kumar Bansal : Yes. So, the net debt at DBL Infra Asset level is INR645 crores .

Shravan Shah: Okay. Got it. And so broadly in terms of the whatever we are looking at INR400 crores , INR450 -odd crores InvIT inflow to those as a dividend and plus interest and everything. So how much broadly? So , this 1H how much we have received and at standalone level? And if possible, how more we are looking at in the second half and then maybe FY '26 if you can help us there?

Sanjay Kumar Bansal : So Shravan ji, the total inflow what is projected to be received from the overall unit holding in InvIT is around INR95 crores . Out of that, around INR45 crores has been received and it is in 60-40 ratio. 60% in DBL and 40% in Infra Asset.

Shravan Shah: Okay. Got it. And then this Alpha Alte

native will start from FY '26 onwards only?

Rohan Suryavanshi: Yes.

Shravan Shah: Okay. Got it. And then just to recheck in terms of the capex just a INR46 crores we have done, so for full year at standalone level, how much we can look at?

Sanjay Kumar Bansal : Shravan ji, the total capex in FY '24 -'25 would be around INR150 crores . So total INR116 crores is already incurred.

Shravan Shah: Okay. Okay. Got it. And sir, when we say now we got the SEBI approval for Public InvIT . So, does that mean that it will be listed on the stock exchanges?

Sanjay Kumar Bansal : This is first approval and the lawyers and the bankers are creating the document. So , it will be filed once ready. So, our plan to launch the InvIT will remain intact.

Rohan Suryavanshi: Yes, it will be listed on the exchanges, sir.

Shravan Shah: So maybe six months down the line, one can look at this will be listed?

Rohan Suryavanshi: Yes, six months or so, sir.

Shravan Shah: Okay. Got it, sir. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Deepak Purswani from Svan Investment.

Please go ahead.

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Deepak Purswani: Hi. Good morning, sir. Sir, just wanted to check it out on two questions. Firstly, on the net debt front, we mentioned it has got delayed by one year and we are looking at net debt free by FY '27. What is the expectation by end of FY '25 at the current juncture now? Earlier, we were saying it would be around INR1,000 odd crores. How should we see this year we would be closing it out?

Sanjay Kumar Bansal: Deepak ji, the net debt at end of '24 was INR1,515 crores. Today, the debt is increased because of the delayed receivable. We are expecting some relaxation. So, there will be reduction by the end of FY '25, but we can't permit a higher number. But it will be definitely reduced from the level which we had on 31 March, 2024.

Deepak Purswani: Okay. And secondly, it's good to see there is a sharp ramp up in the MDO business. I think volume on the overall basis has increased to 10.3, which is close to last year volume in the first half itself. If you can also share the revenues and EBITDA, how much has been the total revenue from the MDO business in first half and what has been EBITDA?

Sanjay Kumar Bansal: Deepak Ji, we don't share the entity-to-entity EBITDA. So, I detailed out in my presentation, the increase in consol performance is because of these factors, the MDO business and the completed HAM projects.

Deepak Purswani: Okay. And in terms of the further ramp up in the production of MDO, how should we look into the full year as a whole now currently and what should be the expectation over the next two years for the MDO business?

Sanjay Kumar Bansal: So MDO, there are two MDOs, Siarmal and Pachhwara. Pachhwara, there is a fix production of 7 million ton we will be achieving this year. And this 7 million ton s will continue for 55 years. So, the performance, what we will do this year will continue for next 54 years. In terms of Siarmal, this year, originally, we have indicated target by 15 million ton. And as Rohan Ji detailed out in his presentation, we will increase this production by 10% to 15%, meaning 17 million, 18 million ton this year.

So in total, it is 24 million, 25 million ton this year MDO business and, next year, it will rise by another 10 million. In FY '28, we will be doing 60 million ton as Rohan Ji said.

Moderator: Thank you. The next question is from the line of Narendra from RoboCapital. Please go ahead.

Narendra: So sir, earlier if I'm not wrong, you had guided for a INR15,000 crores kind of order inflow.

So, are we still expecting that?

Rohan Suryavanshi: Yes, we have guided for an order inflow of INR15,000 crores last year -- I mean in this -- for this financial year.

Narendra: Sorry, sir. I did not get you. Sorry.

Rohan S

uryavanshi: You're saying we have guided for a INR15,000 crores order inflow, right? That's what you asked for? Yes, we have guided for that.

Narendra: So are we still on track or do we see some softness?

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Rohan Suryavanshi: Yes, we are optimistic on that number because there's still the larger orders have not sort of been bidden out and we are bidding for them. So we're already sort of working on those orders.

Like I mentioned, there's almost a INR2 lakh crores order pipeline that DBL is currently evaluating. So we are fairly optimistic that we should be in that range. And out of that INR15,000 crores we've already won orders about INR3,000 crores till now. There's INR12,000 more crores that we need to win.

Narendra: Okay. Great, sir. And on the margin front, sir, there was some softness this quarter. So was it due to the seasonal nature or what was the reason and are we optimistic for that 11%, 12% kind of a margin?

Rohan Suryavanshi: Yes. The margins were soft because of seasonality and also because of lower execution. However, we have guided towards an 11%, 12% margin only for the year keeping in mind some of these things. So that is how you should look at the year on a standalone basis.

Narendra: Okay, sir. And would it be possible to give a light on the margins in the MDO project that you are doing? What would be the ballpark number for margins there?

Rohan Suryavanshi: Sir, we don't share margin sector-by-sector. We only share like the company margins.

Narendra: You mentioned that you will be getting around INR1,500 crores of EBITDA these long-term projects, right? The InvIT and MDO project, right, you did mention that?

Rohan Suryavanshi: Yes. So that -- we've mentioned those three -- like the two items, the inflow from InvIT and the MDO business. You're right.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial Limited. Please go ahead.

Vaibhav Shah: Sir, so we have guided for a 10% decline in terms of revenue for FY '25. So given the lower base now, so can FY '26 see a better growth or it should be in the range of say 5% to 10% -odd.

Rohan Suryavanshi: Yes, sir. Obviously, it will see, because we will have the orders that we've guided for. So once that execution starts, there will be a ramp up in revenue.

Vaibhav Shah: So any particular guidance from your end in terms of revenue growth?

Rohan Suryavanshi: Sir, I think to give you a better perspective on that will be when end of the year we're sitting with an order book and where we are exactly, we'll give you a better precise number rather than shooting in the dark right now with still expecting for orders.

Vaibhav Shah : Okay. And over a longer term, say two to three years, a margin should be in the range of 11% to 12%.

Rohan Suryavanshi: Yes, sir. Easily, it will be in that 12% and all, it will be easily there. Though we should look at the consol numbers going forward like we mentioned because all of it will not be captured on the standalone, the margins that the company will be making. So you should start also paying closer attention to the consol numbers as we go forward, sir.

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Moderator: The next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Just firstly, if you could explain to us the BharatNet project which we have backed in consortium with Sterlite. What is our scope of work here? And for the O&M part also, the proportionate of 70% -30% holds good?

Rohan Suryavanshi: So the scope of work, there is the trenching and laying of the cables. That is what we'll be doing in execution. And it's maintenance of the same and O&M.

Saket Kapoor: Sir, I missed your point. Come again, please.

Rohan Suryavanshi: Sir, it's the trenching and laying of cables and the O&M

of it.

Saket Kapoor: Okay. I mean, the O&M also, the INR925 crores , 70% -30% ratio prevails similarly.

Rohan Suryavanshi: Yes, yes, sir.

Saket Kapoor: Okay. But taking into account the realm of things and the space where we are, what drew us to this INR1,000 crores , INR1,500 crores , INR1,600 crores INR1,800 crores order in a totally different field altogether? Although, sir, I think so we bid for eight of the packages but we were awarded one. So if you could just give us some color on the experience and we have garnered from this type of -- participating in the project.

And how does it make that a significance for us to diverge into these businesses or this line of operations, sir?

Rohan Suryavanshi: Sir, obviously, we had bid together. We and STL had bid for all the packages. Unfortunately, we did not win more. So , our idea was to obviously do a bigger portion of this. Now coming to what is the work and expertise, this is a very simple job compared to a road business or any other infrastructure business that we do. Whether it is metro or tunnelling, all of it is far more, engineering wise, more complex.

This is a simple trenching, digging up of a hole and then laying that. So , we already have the equipment for that and manpower. So , it's a very simple job that we'll be doing. And this kind of stuff we already do on our road projects and all. So , it's a very simple sort of project execution where we already have all the equipment and people. So that's why we were doing it along with this, STL.

Saket Kapoor: When we look at being one of the MDO operator for the coal mine part, how many players have been garnered the project or are we singly operating the mine?

Rohan Suryavanshi: I didn't understand the question, sir.

Saket Kapoor: Sir, I was trying to understand whether in the coal mine part also, there are a lot of players operating in as MDO or are we the sole people?

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Rohan Suryavanshi: Sir, there are people in the coal business as well. They are very separate than what we see in the road business. There are separate set of players in the coal MDO business , since it has a different set of challenges. So , there is different competition there as well.

Saket Kapoor: Sir, I didn't get the point. Sir, I was asking that as an MDO operator for the mines where we are operating and we are also alluding to the fact that going ahead, we will be the second largest MDO operator for coal mines in India after Adani. So in this project also, we are garnering total output for the -- our client as a single person or here also we have formed a consortium and we are sharing a part of it?

Sanjay Kumar Bansal : So Saket ji, we said we have two MDOs, one 50 million ton every year and 7 million ton every year. This makes two 57 million ton. So today, we have two principles only, the ECL for Pachhwara and MCL for Siarmal project. So , with these two, we will be achieving about 60 million ton. And there are other set of MDO players in market like Adani and others. So there are few people working in MDO segment as well.

Saket Kapoor: Okay. And sir, what explain the increase in capital work in progress at standalone number also and if you could give the breakup for the consol part also, the capital work in progress?

Sanjay Kumar Bansal: So in terms of capital work in progress first, standalone basis, it is INR80 crores . This is part of our INR150 crores total capex this year at standalone level. And in the SPVs, the HAM SPVs, the capital work in progress is HAM capital working progress and one part of MDO. So in Siarmal, we have capital work in progress for the project capex, which is already approved by the authorities.

Saket Kapoor: Okay. And lastly sir, we have also heard from BSNL in fact that that one of the tender participant has even approached the court to challenge the tend

er process having unfair

practices. So are we aware of this? This is a notification from BSNL itself dated yesterday, 13 November.

Sanjay Kumar Bansal: So Saket Ji, we are not aware about any objection made by any participant in the tenders.

Moderator: Thank you. The next question is from the line Rishikesh from RoboCapital. Please go ahead.

Rishikesh: Sir, in the last call, we had shared that we were going to receive around INR477 crores from Alpha during this year. But it looks like the timelines have been shifted to FY '26 and '27.

Would like to know is there any possibility for these cash flows to go beyond FY '27 as well or are we fully confident that we will receive these cash flows in the set timelines?

Sanjay Bansal: So let me correct basically, last quarter presentation, INR477 crores was shown from the eight assets. So balance five assets we have shed, INR477 crores will be received. Out of that, only INR61 crores is pending. You refer the line on Page number 28, only from eight assets. And the another line is added for the another 10 assets, 26%, which is INR550 crores .

So that 10 assets are still not complete. So once the asset s will complete, this INR550 crores is additional to the INR477 crores . So out of 477 crores , only INR61 is pending. Others already received.

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Rishikesh: Okay. So we are seeing that around INR400 crores has been received basically?

Rohan Suryavanshi: Yes.

Moderator: The next follow -up question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, I just wanted to check when we are saying our net debt -- even if we are saying some reduction will be there on Y -o-Y basis, so that means close to INR800 crores kind of a reduction that we are looking at in the second half of this financial year. So can you help us how this will be done?

Sanjay Kumar Bansal: So one is basically we are expecting unlocking the working capital what we invested in first half. So it is basically the JJM projects and the TDS and the income tax refund. So basically, the original position will be restated by 31 st March, 2025 and further reduction from the operational cash flows. So we said from the FY '24 level, there will be slightly reduction by as of 31 st March, 2025.

Shravan Shah: So in terms of the 1H, in terms of standalone, the finance cost is close to INR242 -odd crores , so INR120 crores , INR122 crores quarterly. So at least for next two quarters the similar run rate will be there?

Sanjay Kumar Bansal: So Shravan Ji, I would say little bit relaxed from the first half, not very significantly down. But yes, it will be in the range where we are in H1.

Shravan Shah: And sir, in terms of the inventory days, so obviously, we are trying to reduce. But do we see that any material reduction is possible even in next one, two years?

Sanjay Kumar Bansal: Shravan Ji, we are working for each and every balance sheet item. So yes, there will be reduction in working capital days going forward. I can't tell you whether it will be in inventory or debtor. But yes, net working capital days will be reduced by some extent.

Moderator: The next follow -up question is from the line of Saket Kapoor from Kapoor & Company

Saket Kapoor: Sir, for the margin profile for the BharatNet project, can you explain to us how the margins will look like?

Rohan Suryavanshi: We try and build all projects on the similar margin profile, so what we have indicated towards, this project will also have that kind of margin profile.

Saket Kapoor: So this 11% to 12% EBITDA margin is what we are eyeing even for this BharatNet project?

Rohan Suryavanshi: Yes.

Saket Kapoor: Okay, sir. And sir, since you mentioned that we have bid in consortium with Sterlite for all the projects. So , is this margin profile the key reason for so many people participating for

these

packages or what has led to you gathering only one of the same and not getting further even though your partner has an expertise in laying off OFC cable?

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Rohan Suryavanshi: Sir, we are also evaluating, but that is life. When you bid for a lot of projects, even on the NHAI road side, we end up winning 5%, 6% of the project that we bid for. So similarly, here also we had bid for enough but we didn't get. So it's just hard luck, tough luck. It's the nature of L1 business and that's how it kind of works. Either you work on your margin profile or you reduce the margins and then you can get more orders.

Saket Kapoor: Okay. Sir, you have also spoken about delay in receivables. So which government entity has delayed in releasing the funds and in which projects?

Rohan Suryavanshi: Jal Jeevan Mission projects, there, the central government has not released their share to the states, which is why there is delay. And this is across many states. In fact, all states where JJM projects are going, the central government has not released its part. Only the state government have been doing their part, which is why there is a build-up of sort of receivables from the government in these projects. And this is across for all players across all states.

Saket Kapoor: Okay. And what are the reasons the government have highlighted for this non-compliance from their end?

Rohan Suryavanshi: Sir, I think -- yes, there's an increase in miles. But you are asking the wrong person that question. I think you should be asking the government that question, what are the reasons. I only know that there's an increase in budget which is why they are sort of evaluating how to and re, sort of, stating the budget and getting more approvals there. That's the reason that I know. If there are more things that are happening in the background.

I am not privy to that. But you should definitely reach out to the government and ask them why has there been a delay in the payments.

Saket Kapoor: Okay. And sir, lastly, on the AMRUT 2 scheme also wherein the river-linking projects have been showcased. So in your bid pipeline, do you have this, the river-linking project of the central government under the AMRUT 2 also wherein we are participating or we are keen to bid for?

Rohan Suryavanshi: Sir, whenever these projects come and they fit into our project profile -- so if they fit into our project profile and the kind of project that we look at, then we'll obviously bid for them. That's all I can say on that matter right now.

Saket Kapoor: Okay. So we have not exactly bid as of now for the river-linking project?

Rohan Suryavanshi: No, sir, we've not.

Moderator: Thank you. Ladies and gentlemen, we'll take this as the last question. I'll now hand the conference over to Mr. Rohan Suryavanshi for closing comments.

Rohan Suryavanshi: I thank all the participants to come and ask all the questions that they had. If anyone could not get their questions answered, please feel free to reach out to our IR or our team and we'd be happy to give you more information on that. I look forward to seeing you guys in the next

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quarter, the next year. I wish you all a great New Year. And I hope all of you had a phenomenal Diwali. Thank you from everyone here at the DBL team.

Moderator: On behalf of the Dilip Buildcon Limited that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

February 21, 2025

Subject: - Transcript of the Analyst/Investors conference call

In continuation to our letter dated February 11, 2024 , please find herewith the transcript of the Investor conference call for Investor and analyst held on Saturday , February 15, 2025 at 10.00 AM. (IST) related to the financial results for the quarter and nine month s ended December 31, 2024 , conducted through digital means.

The aforesaid information is also made available on the website of the C ompany i.e.

<https://dilipbuildcon.com/investors/shareholders-centre/>

This is for your information and record.

With Regards,

For, Dilip Buildcon Limited

Abhishek Shrivastava
Company Secretary

To
BSE Limited
Listing Department
P.J Tower, Dalal Street
Mumbai – 400001

To
National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051

Stock Symbol -540047 Stock Symbol –DBL
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“Dilip Buildcon Limited
Q3 & 9 Months FY '25 Earnings Conference Call ”
February 15, 2025

MANAGEMENT : M R. DEVENDRA JAIN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DILIP BUILDCON
LIMITED
MR. ROHAN SURYAVANSHI – HEAD STRATEGY AND
PLANNING – DILIP BUILDCON LIMITED
MR. SANJAY KUMAR BANSAL – CHIEF FINANCIAL
OFFICER – DILIP BUILDCON LIMITED

MODERATOR : M S. JILL CHANDRANI – S-A NCIAL TECHNOLOGIES
PRIVATE LIMITED

Dilip Buildcon Limited
February 15, 2025

Moderator: Ladies and gentlemen, good morning, and welcome to the Q3 and 9 Months FY '25 Earnings Conference Call of Dilip Buildcon Limited hosted by S-Ancial Technologies Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Jill Chandrani from S-Ancial Technologies. Thank you, and over to you, ma'am.

Jill Chandrani: Thank you, Alaric. Good morning, everyone. Welcome to Dilip Buildcon Q3 and 9 Months FY '25 Earnings Conference Call. From the management, we have with us today, Mr. Devendra Jain, Managing Director and CEO; Mr. Rohan Suryavanshi, Head, Strategy and Planning; and Mr. Sanjay Kumar Bansal, Chief Financial Officer.

Before we proceed with the call, let me mention the standard disclaimer. The presentation that we have uploaded on the Stock Exchange, including the interaction in this call, may contain certain forward-looking statements concerning our business prospects and profitability, which are subject to certain uncertainties. The actual results could differ from those.

Now I request the management to take us through the key remarks, after which we can open the floor for question-and-answer session. Now I hand over the call to Mr. Rohan Suryavanshi for his opening remarks. Thank you, and over to you, sir.

Rohan Suryavanshi: Thank you, Jill. The results and presentation have been uploaded on the stock exchange, and I hope all of you have had a chance to look at it. On behalf of the whole DBL family, I'd like to welcome all our partners for the quarter 3 and 9-month FY '25 earnings conference call.

To begin with, let me share some updates on the budget and sector. The current government has consistently focused on infrastructure development of the country and has played a pivotal role in positioning the country as one of the world's leading economies in the near future. This commitment has also created opportunities for millions of people across the nation.

In this budget, the capital expenditure allocation stands at INR1,70,266 crores for NHAI and INR1,16,292 crores for MoRTH. Other major allocations include INR1.5 lakh crores in interest-free 50-year loans to states for infrastructure projects for capital expenditure and reforms. Indian Railways has been allocated INR45,530 crores.

Ministry of Coal has been allocated INR750 crores. And additionally, an urban challenge fund of INR1 lakh crores will be established to transform cities into growth hubs while improving sanitation and water infrastructure.

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To initiate this, the government has allocated INR10,000 crores for FY '25-'26. A significant emphasis has been placed on developing new greenfield airports across the country. All these different initiatives will not just help the sector to grow, but would also help in developing the country's infrastructure and boost the economy. In FY '25, the government plans to construct 10,400 kilometers of national highways with National Highway Authority of India targeting 5,000 kilometers. The government aims to award 12,900 kilometers of highway projects in FY '25, which is a 50% increase over FY '24, bolstered by the national infrastructure pipeline and the enhanced union budget capital expenditure.

The current government has plans to introduce a new mega highway construction program that aligns with the 2047 vision of our PM Narendra Modi ji. The proposed program will establish clear criteria for identifying roads of national importance and also bring changes to the model

concession agreement to expedite infrastructure development and minimize contract disputes and litigation. All these activities reflect the government's focus on the sector and on developing the country's infrastructure.

During the quarter under review, ordering activity has remained weak across all sectors, which has been the same case for this whole year. But going forward, we're expecting clearing a lot of the order backlog across infrastructure verticals as these orders have been floated. To discuss about our financial performance of the last quarter, our CFO will dive deeper in the following remarks, but I would like to provide some contextual perspective.

Just like for the industry, for DBL as well, order inflows have remained muted in the past 12 to 15 months, resulting to a decline of 16% in top line on a Y-o-Y basis and 12% on a 9-month basis as compared to the previous year. And although we are expecting strong order inflows in the next few months, the execution will take time to accelerate to convert in numbers.

Hence, we are expecting similar or better revenue run rate for the next year as well. As any EPC company, we have also been impacted due to low economies of scale, resulting in margin contractions. As and when our scale of operations will improve, our margin profile will also

improve accordingly.

Now shifting gears and talking a little bit about our investment portfolio of HAM assets. As informed and discussed in the last quarter, we have fully concluded the Shrem InvIT deal. As per the deal, we have received the entire consideration in terms of cash and InvIT units. We continue to receive cash distributions of INR60 crores to INR80 crores per annum from the InvIT for our stake.

In addition, we will also continue to do the O&M of their assets for the life duration of those assets. As I have mentioned earlier as well, this provides us with long-term assured revenue stream. And this O&M revenue stream will keep on increasing as our own InvIT asset pool is also getting larger in size. On our own InvIT in partnership with Alpha, we are progressing as per the plan.

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Till now, we have transferred 26% stake in seven assets out of a total deal of 18 assets. In these seven assets, we have received COD and annuity has started. In the eighth asset, construction is completed, and we have divested 25% stake and will receive PCOD very soon.

This will conclude the first tranche of the Alpha deal. Balance 10 assets are under construction as per the schedule and will be divested post receiving COD. Our InvIT formation process is also progressing well. We have received JB approval for forming the public listed InvIT, and we are hopeful of concluding that in the first quarter of this coming year.

Now coming to our coal business. Our coal MDO business is on an accelerated execution path. I'm very happy to report that we have achieved production of 17.45 million metric tons in the 9 months of the year as compared to our target of 22 million metric tons for the full year.

Be in mind, even the 22 million was a higher target that we had kept. But as announced in the last con call, we are on track to even beat that target by at least 10% to 15%, meaning we'll end up doing this year with almost about 25 million metric tons of coal production.

Finally, coming on our vision of DBL 2.0. I'm happy to report that both our long-term revenue-based businesses, that is coal MDO and HAM portfolios are progressing at a fast pace, which is going to provide us with predictable cash flows and improved return ratios with limited risk and downside.

As I've indicated earlier as well, going forward, when you look at DBL, you will have to look at the consolidated numbers to get a better perspective. The temporary challenges around the stand-alone business, which has been an industry-wide challenge because of low order book by the

government in the last 2 years, we expect that to also improve going forward with the government focusing very significantly on infrastructure and continuing to press that pedal even further. So, you will see improvement happening in that side as well and all the other numbers that we had talked about.

Now with this update, I would like to hand over the call to our CFO for the financial overview.
Thank you.

Sanjay Kumar Bansal: Thank you, Rohanji. Good morning, everyone. I welcome all our stakeholders to our earnings call. Let me present the stand-alone and consol results of Dilip Buildcon Limited for the quarter ended and 9 months ended December 31, 2024. Firstly, the stand-alone performance Y-o-Y quarter 3 FY '25 versus quarter 3 FY '24.

The revenue decreased by 16% in quarter 3 FY '25 to INR2,155 crores from INR2,571 crores in quarter 3 FY '24. EBITDA decreased by around 34% in quarter 3 FY '25 to INR210 crores from INR318 crores in quarter 3 FY '24. This is mainly due to lower revenue in quarter 3 FY '25. Profit after tax also decreased by 7.37% in quarter 3 FY '25 to INR88 crores from INR95 crores in quarter 3 FY '24.

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On consol 9 months basis, 9 months FY '25 versus 9 months FY '24, the revenue of the company decreased by 5% in 9 months FY '25 to INR8,221 crores from INR8,646 crores in 9 months FY '24. The EBITDA increased by 37% in 9 months FY '25 to INR1,490 crores from INR1,091 crores in 9 months FY '24.

Profit after tax increased by almost 185% in 9 months FY '25 to INR563 crores from INR198 crores in 9 months FY '24. The increase in EBITDA and increase in profit after tax is mainly due to better performance of our MDO business and completed HAM assets and exceptional gains from the divestment.

Thank you all. And now we can open the floor for the questions and answers. Thank you.

Moderator: The first question comes from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, first, just wanted to understand in terms of the awarding part and then for us also. So, 2-3 aspects to understand. One is how many value of projects that we have already bid and yet to be opened? Second, how much are we planning to bid by March '25? And ultimately, so if I look at we have received two projects, INR2,100-odd crores till date and we were looking at INR15,000 crores to INR16,000-odd crores in FY '25. So now how much are we looking at? And if it is on the lower side, so for FY '26, how one can look at in terms of the order inflow for us?

Rohan Suryavanshi: Sir, till now, we have the orders that we've already sort of bid for is about INR20,000 crores already done, that we are waiting to open up. In terms of the order pipeline, INR130,000 crores pipeline is open, that we are kind of looking at. So that's one part of it.

Sanjay Kumar Bansal: And Shravanji, as you said, total order book, INR15,000 crores to INR 16,000 crores, though the last 12 to 15 months, the order inflow is lesser. But based on the already ordered bid and new opening, we think the target is getting INR15,000 crores to INR16,000 crores order from now till next financial year-end.

Shravan Shah: Okay. From now to end of March '26, we will be getting additional INR15,000 crores to INR16,000 crores net addition?

Sanjay Kumar Bansal: Right, sir.

Shravan Shah: Okay. So next 13 to 14 months, we will be getting that. But sir, don't we think that this is much lower. So even if we, let's say, this year earlier, wherein we were looking at INR15,000 crores to INR16,000 crores. So obviously, the kind of a similar number should be there for FY '26 also. So, net-net kind of a INR30,000-odd crores, INR25,000 crores, INR30,000 crores versus now we are saying just INR15,000 crores, INR16,000 crores by March '26.

Rohan Suryavanshi: Shravanji, we are saying that on a very conserva

tive guidance because the orders have not floated

till now by the government. The idea is obviously to be getting a lot more orders than this. But

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bare minimum, our still target will be to do this much. And this is a conservative estimate only as you have seen and you track the sector so deeply, you're aware that the ordering has been very muted. So, we are conscious of some of the external challenges in the sector. So based on that, we're saying. But our endeavor is definitely to do this much higher than this.

Shravan Shah: Okay. Because, sir, then the other question is obviously on the revenue front. So already, which is 12% on a stand-alone basis is lower in 9 months. So now if we are looking only INR15,000 crores, INR16,000 crores, so net-net, even if, let's say, INR16,600 crores already we have plus we have INR16,600 crores addition, so kind of a INR32,000-odd crores. And out of that for fourth quarter and in next year, how much then we can look at to do the execution?

Rohan Suryavanshi: Sir, so actually, just to sort of reiterate, create a number which we think of. See, right now, we're sitting in February and the government orders have not opened up. So, I don't know how much will open up in this year. So that has obviously had an impact. Now next year, when I say when we've said that 15000, 16000 crores. But there will be more addition to that, that will definitely kind of happen to that order inflow.

Now revenue's guidance that we are telling you, revenue guidance for next year we are saying it will be at least, like this year we think of, when we started the year that it will be better or like somewhere in that number because we were expecting a large order book.

As the year kept on progressing and we saw the government ordering being muted, we kept on revising that even this year's revenue guideline because we realized that the orders that were getting finished were not getting sort of supported by new orders that we would be winning. So, we revised that. So now the revision this year, we should be doing a revenue of about INR9,000 crores.

Now with INR9,000 crores, how do I see next year going? Next year, we are expecting similar kind of revenues because the orders that we have, we are at least very confident that this much orders going to come - current order book. And as the year progresses, we will modify the guidance as we see the government activity on a surer footing. So right now, all these are estimates and we were looking into the future.

If in the last year or a year ago, if you'd ask me, will this lack of ordering that happened in the year of the election, will that continue in the year after as well? I would have definitely not assumed by any stretch of imagination. But here we are standing and still the orders have not happened. And what it seems to be the delays, I'm not the right person to be able to answer that.

Only the government can tell you that.

But when it comes to our revenue, I can tell you, okay, there is at least nearby INR9,000 crore visibility that we have of our own revenue given the orders that we have. Now going forward, as the orders will come in more, we'll do that. What this lack of ordering has done has also

impacted our debt reduction program.
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Now by the end of this year, we were expecting we would have reduced INR400 crores-INR500 crores more from last year's number. But seeing the current scenario it seems like a combination of less order inflow, a combination of lower revenue and a combination of receivables getting stuck, so these three things from JJM, have resulted in our debt not reducing in the manner that we expected it should.

So right now, we feel that our debt will come back to the same number as last financial year. This will be because we are expecting

now JJM money from central government has being released. So that money that will get released, we're expecting some arbitration payments also to come in. So that will also happen. So all those different factors will bring it back to that. And the idea of debt reduction that we had started with, that gets delayed by like instead of what we are thinking that we will finish it in this year and the next financial year, instead of that now, the next financial year and after that, we will be completely doing that. And like I said, our best laid plans have unfortunately not gone in with the way that we expected because our external environment was not supporting us in the way that we had planned the things.

Shravan Shah: Rohanji, just to get more clarity. So currently, we are in terms of the net debt having at INR1,277 crores at stand-alone. So, by March, we will be having the similar number of the December number? Or are we saying it will be similar to the March '24 number?

Sanjay Kumar Bansal: Shravanji, March '24 number was INR1,515 crores. Now as on today, the 31st December 2024, the net debt number is INR2,177 crores. And we are saying the March '25, we will close at the number where we were there in FY '24. So INR1,500 crores around we will be having the net debt.

Shravan Shah: Okay. And the net debt free that we were looking at that by FY '27, that remains intact.

Sanjay Kumar Bansal: Yes, yes. In FY '25, '26, we are expecting further INR500 crores reduction. So basically, the debt reduction plan basically pushed by 9 months to 12 months. So, what we used to do last year, we will do next financial year. So, by 31st March 2026, the debt will be around INR1,000 crores or even lesser than INR1,000 crores.

Shravan Shah: And then in FY '27, we will be a net cash kind of a company?

Sanjay Kumar Bansal: Yes, yes. Yes.

Shravan Shah: Okay. And just to get a more clarity here, so from currently close to INR600 crores, INR700 crores kind of a reduction in this quarter itself. So that is led by what, sir?

Sanjay Kumar Bansal: That is led by the collection of JJM receivable. And as Rohanji said, there are some arbitration payments in pipeline. So, with this cash flow, we will basically achieve the targeted net debt number.

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Shravan Shah: Okay. And lastly, sir, two things in terms of the margin front. So currently, 10.5%, 4% for stand-alone EBITDA margin versus we were looking at some 11%-odd, 12%. So, is there a possibility of further improvement in the fourth quarter and even for next year, can we be able to do this or 10% to 11%, that's the way one can look at?

Rohan Suryavanshi: So Shravanji, from where we started, the EBITDA has come lower because, like I mentioned, there is lower utilization of our fixed assets. The revenue that we had thought we will do, that number is not happening. And because our company model has always been more on our own assets. So, whenever there is a decline or dip in revenue, there will always be a consequential decline in EBITDA. And that is what has led in that. We are prepared to do much larger revenue than what we end up right now, we are ending up doing.

So as the revenue improves, the EBITDA will automatically improve. And you would have seen that in the past as well, and that's the same trajectory it will follow. Now waiting for how the revenue stream or the EBITDA will look, that is, like I said, right now, as the order book builds up, we will see that, and we'll give you better sort of clarity and guidance on that. As of now, that guidance of, I think, 10%, 10.5% that is happening is a safe sort of haven to kind of go forward with, given, like I said, the headwinds around where our current order book is and how much we'll be able to execute.

Shravan Shah: Sir, I have more questions. I will come back in queue.

Rohan Suryavanshi: Why don't you ask first and then

...

Shravan Shah: Okay. Okay. No issue, sir. So, sir, the capex that we have done was on the higher side. So any specific project where we have done INR188-odd crore capex versus we were looking at INR150 crores. So, any specific project which has led this increase? And how now one can look at in terms of the fourth quarter and maybe for even if we are doing, let's say, INR9,000 crores kind of a revenue next year, so how one can look at from the capex perspective?

Sanjay Kumar Bansal: Shravan ji, whenever we speak on capex, we speak net capex. So, we said INR100 crores, INR120 crores at the start. So, there are old sales also. So basically, net basis, the guidance for next year is also similar INR100 crores, INR120 crores. This year also, the guidance basis the net number. So, we have basically purchased new equipment for the business.

Shravan Shah: Okay. Got it. And sir, in terms of now the 2, 3 aspects. So, one is the InvIT that by 1Q, we will be going for a public InvIT. So, will it get listed by June '25 itself?

Sanjay Kumar Bansal: Yes.

Shravan Shah: Yes. So, I was saying that the Shrem unit in this quarter, we have sold some units. So are we planning to sell more units or the balance we will be keeping?

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Sanjay Kumar Bansal: So Shravanji, basically, as of now, we have no plan. But the cash flows management keeps on basically assessed. But as of now, there is no plan.

Shravan Shah: Okay. Got it. And sir, in terms of the MDO where we are doing very good. So, is there a way as a management, we are thinking so two, three aspects, whether to go ahead for a listing of that entity, subsidiary or JV? Or is there a way where we will be kind of giving a full-financial numbers and which can help us to capture that value?

Rohan Suryavanshi: So, to both your questions. So, number one, do we have a plan to list this in future separately? All those decisions will be made at the Board level, whether we feel what is in the best interest of our shareholders. And if a situation arises where we feel there is a significant value unlocking that will happen with putting it into a separate company, that's a different thing.

At this position, there is no such plan, and I'm definitely not in a position to be able to answer that. But at this position, I can tell you that there is no such plan. What we are doing in the DBL holistically is going well. But like I said, these things are always dynamic. And as the situation demands in future, we will take a call on that at a later point of time.

And the second part you asked about is there a plan to also give numbers separately? No, right now, the way that the company has been giving the numbers in terms of consolidated versus, that is the only plan. If there is any change in how we present the numbers to our investors, again, it will be a decision which the management along with the Board will take. And if there is any change, we will let you know accordingly.

Shravan Shah: Okay. And the remaining 10 HAM that we will be divesting to the Alpha Alternative, when this would be completed in terms of the execution front? Will it be completed by FY '26, will be entirely completed?

Sanjay Kumar Bansal: Seven assets will be completed by 31st March '26 and three in next financial year after that.

Shravan Shah: Okay. Got it. And sir, do we have any tax-related kind of -- so on what we report on a stand-alone P&L level. So, these 9 months also, the tax number is on the lower side. So normal is like around 25%, but we have a 20.7%. So, is there any benefit or it is just mathematically way it is coming? So normally, one can look at only the 25% kind of a tax rate.

Sanjay Kumar Bansal: So Shravanji, you can see the significant part in the quarter is basically from the exceptional gains, and it attracts only capital gain tax. So blended basis, it is 20%.

Shravan Shah: Okay. Okay.

But now in the fourth quarter, we will not be having any transfer because already just 1% is left in the last eight assets. So, whatever will be, it will be in the FY '26 that we will be transferring the assets, seven assets?

Sanjay Kumar Bansal: Shravanji, you rightly said this quarter will not have any further exceptional gains.

Moderator: The next question comes from the line of Saket Kapoor from Kapoor Company.

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Saket Kapoor: Sir, firstly, if we look at the nature of our finance cost, I think so there will be a lot of elements that are clubbed under it. So, if you could just give the breakup of on a consolidated level, INR320 crore finance cost split between BG, long-term borrowing and working capital requirement and our cost of fund currently, blended cost of fund?

Sanjay Kumar Bansal: Our blended cost of funds is around 10%, but basically, infrastructure company has non-fund-based utilizations also, letter of credit and bank guarantees. So basically, the total cost in 9 months is around INR367 crores. And we expected this to be lesser in this financial year, but because of

the utilization of additional working capital due to the delays in receivables, the interest cost is not reduced. So, it is INR367 crores, including everything.

Saket Kapoor Sir, I was looking at the consol number. Therein for this quarter, it was INR320 crores number and 9 months number are INR940 crores.

Sanjay Kumar Bansal: Okay. So, in consol, basically, first, there is Dilip Buildcon debt cost. And then we have some debt in one coal subsidiary and balance debt in 11 under construction HAM assets. So, it is addition of these items.

Saket Kapoor: Okay. Sir, what was the closing debt for DBL Infra? Last quarter, I think it was INR650 crores, if I'm not wrong. So how have the debts moved there?

Sanjay Kumar Bansal: So INR81 crores instalment we paid in November. So, now it is INR565 crores.

Saket Kapoor: INR565 crores.

Sanjay Kumar Bansal: Yes.

Saket Kapoor: And sir, what closing balance to be expected for March '25?

Sanjay Kumar Bansal: Sorry, I could not get. Can you repeat?

Saket Kapoor: What should we anticipate in terms of the further reduction for the fourth quarter?

Sanjay Kumar Bansal: Another INR80 crores, INR485 crores.

Saket Kapoor: Okay. Rohanji, you have alluded to DBL 2.0 and I think so the net cash company program was postponed by 1 year in your last call. So, if you could just give some more understanding in your journey for DBL 2.0, what are the current headwinds that we are facing in terms of -- I think so the order intake part and slow -- and the tendering process being slower from the government is well understood now by the market.

So, what's the thought process, sir, currently? Is it the only elections being only assessed on the premise of which this state of affair for infrastructure as a whole for the country has happened or is there any shift in terms of the government focus going ahead? Sir, just to allude to the fact DBL is not the only concern which is having this problem, whether they are ancillary companies Dilip Buildcon Limited

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in infrastructure or core facing or even a big giant like L&T, everybody is sounding the same tune.

And on the other hand, we hear from the government that they need -- they are pumping money and creating world-class infrastructure for its citizens. The tax buoyancy on one hand also reflects to the fact that there is a lot of traction in the economy, whether it is GST collection, whether it is direct tax collection.

So, where is this dilemma sir that companies who have put the infrastructure and created the workforce for creating the infrastructure are today not being able to get the awards. Forget the execution award pending which you said in the whole year the closing order book is lower compared to last year to this qua

ter. So, this election has become on one aspect that we are not able to move from bureaucracy, please elaborate it sir?

Rohan Suryavanshi: You've asked me a very tough question in terms what is the reason of the government because honestly, I can tell you what historical data tells and based on which we make our best assessments of how the future should or would look like. Historically, for the last 25 years, this was always a trend that the election year the orders dry up. The government doesn't focus on giving out new orders and the focus is on completing, ribbon cutting, etcetera.

And that's a trend that has been very fairly established since the Vajpayee era because that's when infrastructure building really took off in India. Before that, because it was not such a big thing, you could not really find very significant number, but since that time to now we've seen that trend repeat over and over again.

And whether that happens at the state level or the central level, it's the same kind of trend that keeps on repeating. So, when we stepped into last year and the election year, we realized that there would be those challenges. However, we did not expect that those challenges will continue even like post 9 months of the new government sort of also forming in.

So when we hit March or like even right now, we are almost there at 9 months, and this has happened. Now why that has happened and what the government is thinking, I'm actually not in a position to say when a combination of factors or whatever their challenges are or whatever their focus is on. There have been different changes at the top in NHAI, MoRTH.

While we were lucky to have the same minister continue, there are obviously different, different teams below have kept on changing and moving, but whatever is the thought in North Block, I'm actually not best placed to answer that, But I can tell you what our vision was when we started or when we spoke about DBL 2.0, which was born out of the, I guess, the despair of COVID when things were looking very bleak across economies, across the country, across the sector.

We had people stuck across the country. So, when we started analyzing the issues and the

mindful of. The situations can change slowly and they can also change suddenly. COVID was a sudden change. Slowly, things that will happen is competition will catch up. There will be no orders inflow.

There's so many different, different things that will kind of happen. So, as we looked at the sector, we saw what are the things that we as a company need to kind of focus on, which will give us and when I say us, I mean the shareholders the best return and which will also create a company that will be as shock proof for most of these things. You can't always mitigate all the challenges and risks that you will receive as a company. But you try and do the best possible job so that there is less volatility.

So that's how it happened. So, the things that we looked at was the volatility that was causing the standalone level -- debt levels we realized that, while we a very capex heavy model, going forward we didn't want to kind of do that at the standalone level. We wanted to improve on the credit rating of the company. We wanted to improve on the productivity.

We wanted to make sure that we are spending less and less money in paying interest and putting more money at the parent level and creating more and more free cash. So that was the idea. So that number one reducing debt; number two focusing on building long-term revenue streams that was a very, very important bit of it. And for that, we realized just a purely EPC business will not do that because our orders will only have a visibility of 2 to 4 years of any kind of EPC order. And that will

It never give you that long-term sort of predictability of cash flows that you want.

So that's where both the coal business and the InvIT business and I looking to partner with Alpha sort of came up and came to our mind that we will want to continue this and continue to have cash flows. The long-term goal is to keep building our long-term cash flows and eventually come to a place and position where long-term cash flows and profitability is more than 50%, more than 60%, more than 70%, keep on increasing that pie.

So, while we continue to do our EPC business with our current asset base and with small sort of improvement capex happening every year. Like we mentioned, the capex earlier, DBL used to do INR400 crores, INR500 crores plus of capex every year. Now we only do INR100 crores and around that number. So, our focus is to only do replacement capex for the next few years, keep doing the max that we can juice out from our assets, keep reducing the debt, keep building the free cash flow, keep building the consolidated business at the site and keep improving the return ratios.

So, our ROE, ROCE, those are the things that we are kind of focusing on as a company. And that you will keep seeing initially, like I said, you will keep seeing that improvement first happening in our consolidated P&L like the coal is an SPV, separate SPV, profit gets captured there, some gets captured at DBL level. Similarly, when you do the InvIT things and some of the assets that are housed outside, so they will be getting captured.

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So, all of these different, different things the money that will keep getting thrown into the company will be getting captured on a consolidated basis. The only thing right now that we have as a company struggled with or like you mentioned everyone in the sector has struggled with is order inflow. And because order inflows have been weak, the standalone numbers have not been to our expectations, but as and when this wrong gets righted upon we are very sure that we will accelerate on our path that we spoke about.

Saket Kapoor: Sir, since we are already third-third into -- half into the quarter I think 45 days into the 15th term .

So, is the same line of thoughts in terms of ending and all continued for us? There is still a lack of order inflow for the 45 days. And how is the execution cycle shaping up for this quarter, sir?

If you could give some understanding on the stand-alone part, how will this quarter shape up?

Rohan Suryavanshi: Sir, so when it comes to ordering inflow, it is anyone's guess how much more the government will sort of release by the end of this financial year. We are hopeful that more and more orders open up. But we can't say for sure when will they finally sort of open those tenders. Like I mentioned earlier as well, we have already bid for about INR20,000-plus crores of orders that we're awaiting opening. So, let's see when those open.

There are others that we're also bidding for. So again, not in a position to tell you that. Though I can definitely tell you the coming quarter, the numbers that we have done in this quarter, those are the kind of similar numbers we will be doing in quarter 4 as well that -- we're kind of

expecting that run rate because that is the kind of order book that we have in hand right now. So that I can tell you that will be in that kind of range.

Saket Kapoor: Okay. And the consol will look slightly better since the execution for the MDO contribution would be higher for this quarter or at similar levels?

Rohan Suryavanshi: It will be at similar levels, because that pace of MDO has already taken up, yes.

Saket Kapoor: Sir, secondly, sir, Mr. Rohan Suryavanshi: and all are related to the promoters or they are only professionals for the organization?

Sanjay Kumar Bansal: So Rohanji is part of the promoter group.

Saket Kapoor: And Mr. Karan

Suryavanshi, he is also belonging to the promoter group?

Rohan Suryavanshi: He is also part of the promoter group.

Saket Kapoor: Karanji is on the call today?

Rohan Suryavanshi: No, he's not on the call, sir.

Saket Kapoor: Okay. Because sir, as per his profile, he is for the planning and the licensing with the government part. So, I thought if sir was looking to us, he would have given more color on what the...

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Rohan Suryavanshi: Sir, I think that is a different forum to discuss that. Is there are any general questions...

Saket Kapoor: My Point -- specific question is there, sir. When we look at building the organization and other part, what other efficiencies can be built in that we can also declare our results earlier than at the feb end...

Moderator: Sorry to interrupt, sir. If you have any further questions, please rejoin the queue so the management can address...

Saket Kapoor: Allow me to complete -- hello?

Moderator: Yes, sir.

Saket Kapoor: I can complete?

Moderator: Okay. Please have this as your last question, and then you can rejoin the queue.

Saket Kapoor: Yes, last question only, sir. We as investors would like to understand since the organization is large, we are putting into the right steps to build a new organization 2.0. Why are the results are always at the fag end? Means why at 14, 13 of the ensuing quarters, we get to know about the numbers. Why not as the size of the business is good, we have the systems in place? Why are not the reporting happening within 25, 30 days of the ensuing quarter? Why at the fag end, sir?

Rohan Suryavanshi: Sir, the results are always taken and presented once the Board members and a lot of other factors that come in. Also, bear in mind that ours is not a tech company, like when you see all the sector sector-wide, the numbers, how they are reported, we will also be reporting in a similar kind of time line. There may be some day maybe sometime we may be earlier, sometimes someone else may be later.

But if you look at the general trend, we are at the same level as everyone in the sector. I can't compare with any other sector. When we're comparing apples, we have to compare with apples, not with oranges. So, it will be in the similar line as we are, even though we have all the SAP and all the systems there.

Moderator: The next question comes from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, just to clarify, sir, you mentioned that the DBL Infra debt is reduced by INR 81-odd crores and is around INR565 crores.

Sanjay Kumar Bansal: Yes.

Shravan Shah: Okay. And then further INR80-odd crores kind of a reduction in the fourth quarter?

Sanjay Kumar Bansal: Yes.

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Shravan Shah: Okay. Okay. Got it. And second, sir, in terms of the current INR16,600 crores order book, how much of the value where we have still not received the appointed date?

Sanjay Kumar Bansal: So total, there are 2 projects. One is Thoppur Ghat Ham project and another is Zuari Observatory Towers. There are 2 projects where appointed date is awaited.

Shravan Shah: Okay. Got it. And sir, in terms of the inventory level, obviously, that's the main thing we are also trying to reduce. But it is still not happening to the way it should be, though our revenue is on the lower side, the absolute or maybe in the day terms also, it looks similar. So, is there a thing that we are planning to maybe not have some part of the inventory, which maybe because now we are not having a kind of a growth that needs such inventory even for next year also when we are seeing the similar kind of a number, then why not to release some working capital from the inventory?

Rohan Suryavanshi: Shravanji, is our endeavour, like we mentioned earlier while we're focusing on all different areas of the company to keep reducing t

his as well as our model keeps shifting. But given that we still have all our equipment, which is doing all this job in-house, and there is a significant life there. So, the model will not change overnight. But there are changes that we are making and those changes will show gradually the thing that will happen.

In terms of working capital days, where we are at is very similar to where the industry is at. So, this model that we had done was not only done for growth when it came to sort of doing things in-house. It was also a factor of taking complete ownership of a project, completing it within time lines and building strength in-house rather than relying on someone else.

So this model had not been born for a hunger or thrust for growth that we were doing that. In that case, actually, we would have relied on partners to do it. It was actually based on necessity where at that time, the ecosystem was not supportive enough to be able to provide all that we needed to do. So, which is why we had to take these matters within our own hands.

But rest assured, it is one of the key things that we as a company are also looking at. As we look at improving our return ratio, this is a part of how we will do that. And it's a journey. So, bear with us on that, but it's a journey, and it will take that time. And you will see improvements happening on it along the way.

Shravan Shah: Okay. And sir, this InvIT when we will be listing, sir, it will have all the Alpha alternative 18-odd assets. So, whatever initially will be the -- where we have achieved the PCOD that will get listed. And as and when the other assets achieve the PCOD, it will be part of that InvIT. That's the way, or entirely the 18 together will initially get -- will be part of the InvIT and get listed?

Sanjay Kumar Bansal: So Shravanji, you are right. First, the completed asset where we have already transferred 26% will go in InvIT. And second part, on a progressive basis, the other assets will also basically go into InvIT. But at the same time in previous calls also, this InvIT is set up for our DBL assets
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and the InvIT will basically eye the assets from market also. So, from market also, there will be a few assets in the InvIT.

Moderator: The next question comes from the line of Pranav Furia from Antique Stock Broking. Please go ahead.

Pranav Furia: I just wanted to understand, sir, is there any vertical specifically that you can target so that the time lines between L1 and the actual execution is lower and can help you with FY '26 revenues itself?

Rohan Suryavanshi: Sir, there is no new vertical that we are particularly looking on chasing that will kind of do that. There are already eight, nine verticals that the company is operating in. Each vertical has its own pros and cons. The idea for us as a company, whenever we've gone in to a vertical has been that we try and utilize our equipment bank in all those areas, where our manpower skills, our equipment bank, our experience of working in the state and with the agencies also comes to help and support that. So that is how we kind of go into it.

There is no specific agenda and plan that where bidding -- from the bidding -- bid winning to execution pace kind of will be the deciding factor for us to choose a sector because those things are out of our control totally. In large infrastructure projects, there are a lot of government agencies involved. There are land acquisition challenges. There are multiple sort of things that you look at. So that is never the decision-making criteria for us as a company.

Pranav Furia: Got it. So, sir could you just highlight one or two sectors from the current order book, which have the lowest time gap between L1 and execution historically?

Rohan Suryavanshi: So, it all depends on project to project. Like I said, there can be times where you could have sta

rted even a road project where there was great clearance, like I'll give you the quickest that the company has done a road project has been 6 months. So, it was a 2-year project, which was completed in 6 months.

And we won a lot of early completion bonus in that. So, there you can't say. So now imagine from the date of appointment to finishing a project in the next 6 months versus it was done in one fourth of the time because everything was clear, given and we could do that kind of execution. So, it all depends on multiple factors. It would be misleading to give you this is what would be the best.

Moderator: The next question comes from the line of Sanjay Parekh from Sohum Asset Managers Private Limited. Please go ahead.

Sanjay Parekh: Yes, yes. So, one is in our coal subsidiary, we've done very well. So, is there scope for further contracts? Or I mean, we are at a 25 million run rate, which is commendable and our target is to go to 50 million. So, the question I have is, can we get more contracts on this? And secondly,

are we on a run rate of 50 million plan that we have?
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Rohan Suryavanshi: Sanjayji, we are very actively looking at this sector. It's a sector that we have been there in for the last 7, 8 years, and we have expanded and significantly ramped up our presence in it. So we are constantly looking for coal projects, both domestically and internationally to kind of keep supporting -- it's a sector that we've now understood pretty well, and we want to do that. Now in terms of run rate, the plan for both the MDO's is ramping up. See, there is Pachhwara MDO and then there is Siarmal MDO. Pachhwara, we are already doing at peak capacity. In Siarmal, every year, we have to keep increasing the capacity over the next 3 years. So that is happening, that is happening at an accelerated pace. And we will continue to sort of increase the coal sort of output every year.

Sanjay Kumar Bansal: Sanjayji, to add to Rohanji, in Siarmal, already the peak requirement is 50 million ton. So, this year, we are ending at 18 millions ton, next year, 25 million and so on in FY '28 the peak capacity, 50 million ton will be achieved. So, with these two MDOs, we are already at 57 million, and we are looking for new projects as well.

Sanjay Parekh: Sure, sure, sure. Secondly, our target of final InvIT value of our share of INR4,000 crores in 2.5 years, are we on track on that?

Sanjay Kumar Bansal: Sir, the number as given in the previous call is there. However, final valuation is underway once the InvIT document is filed, but we are having the similar kind of number.

Sanjay Parekh: Yes. So, it could be INR200 crores, INR300 crores here or there. But broadly, the price-to-book multiples that we have agreed upon, broadly should take us through a final equity value of INR3,700 crores to INR4,000 crores.

Devendra Jain: Sanjayji, the multiple will not change, the change is only due to some de-scope on the BPC value. So, around that, it is still same. If somewhere, like at the end of a project, there is a de-scoping of INR50 crores – INR60 crores altogether, then BPC will change and accordingly BCC will be changed. So, the valuation of INR 50 crores-INR100 crores is up and down. The multiple is the same.

Sanjay Parekh: Sure. And one basic thing, 26% you transfer in these other assets and 74%, when it becomes a public InvIT also you transfer in that. Is that the way? I'm just not clear on that. The balance 74%. ..

Sanjay Kumar Bansal: Sir, basically, the deal with Alpha is basically, we will sell 26% in two buckets, eight assets first and then 10 assets. And Alpha will transfer their 26%, and we will transfer our 74% in the InvIT.

Sanjay Parekh: Okay. Got it. Perfect. And the last one, I mean, you did discuss on order inflows not happening. And of course, a bit of it is government related. So, because our is a

high fixed cost of our own equipment, our own manpower, which works in a cycle, which is really roaring because your efficiency and margins can get better.

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But if you were to go asset-light and people-light over a period because we are cyclical in order inflows, the industry is in a cyclical way. So, can we do it or it is difficult to change over a period of time, not 1 year, but 3 to 5 years, is it possible or no?

Devendra Jain: Already, Sanjayji, if you see the company in the last 3-4 years, we have adopted diversification and asset light model to de-risk. In every place if you combine revenue versus equipment, then there is different setup equipment in Jal Jeevan Mission, different in dam, different in road. So, in this way, asset light versus company asset, we have worked on a combination of hybrid models and the best way to de-risk it is that you should diversify.

In 5-6 years we have diversified in nine sectors, in the similar nature of the work like concrete batching plant, we use in dam, we use same in Jal Jeevan Mission. In this way combining asset light and company asset we already are working on hybrid and this is the reason we not invested in equipment for last 5-6 years.

Sanjay Parekh: Sure. And the last one, while, of course, all of us are disappointed with the government coming back on order book. But do you think Jan onwards because we do see now numbers coming up in terms of since they also have to spend as per the budget. And for them to revive also, they have to give orders. But you are on the ground. So, at state and center, do you think 6 months ahead, things will be really good? Or you think it will be still a little slow and steady because that's important, Devendraji. If you can guide us there?

Devendra Jain: Sanjayji, if the projects are not floating then there is worry. The NH AI has already floated INR1.3 lakh crores bids due to different regions because of land scarcity and clearance is

happening, 100% this activity will get faster reaching till Q1. We only worried if there is no bid activity. So, we are not much worried about the state government projects, if we look at the central government's bid process, there are a lot of bids in the pipeline, the government hasn't declined in the budget, they have given a little more budget for FY '26, so I see the activity getting faster till Q1 on the ground, if I can tell you from my experience.

Sanjay Parekh: Okay, and the last one, the states like Pyari Bena and all the populist schemes, do you feel that their ability has decreased because of them, state-wise, because other than roads, NHAI and MoRTH, our other verticals, the states that we are working in, do you think that things have got stuck and will take time or you think there also you are seeing state-wise things getting better?

Devendra Jain: It depends on the state, which ruling state or which party's state rules, but the state government-based limited projects that we have, in Jal Jeevan Mission projects, 75% of India's participation is already there, so that is fine. Now, in Gujarat and other states, state-related projects, I don't see any funding problem, the rest of the Ladli Behna schemes that you are talking about, in the future, their impact will definitely be seen somewhere, but our DBL's strength, we usually target central government and central government funding-based projects only.

Moderator: The next question comes from the line of Bhavin from Anand Rathi. Please go ahead.

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Bhavin: Sir, just wanted to understand what is the proceed that we received on divesting 25% stake in one of our HAM projects?

Sanjay Kumar Bansal: Total from Alpha against eight assets, we received total INR457 crores money.

Bhavin: Okay, sir. Got it. And sir, I understand you briefly mentioned, but just want

ed to understand how

are we going to transfer the asset to the InvIT? Are we going to transfer entire 74% or we will retain some part of the SPV even after the InvIT is formed?

Sanjay Kumar Bansal: No. 100% will be transferred to InvIT. 26% Alpha will transfer, 74% we will transfer. So, there will be no case Alpha or DBL will have some equity out of those assets.

Bhavin: Okay. And just one more point from the balance sheet perspective. So, once those assets are transferred, 74% stake is transferred, so then will this be accounted as a subsidiary or will be accounted as fair value investment to P&L? How...

Sanjay Kumar Bansal: Fair value of the InvIT units.

Moderator: Ladies and gentlemen, the next question comes from Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: So, my first question is on the coal part of the business, right? So, I was checking our H1 numbers, it was around 10 million tons, which has now increased to 17.5 million tons, which is, I mean, a huge increase, if I have to see. I understand there is seasonality in the business. But can I understand what part of our sales and EBITDA for quarter 3 FY '25 accounts from coal?

Rohan Suryavanshi: So, we don't give out vertical-wise EBITDAs. We give a mix blended number only.

Vignesh Iyer: Okay. Okay, sir. Sir, also coming to the interest part of it, I heard you earlier when you said that there was some increase in working capital primarily due to receivables. So, sir I was going through the last year's annual report, and I see under the aging schedule, there are certain receivables which are more than 3 years, which accounts to around INR1,950 crores.

Since then, I mean, from quarter 1, quarter 2, we have consistently seen increase in our interest outlay at the consolidated level. Can I understand how the aging schedule has panned out in the last 9 months? And what kind of numbers can we look forward to in an FY '25 annual report?

Sanjay Kumar Bansal: So Vigneshji, on one-to-one basis, we will discuss these numbers. But however, if there are old debtors and not receivable, we have made sufficient provisions as per the provision metrics.

Moderator: Ladies and gentlemen, that brings us to the end of the question-and-answer session. I would now like to hand the conference over to Mr. Rohan Suryavanshi for the closing comments.

Rohan Suryavanshi: On behalf of the whole DBL team, I'd like to thank all the participants who came today and asked questions. In case we were not able to answer all your questions, please feel to reach out

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to our team at S-Ancial or our internal team at DBL, and we will be very happy to answer any more questions that you guys have. Thank you, and I wish you guys a great year ahead.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Dilip Buildcon Limited, that concludes this conference. You may now disconnect your lines.

Call: May 2025

May 13, 2025

Subject: - Transcript of the Analyst/Investors conference call

In continuation to our letter dated May 02, 2025, please find herewith the transcript of the Investor conference call for Investor and analyst held on Friday, May 09, 2025 at 09.00 AM . (IST) related to the financial results for the quarter and year ended March 31, 2025, conducted through digital means.

The aforesaid information is available on the website of the Company i.e.

<https://dilipbuildcon.com/investors/shareholders-centre/>

This is for your information and record.

With Regards,

For, Dilip Buildcon Limited

Abhishek Shrivastava
Company Secretary

To
BSE Limited
Listing Department
P.J Tower, Dalal Street
Mumbai – 400001

To
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051

Stock Symbol -540047 Stock Symbol –DBL

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“Dilip Buildcon Limited
Q4 and FY '25 Earnings Conference Call ”
May 09, 2025

MANAGEMENT : MR. DEVENDRA JAIN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DILIP BUILDCON
LIMITED
MR. ROHAN SURYAVANSHI – HEAD STRATEGY AND
PLANNING – DILIP BUILDCON LIMITED
MR. SANJAY KUMAR BANSAL – CHIEF FINANCIAL
OFFICER – DILIP BUILDCON LIMITED

MODERATOR : MS. JILL CHANDRANI – S-ANCIAL TECHNOLOGIES
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Dilip Buildcon Limited Q4 and FY '25 Earnings Conference Call, hosted by S -Ancial Technologies Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Jill Chandrani from S -Ancial Technologies. Thank you, and over to you, ma'am.

Jill Chandrani: Thank you, Manav. Good morning, everyone. Welcome to Dilip Buildcon Q4 and FY '25 Earnings Conference Call. From the management, we have with us today , Mr. Devendra Jain, Managing Director and CEO; Mr. Rohan Suryavanshi , Head, Strategy and Planning; and Mr. Sanjay Kumar Bansal , Chief Financial Officer.

Before we proceed with the call, let me mention the standard disclaimer. The presentation that we have uploaded on the stock exchange , including the interaction in this call contains or may contain certain forward -looking statements concerning our business prospects and profitability, which are subject to some uncertainties, and the actual results could differ from those.

Now I request the management to take us through the key remarks, after which we can open the floor for question -and-answer session. I now hand over the call to Mr. Rohan Suryavanshi for his opening remarks. Thank you, and over to you, sir.

Rohan Suryavanshi: Thank you, Jill. Good morning, everyone. On behalf of the entire DBL family, I welcome you all to join us today on this conference call. The results and presentation have been uploaded to the stock exchanges, and I trust you've had an opportunity to review them.

To begin, let me provide some updates on the broader industry landscape. As you all know, FY '24, '25 has been a muted year, marked by low ordering activity from most government agencies. This was very surprising to the whole industry as we all expected since FY '24 was a mute year given an election year, we were expecting better. But however, for reasons unknown to us, it hasn't panned out in the way that the industry expected.

According to government data, MoRTH has constructed 8,330 kilometers of roads, although ordering activity was only 4,874 kilometers up to February 2025. On the execution front, NHAI constructed 5,614 kilometers of national highways in FY '25 surpassing the target of 5,150 kilometers.

For the next year, the government has set an ambitious target of constructing 10,000 kilometers of highways. It includes the development of 1,100 kilometers in the Northeastern states and 750 kilometers in tribal regions. These plans provide us strong visibility for order inflows in the coming year, along with a lot of hope.

Our Union Minister, Honorable Shri Nitin Gadkari Ji recently underscored the vital role of infrastructure development in propelling India's growth. He reaffirmed his ambitious goal of constructing 100 kilometers of highways per day .

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And expressed confidence that India's road infrastructure will surpass that of the United States within the next 2 years. This vision backed by the government's continued commitment presents companies like us with significant opportunities to grow and strengthen our order book.

In the Airport segment, the government has outlined plans to undertake 50 airport development projects over the next 5 years. This includes both the construction of new airports and upgradation of existing ones. All these projects will be executed through public -private partnership model, presenting new opportunities and renewed optimism for infrastructure companies.

In the Tunnel segment, significant opportunities are also emerging. According to recent reports, 78 new tunnel projects spanning a total length of 285 kilometers and valued at INR1.1 lakh crores are set to commence soon. And DBL is a strong player in that segment.

At DBL, being a diversified EPC player, we are exploring opportunities in all these segments, including roads and highway, irrigation, water distribution, metro, railways, airports, tunneling, coal mining, and the recently added segment that is optical fiber laying under the BharatNet Project.

Overall, we are participating in orders of upwards of INR1 lakh crores. We are very confident in the long -term growth prospects of India's infrastructure story and are fully geared up to capitalize on the opportunities in most of the high -growth sectors.

As you can see, the government's focus on the sector is evident through a continuous increase in allocations towards the infrastructure sector. We can anticipate positive developments in the next few quarters.

Now coming specifically to our company's performance. Like the industry at large, DBL also

witnessed muted order inflows over the past 24 months, with just INR2,100 crores of new orders in FY '25. This has resulted in a 21% decline in our top line in the quarter on a year-on-year basis and a 15% full year basis compared to the previous fiscal on a stand-alone basis. Our CFO will delve deeper into the details of our financial performance in the subsequent remarks.

So, while we anticipate robust order inflows in the coming quarters, execution will take time to ramp up and translate into revenues. Assuming some order inflows in the next few months, we expect around 5% -7% decline in stand-alone revenue for this fiscal with an operating margin of around 10% -11%. However, at the same time, we are expecting a 10% -15% growth in consolidated revenues.

And if you look at even this year's consolidated PAT, that consolidated PAT will continue to grow even furthermore next year. So even in the face of a lot of headwinds on the EPC front, the steps that we have taken in the past along the coal and the road asset business, both of them will keep us in good stead going forward and provide company with predictable cash flows.

Now let's talk about our investment portfolio in HAM assets. As previously discussed, we have successfully concluded the Shrem InvIT deal during this financial year. Under this agreement,

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we have received the full consideration, both in cash and InvIT units. On an opportunity basis, we have sold 1.27 crores unit and realized around INR136 crores in the last financial year.

This is in addition to a cash distribution of INR120 crores received from Shrem InvIT during the last financial year. As of March 25, we are holding around 6 crores units, which could generate annual cash distribution ranging from INR70 crores to INR80 crores from the Shrem InvIT.

Moving on to our InvIT partnership with Alpha, we are progressing in line with our strategic plan. So far, we have transferred a 26% stake in 8 assets out of a total of 18 assets included in the deal. Among these, 7 assets have achieved COD and 1 asset has achieved pre-COD and accordingly, annuity payments have commenced, concluding the first tranche of the Alpha deal. The remaining 10 assets are under construction as scheduled and will be divested upon achieving COD. The formation process of our publicly listed InvIT is progressing well. The InvIT has filed draft offer document in March '25, and we are expecting the approvals within this quarter.

Now coming to our coal business. Our coal MDO operations are progressing at a rapid pace. In our Siarmal MDO, I'm pleased to share that we have exceeded our production targets by achieving 18 million metric tons in FY 2025 against a target of 15 million metric tons. Please bear

in mind, even the 15 million metric tons was a revised target. While our original target was only supposed to be as per the original agreement of 7 million metric tons -- I'm sorry, 10 million metric tons. We are well equipped to exceed our targets for next year as well, and we hope to achieve production volume of about 25 million metric ton as compared to the target of 18 million metric ton. So, it is growing well ahead of target.

In our Pachhwara MDO, we have achieved production of 6.9 million metric ton in FY 2025, which is a peak production. This is a 7 million metric ton capacity coal MDO. As per the concession agreement, we will continue to achieve similar numbers for the next 53 years. So that's now kind of stabilized at that level.

Lastly, let me touch on our vision for DBL 2.0. I'm proud to report that both are long-term revenue-generating business, that is coal MDO and the HAM portfolio are progressing strongly. These will offer us predictable cash flows, improved return ratios and a more risk-balanced profile. If I may add, even this year, while we had a depleting order book and revenues depleted, we ensured that our stand-alone debt remained at the same level.

What is also very interesting is that at the DIPL level at the consolidated level, where CPPIB had also put in capital, we have reduced in FY '25 that number by about INR200 crores of debt reduced there. Plus, in this year already from the start till now, we have already reduced another INR100-plus crores. In total, from last financial to right now, where we stand, about INR300-plus crores of debt has been reduced at the DIPL level.

Besides that, let me also add that in this year, we will completely pay off the whole DIPL debt.

Besides that, paying off the debt of DIPL, which is in the range of about INR400-odd crores, we will also be reducing stand-alone debt in this financial year of about INR500 crores. The revenue,

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like I mentioned in the financial year earlier, will see some hit, but even with that, we will still be reducing our stand-alone debt.

Our EBITDA also, like I mentioned, because of reducing, will be a little on the muted side. But consolidated, if I could talk about even consolidated debt, on a consolidated level, our debt will reduce by more than INR2,000 crores. And the revenue like I mentioned earlier, will increase at a 10% -15%, and the PAT will also increase.

So, when I keep speaking that we need to like now keep looking at rebuild, we are looking to make a more leaner company. We're looking to make sure that the debt at the stand-alone level reduces completely, and that exercise is on. Even on the consolidated level, only during the construction time, we will be keeping and the rest, the assets will continue moving year on year. Now with that, I would like to hand over the call to our CFO, who will provide a detailed overview of our financials.

Sanjay Kumar Bansal: Thank you, Rohan Ji. Good morning, everyone. I welcome all the stakeholders to our earnings call. Let me present the results for the quarter ended 31st March and year ended 31st March '25. On quarterly performance, year-on-year basis, the revenue of stand-alone revenue decreased by 21% from INR2,931 crores to INR2,315 crores. The EBITDA also decreased by 41% from INR353 crores to INR209 crores.

The profit after tax decreased by 62% from INR124 crores to INR47 crores. On full year basis, FY '25 versus FY '24, the revenue decreased by 14.55% from INR10,537 crores to INR9,004 crores in FY '25. The EBITDA decreased by 30% from INR1,299 crores to INR903 crores. The profit after tax decreased by 26% from INR422 crores to INR311 crores.

Now let me brief about the consol performance. So, as Rohan Ji briefed in his opening remarks, the consol performance of DBL is improved within this year. On year-on-year basis, the revenue

decreased by 8% from INR3,366 crores to INR3,096 crores. The EBITDA increased by 100% on year-on-year basis from INR330 crores to INR661 crores.

This is on account of the completed HAM assets and coal business performance. Profit after tax also increased significantly between this quarter 4 FY '24 from INR3 crores to INR276 crores on yearly basis. The consol performance, the revenue decreased by around 6% from INR12,012 crores to INR11,317 crore.

The EBITDA increased by 51% Y-o-Y basis from INR1,422 crores to INR2,151 crores. This is on account of good performance by the coal SPVs and completed HAM projects. The profit after tax also increased 4x from INR201 crores to INR840, that is also because of the better performance by the completed HAM projects and the coal business.

This is all on the stand-alone and consol performance of Dilip Buildcon for FY '25 and quarter 4 FY '25. Now we can open the floor for the questions and answers.

Moderator: We have our first question from the line of Shravan Shah from Dolat Capital.

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Shravan Shah: Sir, first, I wanted to understand on the order inflow front. In the opening remarks, you have mentioned that we are looking at INR1 lakh crore's kind of opportunity. So, a couple of things to understand. First, if you can help us broadly how many orders, we have bid where outcome is yet to come?

Second, out of this INR1 lakh-odd crores, how much would be from the road? And also, are we looking at the HAM and the BOT toll also?

Rohan Suryavanshi: Yes. Thank you, Shravan Ji. So currently, already that bids have been put in, about INR10,000, INR15,000 crores of orders, where bids have already been put out, and we're awaiting, we're opening. In terms of the split between different sectors, that I'm unable to give you, and that's not something that the company anyway shares.

Now to answer the second part of the question. Yes, we are looking at a mix of HAM, BOT, EPC, all of it because we also have a large partnership with Alpha, where there is a steady inflow and predictable inflow of equity coming in.

So, we have various partnerships in place, which will ensure that we have a good return on whatever equity we want to put in for any of these projects. So, we are looking at all of these different opportunities across segments and across different model types as well.

Shravan Shah: Okay. And now for this year, FY '26, total, how much more -- obviously, for the last 2 years was muted on order inflow. So now how much order inflow are we looking at? And at the same time, why I'm trying to understand in terms of the HAM and toll because the actual execution will take a much longer time, at least 9-odd months to start once after the awarding.

So, in terms of the guidance that we are looking at 5% to 7% decline in FY '26. So also trying to understand if we are more looking on the BOT toll or a HAM, maybe this can have even slightly more decline and even FY '27 also have some impact.

Rohan Suryavanshi: See, Shravan Ji, a very good question. There are a bunch of points that I think I would like to make out here. See the bulk of our business is EPC because the HAM model is only in the road business. Now road itself has become a small part of our overall order book. So, when you look

at the company, even if you look at the presentation that we have given, almost 80% of the business that the company is doing right now is EPC.

So that, I think, should be able to answer that bit. Now coming to how the revenue would pan out. We have also taken a similar kind of mix when we have given our production model and told you that these estimates that we've given you is on the basis of what we expect the orders will flow. We also understand that like you rightly pointed out, EPC will start sooner and HAM takes a bit more time to start and show revenue.

So the nu

mbers that have been given to you according to that. One, there are a couple of good things that have happened. In the road sector, the government has taken notice of the challenges that they have faced because of reducing their credential criteria for bidding of projects. They have really struggled to get projects off the ground and also have started struggling on the construction quality front.

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So very recently, about a week or so ago, they have changed on the EPC model and made the eligibility criteria more stringent and similar steps are expected in the HAM model as well. So , we are expecting now that the competition should be more moderate. If you look at the last year's data, in HAM, 91% projects were won by non -recognized or the smaller players, 91%, let that sink in. And in EPC, that number is even higher.

So, while the government has awarded these projects at record low prices, there is definitely certain question marks on the quality and the project progress that they'll be able to achieve. Hence, they have taken these corrective measures. So , we are hoping that flows in line in this financial year. Did I miss out any points that you...

Shravan Shah: No. Just the one thing that for this year, how much are we looking at in terms of the order inflow for full year?

Rohan Suryavanshi: Yes, yes. very right, sorry. So , we are looking at about a INR20,000 crore s order inflow this year. INR15,000 crore s to 20,000 crore s at least what we're expecting because last 2 years have been quite muted. So , we are looking at that, and we hope the government will really push the pedal on the ordering.

Shravan Shah: Okay. And on the stand -alone margin, you mentioned 10% to 11% that -- the margin that now should be the case for even for ongoing FY '26 and going forward also?

Rohan Suryavanshi: I'm just speaking for FY '26 right now, Shravan Ji because going forward is a very long journey. So, once we have more numbers at the end of now this financial, that would be a better predictability in how the ordering has shaped out and all because right now, what all of us, either you or us would be doing would be just guessing. It would be a pure g uess work.

While the EBITDA numbers that we have tried to keep to you are more rooted in certain calculations, which is that, how much orders we will be able to secure, how many will start, what kind of order sort of profitability we will see in those. So that's been based on some of that. So, I think it's better that we should just look at this right no w.

And how the next year after that pans out, we should see that closer to the end of this financial year.

Shravan Shah: Got it. And now on the debt front, you mentioned that further another INR500 crores reduction will be there in FY '26. So , by FY '27, what our stand was, we will be a net debt -free. So that remains intact?

Rohan Suryavanshi: Yes, yes. That remains intact. That remains intact. But like I mentioned earlier during this year as well, that ideology has remained intact. The timing of it may change, defer to external circumstances beyond our control, which is ordering, but it's only a timing sort of issue that has happened. It's not a change in our philosophy. It's not a change in the direction that we are taking the company.

That is very much there that we will be a net debt 0 company in the next 2 years. And like I mentioned, when you're looking at, because you always look at these things in a great amount

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of detail, and we've always been appreciative of the larger analyst community, which ask us all these questions.

So that's why I'm trying to say while this year, we know that the payments of Jal Jeevan Mission were very, very problematic and slow almost 9 -10 months, we didn't see any of that payment coming in

, which kept our stand-alone debt levels elevated. But at the end of it, those payments realized, we were able to bring that down.

But at the same time, we made sure that even our consolidated debt was reducing. So, our agenda is very much in line. And like I mentioned, next year, stand-alone debt will be less by INR500 crores and the consol debt will be at least INR2,000 crores will be reduction in that as well.

Shravan Shah: Got it. And sir, on the MDO front, is there a way that we will be setting the profitability number or any value unlocking that are we looking for MDO assets?

Rohan Suryavanshi: Sir, on consol level we won't be sharing independent numbers. Like I mentioned, this is all in the consolidated that you will get. Value unlocking in all of the system is a function of market demand. If there is any such sort of opportunity where our investors feel that this is in the best interest of the company, then we will take it at an appropriate call at appropriate time.

Otherwise, that is how it is. But rest assured, if at all some strategy work to evolve, it will be done keeping in the interest of all the stakeholders, especially the minorities were given and with all their blessings and guidance.

Shravan Shah: Okay. Sir, I have 2, 3 questions, but if there are more questions, I can come in queue.

Moderator: We have our next question from the line of Deepak Purswani from Swan Investments.

Deepak Purswani: Yes. First of all, congratulations especially on the debt reduction and MDO performance. Sir, firstly, I wanted to seek some clarification. If I were to look into the order book, last year at the beginning of the year, we had an order book of INR17,400 crores. And this year, at the end of the year, we have INR15,000 crores and revenue has been to the extent of INR9,000 crores. So implied order inflow appears to be the INR6,500 crores, whereas in the presentation, we had reported INR2,100. So just wanted to check whether has there been any change in scope of work in the existing order book? That's the reason there is a deviation in overall listing?

Rohan Suryavanshi: Sir, you're very right. Because when you look at last year, till then, we were not adding the coal MDO orders, which should have been rightly done because that is a pure visibility for us. And at the end of last year, that was not being added. But in this financial year, we started adding that.

From first quarter, we had started that practice. So, which is why that order that you see even in our presentation, we mentioned, that 3 years of coal orders, which we have a clear visibility and which is there, that coal MDO, is also being added in the order book, which earlier was not.

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So that was a mistake, error on our part that revenue, which was going to come, was not being added to the order book. So, it's only that revenue that is being added to the order book right now.

Deepak Purswani: Okay. And secondly, sir, just continuing on the order inflow point of view, like you mentioned about the bid pipeline of INR1 lakh crores. And yes, I mean just wanted to get your sense -- I mean, this bid pipeline was also there in the month of December, and there was a -- I mean, we do understand there has been a delay from the ministry level in terms of awarding. But you can give a broader sense what is causing this delay at the first place and whether this problem is getting resolved? And how confident are we -- I mean, incrementally, this would flow it out probably in the next 6 to 12 months, the order inflow guidance of INR15,000 to INR20,000 crores. That's a part one.

Secondly, if you can also give the breakup of this INR15,000 crores to INR20,000 crores, what is the awarding we are expecting from the road sector and which are the new verticals which would contribute in terms of the order inflow?

Rohan Suryavanshi: Sir,

just to answer your first question, the delay in the government ordering is best asked to them.

But from whatever we have understood till now, because the last 2 years and more than actually that, where the government -- where they saw a significant number of new players and smaller players emerging and taking larger share -- so they were facing challenges around financial closure of the HAM projects.

They were facing challenges around even once they're getting started, there is because they have been bid at some really ridiculous numbers, they were seeing challenges in progress. So, I think there has been a rethink within the government that this whole process, they don't want to make a repeat of the 2009, '10, '11 era, where a lot of players came in and the government got great deals, but none of those deals actually materialized.

So, I think there has been a rethink in the government that you don't want to have that because then it's a problem that they will have to again solve, whether it's for banks or whether it will be for the industry. And ultimately, the net loser in that whole scheme is the government. If you have to recapitalize the banks, if you have to solve for projects that are not done, escalated cost of projects.

So, I think all of that rethinking is happening, precisely which where there is an improvement in the qualification criteria that they are doing now. And it's better that these projects are now going

to be awarded once that qualification criteria is done.

So, for us as well, when we are looking at INR15,000 crores, INR20,000 crores of orders, obviously, I can't give an accurate split of how it will pan out in the end of the year because once you bid for a project, there is always a small probability of what you will end up winning.

So, we've continued to bid across different sectors that we are working in. Now we are also looking at some new sectors opportunistically. But as and when those things materialize, I think Dilip Buildcon Limited

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it's a better time to speak about that rather than counting our chickens before they're hatched. So that's the first part of it.

Second, you were asking what sir that you wanted to know the exact split?

Deepak Purswani: Yes. INR15,000 crores to INR20,000 crores which we are expecting, what is the broader segmental breakup we are looking at out in terms of the overall awarding of this...

Rohan Suryavanshi: The sectors that we've already mentioned in the presentation that we are already working, you should look at that only as a broad breakup. So , we are looking at all those sectors. What will eventually materialize, those percentages might change a little bit here and there.

But that is the segment -wise and even the model -wise, both those splits that we have given in the presentation on slide 7, you would be able to make an educated guess around how that should work out. We obviously do not give exact numbers of our bidding strategy, but that's how you should kind of think about it.

Deepak Purswani: Thirdly, just continuing on the order inflow point, we also mentioned there is a 78 new tunnel projects worth INR1.1 lakh crores, which are also coming out. If you can also give some broader sense on this in terms of the RFQ criteria for these projects as well as I think this project would also require some capex investment to the extent of TBM.

So, if you can give some broader sense, I mean, what is the capex we are looking out for this year? Or are we incrementally looking out for buying some TBM machine to bid these projects? Or how should we look into all these?

Rohan Suryavanshi: Sir, so the various projects that I mentioned, that is an announcement with the Government of India. This is spread over a period of 5 years. A majority of those projects are under DPR stage and not all of them will need the TBM. The tunnel that we are also doing, we're

doing through

boomers, and the project that we will also target will be the ones that use our current equipment only.

Now in terms of capex for the company this year, we are not expecting to do any capex in this financial year per se. So , if there is some very small replacement capex that we have to do, that will happen. Otherwise, we have no targets of any capex . There's no planned capex this year.

Deepak Purswani: And also continuing on that part, I mean, if you can also give a broader sense in terms of the working capital, how should we look into it? And I mean, last quarter, we had INR100-odd crores the Jal Jeevan mission. I mean this time ; it appears to be the relatively better working capital.

If you can give us just quantum what has been the reduction in terms of the debtor at the current juncture and whether the execution and payment cycle has normalized in the Jal Jeevan Mission project? And how should we see the opportunity going ahead in this segment?

Rohan Suryavanshi: Sir, the Jal Jeevan Mission payments thankfully have come at the end of the financial year, which provided relief to all the players because they were stuck for a while and had led us for an

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elevated working capital cycle. Luckily, the overall working capital cycle came down by the end of financial year. We are expecting the next year's working capital cycle to also be in a similar range only.

We are looking to make improvements, but making improvements is a function of how the government payments happen, how the ordering happens, a lot of different factors working on. We're looking to make improvement. It will be in the same ballpark region. I think that should be the headline number there.

That will be in that same ballpark region, working capital cycle, which is very much where the industry is at. So, while we'll do that, even with a reducing order book and even with lower revenue numbers, the larger bit will be we'll be still reducing the debt. The stand-alone debt will keep reducing. So , the debt equity ratio will improve furthermore.

Deepak Purswani: Okay. And if you can also give the quantum of the debtors from the Jal Jeevan Mission at the end of this year?

Sanjay Kumar Bansal: Sorry, what, sir?

Deepak Purswani: Sir, if you can give the debtors outstanding for Jal Jeevan mission at the end of this year?

Rohan Suryavanshi: Let me just look into -- sir, we can take that offline. It's not -- I don't think so at the end of...

Deepak Purswani: Sure, sure. And finally, just final question from my end. In terms of the interest expenses, with the reduction in the debt, how should we look into interest expenses for FY '26?

Sanjay Kumar Bansal: So basically, for the revenue of INR8,500 crores, we are expecting interest cost around INR400 crores.

Moderator: We have a next question from the line of Prateek Bhandari AART Ventures.

Prateek Bhandari: I wanted to understand about the Siarmal coal mine. So, what I wanted to understand was once we are done with the coal production and we are able to clock that 50 million metric tons per annum, what are the further plans do we have in place? And what kind of grades of coal are we extracting from there?

Rohan Suryavanshi: Sir, what do you mean by further plans after 50 million metric tons? I'm not sure...

Prateek Bhandari: You mentioned about the coal handling plant that should be built...

Rohan Suryavanshi: Right. So, the coal handling plant construction will start within the next 2 years. Sorry, next 2 years, we'll finish that. We will keep bring that online. So all that planning for the coal handling plant is going. So that will remove the transportation that we're doing currently via trucks, and it will be done via that.

Prateek Bhandari: And what would be the estimated capex for the same?

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Sanjay Kumar Bansal: So, the coal handling plant capex is around INR850 crores. And we will start constructing coal handling plant from next quarter, and it will complete in 2 years' time. So, before the scheduled completion date.

Prateek Bhandari: All right. And what kind of the grades of coal are we expecting from that Siarmal coal mine? What is the grade...

Sanjay Kumar Bansal: G11 grade coal we are expecting.

Prateek Bhandari: G11.

Sanjay Kumar Bansal: Yes.

Prateek Bhandari: Is it only the one category of grade? Or are we expecting other categories as well?

Sanjay Kumar Bansal: No, no. It is G11. The mine is G11. So, the same grade coal we are expecting.

Moderator: We have our next question from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, 2, 3 things. First, in terms of the remaining Alpha 10 assets that we'll be transferring. So this year would be 7 assets and the next year would be 3 assets. That's the way one can look at?

Sanjay Kumar Bansal: Shravan Ji, total transfer the money is INR550 crores. And out of that, we are expecting INR360 crores we will receive this year. And it is close to 7 assets we are expecting by March, 26% can be transferred.

Shravan Shah: Okay. Got it. And sir has mentioned that INR400 crores of DIPL debt, so that's the DBL...

Sanjay Kumar Bansal: Sorry, sir, I could not get you.

Rohan Suryavanshi: Shravan Ji, your voice is gone. Can anyone hear the voice of Shravan Ji?

Moderator: No sir. We can't hear. We will move on to the next participant. We have our next question from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Sir, my first question is on NHA1 ordering. So, when do we expect a pickup in NHA1 ordering, so which quarter like first half, second half? So how do you think this year will be for NHA1 ordering?

Rohan Suryavanshi: Sir, we're expecting second quarter onwards, it should pick up significantly.

Parikshit Kandpal: Second quarter. Okay. And do you think -- I mean, any sense on what kind of measures government is planning or they've already taken in terms of like the smaller players either in terms of like increasing the qualification criteria, making it more stringent. So, what do you think would change this competitive intensity in the near to midterm?

Sanjay Kumar Bansal: Parikshit Ji, basically, there are 2 parts. EPC project, the government has already taken the steps to increase the qualification criteria pre-COVID level. So, they have increased the performance

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guarantee requirement, the technical requirement, and they have increased in terms of the technical and financial criteria, EPC is done.

Now they are considering for HAM also in the similar way. So automatically, the unrecognized players competition from them will reduce.

Parikshit Kandpal: The other question is on the diversification beyond the existing segments. So, road has been a

nonstarter for the last 2 years. Nothing much is happening there and outlook also right now looks a little uncertain given there has been no major awarding from NHAI. There has been some state awards.

I think we've not been able to get these awards from the state. So, in absence of these large segment in ordering, so what are the other segments you're looking at to mitigate the impact of slowdown in those awards?

Sanjay Kumar Bansal: So basically, you can see from our presentation, slide 7, I believe, the vertical-wise and the segment-wise order book, we expect orders from all these segments, though road is reduced, but we'll be getting the new orders from all the segments. We are continuously bidding in all the segments.

Parikshit Kandpal: Sir, anything on the T&D side or the building segment, which can add incrementally to the new order...

Sanjay Kumar Bansal: We are not look

ing for any building construction.

Parikshit Kandpal: And on transmission side, anything on transmission, battery storage-related HAM projects, anything on that side or solar EPC?

Sanjay Kumar Bansal: Parikshit Ji, we are looking for transmission very closely.

Parikshit Kandpal: And renewable side, so basically, the question was what could be the opportunity for us in the renewable, which seems to be a bigger theme now? And how do we want to play that theme? So either both on investment on equity side as well as on the EPC side?

Rohan Suryavanshi: Parikshit Ji, obviously, as a company now, given that we have certain -- build up certain capabilities, both in terms of equipment and manpower, we are looking at opportunities across the sector, not just the sector that we are currently doing, but even beyond that. To give you a very specific sort of idea about our strategy going forward would not be possible in that.

So those are things that the company likes to keep close to the chest. But we are looking at different, different sectors. And wherever we find an opportunity that arises at a good pricing, we will definitely be taking that.

Parikshit Kandpal: Anything being evaluated in international markets?

Rohan Suryavanshi: Yes, sir, we were evaluating international markets as well. We were evaluating a coal block in Mozambique as well. So yes, we were evaluating, we were looking at different, different opportunities in different areas. So, we are looking at different areas.

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Moderator: We have our next question from the line of Aakash Raval from Buoyant Capital.

Aakash Raval: Sir, I have just one question regarding the coal MDO part. So, our execution has been very good on the coal MDO front. So, are we looking to bid for other coal MDO projects, which are there in the pipeline going forward?

Rohan Suryavanshi: Yes, sir, we are looking at bidding for more projects. Coal now is a sector that we've been involved in since almost 2016. So, it's been almost a decade that we've been doing the coal sector in some form or the other. While the MDO sector is within the last 4-5 years only that we bid and got into it.

But now that we are on track with both these mines with one being at peak capacity, other one ramping up very swiftly, we are looking at other opportunities.

Moderator: We have our next question from the line of Sanjay Parekh from Sohum Asset Managers.

Sanjay Parekh: Yes. No, so my questions were answered around the coal MDO, which my colleague asked, the new projects there, you clearly have done exceptionally well. And so that is answered. One more thing, micro is -- order book is INR3600 crores, of mining, while both the coal projects is INR2800 crores. So, the balance -- is there an external mining contract you have? And can you have more of them?

Sanjay Kumar Bansal: So sir, it is this way. There are 2 types of work we are doing, DBL is doing for the subsidiaries. One is EPC work. So Siarmal MDO involves EPC works as well. And that CHP, the coal handling plant construction work also being done by DBL. So, the INR2,800 crores, which is added is basically O&M work, the coal extraction and transportation.

Whereas if you add the EPC work, which is coal handling plant and like constructing other infrastructure for Siarmal, the total order book would be around INR3,600 crores, which is shown in the presentation.

Sanjay Parekh: Okay. Great. That's very, very clear. The second thing is INR14,923 order is executable over what period? And what part of this revenue could come in '26 and what part could come in '27?

Sanjay Kumar Bansal: So, sir, total revenue this year is planned around INR8,500 crores. And for '26, it is very early to estimate. But at the same time, our order book is around 2 to 3 years, and we will be adding new orders. So '26 will be basically from

the existing order book and from the new order book.

Sanjay Parekh: Got it. Sir, just if it's possible, that of this INR14,923 crores, what is -- I mean, would it be INR7,000 crores, INR7,500 crores, which is executable this year, broadly also we'll find.

Assuming -- I mean, we surely would win new orders. What I'm saying is for the current order book, what would be the executable revenue this year and next year, if possible?

Rohan Suryavanshi: Sanjay Ji, that's a very good question. Out of this order book, you can split this into 2 years. So, about INR7,000 crores of revenue should be able to come from this order book alone. ...

Sanjay Parekh: So very small order I understand will flow to '28. Largely, this order book will be executed in 2 years. Can we say that?

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Rohan Suryavanshi: Largely, this order book is there. So, it provides us a very -- so from whatever we are targeting, almost 80% of that is like the revenue that we are targeting of, let's say, INR8,500 crores. So almost 80% of that will be coming from this order book already. So, we have taken a very conservative estimate for new orders and how much we'll be able to starting to execute.

Moderator: We have a next question from the line of Vishal Periwal from Antique Stock Broking.

Vishal Periwal: Sir, on this profitability for MDO, though you did mention like we are not sharing the numbers. But the numbers which you have shared, say, consolidated minus, if you do a stand-alone number, will that be fair to say that the remaining part is coal MDO that is running through in the business?

Sanjay Kumar Bansal: So sir, how our consol is made basically stand-alone plus HAM completed and under construction HAM plus coal. So, there is profit from completed HAM also in the consol performance. All our subsidiaries are included. So, it's not just the coal business. It's all the subsidiaries of the company are included in there.

Vishal Periwal: Okay. And will you have that number, sir? I mean what would be their revenue share on a quarterly basis or anything even on an annual basis, if you -- will that be visible? The HAM basically, the revenue?

Sanjay Kumar Bansal: So, on the yearly basis, both the coal MDO were around INR265 crores profit and balance is from the under construction and completed HAM and other subsidiaries.

Vishal Periwal: Okay. Okay. So, coal MDO is INR265 crores at a PAT level.

Sanjay Kumar Bansal: Sorry, sir, can you come again?

Vishal Periwal: No, sorry, I just missed -- you mentioned INR265 crores is what number, sir?

Sanjay Kumar Bansal: Yes, INR265 crores from the coal MDO for this year.

Vishal Periwal: MDO. Okay. Got it. And then from a revenue front, I think though in the PPT, we have mentioned like the total revenue which one can get from, say, Pachhwara and that other block and then the total coal, which can be evacuated. So, in terms of rupees per ton, will that be a fair number to take when we are coming to an annual sort of revenue for next year or maybe like this year?

Rohan Suryavanshi: Sir, would you mind repeating the question again, please?

Vishal Periwal: Okay. Sorry. Yes, I'll just repeat. So, I think in the presentation, we have given 2, 3 numbers in terms of like total revenue, which these mines will give us over a period of next 10-15-odd years and also the total coal that we can extract from these mines. So basically, on that metrics, can we just work on that realization part and then we can come to our revenue for FY '25 and '26 number.

So the reason I'm asking is like is there any escalation which has been there, which we have built in to come to that consol revenue, which is we have given in the PPT for the coal MDO?

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Rohan Suryavanshi: Sir, the total revenue, MDO business revenue that we have given

in the presentation, basically,

it's a calculation of the total coal reserves that the company has to extract, the balance the order book that is left at the current prices. So, we have taken it at the current pricing, like, let's say, the government is paying us x rupees per ton.

We have done that into a direct multiplication of all the tons that we are able to extract throughout the life of the agreement so without any inflation. So, this is a non-inflated number that we've done, including inflation index that will increase very significantly.

So, this is a non-inflation index number that we've kind of given just to give you an idea of the size of the business. So, it's a basic multiplication of total reserves that we still have to extract into current price.

Moderator: We have a follow-up question from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, is it now possible that we have shared this INR265 crores PAT for MDO business for FY

'25? Is it possible to share the revenue and EBITDA?

Rohan Suryavanshi: Shravan Ji, that number will be coming in our balance sheet number when the consol balance sheet number comes for this year, which is how that was kind of shared. Future numbers, we won't be able to share at this juncture. Whatever that comes in future, you will see the balance sheet. So, FY '25, you can see right now what is there.

Shravan Shah: So, I was asking on FY '25, what's the MDO revenue and EBITDA in FY '25?

Sanjay Kumar Bansal: Sir, basically, I have given you the PAT number. So you are wanting the different, different EBITDA from all the subsidiary would be very difficult. So, we will submit the audited accounts and we'll upload on the website. So please refer there once it is approved by the shareholders.

Shravan Shah: Okay. Got it. Second, just wanted to clarification DBL Infra debt as on March is INR400 crores?

Sanjay Kumar Bansal: Sir, it was INR484 crores. And within this year, means April, we paid around INR120 crores. So, balance debt is INR366 crores precisely.

Shravan Shah: Okay. And we are planning to repay in this year itself?

Sanjay Kumar Bansal: Yes, yes. We are planning to repay entire debt of DIPL this year.

Shravan Shah: Okay. And sir, this other income of INR74-odd crores in FY '25, how much is the Shrem InvIT dividend or distribution?

Sanjay Kumar Bansal: So basically, please refer our discussion in previous floor, we said the Shrem InvIT distribution is two-third, one-third. So, one-third is the capital return, and two-third is interest and dividend.

So total around INR120 crores we received. So, you can say the same ratio.

But the distribution we are receiving in 2 places, one DBL and DIPL level. So, the ratio will remain same.

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Moderator: Ladies and gentlemen, this would be the last question for today. And I now hand the conference over to the management for closing comments.

Rohan Suryavanshi: Well, on behalf of everyone here at DBL, we'd like to thank all the participants who came down.

And I wish a great next financial year for all of you guys. And we hope these turbulent times that we're seeing in the external environment cease through. So, be safe and keep your family safe, and we look forward to seeing you in the next quarter call. And if there is any more questions and concerns and doubts, please feel free to reach out to our team. Thank you.

Moderator: Thank you. On behalf of Dilip Buildcon Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2025

August 2, 2025

Subject: - Transcript of the Analyst/Investors conference call

In continuation to our letter dated July 24, 2025, please find herewith the transcript of the Investor conference call for Investor and analyst held on Wednesday, July 30, 2025 at 10.00 AM. (IST) related to the financial results for the quarter ended June 30, 2025, conducted through digital means.

The aforesaid information is available on the website of the Company i.e.

<https://dilipbuildcon.com/investors/shareholders-centre/>

This is for your information and record.

With Regards,

For, Dilip Buildcon Limited

Abhishek Shrivastava
Company Secretary

To
BSE Limited
Listing Department
P.J Tower, Dalal Street
Mumbai – 400001

To
National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051

Stock Symbol -540047 Stock Symbol –DBL
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“Dilip Buildcon Limited
Q1 FY'26 Earnings Conference Call ”
July 30, 2025

MANAGEMENT : MR. DEVENDRA JAIN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DILIP BUILDCON
LIMITED
MR. ROHAN SURYAVANSHI – HEAD STRATEGY AND
PLANNING – DILIP BUILDCON LIMITED
MR. SANJAY KUMAR BANSAL – CHIEF FINANCIAL
OFFICER – DILIP BUILDCON LIMITED
MR. GAUTAM JAIN – HEAD INVESTOR RELATIONS --
DILIP BUILDCON LIMITED

Dilip Buildcon Limited
July 30, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Dilip Buildcon Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gautam Jain from DBL. Thank you, and over to you, sir.

Gautam Jain: Thank you, Anushka. Good morning, everyone. Welcome to Dilip Buildcon Quarter 1 FY '26 Earnings Conference Call. From the management, we have today Mr. Devendra Jain, Managing Director and CEO; Mr. Rohan Suryavanshi, Head of Strategy and Planning; and Mr. Sanjay Kumar Bansal, Chief Financial Officer.

Before proceeding with the call, I would like to mention the standard disclaimer. The presentation that we have uploaded to the stock exchange, including the interaction in this call contains or may contain certain forward-looking statements concerning our business prospects and profitability, which are subject to some uncertainties, and the actual results could differ from those.

Now I would request Mr. Rohan to take us through the key remarks, after which we can open the floor for question-and-answer session. Thank you, and over to you, Rohan.

Rohan Suryavanshi: Thank you, Gautam. Good morning, everyone. On behalf of the entire DBL family, I welcome you all to this conference call. The results and presentation have been uploaded to the stock exchanges, and I trust you had a chance to review them.

To provide a brief overview of the industry, the muted order activity trend we experienced last year has continued into the first quarter of this fiscal year across all infrastructure sectors.

However, based on recent developments and assurances from the government and a very clear intent, we're expecting a significant increase in orders for the remainder of the year.

In the road sector, the NHAI is preparing to bid out 124 road projects worth INR3.4 lakh crores in FY '26. These projects will include a mix of HAM, BOT and EPC models. Additionally, Honorable Minister, Shree Nitin Gadkari has pledged INR2 lakh crores for infrastructure development in Jharkhand. The ministry is focus on increasing capital expenditure, along with overhauling processes related to tendering DPR preparation, road safety and quality, maintenance and toll collection, bodes well for the long-term outlook of the sector.

In the Water Distribution sector, particularly with the government's flagship Jal Jeevan Mission, challenges such as water scarcity, difficult terrains and funding issues have hindered full implementation. Given these delays and these issues, the government has extended the execution time lines to 2028 in the last budget. As the central government remains committed to completing the scheme with various interventions, we anticipate some progress this year.

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In the Metro Rail sector, we stand on the brink of significant opportunities. Recently, the Andhra Pradesh government approved a proposal to invest over INR20,000 crores in the development of the Vizag and Vijayawada Metro Rail corridors. According to a recent World Bank report, Indian cities require investments exceeding USD2.4 trillion in urban infrastructure by 2050 to meet the needs of the growing urban population. This highlights the urgent need for increased infrastructure investment in the country.

As a well-established and diversified infrastructure player, we at DBL are actively exploring opportunities across all related sectors and are confident in our ability to capitalize on these prospects.

Now focusing on DBL per

formance in the last quarter, we have encountered challenges in securing new orders, primarily due to a slowdown in the ordering activity across most of our verticals and heightened competition for the limited projects available. This situation is true for all players of the industry and even more so for the larger players because a large portion of orders have been won by smaller and unrecognized players due to lowering of the bid standard by the authorities.

It's vital to keep our investors and analysts informed about the situation. Over the past few months, we have faced intense competition, especially in some large orders as well. However, at DBL, we remain steadfast in our commitment to our long-term strategy of profitable growth. We have chosen to uphold our threshold margin levels, which has led to a temporary decline in our order book.

However, we are optimistic that as the market stabilizes and conditions improve, we will successfully secure orders across all our established verticals. And while we will be experiencing a period of de-growth, we view this as an opportunity for strategic refinement. The government on its part, like I mentioned has already improved the qualification criteria, and we hope this

will lead to significant reduction in competitive intensity.

So right now, rather than lowering our threshold margin levels to chase suboptimal projects, we are taking this time to realign our operations to be leaner and more agile. As part of this initiative within our EPC business, we have paused all capital expenditure plans and implemented targeted workforce adjustments, which will enhance our operational efficiency in the long term. We believe these proactive cost-cutting measures will yield lasting benefits for our performance moving forward.

In our HAM projects portfolio, execution is progressing smoothly and according to schedule. In the last quarter, we have completed partial divestment in 3 projects to the Alpha Alternatives fund for a consideration of INR125 crores. The remaining 7 projects are on track.

We anticipate completing and partially divesting 4 of them within this financial year, followed by the remaining 3 in the next financial year. I'm also happy to report that our InvIT formation process is nearing completion and we have received in-principle approval from NSE, BSE and SEBI. After a few more necessary clearances, we are excited and we anticipate to launch the InvIT within this quarter.

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Now moving on to our Coal Operations, our coal MDO operations are thriving and progressing on schedule. In our Siarmal MDO, we have achieved a production volume of 5.4 million metric tons in quarter 1 FY '26, and we are on-track to meet our full year target of 25 million metric tons for FY '26.

Similarly, our Pachhware MDO achieved 2.9 million metric tons in quarter 1 of FY '26, positioning us well to reach our full year target of 7 million metric tons for FY '26. In total, we will achieve production of 32 million metric tons in FY '26.

Finally, I'm excited to share our vision for DBL 2.0 remains on-track even in the current challenging macro environment. It is truly promising to see our 2 long-term revenue-generating businesses, our Coal MDO and the HAM portfolio progressing robustly. These ventures will provide us with predictable cash flows, improved return ratios and a more balanced risk profile. We hope that our robust order inflow from the government in this financial year will help us further strengthen our strategy and growth.

As I mentioned before, now evaluating DBL from a consolidated perspective is extremely essential to fully appreciate our various business verticals, the nuances, strengths, performances and potential.

Now with that, I would like to hand over our call to our CFO, Mr. Sanjay Bansal ji, who will provide a detailed overview of our financials.

Thank you.

Sanjay Bansal: Thank you, Rohan ji. Good morning, everyone. I welcome all our stakeholders to our earnings call for quarter 1 FY '26. Let me present the results and highlights. During quarter ended 30th June 2025, the company completed 2 HAM projects worth INR1,605 crores and received LOA for our tunnel projects in State of Kerala.

Now moving to business to financial performance; firstly, stand-alone quarterly performance on Y-o-Y basis. The company's revenue decreased by 14.7% to INR2,010 crores against INR2,358 crores. EBITDA decreased by 22.5% to INR203 crores from INR262 crores. The EBITDA margin decreased on account of reduction in revenue from road and water supply projects. Profit after tax increased by 61% to INR123 crores from INR47 crores.

Now come to consolidated quarterly performance on Y-o-Y basis. The revenue of the company decreased by 16.4% to INR2,620 crores from INR3,134 crores. EBITDA increased by about 9% to INR520 crores from INR478 crores. The EBITDA margin increased on account of completed HAM projects and coal business performance. Profit after tax increased by 93.7% to INR271 crores from INR140 crores. This is the financial performance of the company.

Now we can open the floor for the questions and answers. Thank you.

Moderator: We take the first question from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, couple of questions. So first, just to rephrase on the guidance on the stand-alone front, so what's the now revised new EBITDA margin order inflow capex for this year?

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Moderator: Sir, your voice is breaking. Could you please fix that?

Shravan Shah: Is it better now? Is it fine?

Moderator: Yes. Fine.

Shravan Shah: Yes. Sir, can you just restate the/ or guidance on the stand-alone revenue, EBITDA margin, order

inflow and capex for FY '26?

Rohan Suryavanshi: Sure. So let me start with order inflow. At least we are expecting INR12,000 crores to INR15,000 crores of new order inflow. So that is what we are expecting. The guidance, what we expect should be in the range of INR8,000 crores to INR8,500 crores of revenue and this is for the full year. And the EBITDA margin should be in the range of 11% or so.

Shravan Shah: Okay. And capex on the stand -alone would not be anything for this year?

Rohan Suryavanshi: It should be very negligible if only some replacement capex has to be done. So I don't expect to be more than -- if at all, because we are expecting it not to go, but let's -- for assumption sake, let's assume between INR 40 to 50 crores.

Shravan Shah: Okay. Got it. And on the debt front, so this quarter, obviously, the debt has increased. So last time we have talked about that stand -alone debt, we are looking at INR500 crores reduction in this and net debt free by FY '27. So any change on that?

Sanjay Bansal: So basically, our target for 31st March 2026, the reduction of debt by INR500 crores remains intact, number one. Number two, it is a quarterly increase by INR85 crores, which we will address in 9 months. So there are activities quarters. So the plan is intact.

Shravan Shah: Okay. And net debt free by FY '27, that also intact?

Sanjay Bansal: Yes. Net debt free by FY '27 is intact.

Shravan Shah: Okay. Now on the operational front, a couple of things I just wanted to know. First, this Shrem unit distribution post whatever the sale that we have done, what is now left with us? Because in the distribution from FY '27 previously, we used to have INR76-odd crores. Now we are seeing a 0 number for Shrem InvIT distribution.

Sanjay Bansal: So, Shravan ji, the distribution -- the projected distribution decreased to INR44 crores because management has decided to repay part of CPPIB debt. So this quarter, basically, we have prepaid INR312 crores or CPPIB debt from DIAPL. We basically paid this out of sale of units . So

we

sold INR263 crore worth units this quarter and we now around INR300 crore unit is pending.

So basically, it is because of the reduction in units and reduction in corresponding debt of DIAPL.

Shravan Shah: Okay. So balance INR300 crores, are we looking at to sell with this -- during this year and that's why we are looking at from FY '27, there will not be any distribution from Shrem?

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Sanjay Bansal: So I will have a right to repayment from 20th of August this year. So we are planning to pay or prepay the debt within this financial year. So that is why we have kept 0 distribution in FY '2 7.

Shravan Shah: Okay. And now infra debt is how much?

Sanjay Bansal: Principal remains INR285 crores as of 30th June.

Shravan Shah: Okay. And sir, is it possible, are we -- can you can share the MDO revenue EBITDA margin, PAT?

Sanjay Bansal: So Shravan ji last few calls we've said basically , we see and we give consol. And we don't give entity by entity. So yes, in the consol business performance is included but company -to-company, it is very difficult.

Shravan Shah: Okay. And Siarmal Coal Handling Plant capex of INR850-odd crores has started, which we were supposed to start from this quarter.

Sanjay Bansal: So, Shravan j i, the major capex in Siarmal will come from or will be done for the CHP. And CHP out of the total balance capex is around INR900 crores. Without CHP also, we are targeting 25 million tons and next year, 35 million tons. So we will start the CHP capex when we want to go above 35 million tons. So we are well within the targeted total production capacity. So within, you can say, next 1 or 2 quarters, we will start because there is no point doing the capex early than required. So basically, we are basically planning basis our production requirements.

Shravan Shah: Okay. And lastly, sir, the cash number as on FY '25 has been restated from INR292 crores to INR80-odd crores for stand -alone. So is there anything because this was audited number. And similarly, that number has been increased in the noncurrent financial asset.

Sanjay Bansal: Noncurrent financial assets, basically cash reduction is the total. If you can see the stand -alone cash flow, the cash impact for this quarter is INR61 crores negative. So there will be some balance sheet item adjustment. So Shravan ji, on specific queries, we can have a separate discussion with my accounts team. We can have a separate call on each and every item.

Shravan Shah: No issue, sir. I was not referring for this quarter. I was saying for FY '25, what we reported when we declared the result at that time, the cash and bank balance on stand -alone was INR292 crores, which now revised down to INR80-odd crores and the difference has been increased in the noncurrent financial assets. So I was asking that.

Sanjay Bansal: Shravan ji, I think it will be basically some grouping change. So my accounts team will basically explain you some grouping change. Otherwise, the cash adjustment for this quarter is only INR61 crores.

Moderator: The next question is from the line of Ishita Lodha from SVAN Investments.

Ishita Lodha: My question is with respect to the inventory levels. We saw a slight increase from 75 days as on March to 84 days. So how are we looking at inventory levels by the end of this financial year?

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Sanjay Bansal: So basically, if you see the inventory in absolute terms, the inventory has decreased marginally. But yes, because my sales is down by around 15%. So the 9 days increase in my net working capital days is because my denominator is down, which is the revenue . So in absolute terms, my inventory is not increasing. So it will be more or less same as previous year, and we will end with more or less 75, 80 days in entire financial year.

Ishita Lodha: Okay. And what

is the update on Jal Jeewan mission?

Sanjay Bansal: The Jal Jeewan mission, in the financial results call of quarter 4, we have said we have received almost all Jal Jeewan mission related payments in March. So now the regular 1 month outstanding remains from the Jal Jeewan mission. Otherwise, it is regular.

Ishita Lodha: Okay. And since last 7 -odd quarters, we are seeing that the order inflow has been quite muted. So by when are we expecting the momentum to pick up?

Sanjay Bansal: So basically, the order inflow is in the opening remarks by Rohan ji, he said because there were qualification criteria issue and competition from unrecognized players. Now since NHA changed the qualification criteria in EPC and HAM project recently. So now we expect lesser competition from unrecognized players. So we expect good amount of order flow between quarter 2 to quarter 4, and we expect like INR12,000 crores to INR15,000 crores worth projects in the remaining period of this financial year.

Ishita Lodha: Okay. And the other income was slightly higher. So any one -off during the third quarter?

Sanjay Bansal: So in consol, the other income is higher because in CPPIB, we paid INR164 crores of redemption premium. The corresponding impact of reversal of provision. So it is there in the reversal of provision in other income and the same INR164 crores is in finance cost. So basically, we recognized the cost through provision in past quarters. But now the real payment happened. So now my interest cost increased and my other income increased because of the reversal of provision.

Moderator: The next question is from the line of Ashish Shah from HDFC Mutual Fund.

Ashish Shah : Sir, just one thing I wanted to understand. We spoke about tightening of qualification norms for EPC and HAM projects. Could you elaborate what are the key changes which have been either proposed or have already been implemented? And yes, I mean -- and when do you expect really to -- for these new norms to take into effect as far as bidding is concerned?

Devendra Jain: Mainly, Ashish ji whatever has changed in the qualification criteria , that is a net worth criteria. Earlier, the size of the project should have a 20% net worth. But now they have driven an assessed net worth. Already, if you have a project of INR5,000 crores, then 20% of that INR5,000 crores will deduct from the existing net worth. So, the smaller net worth companies like INR50 crores , INR60 crores , INR70 crores , INR80 crores, those who were directly qualifying in the project of INR1,000 crores and INR2,000 crores, they will not qualify now. So, this is a major change.

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And they have also changed the technical qualification, single size of the project. So, all together we are expecting, and this has already been implemented. And they have done another good thing. They have also increased the sizing of the project. For example, if there were 7 or 8 packages in one corridor, they have reduced it to 3 -4 packages and increased it to INR2,000 crores, INR2,500 crores type of projects. They have now floated it in the bid. So, we are expecting that in Q3 and Q4, there will be major momentum in the work of NH AI and M oRTH.

Ashish Shah : Right, and sir, the adjusted net worth that is going to be applicable for BOT and HAM projects, for EPC ...

Devendra Jain: It is already implemented it in EPC. But for this, the criteria for assessing the net worth, particularly in the EPC project, there is some change in the EPC. But the criteria that has been implemented now, is only for HAM projects, not for BOT .

Ashish Shah : Okay, this is particularly for HAM, even for BOT the older norms continue.

Devendra Jain: Yes, yes.

Ashish Shah : And sir, in your assessment, what will be the mix this year for HAM and BOT and EPC?

Devendra Jain: So mostly the bidding perspective, the 60 -40 ratio is

going on from the MoRTH and NHAI.

Approximately 40% of the projects are still on EPC, and 60% majorly on HAM and BOT. We are expecting the order mix to be similar .

Ashish Shah : Practically, when can we expect that the shelf of projects is going to be ready for actual bidding to commence because there have been various false starts. So one is really cautious on how to look at this year's opportunity. So in your assessment, when do you think this is act ually likely to revive the whole bidding process?

Devendra Jain: Till now, these people were busy in improving the qualification, which has ultimately been done. And now, I think the orders will ramp up. There will be some in Q2, but the major activities that will be seen will be in Q3 and Q4. And we are very keenly monitoring where we have to bid and where we have to win the orders.

So, there will be a lot of activity. The government is continuously saying that we have to give orders worth INR3 lakh crores this year. Already, last two years, after the elections, everyone was muted. So, we are looking that this time, the government has to make good orders .

Ashish Shah : And other thing is on the MDO business. So now we have started operating these mines. Are we looking at more such concessions?

Devendra Jain: Yes, continuously. Mining is our prime sector. We are continuously we do bid. Even we are bidding in the underground mining also and we bid on opencast. So not only the coal, we are bidding in the iron ore, we are bidding in the bauxite also. So we are looking this type of project in this financial year.

Moderator: The next question is from the line of Vishal Periwal from Antique Stock Broking.

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Vishal Periwal: First on, sir, in the presentation, we have given one slide of equity divestment trackers. So if I look at this, the latest presentation, it talks about the total inflow is around INR2,000 -odd crores. And FY '25 PBT, this number was INR3,000 -odd crores. So I just want to understand like how much like have you received INR1,000 -odd crores in this quarter? Or is there any other change which is there in this?

Sanjay Bansal: If you compare the previous equity and divestment tracker, so the non -operational cash flows yes, it was INR3,000 crores. So partly we have received and partly we have adjusted basis our revised understanding in terms of like I explained Shravanji's call question, we have sold INR260 crores worth same units.

So basically, we have reduced the inflows from the units because we already sold and we paid to CPPIB. And balance money we have received from Alpha during this quarter. So basically, there is no change again other than this. So except these changes, the n on-operational cash flow is same.

Vishal Periwal: Okay. Okay. And sir, I think you did mention -- so I mean, if we look at balance sheet, so where exactly this comes because I mean, we are not seeing that change in the increase in the cash line item even for the warrant amount that we have received.

Sanjay Bansal: Okay. So the warrant amount, you can see it is increased in basically the net worth. You can see the INR399 crores, and you can see the financing activity in cash flow. So INR399 crores received in this quarter from...

Vishal Periwal: In the asset side.

Sanjay Bansal: So asset side, it will be basically reduction in working capital utilization. But if you can see the operational cash flow, I have invested INR492 crores in my operational cash flow this year. So basically, INR60 crores came from my borrowings and around INR400 crores from the investment what I got from warrants. So net -net, my investment in operational cash flow is INR492 crores. So basically, asset side, it won't see because it is already invested in operations side. So there is a current asset increase.

Vishal Periwal: Okay. So largely, it is a working capital increase, whi

ch is basically.

Sanjay Bansal: Yes. And that is why my net working capital days increased from 75 to 84 days.

Vishal Periwal: Okay. Okay. Got it, sir. So the one -offs, which is there in this quarterly result, I think the footnotes do provide some clarity. So I think INR98-odd crores one -off. So I mean, the large part, where exactly it is coming? And any clarity that can be provided, sir?

Devendra Jain: So out of the total INR98 crores, basically INR68-odd crores received from Shrem against the deferred consideration. And the balance is basically profit on sale of 24.99% stake to Alpha and profit of INR23 crores on unit sale.

Vishal Periwal: Okay. And then in terms of the one -offs, I mean, it's very difficult to guide, but incrementally, we are planning to sell the units, that is one. And the second one -offs, which can come in the

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coming quarters is like the couple of other HAM projects, which are yet to be transferred to the InvIT. So these two things will lead to a couple of one-offs in the coming quarters also. That's a fair to understand, right, sir?

Sanjay Bansal: Yes.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Sir, my first question is on debt. So I think Rohanji spoke about this formation of InvIT. So if you can help us understand what is the total breakup of the HAM debt, asset debt, stand-alone debt, asset debt and outside debt, which is there in assets, D IAPL assets. So if you can help us and how does it move once the InvIT formation happens?

Sanjay Bansal: Basically, there are 9 assets basically planned to be transferred to InvIT, 8 assets of DBL and 1 asset of the third party. The total debt to be transferred is close to INR3,850 crores to the InvIT.

Parikshit Kandpal: So how much is the current debt for total stand-alone do we have? So if you can help us understand stand-alone then asset debt and the third-party debt and then how it will come down after the formation of them. So I know stand-alone will be net cash in 2 years, but I just want to understand how is the consol look?

Sanjay Bansal: So let me tell you on quarter 1 ending, my net debt is INR8,266 crores. Basically, out of that, around INR3,850 crores debt will move out of these 9 assets. So 8 assets INR3,850 crores.

Parikshit Kandpal: And stand-alone debt is about INR1,700 crores, right? How much is the stand-alone debt?

Sanjay Bansal: INR1,661 crores. So out of that, I explained the INR500 crores reduction will be done by 31st March 2026, which we guided in last call.

Parikshit Kandpal: So out of the total debt of INR8,266 crores, you said INR3,850 crores is this. So what will be the residual debt on the asset side after this? And how do we intend to knock it up...

Sanjay Bansal: If we project the consol debt as of 31st March 2026, so INR3,850 crores will go. But on the under construction projects, the debt is INR2,418 crores, which will increase by at least INR1,000 crores because the 7 projects are under construction. So there, we will draw the debt.

So net-net, around INR3,000 crores debt will go from here.

Parikshit Kandpal: Okay. And when all these assets are completed, then what will be the debt after the peak debt on the consol basis? And what's the plan for monetizing the balance assets?

Sanjay Bansal: So on the monetization, the plan is already updated like we have already agreed with long-term plan with Alpha, 10 assets, 26% will go. And basically, eventually, the 10 assets entirely will be transferred to Shrem -- sorry, Alpha DBL InvIT. So during FY '27, I believe '27 end I believe entire debt of HAM, the existing HAM projects will be shifted to the InvIT. After remaining debt will be stand-alone debt and the coal siarmal debt. That's it.

Parikshit Kandpal: Okay. So coal Siarmal, how much is the debt right now?

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Sanjay Bansal: It is INR420 crores as of 30th June 2025.

Parikshit Kandpal: This will grow as we do the capex. So this will go up. Okay. The second question is on the ordering. So I think Devendraji was mentioning about the ordering this year from NHA. So sir, I mean, has all the issues like earlier, there was issues of now any project which NHA has the authority will move to the cabinet committee for approval. So now has that been sorted or still that is -- that same way it will be done?

And secondly, what is the status of the land acquisition for this INR3 trillion, which you spoke about in terms of ordering? And beyond roads, what are the other segments you are exploring given that in 2 years, we expect to be net free -- net cash. So what are the other segments you are evaluating, especially on the renewable side, if you can highlight anything on battery storage. Some of your peers have been getting orders there, solar and other segments.

Rohan Suryavanshi: Sir, in terms of the new areas or the areas that we are already working in, we mentioned all the 8, 9 verticals that we do in all those areas we're looking at, whether it's water, whether it's metro, whether it's specialized bridges, tunnels, all those are as we're looking at, without -- besides that, we're also looking at energy sector, renewable sources and all. So we're also looking at those kind of projects.

Mining continues to be a large focus for us. Those are the areas that we are looking at for new orders. And the first question that you wanted to understand the land acquisition status, for all the different projects. Sir, for all of them, they are in different, different stages, but the government, given that there was lower ordering activity in the last 2 years, there is -- and because these projects have also been further delayed, the land acquisition, while it is a project to project specific thing, but it is definitely in a decent shape than what it was earlier when the government started ordering in a larger pace.

What has happened is because there has been, like I said, in the last 2 years, muted order activity, there -- while the government was intending to push out more projects, they were not able to. So the land acquisition has obviously improved as an overall percentage.

Parikshit Kandpal: And just lastly, any signs of revival on the state capex front, which earlier, I mean we have seen at least in Maharashtra MSRDC and Pune Ring Road kind of projects. Now we're talking about Konkan express way, Gujarat is talking about big plans. So anything on the ground which you have seen taking shape up so where we can participate and can give an opportunity to us in the near term?

Rohan Suryavanshi: Parikshitji, state matters are extremely unique to each different state given their own sort of consideration at that time and which state is going into elections or not. During or around elections, they start focusing more on social roll-outs. And after that, there is a bigger focus on capex and whether it's state or national, that kind of trend does repeat.

So instead of diving into specific states, that is basically the larger sort of strategy that they do adopt. More and more states have started doing capex on specialized projects, whether it's large expressways or unique or sort of large infrastructure project, and we'll have to go into each state by state. While we do look at different state government orders, it is a more measured approach

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looking at what is the financial tie-up for such projects and then only as a company do we bid for that.

Parikshit Kandpal: Okay. Just lastly on the margins and EBITDA margins, I mean, our size has decreased because of the order slowdown, but some of our peers are still doing better margins like 13% to 14%. So directly,

marginally, I mean now this is the bottom of the margin or this is for us like a new normal? Or do you think with the mix changing, the margins can again go back to that 13% to 14% EBITDA range?

Rohan Suryavanshi: Parikshitji, I might not be able to sort of comment on specific peers that you may be referring to, but each of us are working in different areas and sectors and different government authorities and agencies with very different competitive intensity. Part of our business strategy for the last decade plus has been our own capex, which is where we had higher fixed cost, but that translated into better sort of margins when we had a larger order book and good visibility.

Obviously, in a scenario where the order book scenario was depleted, that our fixed costs will remain and which is where we have addressed that and reduced all of those also on a considerable front, which is why we were able to protect our margins even right now.

Now going forward, as the new orders come in, what I and we anticipate as a company that once you have enough orders and once this fixed cost that the company has gets absorbed even better, there will be an improvement in margins. But different verticals will have different margin profile. So for me to say where we are right now, I definitely think this 10%, 11% is probably at the lower end of the margin profile that we are at.

Our anticipation, at least when we hope once things are on a regular kind of basis and the order book is fine, full, and we are targeting what we're doing, we're able to fully utilize all our assets. It should be at least a 300 to 400 basis point improvement in an ideal scenario, where I will also look at early completion and all of those things as well. All of that has not kind of happened.

So let's see how it goes. And once we have more orders, new orders, what profile we win at, we'll be able to give you a better guidance. But this you should definitely consider that this 10%, 11% is a bottom level of the margin profile.

Moderator: The next question is from the line of Naysar Parikh from Native Investment Managers.

Naysar Parikh: I just wanted to know you're planning the listing for InvIT. So what is the indicative valuation and your stake in it, if you have any thoughts on that?

Sanjay Bansal: Basically, the -- if you can refer the Rohanji's opening remarks, wherein he said the BSE, NSE and SEBI in principle approval is received. We are basically updating our offer document. So we believe this will be somewhere in September. So September month, the InvIT listing will happen.

Valuation, I can't comment now because that is going on with the investment bankers. And I said we are transferring eight assets. One asset is third party. So our stake would be 74% from

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the eight assets, but ninth asset will basically dilute my shareholding. So would be closer to 70% or so, subject to the equity raised in InvIT. So basically, will be in the range of 70%.

Naysar Parikh: Okay. Got it. And we -- on the order book, right, we understand on the margin front, but given you are already at like the bottom of the margin, and many players across different segments, they are showing growth. It is not like they're not showing. Even larger players, they are showing growth in order book across different segments. So are we being overly conservative? Or what

is it that we are not able to win orders because there's been obviously a secular decline, and if you remove coal MD O, we are like this INR10,000 crore order book.

Rohan Suryavanshi: Sir, again, I would not be able to comment on which specific peer that you might be referring to. But largely, the industry, if I talk about, let's say, specifically road -focused EPC players, from the national government, 90% plus HAM projects have gone to unrecognized players, and I would say the EPC front has been almost

95% to smaller unrecognized players, which are not listed.

So there has been a significant -- so if they are showing order inflow, that is maybe in separate sectors that you may be referring to, but the road sector from the national government has definitely been muted for all of us -- for all of our players, and that data, at least I know. So what new sectors -- now let's be clear, when they have taken order book, we mentioned very clearly that we have a very specific focus. We have a very specific goal.

We don't want to take new orders at the cost of our profitability, at the cost of hitting our return ratios or just for the sake of taking orders. We are happy with what we are currently executing. We have stable cash flows, which are already coming in and which are very sort of -- which is giving us a good sort of visibility into what we are kind of doing currently.

Some of these orders that people may have won, and I can send you data if you want specific, as low as even in INR1,000 crore projects, people have bid minus 35%. Now for -- and there are 20, 20 bidders in that. Do I want to bid an order at that price? No, I don't. Because I know that project will not be completed. Or if it will be completed, it will be of a very terrible quality.

I'm sure you would have noticed there has been a spate and high incidences of people posting videos and pictures on social media of roads getting and public infrastructure assets getting washed out after rains, and these are even like good national highways and expressways, which are facing those troubles of poor quality issues.

That is -- that whole issue has only started and happened because NHAI and the national authority decided to reduce criteria because of which people bid stupidly because of which you can't make an asset worth INR1,000 crores in INR700 crores and say it will be of the same quality of INR1,000 crore asset, and we don't -- we don't want to get into that.

We take a lot of pride in our construction quality. We have till now bid about and won about INR45,000 crore plus of HAM assets, which is the largest for any construction company in India.

The biggest sort of case of pride for us is not the size of what we've done, but the fact that all our projects that we've done, all have been done with exceptional quality, and we have not faced challenger issues of any reduction in annuity in any places.

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Even Shrem, when it's running its own InvIT, they are relying -- now Shrem has our 24 plus, I think, 35 assets that we have given to them. All of those assets receive annuity before time. We take care of the O&M and the quality that has been -- there's no reported incidence of any quality issues.

So as a company, if you want that -- will I be changing my policy towards the quality work I'm doing, I won't be. We don't want to get into a situation where not only does it impact our name and reputation, but also our finances, so to say. So which is why we have avoided those sectors.

And even if you look at our road sector order book, right now, it's a smaller part like at 8 years ago, 5 years ago, it was 80%, 90% of our order book, right now, it's 20%.

So we don't want to be, the fact that we have built capabilities over 8, 9 sectors in the last decade was precisely why we are able to do that. A lot of now players in our sector are diversifying into other areas. Now they won the orders. The performance of it will only come in the next 1, 2 years that you would be able to see.

Even the orders that you have won, while there might be some decent performance right now for the orders that they already had, but going forward, performance will only come that in the years to come. So that is basically that and if I talk about the coal MDO, the size of our coal, this is in terms of size, it's possibly one of the largest order books overall that any

company had, and

it is not just the largest in terms of like the size that is there for any player, but it is also giving us visibility for the next 40 to 55 years.

So even like a nuclear situation, if I have not received any orders in my other businesses, I still have a continuous revenue stream going forward for the next 40 to 55 years. And with our reducing sort of debt, our improving ROEs and a clear visibility of revenue, do you -- would I want to trade off that for a short-term revenue, which is at a loss? No, I will not. That is the long and short of it, sir.

Naysar Parikh : Got it. That's very clear, very helpful. Just one follow-up. You mentioned that you're seeing,

obviously, H2 to be better. So one, just from H2 and maybe next year perspective, what kind of visibility over, any indication that you have from an order book perspective? And second, other than road, like you mentioned, since you've got into other sectors, can't we use other sectors like irrigation, water, et cetera, to win orders so that it will also overall improve not just the revenues, but like you said, with scale, even your margins? So if you can just throw some light on those two?

Rohan Suryavanshi: Sir, order book projection like I mentioned INR12,000 crores to INR15,000 crores and all these other sectors we are already. We're looking at water. We're looking at tunnels, we are looking at bridges. We're looking at metros, mining, all these sectors we're looking at.

See, the most important thing, I think, takeaway, which I think the larger market is probably not taken. We were growing at a very high pace from 2014 -- '15 onwards, and we were growing Y-o-Y 20%, 30% at least. Our order books were growing very robustly. But also realize so was our debt at that time.

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Now at its peak, our debt was INR3,500 crores. Imagine in the last 2 years, now that is why I think that turnaround the company is probably not -- in the last 2 years, we have not won orders that we wanted to. We have had a depleting order book. Because of depleting order book, we would have had pressures on our cost structures, all of those things. Our margins have not been. Yet, we have consistently managed to reduce debt, bring it down.

So even in a bad external environment, what I've tried to say, look at our revenues are down furthermore, our order book may be down. But our net debt is at INR1,500 crores, INR1,600 crores right now, even though temporary this thing slip, but we are talking about a reduced net debt of about INR1,000 crores by the end of this financial year, even in this kind of scenario.

And I think that is the largest takeaway that wherever -- and not only the stand-alone, even on the consol level or other sort of whether it was a CPPIB transaction loan that we had, we are reducing it even with all these external challenges. So the turnaround in terms of strategy of the company, the focus that I've mentioned that we are kind of doing, we are not chasing just large order book sizes or more and more growth.

We are chasing sustainable revenues and better ROE with the journey, so that -- for that thing, with that goal, we are looking at projects across the board, and we are fairly confident that in this financial year, the INR10,000 crores, INR12,000 crores of new orders, we will win. There are a bunch of orders that we have already bid for, and we're looking at opening new areas as well. So the confidence at least for this year is fairly, fairly high.

Moderator: The next question is from the line of Deepak from Plan Investments.

Deepak: Just wanted to check it out two things. Firstly, you mentioned about the listing of the HAM, where we mentioned we would be transferring the 8 assets in the platform at Stage 1. Just wanted to check it out. We have a deal with Alpha Alternative for the 18 projects. Out of these 8 projects are moving

in entirely for the -- in this platform? And what about the 10 projects? What are our broader thought process on these projects?

Rohan Suryavanshi: Sir, the 8 projects which are completed are moving immediately. The others are in the stage of -- that's the first phase. The others are in the stage of under construction right now. So as they get completed, they will keep on moving to the InvIT.

Devendra Jain: Seven in this...

Sanjay Bansal: So out of 18, as Rohanji said, 8 assets will go in first phase. Second phase is 10 assets. So we have filed the -- our draft offer document for 8 assets. So now the next asset will go in next phase. So 3 assets we already completed, out of 7, 4 assets will be completed this year. So this financial year -end, we will have 7 assets completed.

And now to transfer InvIT, we should have NH AI NOC. So once the asset complete, we apply for NOC. So it is a time-taking process. So after completion, it is 6 to 12 months where we can transfer to InvIT. So these 10 assets, I have said, we will transfer in FY '27 entirely.

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Deepak: Okay. Okay. And also second part of the question, I think if you can also give a broader clarity at the holdco of these assets, where all these SPVs are lying, what is the current debt we have for these HAM projects? And this CPPIB repayment, which we have done, that was a part of that debt? And how much is the remaining outstanding as of now?

Sanjay Bansal: So let me give you the breakup of the consol debt. I said the consol debt is INR8,266 crores as on 30th June 2025. Out of that, my net debt at stand-alone level is INR1,661 crores. The balance

debt is from the SPVs. From the completed assets, so completed asset, I said 8 plus 3. So the completed asset debt is total around INR4,550 crores. Out of that, INR3,850 crores will move with 8 assets, balance will remain against 3 assets completed.

And the 7 assets, which is under construction, the current debt as of 30th June is INR2,418 crores which will increase by INR1,000 -odd crores by 31st March 2026. So net -net basis, what we are reducing is INR3,850 crores from the completed asset, which is going in InvIT and INR1,000 crores will increase in the under construction assets.

So net -net basis, INR3,000 crores will be reduced because of the adjustment of the transfer of assets to InvIT, number one. Number two, we have INR285 crores outstanding debt as of 30th June from CPPIB. This debt, we can prepay because this debt is to be paid in next 13 months, but there is a window after August 2025, we can prepay early as we wish. So this is the plan.

Deepak: Okay. So would it be fair to say even on the consolidated basis by end of FY '27, we will have 0 debt?

Sanjay Bansal: No, 0 debt. I said consol basis, there will be 2 types of debt. One, stand -alone debt. So FY '26, we are reducing INR500 crores further. So you can say around INR1,000 -odd crores debt will remain in stand -alone.

The balance debt from the coal segment will remain and coal will remain basis the project requirement. So after 2027 also, there will be some debt of stand -alone and the coal business, and if we win further HAM assets, then we will take further project debt that will remain in 2027, so it is not only 0 debt at consol level.

Moderator: The next question is from the line of Bhavin Modi from Anand Rathi.

Bhavin Modi: Sir, my question pertains to the cash flow, sir. So sir, when I see the cash flow in the presentation, so there has been around INR1,000 crores of cash flow coming in through multiple sources like from warrants, there is INR400 crores from Shrem InvIT and Alpha stake sale, there is INR260 crores and INR60 crores from the GST deferred consideration.

So with respect to the utilization, sir, that is where I want to understand. You have mentioned purchase of investment of around INR200 crores and increas

e in current and noncurrent asset of

around INR540 crores and decrease in current liability of INR143 crores. So can you just help me with the utilization? So where have we utilized in terms of asset investment purchase?

Sanjay Bansal: So if you can refer my Page number 18 of the investor presentation, that is stand -alone cash flow, there are 3 buckets, cash from operating activities, cash from investing activity and cash

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from financing activity. So as far as operating activities, I have made INR224 crores of cash, number one, before working capital adjustments.

After working capital adjustment, my net cash flow invested in the operating activities is INR491 crores. So in this quarter, my generated cash flow, INR224 crores is invested and further, I have invested around INR500 crores. So total INR700 crores cash flow is invested in operating activities, okay? Now come to the right side, the investing activities, you can see the purchase of investment, basically, my investment in the subsidiaries, net basis, it is INR196 crores is invested, and the increase in investment is because we have basically invested in DIAPL to pay CPPIB.

So we have invested around INR300 crores in DIAPL, majorly increase because of that. But at the same time, we have sold 26% in Alpha. So net -net basis, my increase in investment is INR200 crores. Further sale of investment, the INR254 crores came from basically fixed asset sold and basically INR226 crores we received from the Shrem InvIT unit sale.

So basically, if you see, I have invested INR491 crores in the operating activities. I have got net INR84 crores from my investing activity, and similarly, in the financing activity, my net cash positive is INR346 crores. If I add up all 3, then you can see INR61 crores is net -net invested in this quarter, either in operating activities and cash from the other two activities received. So basically, net -net, only adjustment is INR61 crores.

Bhavin Modi: I got it, sir. Just wanted to understand when you say working capital investment of around INR700 crores, so what is like is it in the form of unbilled revenue? Like what is the major component of that?

Sanjay Bansal: So there are 2, 3 items. One item is, you rightly said unbilled revenue, unbilled revenue specifically for the JJM projects, where basically the last -- the milestone is hydro testing, wherein we should receive 10%. And that 10% is already due once hydro testing is done because I already invested. There is no expense to be done.

So once hydro test is done, I can receive the 10% out of these 3 projects, which is primarily INR450 crores, number one. Number two, my -- basically debtor has increased marginally.

Thirdly, I have reduced my creditors by INR140 crores. So these three items together is more or less basically cash negative for this quarter.

Bhavin Modi: So sir, the INR450 crores, which you expect after that hydro testing is done from the JJM project. So when can we expect that cash flow to come in? Do you have any time line?

Sanjay Bansal: Quarter 3.

Bhavin Modi: And sir, second, with respect to, sir, the HAM, the 10 HAM assets, for which we have divested around 26% stake. So sir, where does it stand currently in the balance sheet? Like does it stand in the noncurrent investment? Or does it stand on the asset under sale? So where does it stand exactly?

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Sanjay Bansal: So the -- first of all, assets, 8 assets, it is held for sale because we have already completed those assets. So it is in the held for sale. You can see INR397 crores is held for sale. So this is about the 8 asset block, number one. Number two.

Bhavin Modi: The 74% stake, right?

Sanjay Bansal: It is 74% stake in the asset which will go in first phase. The second phase will be under the investment. So investment

in the noncurrent investment.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, just a couple of clarification. This INR3 lakh crores, the pipeline that we have talked about, this is only for NHAI that we are looking at that they will be awarding this year?

Rohan Suryavanshi: Yes, sir, NHAI and MoRTH, both.

Shravan Shah: NHAI and MoRTH put together INR3 lakh crore pipeline. Okay. Got it. And second, you also mentioned that we have also bid for a couple of projects, if you can highlight how many that we have already bidded and where the outcome is yet to come?

Rohan Suryavanshi: Are you talking about projects where we bid and outcome is likely to come?

Shravan Shah: Yes, sir.

Rohan Suryavanshi: We bid in some different kind of projects, sir. About INR20,000 crores of projects we have bid for right now across different sectors.

Shravan Shah: Got it. Got it. And second, sir, in other income this quarter, how much was the Shrem InvIT distribution for stand -alone?

Sanjay Bansal: Let me tell you the total other income, Shrem InvIT distribution is INR22 crores, INR14 crores from asset sale and basically INR9 crores from the -- basically the total income from FDR interest. So the total let me just give you the right. So Shravanji, the other income breakup is basically interest from deposit is INR6 crores, then we have InvIT distribution of around INR8 crores, and we have around INR12 crores from asset sale and dividend of around INR1.1 crores. So total it is INR28 crore s.

Shravan Shah: Okay. Okay. Got it. And just a last clarification. So once we do these 8 assets when we transfer to Alpha InvIT and will move for listing, so we will get -- for the 100% for that, we will get the units, but obviously, we will have only -- will get InvIT units from the Alpha.

Sanjay Bansal: So Shravanji, I'm replying to your question. If it is not, then you please repeat your question.

First of all, 8 assets are going into InvIT, 26% in 7 assets we have already divested, 74% with DBL. So basically, the 100% is transferred to InvIT. So we will be receiving units against 74% of DBL stake, number one. So anything which you asked is not answered?

Shravan Shah: No, no, got it.

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Moderator: The next question is from the line of Gaurav Gandhi from Glorytail Capital Management.

Gaurav Gandhi : As you said, sir, Minister of Transport has also highlighted and accepted this mistake of loosening rules for bidding, which have led to entry of a lot of small unorganized players, which has affected the quality of construction. In his recent comments, we have seen that the ministry is willing to correct this thing. So any action or tightening of rules? Have you observed any such things?

Rohan Suryavanshi: Sir, we already mentioned earlier as well on this call that they have taken a bunch of steps around tightening of qualification criteria and net worth. So those have already happened. We mentioned that earlier in the call as well.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to Mr. Rohan Suryavanshi for closing comments. Over to you, sir.

Rohan Suryavanshi: I'd like to thank all the participants for coming for our conference call. And in case we were unable to answer some questions or if anybody has required more clarifications around anything, please feel free to reach out our team, and we'd be happy to answer any queries you may have. I look forward to seeing all of you guys on our next call. And from everyone here at DBL, I wish

you a great quarter ahead.

Moderator: On behalf of Dilip Buildcon Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

November 20, 2025

Subject: - Transcript of the Analyst/Investors conference call

In continuation to our letter dated November 10, 2025, please find herewith the transcript of the Investor conference call for Investor and analyst meeting held on Friday, November 14, 2025 at 10.00 AM . (IST) related to the financial results for the quarter and half year ended September 30, 2025, conducted through digital means.

The aforesaid information is available on the website of the Company i.e.

<https://dilipbuildcon.com/investors/shareholders-centre/>

This is for your information and record.

With Regards,

For, Dilip Buildcon Limited

Abhishek Shrivastava
Company Secretary

To
BSE Limited
Listing Department
P.J Tower, Dalal Street
Mumbai – 400001

To
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051

Stock Symbol -540047 Stock Symbol –DBL
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Q2 & FY '26 Earnings Conference Call”
November 14, 2025

MANAGEMENT : MR. DEVENDRA JAIN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DILIP BUILDCON
LIMITED
MR. ROHAN SURYAVANSHI – HEAD STRATEGY AND
PLANNING – DILIP BUILDCON LIMITED
MR. SANJAY KUMAR BANSAL – CHIEF FINANCIAL
OFFICER – DILIP BUILDCON LIMITED
MR. GAUTAM JAIN – HEAD, INVESTOR RELATIONS –
DILIP BUILDCON LIMITED

Dilip Buildcon Limited
November 14, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Dilip Buildcon Limited Q2 and FY '26 Earnings Call. As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Gautam Jain from Dilip Buildcon Limited. Thank you, and over to you, sir. Thank you very much.

Gautam Jain: Good morning, everyone. Welcome to Dilip Buildcon's Q2 FY '26 Earnings Conference Call. From the management, we have us today, Mr. Devendra Jain, Managing Director and CEO; Mr. Rohan Suryavanshi, Head of Strategy and Planning; and Mr. Sanjay Kumar Bansal, Chief Financial Officer.

Before we proceed with the call, I would like to mention the standard disclaimer the presentation that we have uploaded to the stock exchange, including the interaction in this call, contain or may contain certain forward-looking statements concerning our business prospects and profitability. Which are subject to some uncertainties and the actual results could differ from those.

Now I request Mr. Rohan to take us through the key remarks. After which, we can open the floor for a question-and-answer session. Thank you, and over to you, Rohan.

Rohan Suryavanshi: Thank you, Gautam. Good morning, everyone. On behalf of the entire DBL family, I welcome you all to this conference call. The results and presentations have been uploaded to the stock exchanges, and I trust you had a chance to review them.

To provide a brief overview of the industry, we've observed some positive developments in terms of order activity. It is still lacking the momentum that we expect, but then usually, first half is always lighter and the second half is when the momentum really picks up.

In the road sector, NHAI has awarded 300 kilometers of orders up to date this year, which is just 5% of the overall target of around 6,000 kilometers that they want to do. In the past few months, we are witnessing good progress in the balance 124 projects of over 6,000 kilometers, which is valued around INR3.5 lakh crores.

So based on these, we are hopeful to achieve significant traction in quarter 4 of this fiscal year. What is also very heartening is that the government has increased the qualification criteria which has led to reduced competitive intensity. This increased competitive intensity was what had caused significant damage to the industry. And I think the government has finally woken up to that because progress and quality has both suffered.

In the water distribution sector, particularly with the government's flagship Jal Jeevan Mission, the government has extended the execution time lines to 2028 in the last budget. Similarly, in the metro rail sector, there are plenty of new projects in the planning and approval stage. The aim is to improve last-mile connectivity to support urban growth and offer cleaner, faster and more inclusive public transport across emerging and established cities.

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Some of these upcoming projects are Pune, Metro Rail Phase II, Delhi Metro Extension, Ahmedabad Metro, Bangalore Metro, water, and these are different, different projects across different cities.

From our perspective, we have the highest level of PQs in all these growth segments, a strong balance sheet, our own equipment fleet and a proven track execution record. So we will continue to work in all these areas and the areas that we have expanded into already.

Now focusing on DBL performance in the last quarter. I'm happy to report that out of our total guidance of order inflows of INR15,000 crores, we have successfully managed to secure orders of around INR5,500 crores in

the year-to-date. This has been despite a challenging environment where NHAI ordering has been weak till date.

However, we are very optimistic to achieve the total order inflow of INR15,000 crores on a full year basis, which will set a good pace for next year revenue growth. As a business development strategy, we continue to remain committed to our long-term strategy of profitable growth, which obviously has resulted in lower order book in the past 2 years, where multiple headwinds were prevalent such as lower ordering activity and intense competition.

However, we are optimistic about the market scenario in the long term, and we had utilized this slow period as an opportunity for strategic refinement where we reduce fixed costs, optimizing resources and cutting capex.

From a peak of 38,000 employees when COVID hit, to now about 18,000 employees, DBL has made significant cuts in its own employee fixed cost. However, revenues have continued to be in the same range.

Similarly, we have also reduced and almost brought to a nil, our capex, which was earlier INR500 crores range every year to now INR50 crores to INR100 crores, and that to only going in smaller and replacement capex. In our HAM project portfolio, I'm also delighted to inform you of our own InvIT in partnership with Alpha Alternatives Fund named Anantam Highways got listed on the NSE in October 2025.

From DBL perspective, it's a landmark achievement and a long-term dream as this platform will provide a monetization source literally on a tap basis for all the projects that we do and will also provide our investors with comfortable way forward on how our assets will move from DBL to another buyer.

As of now, 7 assets of the total of 18 assets have been transferred to the InvIT. The balance assets will be transferred in the next 2 years based on execution time lines. And all the balance projects, the execution is progressing as per the contractual schedule.

Now on our call, MD operations, I'm happy to report that we are progressing ahead of schedule. In our Siarmal MDO, we've achieved a sales volume of around 10 million metric tons in first half of FY '26. And we are on target to meet our full year target of 25 million metric tons for the full year of FY '26.

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Similarly, our Pachhwara MDO has achieved 3.6 million metric tons in H1 FY '26, positioning us well to reach our full year target of 7 million metric tons for FY '26. So in total, we'll achieve a production of 32 million metric tons of coal in FY '26, putting us in the lead of one of the top producers of coal in the country.

This trend will keep on increasing in the next few years as with the profit. We're expecting to do 57 million metric tons of coal by 2029 which will be -- in both these 2 mines, which will total to almost 8% to 9% of the total coal output of the country. Along with this, we are also looking at other projects. And whatever we are able to secure, we will keep our partners and investors updated.

Now towards our vision for DBL 2.0, we are still committed to becoming debt-free at a standalone level. Now although it has been delayed -- now let me talk about why that has happened. It has primarily happened due to the steep reduction in order inflows in the past 2 years, which in turn has led to reduced revenues and reduced free cash flows for the company. Now as you are all aware that DBL prided itself on its in-house fleet and people. Our current capacity gives us the capability to execute INR10,000 crores plus of revenue easily, which is our optimum scale of operations. And that is what we have done in the past as well.

However, in the past 2 years, with the multiple headwinds that I spoke about, we have been suffering from a lower order book. Because of which, we have not been able to achieve our revenue optimum number.

Now these external factors have obviously impacted o

ur cash flows, which has led us to not

being fully able to deliver on our debt reduction commitments. We had originally promised that this year, we will reduce INR500 crores of debt. However, in the current scenario, it has increased a little bit. But by the end of this year, we will come to the same number as last year, which is around INR1,500 crores of debt.

This is happening because even our revenue guidance, which we have given for earlier of INR8,500 crores for this year is getting reduced further as the pace of project that we expected has not come in, in terms of new orders. So we are expecting now our full year revenue guidance to be only around INR8,000 crores. So obviously, that will reduce -- that will result in reduced EBITDA and reduced cash flows, which enables -- which leads us unable to fulfil our debt reduction commitments.

However, the new orders of this year, which will be around INR15,000 crores like I mentioned, will end up leaving our next year revenue for around INR10,000 crores. Now at that number, when we get that, we are sure that we will reduce our debt by another INR500 crores, which will be around INR1,000 crores in FY '27 once you complete that. So in total, the good news is that the worst is over. We have a good order book pipeline. There will be a significant jump in next year's revenue as this year revenue is coming down. We will be able to generate good free cash, which will help us in reducing the debt.

Our commitment remains on track even if slightly delayed because there's a policy, the management has decided that we will remove all stand-alone debt, and that is the way forward

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for us. On our two long-term revenue-generating business, the coal MDO and HAM portfolio, we are progressing very robustly. We will see good cash flows coming from both the HAM InvIT and coal. These are predictable cash flows, a more balanced risk profile and, in turn, help us improve our return ratios.

Now also in the EPC business, with the uptick in order inflow, this growth engine will also start firing and support in the overall growth journey of DBL. Now as I mentioned before, evaluating DBL from a consolidated perspective, essential to fully appreciate our various business verticals, our nuances, strengths, performances and potential.

The last bit that I would like to inform all our participants and investor is that we've also continued our diversification journey and entered into another new area, which is solar energy. So renewables is also going to be one key area for the company going forward. We won a 100-megawatt project already, and we are hopeful to secure another 1 gigawatt of solar in the coming -- in the coming year or so.

Now with that, I would like to hand over the call to our CFO, who will provide a detailed overview of the financials.

Sanjay Kumar Bansal: Thank you, Rohan ji. Good morning, everyone. I welcome all our stakeholders to our earnings call. Let me present the results for the quarter and half year ended September 30, 2025. During FY '26 YTD, the company completed three HAM projects, aggregating to INR2,500 crores and company secured six projects aggregating to INR5,665 crores.

Now let me move to business to financial performance. First, on stand-alone performance. The revenue in second quarter remained at INR1,417 crores. And on first year first half, it is INR3,427 crores. As far as EBITDA is concerned, in quarter 2, the EBITDA margin increased by 60 basis points to 10.80%. And in absolute terms, INR153 crores. On a half yearly basis, EBITDA margin is 10.40%. EBITDA in absolute terms on first half is INR356 crores.

At the PAT level, first three months, the PAT, profit after tax remained at INR41 crores. And first half basis is INR164 crores. Now from standalone to consol, the revenue remained at INR1,926 crores. And first half basis, it is INR4,546 crores. EBITDA margin

for first quarter --

second quarter, it is 24.5%, which is INR471 crores, absolutely. And on first half, the EBITDA margin is around 22% for the consol and absolute amount is INR991 crores.

Profit after tax for Q2 is INR214 crores. And for first half, it is INR485 crores. Debt. Net debt has increased by INR500-odd crores. This is mainly due to the faster payment to the creditors.

So the company creditors reduced by INR450 crores. This is the only reason the increase in debt from March to September.

With this, I now open the floor for questions and answers.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question and answer session. Our first question comes from the line of Shravan Shah from Dolat Capital.

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Shravan Shah: So a couple of questions. So you have already highlighted that now we are looking at INR8,000 crores revenue this year and next year, INR10,000-odd crores revenue. Just to understand the current INR18,600-odd crores kind of order book is that how much value of projects where the AD is spending or the work has not started? And when can we expect whatever the balance of AD is there?

Rohan Suryavanshi: Shravan, the AD spending for all the new projects that we have just won, which we are expecting AD to come by Q4, max.

Shravan Shah: Okay, by Q4. Got it. And on the order inflow, so another INR10,000-odd crores kind of INR9,500 or INR10,000 crores. So that -- primarily, we are looking at from the HAM perspective in the road space. And there also, if you can, because that's the one pain point for the entire industry. Just wanted the view, do we think that the NHAI can award and how much of -- in terms of kilometer or value of that also if possible? Where do you see in terms of the HAM would be and maybe toll projects?

Rohan Suryavanshi: Shravan-ji, even if you look at our current order book orders that we've won this year, they are all from very diversified sectors, from an industrial corridor to road to irrigation to metro to solar. So we're doing across this thing. The same trend will continue even going forward. We will have all the different sectors, giving us different orders.

The new one that I mentioned is solar. We're expecting good orders to come from there as well.

If you want to know what is the NHAI in North pipeline, is that what you are keen on knowing right now?

Shravan Shah: No, it is pipeline is there, but in terms of how do we see the kind of confidence that how much of you think that awarding is likely from the NHAI perspective and that too, how much would be the kilometer and the value and in terms of HAM and toll?

Rohan Suryavanshi: About when if I talk about the total bids, about 1,60,000 right now only which is both HAM and

BOT projects, everything as much is already there. Now we are very confident of doing good hit, but our agenda is to get profitable projects. We will not be going and winning something at a stupid rate. The good part is the government -- because of the government's new qualification criteria, competitive intensity and reduced and we will -- we're expecting to win good orders here also.

So if all goes well, we might exceed that INR15,000 crores of order inflow guidance that we have for ourselves. But even if not, we are very confident that there is enough of projects available across all these sectors that we're working in for us to achieve that INR15,000 crores. There are some more projects that we expect to materialize over the next few days. So I think that will also give us a good idea of the pipeline that is being built by DBL.

Shravan Shah: So till now, how many value of projects we have already bid and where bid is yet to open?

Rohan Suryavanshi: About INR15,000 crores, we have bid for right now.

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Shravan Shah: Got it. On the EBITDA margin front,

11%-odd that will be there for even the second half and for next year also?

Rohan Suryavanshi: Yes. Yes. Next year. This year, that will be around 10% to 11% max because of the reduced sort of revenue, sir. As I mentioned earlier also, our fixed costs and all that we are unable to do the revenue that we expect, it obviously eats into our margins. And even if we have reduced our cost drastically over the last 3, 4 years when I mentioned reduction. So almost 20,000 have been reduced out of 38,000. So more than half have been reduced.

Equipment, we have not -- you've seen the capex has reduced significantly so the gross block has continued to remain in that range while the net block has been coming down. So our focus very much is only on making sure that our return ratios improve that we do not increase in debt and that we keep reducing it and that we are able to execute the most that we can efficiently through our people.

Shravan Shah: Got it sir, in the solar, when we say that we want to have a 1 gigawatt of award in the next 2 years, just wanted to understand, so this will also will be a BS also better it will also be there.

So there, obviously, we need to put in the equity. So in that sense, how much are we in terms of looking at in terms of the equity investment that whatever the projects 1 gigawatt that we are planning to win. So over the next 4, 5 years, that will translate to how much kind of equity that will need to invest?

And there, do we see that the in terms of the IRR level, can we see a 13%, 14% kind of equity IRR? Or that also depends on the kind of market is so dynamic on the battery pricing front. So once you get the project and once you go for actual debt, so is there a scope of further in terms of the pricing going down on the battery front?

Rohan Suryavanshi: So very interesting that you asked a very detailed question around it. So our agenda for the solar and let me give you idea why DBL is looking at that sector. We mentioned that our stated goal is to build more consistent long-term cash flows. And while we do that, DBL is known for its execution capability. Solar projects are much less complex and sooner execution time lines as well than any of the other large infrastructure projects that we take on.

The good part is now that once we build these projects, we have a way to monetize it through an InvIT platform. There is 1 InvIT platform, which is already there. If this on its own becomes a large enough thing, who knows, we might come up with another InvIT platform, very specifically targeting energy sector.

Now you asked about equity. Equity we already have partners who are committed to investing in this along with us as their interest also lies in creating platforms. Just like the road platform that we've created, we would want to create more platforms where because these are all 25-, 30-year projects where long-term investors can come in and participate in the growth journey of the country.

The energy needs are only going up. And with the advent of AI, data centers, electric vehicles, the energy needs are -- will continue to go up, which is why we want to be participating in this

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whole process and which is why we are looking at renewable space. That's the broad idea for why DBL is doing this. Equity, like I mentioned, commitments are already there.

In terms of IRR, we target broadly mid-teen IRR returns from here. And now the obviously, once we flip an asset into an InvIT. See, there are 2, 3 areas where we look at that we, number one, the EPC margins that we make, that is also IRR for us. Then the equity that we have

committed, what is the IRR that we get on it straight up, what we make. Then secondary, when we flip it into an InvIT or when we said it, what is the IRR that we make. So that is where we'll do.

Our focus, like I mentioned, is on cash flows, and we will continue to remain

focused on our

return on capital employed on every project. Even if you look at our strategy in the coal MDO and the InvIT strategy, we have demonstrated that the InvIT assets, the amount of money that we had invested in the road asset. Even if you look at it currently in the Anantam InvIT, we have about INR1,200 crores, INR1,300 crores of InvIT units there valued at INR1,400 crores or so. If you look at the total sort of value enhancement that has happened from the equity invested in those projects, I think the total equity invested was about INR950 crores.

Sanjay Kumar Bansal: And we realized INR1,050 crores in case.

Rohan Suryavanshi: Earlier, we've already done that, and then there is this additional. So there is a significant so I think INR950 crores cash of investment has translated into. INR1,400 crore or INR700 crores.

Sanjay Kumar Bansal: INR700 crores in all one assets remained.

Rohan Suryavanshi: Yes. So above INR2,500 crores of sort of value addition, for DBL. So that is the idea that we want to create value accretive. What they will also do is if you look at my consolidated balance sheet, our idea is more than 3/4 of our profitability should continue to come from long-term sources.

So while EPC will continue to fire, but year after year, our profitability, even if not in terms of revenue but in terms of profitability and the amount of free cash that DBL is generating, 75% plus will come from long-term assets. And that is the goal for us as a company that whether there is because we are in a cyclical industry, whether the cycle is up or down or whatever is happening, we want to continue remaining as, however, risk we can reduce, that is the goal.

Shravan Shah: Just one clarification on the net debt as per the presentation, is 2,102. But if I look at the gross rate minus the cash, that number is significantly lower around INR325-odd crores difference is there. So can you help us in terms of where the cash is? So as the reported the cash shows around INR67 crores, INR68-odd crores. Where is the balance to INR30 to INR40-odd crores cash is there a stand-alone I am talking about?

Sanjay Kumar Bansal: So Shravan-ji, the net debt is INR2,102 crores which is given in the presentation -- well, just a second. So basically, my cash credit is INR2,362 crores. Some loan, INR131 crores, and I have cash equivalent INR392 crores.

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Shravan Shah: Sir, that's only wanted to know -- so the cash in reported balance sheet so INR67 crores cash and bank balances is the INR67 crores, INR68-odd crores where the raised cash lies. So that's the only I wanted to understand?

Sanjay Kumar Bansal: So basically, the FDs, which is more than 12 months, this goes into investment, the other investments.

Shravan Shah: So that is a noncurrent investment you think?

Sanjay Kumar Bansal: Yes, yes. noncurrent investment.

Moderator: Our next question comes from the line of Deepak Purswani from Svan Investments.

Deepak Purswani: Sir, just wanted to check it out on the recent listing of Anantam Highways Trust what is the unit currently we have at the current juncture? And what is the value of that unit based on the current valuation?

Sanjay Kumar Bansal: So let me tell you, the DBL directly holds around INR9.58 crores units. And we have another 3.60 units we have placed with Alpha Alternatives fund. So in total, company is having INR1,332 crores worth units. Basically, these are at the INR100 issue price, but the total valuation against this is around INR1,400 crores.

Deepak Purswani: Okay. And once -- if you can also give the sense once -- I mean, once all these 11 projects will be transferred to this, in the InvIT, what would be the...?

Sanjay Kumar Bansal: So, we will have basically balance because out of 8 assets, we transferred 7 and we got around INR1,400 crores units. Now with balance, we will be close to INR3,400 crores, INR3,

500 crores

overall units.

Deepak Purswani: Okay. Okay. And secondly, sir, just wanted to get the sense about the debt part. I do understand in terms of the slowdown in the order inflow and everything. But if you can also give a sense in terms of the -- I mean, last year, there was some stuck payment from the JJM. Where we are at the current juncture on that projects, whether these are getting completed and payment has been released and what are the current outstanding?

And would that be enough to compensate and probably look into the debt reduction if this materialize and probably at the year-end, again, we would be at INR1,000-odd crores? Or how

should we look into -- if you can share your perspective on that part?

Sanjay Kumar Bansal : So in terms of the debt increase from March to September, the debt increased by INR526 crores, if you can see my current asset -- current liability items. So my inventory demand almost same by INR30 crores, it is lesser, but I would say the same. Then receivable and basically -- invested around INR512 crores. So receivable plus other current asset item, including GST and others.

And you can see I have basically reduced the creditors faster because the creditors though our revenue remained at a low level, but my creators were basically paid through LCs. So basically, those LCs cement made on due dates. So basically, the INR591 crores work creditors reduced

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during. So we expect these 2 -- basically these -- because of these 2 items, the debt got increased by INR526 crores.

Deepak Purswani: Okay. Okay. And what about the receivable from the JJM scheme...?

Sanjay Kumar Bansal : Only 1 month, the receivables are coming on time.

Deepak Purswani: Okay. And progress on the existing project has been as per the schedule or...?

Sanjay Kumar Bansal : It is as per schedule.

Moderator: Our next question comes from the line of Amit from Enam Holdings.

Amit: Just wanted to check from a debt perspective and also from our growth guidance that you just gave, Rohan. So should we assume that this will be a peak debt and from here on, the growth requirements of 8,000 to 8,500 to 10,000 next year. And from there on and for all the new HAM projects, this will be a peak debt and there will be a significant reduction, and we are on a self-funding mechanism and they won't -- from a capital requirement perspective, how do you see that?

Rohan Suryavanshi: Yes, Amitji, you're very right. This is the peak debt level. If you see in the last few years, we've only kept on reducing. And if the external environment had been supportive if we had not seen a reduction in our top line in the last 2 years, we would have obviously made strides and been able to make even a larger sort of reduction in our debt.

Now if I look at -- the other things that you mentioned, yes, there is -- we are at almost a self-funding level for different assets. We also have large assets in terms of the InvIT units that we hold. So there is -- even if I look at the -- if I look at that, that is something now almost as cash which the company can always use even if we ever need to raise capital for the new projects. So we have a lot of additional currency that the company has. And that's basically the way going forward. We, on a stand-alone level, our revenues while will increase next year, we continue to want to have them at a level where we don't have to take more debt at a standalone level, but we can grow it profitably. That is the goal for us.

And on the consolidated basis, the cash flows will keep on growing year-after-year. Just because the cash flows from coal MDO operations will keep on increasing, not just the scale and size of those operations are increasing every year, but also the rates keep on increasing every year because of inflation. So that will keep on increasing, then we will have the cash flows from InvIT that will keep

on increasing. And as this new solar sector comes online, that will also start firing long-term cash to -- from this.

Even in terms of what you asked me earlier, is this the peak number? This is a peak number, and this is already, I mean, INR200 crores less from the last peak number of June '24 -- sorry, September '24. So this is already INR200 crores less than that time. So this number should not go up here. It will only keep on reducing.

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And now with a very good sort of visibility in our order book and next year's revenue, while this year's revenue is, again, not how we anticipated the year will start, we anticipated more projects will come earlier. But that is what the external environment is, and we can't control that. But next year now gives us a good runway for growth.

Moderator: Our next question comes from the line of Deepak Purswani from Svan Investments, a follow-up question.

Deepak Purswani: Sir, just wanted to check it out since you mentioned about the debt reduction and this creditors' letter of acceptance has been reduced. How should we see the finance cost? Broadly, it will remain the same because again, the interest-bearing creditors would also get reduced.

Sanjay Kumar Bansal : So my interest cost shown in P&L, it includes everything. Commission of LCs, BGs, LC discounting costs, interest on working capital and interest of term loan. So the interest, if you can see, my quarter-on-quarter and first half versus first half, it is reduced because of -- even

after increased utilization, so there is a reduction in borrowing costs as well. So all the costs related to LCs, BGs, it is already plugged in. For next year, we can target -- for this full year, we can target around INR450 crores interest and finance costs. And next year, we can target around INR350 crores.

Deepak Purswani: Okay. Got it. And secondly, sir, if you can also give a broader sense in terms of the pipeline. One, on the NHAI front and also some sense on the delay, there has been some delay in awarding. I mean how should we look into it? And secondly, ex of road project, which are the key projects which we are looking out and what is the bid pipeline there?

Devendra Jain: Deepak ji if you see the bid pipeline of road it is around INR1.5 lakh crores MoRTH and NHAI bid pipelines is available which is maintained from last year, but due to the land clearance it is going on and finally they have improved the qualification criteria.

So we are expecting Q3 and finally Q4 many bid activity we are going to see on road project. Apart from that almost INR25,000 crores bids are there which are from other sector which are diversified, where there are dams, irrigations and Jal Jeevan Mission is there and coal is there. All these bids also we have selection which we are going to bid in future.

Deepak Purswani: Okay. Thank you, sir. And finally, on the long-term asset portfolio which we are targeting, sir can you also give a sense in terms of 3, 4 years down the line on a broader basis, how should we look into it on the MDO part? Would it be still we would be looking at some more projects to add in the portfolio? And then we had a separate annuity project here. And thirdly, we are looking on to be solar. So putting it all perspective, if you can also give a broader sense, what is the kind of the annuity rental income, which we are looking at from the next 3- to 4-year perspective, but we have the target?

Rohan Suryavanshi: You mean annuity from road, sir, or from other sectors, just annuity from road?

Deepak Purswani: Yes, putting all together from the entire portfolio. What is the expiration we want to achieve?

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Rohan Suryavanshi: INR400 crores of cash every year. So that should be in that range. So the INR380 crores to INR400 crores of cash should come from the road sector al

one. Solar because it's still early days,

right now we just have a megawatt. As that scales up, the solar market rates are well sort of socialized and the industry is well aware. So whatever that happens, that will be again in the mid-teen kind of returns that we'll be looking at.

To give that number, I will work on detailed numbers with my team and I'll give that separately.

But because it's very small right now -- but coal now, if I talk about the third-party coal, coal cash flows both Pachwara and Siarmal put together, we expect at least about -- not next year. So both those Pachwara and Siarmal put together at full capacity, about INR1,000 crores of cash coming from there.

So that about INR1,000 crores of cash from both of those 400 around from our annuity -- road annuity business, the current 18 assets and then whatever it gets added via the solar as that portfolio also builds up. And yes irrigation HAM is also one part that we won in Rajasthan. So that will also come as a long-term cash flow.

That is also for 10 years. So that cash flow will also come in. Besides that, the EPC business, like I mentioned we'll be firing on its own and doing EPC margins. So that idea, which I explained earlier also that are right that 75% or so of our profit, at least will be coming from long-term fixed assets.

Even if you look at it today of our total debt, we already against our total debt when people just look at the company. We have our net block, which is there then we have the InvIT assets, about INR1,300 crores, INR1,400 crores that is there, then there is more FD at the coal sort of SPVs also. There is another INR350 crores plus at the coal SPVs as well.

So net-net, there is more sort of asset -- far more assets available even which are readily which can be immediately monetized by the company if we were to be a net zero company today. We could immediately monetize a whole bunch of assets. But our idea is to build these portfolios because the cash flows coming in the years to come is looking strong, and we are optimistic.

Deepak Purswani: Okay. And sir, finally, on the solar front, I think the recent which 100-megawatt we bid, what is our equity stake in this project?

Sanjay Kumar Bansal : Basically, the total equity requirement is INR70 crores. Out of INR70 crores because it is a captive by Jal Jeevan Mission. So they will be putting INR31.2 crores equity. So DBL's equity in this project is only INR39 crores.

Deepak Purswani: Okay. And this entire EPC?

Sanjay Kumar Bansal : Against the INR31 crores, JJM will have 26% equity.

Deepak Purswani: Okay. And this entire EPC work would be done by us only? This would also build up the qualification for the EPS, sir -- EPC as well?

Sanjay Kumar Bansal : Yes. DBL will be doing EPC work.

Deepak Purswani: Okay. And would we also be looking out some of the standalone bids on the EPC front going ahead once these qualifications are built up?

Sanjay Kumar Bansal : Yes, we are targeting continuously.

Deepak Purswani: Okay. Thank you and wish you all the best.

Moderator: Thank you. Our next question comes from the line of Samyak Shah from Native Investment Managers. Please go ahead.

Samyak Shah: Thanks for the opportunity. Sir, I want to know last quarter we had guided about INR3,850 crores of debt reduction on a consolidated level for FY '26. So wanted to know where we stand on that and the time line as to how soon can we transfer that debt into the InvIT?

Sanjay Kumar Bansal : Console level, we measured it, the reduction was from the transfer of HAM assets to InvIT. We were targeting that time each asset transfer to the InvIT. But one asset, NHAI NOC doesn't receive. So we transferred only 7 assets but that has happened in second week of October. So in quarter 3, INR2,961 crores precisely will be reduced. So if I compare on 30th September, the debt has increased to INR9,097 cror

es. But in quarter 2, it is already reduced. I mean transferred INR3,000 crores debt. So it will reflect in 31 December balance sheet.

Samyak Shah: Okay. So by the end of the year, what number should be a havoc finally on the consolidated level?

Sanjay Kumar Bansal : So at the end of this financial year-end, we are not basically targeting very significant reduction. There will be increase only because we will draw the debt in the under-construction asset. The second set of transfer asset to InvIT will happen in Q1 and Q3, Q4. So reduction of all other debt, the remaining debt will be done in FY '27.

Samyak Shah: And sir what would be the quantum of that?

Rohan Suryavanshi: It will be range bound in the range of INR6,000 crores to INR7,000 crores, that is where it will be I think somewhere in that range as something that will be the range there.

Samyak Shah: Yes. Okay. And so should we expect that, say, by Q1?

Sanjay Kumar Bansal : So Q1, we are targeting four asset transfer. So around, say, INR1,500 crores debt will be reduced by Q1 FY27 and balance around INR3,000-plus crores debt will be reduced by March '27.

Moderator: Our next question comes from the line of Sanjay Parekh from Sohum Asset Managers. Please go ahead.

Sanjay Parekh: Thank you Devendra ji and thank you to the team. I just had a question; coal you've done a good job. So first question is first half, obviously, there are range. So the volume in Siarmal is less.

But do you still feel that we will hit the 25 million this year?

Devendra Jain: Sanjay ji, 100% 25 ton should happen in this year. Initially some hiccups are there because of rail dispatch. So accordingly we have to reduce the some coal production due to the less dispatch

from the racks, but now that matter is closed and now the remaining H2 25 million ton target is there that will be achieved in Siarmal and 7 million ton in the Pachwara. It will be 100% fulfilled. Sanjay Parekh: And any such projects is possible either in coal or in others because this is clearly where we have done very well. So can we -- are we bidding for such projects in MDO?

Devendra Jain: Sanjay ji, we continuously look at the project, the company's strategy, which suits us according to profitability. We always bid for those projects, whether it is coal, MRO, even we are bidding some other mining project. We have also bid for a bauxite project in the past, which was also in MDO format.

But now, if you look at the journey of Siarmal, if I take a project of 5 million-6 million, instead of that, I have to reach 25 million to 50 million in another 3 years. So, there will be a lot of potential in the Siarmal now from 25 million to 50 million. So, we are targeting that the pace ahead of the schedule that we have done, in the next 2 years, instead of any lower profitability project, we are targeting that we take it to 50 million in a good and successful way.

We already have 7 million for 55 years. Once we reach 50 million, then as Sanjay ji just said, after 3 years, we have to get about INR1,000 crores of free cash only from the coal business per year. So, already we are very open to bid some good mining project, we keep searching for that, but our first endeavour is that our coal mining, the Siarmal project has to reach 50 million successfully in the next 2 years.

Sanjay Parekh: Okay. Great. Because we have visited the site and it was a phenomenal thing, so the railway linkage, I think that belt that we need to put, with that also our relation will go up, right? Today we are getting...

Devendra Jain: If you see the order book now, the third project of INR200 crores is the project of Barpali loop. We have taken that under our control that finally when 50 million will go from Barpali loop, at that time our coal mining fee will be 100% from 78%. So, we have taken that project in our hands, due to which the impact of any other

project will not come on us.

Sanjay Parekh: And when will this happen, sir?

Devendra Jain : This has already started, Sanjay ji.

Sanjay Parekh: So, this 78% to 100%, the conversion from 70% to 100% should take what? So, should be in 1 year or from now on we are getting 100%?

Devendra Jain : I will tell you, in the next 2 years, next year our target is 30 million to 35 million. Next year, 42 million, that is our peak rated capacity, that is the COD of the project. And in the next financial year, when Barpali loop will be ready, our CHP will be ready, that will be FY '29, that will be our final, 78% will become the 100% mining fee.

Sanjay Parekh: Got it. Got it. That's how you are taking this big leap from INR350 crores to INR1,000 crores?

Devendra Jain : Yes, yes, absolutely, absolutely.

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Sanjay Parekh: Great. And sir, just structurally, you know, these three companies, because it has a lot of value, in which clearly you will get the total value of INR3,500 crores. So, at a point you think, can you consider this as a separate company or it is too early right now?

Devendra Jain : Right now, Sanjay ji, it is a little early. As the strategy will be made later, which will be based on the company, which will be based on our investors, we will think about that later and discuss it with everyone and implement it. Right now, our focus is only to achieve the 50 million ton and to get the 100% mining fee, which more or less creates a free cash of INR1,000 crores for us.

Sanjay Parekh: Perfect, perfect, perfect. No, no, thank you very much. Best of luck.

Devendra Jain : Thank you, Sanjay ji. Thank you.

Sanjay Kumar Bansal : Thank you so much.

Moderator: Our next question comes from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, a couple of things. So the stand-alone pay, we will be net debt-free by FY '28?

Rohan Suryavanshi: Yes, sir. Yes, sir.

Shravan Shah: Okay. And, sir, this other income for Q2, if you can give us a break-up in terms of the Shrem, say, and going forward, though the presentation is there, in the second half that we are looking at INR30-odd crores from the Shrem?

Just to get a sense, this number, the INR400 crores that we are talking about, that is, after all the 18 assets will be shifted, that will be by FY27 and then we will be looking at INR420-odd crores, that number we are looking at annually, we should be getting.

Rohan Suryavanshi: So, yes, sir, when all the assets will be shifted, then that much will come, the number you are looking at, when all 18 assets are fully transferred. Now, the total will be that much. Rest, the other income that you asked, Sanjay ji.

Sanjay Kumar Bansal : So basically, total other income for the period and you asked about the quarter 2, right?

Shravan Shah: Yes, yes, yes, sir.

Sanjay Kumar Bansal : So quarter 2, we have received a total INR1 crores from unwinding of security deposit, profit on sale of fixed asset INR11 crores. Dividend on investment in units, around INR0.5 crores and other miscellaneous income from Siarmal and other lease income INR18.5 crores..

Shravan Shah: Sir, no, this is not total, because in standalone, there is other income of INR37crores-INR38 crores. So, basically, how much has come from Shrem, whatever dividend, interest, and all this, how much has come from Shrem units in this quarter?

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Sanjay Kumar Bansal : Just a second. So, basically, Shravan ji, the Shrem units around INR3 plus per unit was distributed. We hold only 2 crore units. So, total overall, we received around INR6 crores. Out of INR6 crores, interest and dividend is around INR1 crores.

Shravan Shah: Okay, okay, got it. And, sir, next year, when we will be having a INR10,000 crores at standalone revenue when we are looking at, so the working capital, as you highlighted, pay

ables have

obviously has reduced, but inventory is still at a decent level. So, there, how we will look at whether this will remain at this level or will it reduce or increase?

Sanjay Kumar Bansal : So, Shravan ji, this working capital in last one half, first half is increased investment. So, we

expect by this year end, the working capital investment will reduce. So, there will be release of funds from the working capital

Shravan Shah: Okay, okay, but broader days, if we look at, it should be, because in this quarter, it is around 114-odd days. So, broadly, it should remain here or it will come back to the, I am talking about data center?

Sanjay Kumar Bansal : It will come closer to 90 days, back to the earlier.

Shravan Shah: Conveyor belt and coil and linked plant of Siarmal, what is the total capex and what we expect to do in second quarter and in FY 2026-27, any rough idea?

Devendra Jain: So, Shravan ji, the total capex on CHP is around INR870 crores, including GST. First of all, the planning and designing is already done. So, no significant capex is invested. The facilities from SBI, Union Bank and Power Finance Corporation is sanctioned in 2022 and it is available. We have already invested INR236 crores, the equity requirement.

So, there is no further equity requirement for next 15 months. We can draw almost 50% debt, INR600 crores. So, we do not see any equity investment in the next 1, 1.5 year. And we are eligible to take debt. So, the CHP will complete between 18 to 24 months from now.

Shravan Shah: Okay, 18 to 24 months. And so, there, broadly, in terms of the depreciation, if you look at, I understand, maybe slightly difficult, but just trying to understand. So, roughly, it would be a kind of a 13%-14% kind of a depreciation rate that we have, because it is on a full-year basis, because it is scaling up, so difficult to take a generalized number?

So, that's what I'm trying to understand. Broadly, 13%-14% kind of a depreciation on the entire gross block of the MDO at Siarmal, that's the way -- and that's the way?

Sanjay Kumar Bansal : No. Shravan-ji, there are two parts. One is basically my HEMM, where the depreciation charge is close to 10%-11%.

Moderator: I'm sorry to interrupt you, sir, but Shravan sir line has been disconnected.

Sanjay Kumar Bansal : Okay.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Rohan Suryavanshi for closing comments. Thank you, and over to you, sir.

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Rohan Suryavanshi: I thank all our participants, all the investors for coming on the call and for asking all the questions. In case we have missed out any answers or in case any of you are unable to ask any questions, please feel free to reach out to our team, and we'd be very happy to answer them on a personal basis. I look forward to seeing you guys in the next year, and I wish you all a very happy New Year from everyone here at DBL.

Moderator: Thank you so much, sir. On behalf of Dilip Buildcon Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

February 14, 2026

Subject: - Transcript of the Analyst/Investors conference call

In continuation to our letter dated February 10, 2026, please find herewith the transcript of the Investor conference call for Investor and analyst meeting held on Tuesday, February 10, 2026 at 05.00 PM (IST) related to the financial results for the quarter ended December 31, 2025, conducted through digital means.

The aforesaid information is available on the website of the Company i.e.

<https://dilipbuildcon.com/investors/shareholders-centre/>

This is for your information and record.

With Regards,

For, Dilip Buildcon Limited

Abhishek Shrivastava
Company Secretary

To
BSE Limited
Listing Department
P.J Tower, Dalal Street
Mumbai – 400001

To
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051

Stock Symbol -540047 Stock Symbol –DBL
Page 1 of 15

“Dilip Buildcon Limited
Q3 and 9 Months FY '26 Earnings Conference Call”
February 10, 2026

MANAGEMENT : MR. DEVENDRA JAIN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DILIP BUILDCON
LIMITED
MR. ROHAN SURYAVANSHI – HEAD STRATEGY AND
PLANNING – DILIP BUILDCON LIMITED
MR. SANJAY BANSAL – CHIEF FINANCIAL OFFICER –
DILIP BUILDCON LIMITED

MODERATOR : MR. CHAITANYA SATWE – ADFACTORS PR

Dilip Buildcon Limited
February 10, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Dilip Buildcon Limited Q3 and 9 Months FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Chaitanya Satwe from Adfactors PR. Thank you, and over to you, sir.

Chaitanya Satwe: Thank you. Good evening everyone, and thank you for joining us today to discuss the unaudited financial performance for Q3 and 9 months FY '26. I have with me Mr. Devendra Jain, MD and CEO; Mr. Rohan Suryavanshi, Head, Strategy and Planning; Mr. Sanjay Bansal, the CFO. Before we proceed, I would like to bring to your attention that certain statements made during this discussion may constitute forward-looking statements. These statements are based on our current expectations, assumptions and beliefs regarding future developments and are inherently subject to various risks, uncertainties and factors beyond our control. Such forward-looking statements involve both known and unknown risks, and we advise you to interpret them with caution.

I will now hand over the call to Mr. Rohan Suryavanshi for his opening remarks. Thank you, and over to you, sir.

Rohan Suryavanshi: Thank you, Chaitanya. Good evening, everyone, and a warm welcome to all our investors and analysts partners to the Dilip Buildcon Limited's Quarter 3 FY '26 Earnings Conference Call. The financial results and investor presentation for the quarter have already been uploaded on the stock exchanges, and we trust that all of you have had the opportunity to go through them. To begin with, I would like to share some perspective on the overall sector environment and policy landscape before I move to DBL's business and strategic updates. The Government of India continues to maintain a strong long-term focus on infrastructure development as a key driver of economic growth.

We welcome the government's continued push on capex in the Union Budget, and the allocation of INR12.21 trillion towards capex for FY '27, represents an almost 12% increase over the revised FY '26 estimate.

Let me also add, this is nearly 4 times higher than the 2014 level when the BJP-led government came to power. Increased allocations to key segments such as road and railways, broadly in line with the nominal GDP growth, provides sustained growth visibility for the sector. This signals continued commitment towards infrastructure creation, employment generation, and increasing domestic competitiveness.

From a regulatory standpoint, the recent reforms announced by SEBI for REITs and InvITs are a positive structural development for the India's infrastructure ecosystem. By enhancing flexibility around asset holding, leverage and capital deployment, these measures are expected to deepen long-term institutional participation in infrastructure financing.

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And for multi-asset infrastructure players like DBL, this strengthens our asset monetization pathways across the project life cycle and supports sustainable captive recycling. Turning to sector activity, awarding during the first half of the financial year, in fact, for the first 9 months, has remained largely subdued account of various state elections and other administrative delays. However, we are seeing some momentum gradually building across multiple infrastructure verticals. In the road sector, the awarding has been muted till now, and we expect the government to at least push out a large number of contracts in the remaining part of the financial year. Beyond roads, other infrastr

ucture segments such as water supply, irrigation, metro rail, and urban infrastructure continue to have healthy medium-term pipeline. The extension of time lines in the Jal Jeevan Mission and renewed emphasis on urban infrastructure are expected to support execution visibility over the next few years for DBL and other companies which are participating over multiple sectors.

Now coming to DBL's business performance. I'm very happy to report that the company's order book currently stands at the highest level in DBL's history, and it is also the most diversified across sectors till date. Now with elections behind us and the pace of awarding showing early signs of recovery, we are very happy about future prospects for the company in the next couple of years as well.

Now during FY '26 year-to-date, DBL has secured order inflows of approximately INR17,900 crores, which is already over the full-year order inflow guidance that we had set at the beginning of the year.

And with some more 1.5 months of awarding activity remaining, we hope to win some more.

As we have consistently communicated in earlier calls, our approach to order booking remains selective. We continue to prioritize profitability, cash flow visibility, and return ratios over pure top-line growth.

In this context, EPCL DBL increasingly plays the role of a capital-efficient execution and incubation engine, enabling the creation of long-duration, monetizable platforms rather than being viewed purely as a volume-driven profit centre.

Now of course, DBL's business has been impacted by lower execution volumes during this year, which was a direct consequence of lower order book, which in turn affected our operating leverage, which did not work at its full efficiency.

Now as execution normalizes in the coming year given the large order book that we already have and with the improved awarding momentum that we're expecting, operating efficiencies and margin profiles should improve accordingly.

At the same time, let me also add that we have remained focused on structural cost estimation. Employee strength over the years have been rationalized. From a peak of 38,000 employees, today, we stand at 19,000 employees, which is half. However, revenues have remained in that same range barring this year.

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Also very important to add, annual capex has also moderated to around INR100 crores in the last few years compared to peak levels of around INR500 crores every year, which means almost one-fifth reduction -- or one-fifth the value of earlier times and reflects our disciplined capital allocation framework under DBL 2.0.

More important, the majority of our growth capex across our asset-led business is already behind us, which materially improves free cash flow visibility as execution and production scale-up. On the asset monetization level, our InvIT strategy remains to progress and continues to progress broadly in line with the road map shared earlier.

As of date, 7 HAM assets have been transferred under our InvIT platforms, with the remaining assets at various stages of construction and completion. The balance assets are to be monetized in 2 tranches, one in June '26 with 4 assets and remaining by March '27, aligned with the COD milestones.

I would also like to briefly touch upon Anantam Highways InvIT, which has now been successfully listed. We view Anantam not as a onetime monetization event, but as a long-term annuity platform, providing predictable distributions and treasury-like cash inflows with retained unit value, while also simultaneously enabling time-bound deleveraging at the consolidated level at the parent.

Now coming to our mining business, which remains central to DBL's long-term performance and transformation. Our coal MDO operations continue to scale-up steadily and are progressing broadly in line with our internal plans. At the Siarmal mine,

production during quarter 3 stood

at approximately 7.01 million tons, taking the cumulative 9 months production to about 15 million tons.

And for the full year, we expect production of around 23 million tons. At the Pachhwara coal mine, production during the quarter was 1.74 million tons, with FY '26 total production expected to be around 6 million to 6.5 million tons. On a consolidated basis, DBL expects coal production of approximately 30 million tons in FY '26.

Over the medium term, we remain on track to achieve coal production of around 57 million tons by FY '29, which would represent approximately 8% to 9% of India's total coal output. With long tenure contracts, high operating margins, limited investment risk and majority of capex already deployed, mining is increasingly emerging as a central EBITDA and cash flow engine for the company.

Now let me touch upon a question that we ask very -- get asked very frequently about the debt levels. On the balance sheet, while the debt levels may appear elevated in the near term, this is largely a temporary phenomenon driven by lower execution and is expected to rationalize as execution picks up and asset monetization and cash flows scale up.

Now compared to peak levels, DBL has already achieved a meaningful debt reduction at both stand-alone and consolidated levels, in line with the milestones outlined under DBL 2.0. To give some perspective, debt which stood at INR3,500 crores in FY '21 had reduced significantly to INR1,500 crores in FY '25. This is while we were building so many assets.

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Even though currently net debt stands at around INR2,100 crores and we expect this to remain around this level only by the end of the financial year. One thing to note is that had DBL not retained its assets in the InvIT units, we would have significantly reduced.

Again this INR2,100 crores of debt right now, we have almost INR1,400 crores of InvIT units in Anantam Highways and about INR200 crores of units in Shrem InvIT, which means INR1,600 crores of InvIT units that we have presently against this INR2,100 crores of debt. That we could have -- had we not engaged in this strategic shift where we wanted to own our assets, we would have reduced our debt.

Let me also add one more important aspect here. The remaining 11 assets which are to go into the Anantam Highways InvIT, we have only about INR200 crores to INR250 crores of investment left to be made in them. But the InvITs -- that units that we will get against it is about INR2,000 crores, which means still a net inflow of INR1,700 crores to INR1,800 crores.

So if I total these InvIT units, the INR1,600 crores today plus the INR1,700 crores to INR1,800 crores that are still to come against the debt of INR2,100 crores, we are already beyond the range and we would have been debt free.

Now our plans of reducing this debt has largely been hampered because of the lower ordering activity by the national government in the last 2 years, and this is a problem that the overall industry has faced.

Our order book for the last 2 years was the lowest that it had been in almost 7 to 8 years, because of which our execution capabilities and what we had prepared for in terms of full deployment could also not be fully utilized. And hence, the revenue reduced, and proportionately, we were not able to reduce debt.

Going forward, as we are able to maximize on our operating leverage, we expect in the next year, we will reduce debt of about INR700 crores to INR800 crores. Now this is remarkable for a company while which has built these assets and also continued on their journey of debt reduction. Our goal remains to be net debt free, and we are targeting FY '28, but we will give more colour on that as the year progresses and as our execution goes on.

Over the medium-term, our objective remains to transform DBL into a diversified multi-asset infr

rastructure platform, where a significant majority of our profitability will be driven by long-duration asset-backed business such as mining, HAM assets, InvITs, and the selectively incubated renewable platforms plus transmission assets, plus water HAM assets. Now this transition, like I said, is aimed at delivering predictable cash flows, improving ROIs versus historical levels, and reducing the cyclicity that is in our business.

With that, I now hand over the call to CFO, Mr. Sanjay Bansal, who will take you through the financial performance for the quarter.

Sanjay Bansal: Thank you, Rohan ji. Good evening, everyone. I welcome all our stakeholders to our earnings call. Let me present key highlights and the results of 9 months ended 31st December 2025.

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During 9-month period ended 31st December 2025, the company added 10 projects worth INR17,565 crores and completed 4 projects aggregating to INR2,744 crores.

Now let me update on the business to financial performance. On stand-alone basis, 9 months Y-o-Y, the revenue decreased by 23.09% to INR5,145 crores from INR6,690 crores in the similar period last year.

The EBITDA decreased by 22.91% to INR535 crores from INR694 crores. The profit after tax increased by 193.56% to INR775 crores from INR264 crores. The increase in profit after tax is mainly because of the exceptional gain received by the company from flipping of 7 assets to Anantam InvIT.

On consol basis, the revenue for first 9 months decreased by 18.69% to INR6,684 crores from INR8,221 crores. The EBITDA decreased by 7.82% to INR1,373 crores from INR1,490 crores. The profit after tax increased by 126%-odd to INR1,275 crores from INR563 crores, and this is mainly because of the exceptional item from the divestment to InvIT.

Now we can open the floor for the questions and answers. Thank you.

Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question comes from the line of Vignesh Iyer with Sequent Investments.

Vignesh Iyer: Thank you for the opportunity. So my first question is more on the execution side of it. So I see our order book at the end of this quarter is around INR29,300 crores, which is like probably the highest since FY '22, and after a lot of quarters where the order inflow was not there. So with these issues of order book sorted now more or less, how do you see the execution going forward like maybe in FY '27, majorly on revenue growth? If you could give some idea on that?

Rohan Suryavanshi: Thank you for your question. So you're very right. This order book is actually the highest in the company's history. It is also the most diversified that we have had built till now without relying

on any one single sector. So that is also a very important bit of this order book.

This order book obviously gives us tremendous optimism for next year because all these projects will be coming online and in execution. So I'm happy to say that at least we are expecting around INR10,000 crores of revenue in next financial year, given the healthy order book that we have. Obviously, in this financial year, the numbers have been muted, but there will be a significant jump from this financial year to next financial year in terms of almost, I would say, from wherever we'll close to 30% plus to 30% to 40% growth from this year's number to next year's financial performance.

Vignesh Iyer: So sir, if I understand it right, usually, our quarter 4 is the strongest quarter when it comes to execution. I mean, would this quarter 4 see some growth or maybe at the same levels to that of last year's same quarter? Or would we see the accelerated execution of order book only from next year?

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Rohan Suryavanshi: Not in this quarter because the order book that we have won right now -- see, whenever you win an order,

it takes at least 6 months for revenue to start flowing from them in EPC, and for HAM projects and huge projects, it's usually a little longer than that. So hence, this quarter 4 will be in line with the overall numbers that we have set, and we think -- expect to close our year-end about INR7,000 crores to INR7,500 crores, in between.

But like I said, the next year will be a big jump given the order book that we have in hand and given the diversification of the order book that we have. It's also important to note that while we diversify -- and with this huge order book, we also have laid the foundation for that multi-asset approach, ownership of assets over long term. We have gone into renewable assets. We have gone into water HAM assets. We have also gone into transmission assets.

So currently, if you look at our business, the 3 pillars to it is, one is mining, the second will be the InvIT, Anantam Highways. What we'll add to Anantam InvIT and others are all these other assets that I mentioned, the renewable transmission and the water assets. Along that, we have the EPC machine of DBL, which will continue to build all these assets in a profitable manner and on time.

So it will -- this strategy gives the EPC business also visibility, plus it also helps us build our long-term assets, where, just like what we have done for Anantam Highways, we will be going with partnerships over these other asset classes as well and look at partners where we can build long-term platforms.

Vignesh Iyer: Okay. Okay, sir. And on debt part of the business, on the stand-alone debt, so we have ended this quarter almost on par with what it was in September. So are we on track to reach INR1,500 crores net debt by end of this financial year as guided in the last quarter?

Rohan Suryavanshi: No, sir. Like I said in my opening remarks, we are expecting debt levels to remain around this level only where it is currently, given the muted execution that has happened. When we had originally started the year, we were expecting INR8,500 crores of revenue, but that has obviously reduced greatly and which has impacted our operating leverage, and hence, which has impacted profitability and the ability to reduce debt.

But like I said, next year, we are looking to reduce debt of INR700 crores to INR800 crores. We will reduce it from the levels that we'll close this financial year at. So that remains on track. But like I also pointed out earlier, if you look at the assets that DBL already has -- typically, EPC companies sell out whatever PPP project that they do, if you look at my peer groups as well. And hence, that balance sheet remains lighter. In our case, this time, we decided to hold those assets. So if you look at the assets that we are already holding on complete -- in terms of completed, there is INR1,400 crores of units of Anantam and then there is INR200 crores of units of Shrem, which means INR1,600 crores of unit -- of assets that we have not sold, which would have helped us reducing our debt and would have remained -- from INR2,100 crores level it would have remained around INR400 crores, INR500 crores or INR600 crores of level. So that's important.

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Also one other thing important, even in our coal SPV, we are having currently fixed deposits and about INR400-plus crores currently. So there is that also, which is on my coal SPV books. So there is significant -- or I think that number is around INR490 crores at the end -- at the quarter end. So almost INR500 crores of fixed deposits standing on my coal SPVs. So when you look at the company in whole, there is a lot of cash flow that is there. And while

our earlier endeavor has not materialized as we envisaged because of the low ordering in the last 2 years, like I've said, but with the great order book that we have today, we are expecting that the debt reduction would happen in that -- over

the next year. And we will also -- by next year

also have in total -- by the end of next year, we will have in total almost INR3,500 crores of InvIT units.

So with a reduced debt level and an InvIT units of about INR3,500 crores that we will have, that the company -- when you will look at that, we will still be almost, I would say, INR2,000 crores plus of cash surplus.

Vignesh Iyer: Okay. Okay. Sir, just one last question from my side. I've been looking at your working capital days, right? For last 4 quarters, there has been consistent increase in inventory days from 75 to now 132 in almost 4 to 5 quarters, whereas our regular level of inventory days have always been around 65 to 80, 85. Is there any specific reason for such an increase in inventory days?

Sanjay Bansal: So Vignesh, the inventory -- if you can see the balance sheet, the inventory has not increased from 31st March 2025. It remained almost same or even lesser than 31st March 2025. However, you can see the revenue of the company reduced significantly. So basically, the denominator reduced, per day sales reduced, okay? So that is why the increase in the number of days in the creditors, in the debtors and the inventory.

So once -- as Rohanji said, because we have a great order book now, so going forward the execution will increase and the company will basically achieve the numbers what we were plugging in past. So then the working capital days will again basically be the -- like we had in past. So it will not increase from here. It will basically decrease basis our higher execution in coming quarters.

Vignesh Iyer: Thank you. That's it from my side.

Moderator: The next question comes from the line of Shravan Shah with Dolat Capital.

Shravan Shah: Thank you. First of all, congratulations on historic order win, INR17,500 crores plus this year.

So congratulations on that front. Sir, so you have already said this year, you are looking at INR7,000 crores, INR7,500 crores revenue, next year, INR10,000 crores, which is 30%, 40% growth. So on the margin front, so till now 10.4%. So in the fourth quarter, I hope would be the similar. But from FY '27, how one can look at the margin there?

Rohan Suryavanshi: Shravan ji, the margins for this quarter, quarter 4, will remain in line with what has been done for this year. Next year, we are expecting increase in EBITDA level, and we're expecting that to be in the range of 12% to 13%. So that is what we are. So 12% plus we will be targeting. And let's see how the execution progresses.

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Shravan Shah: Okay. And how much order that we have already bidded and where bid is yet to open?

Rohan Suryavanshi: There's already about INR15,000 crores of orders where we have bidded, which are expected to open. And about INR70,000 crores is the pipeline of NHAI. That I'm sure you must be very well aware of. How much of that will materialize, we don't know.

Shravan Shah: Yes. So that I was about to ask. Who knows that answer, I want to find that person?

Rohan Suryavanshi: NHAI Chairman, Secretary MoRTH and the Honorable Minister would be better placed to answer that.

Shravan Shah: Yes. So we can -- and this INR15,000 crores that we have bidded, any specific from the NHAI that we have already bidded?

Rohan Suryavanshi: Yes, most of these are NHAI, Shravan ji.

Shravan Shah: Okay. Okay. So maybe we can expect furthermore orders by end of March. So any idea? Maybe INR4,000 crores, INR5,000 crores more that one can look at?

Rohan Suryavanshi: Shravan ji, honestly, that will depend on how the bidding is and how aggressive other players are at, because we have always maintained that we want to be working on our own margins, and which is why we diversified across all these sectors so that our margins don't take a hit and we can make use of all our equipment and the capex that we had done over the past years. Which is why also when you loo

k at the current order book, it's also the most diversified.

So we are not relying on one sector. We would like to have orders in the road sector, but at our margins. So hopefully -- we have seen some rationalization that has started to happen. In future, I hope more rationalization will happen in the road sector. And we remain optimistic with that - - with the government also taking accountability of some of its strategic sort of initiatives, which have not really worked out well for them.

Shravan Shah: So I was trying to understand across all the sectors, broadly how one can look at more extra orders by March, kind of INR3,000 crores, INR4,000 crores, INR5,000 crores is, one can look at, easily can be won?

Rohan Suryavanshi: Shravanji, there are some more orders. The problem is we are tracking other sectors and looking to bid out. But typically, what happens is a lot of times, the dates for -- the last date of filling is usually postponed. And even after once it's done, the dates of opening of tenders in a lot of cases are postponed.

So because of that, it is extremely difficult for us to be able to comment with certainty of how much will actually translate in the next 45 days. We can only say we are looking and we are -- there are about INR3,000 crores to INR5,000 crores of projects that we are looking at. But the dates -- to be very certain and to give you that, whether it will all close by 31st March, is really beyond the scope of what we would be able to tell you.

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Shravan Shah: Got it. And in next year then we slow it down in terms of inflow? Or given the overall awarding is muted at the industry level, for next year also similar, INR15,000 crores, INR20,000 crores? That's the way we are now looking at?

Rohan Suryavanshi: See, so -- first, if I talk about the larger industry, Shravan ji, I think the order inflow for the next year should be better, because I think in the last couple of years, we have seen muted orders from the government, especially in roads. So that's why I think that order inflow should happen. For us, we are targeting about INR10,000 crores to INR15,000 crores of orders on a selective basis.

Now how much that translates and what kind of orders we get at what margins will also kind of depend. If we find something which is opportunistic and a good add to our portfolio, we might end up taking that. But our target would obviously be around INR10,000 crores to INR15,000 crores of new order inflow next year, too.

Shravan Shah: Okay. And there also, we are open for even BOT tolls also?

Rohan Suryavanshi: Yes, we already have a partner for the road sector. So we already have a platform. We already have a partner with Alpha, where they've already raised INR5,000 crores to invest in greenfield or brownfield projects. So that kitty remains open to us, where we can go along and bid for our BOT projects as well. So there is nothing that stops us from doing that.

So -- and even for other sectors, like I mentioned, we'll be building those partnerships as well as time goes on. And in a few quarters, we'll update you how that progress looks. So our idea is very determined, that we want to set up platforms with high-quality partners, which provides long-term sustainable, predictable cash flows for the company, while in the short term, providing EPC opportunity for the company.

Shravan Shah: Okay. Got it. Got it. So given now the order inflow is higher, so in terms of capex, we will be increasing the capex for next year. So maybe in the fourth quarter, how much more? Till now in terms of -- if I look at net level, it is kind of flat. Nothing is done in terms of the new and the sale of assets. So for fourth quarter and maybe next year, given the order inflow is there, so are there any specific orders where we need to go for new equipments?

Rohan Suryavanshi: Shravan ji, firstly, quarter 4, we are not expe

cting any capex. So like the first part of your

question. For the next year also, there might be replacement capex, but that will also all be in that INR100 crores and lower range. That is what we are targeting. So see, our idea is not to get into sectors where we have to take some specialized equipment.

We don't envisage going into a, let's say, tunnel boring machine where that will be used.

Whatever we have -- we will not be doing using those assets to do whatever new sectors that we also want to continue to focus and foray into. So that's the idea.

So even next year, you can be -- remain assured that, that capex will be that. That fiscal discipline that we had mentioned when we announced our 2.0, which has remained in line, our capex has broadly been in that INR100 crores kind of range over the last 2, 3 years, and that's how it will remain. That's the idea of the company over the short term, sir.

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Shravan Shah: Yes. And this, sir, INR1,400 crores units of Anantam and INR200 crores Shrem and further -- once we transfer the balance to the -- so another INR2,000 crores that we will be getting in FY '27. So just wanted to understand. So we will continue to hold and we only keep on getting whatever the dividend distribution? Or there are plans to even encash this?

Rohan Suryavanshi: Our strategy is to hold those assets. The distribution that we will get from there once all that materializes, whether it's our internal debt reduction or to invest in further new projects, that will be the idea to grow that InvIT platform. The idea is very clear.

We will not be looking to monetize that on a short-term basis. The whole idea of setting up that

platform with the financial investor was to think of how can we grow that InvIT platform into one of the larger ones in India. That is the goal for us as a company.

Not only will be that the pure-play EPC opportunity that we will do, but also the long-term operations and maintenance revenue that the company -- that will be like an annuity-like revenue for the company, whether it is for our own assets or the other assets that we add on the InvIT.

So that is also something. For our ageing equipment bank, we will want to do that.

Shravan Shah: Got it. And in terms of MDO, any thoughts or are we thinking in terms of kind of value unlocking through listing or anything at least in next 1 or 2 years?

Rohan Suryavanshi: So MDO opportunity also is performing well for us. We've also added another bauxite mine to our mining operation. So we are widening the scope of -- from just pure-play coal, we are widening it to other segments of mining as well. And whatever MDO opportunity comes, we are looking at all of them in an opportunistic manner.

As for listing and all that, those are conversations for a later time as we decide whether and what our shareholders also kind of suggest around it. If there is more value to be created into demerging and hiving it off into a different platform where different risks with different reward profile with different set of investors, we will take that call completely with our shareholders sort of in line and approval, yes.

Shravan Shah: Yes. And last 2 questions. CFO said this quarter, the exceptional gain INR577-odd crores. So how much will be the tax in the P&L against this INR577 crores?

Sanjay Bansal: So basically, the financials are made basis the old tax design. The total tax for 9 months is taken at INR113 crores. First of all, let me tell you for the MAT calculations, the gains on account of flipping asset to InvIT and getting units, that is exempt under Section 47(17) of the Income Tax Act. So there is no income tax on the gains. The income tax will be basis other business and other profits, other than this capital gain.

Shravan Shah: Okay. So broadly, whatever the exceptional gain is there, that is directly shifted to the PAT?

Sanjay Bansal: Y

es, exactly.

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Shravan Shah: Okay. Okay. And in the third quarter, out of other income, how much is from the distribution from the InvIT and others? The INR63 crores that other income that we have, out of that how much is from the InvIT?

Sanjay Bansal: So let me tell you, Shravanji, the units of Shrem InvIT units were held at DBL and DIAPL level. DBL units, we have exhausted up to quarter 2. So quarter 3 in DBL, there was no units outstanding of Shrem InvIT. The INR207 crores units are in DIAPL, which is 100% subsidiary. So there, we received the distribution in quarter 3.

But in quarter 3, DBL, there is INR63 crores other income. Out of the total other income, INR6.5 crores is basically FDR, interest on FDR. Around INR14 crores -- INR14 crores, INR15 crores is from the profit on sale of assets. And INR42 crores on the leasing income from the SPVs.

Shravan Shah: Okay. Okay. Got it. And the PPT, this structured equity, the equity divestment tracker, the Slide 29. So can you explain what this structured equity from acquirer for transmission and for solar?

Sanjay Bansal: So basically, Shravan ji, the solar and transmission projects are very large. The equity requirement for solar project is INR1,255 crores. So out of that, basically, we propose to basically raise, bidding basis we will put marginal equity in the project, and balance equity, we will basically raise as Mezz debt at the Solar Holdco level. We have created a Solar Holdco below DBL, which holds the solar assets, and we will raise the Mezz debt there to fund the part equity.

And basically, the Mezz debt will be paid out of the forward sale of the equity on completion as per the concession agreement. Similarly, for the transmission also, we envisage to raise the Mezz debt. So basically, while bidding this phenomena was fixed within the management. We will not put 100% equity in those projects.

Shravan Shah: Okay. So from our DBL stand-alone per se if I have to look at this solar and transmission, so put together, would be closer to INR1,700 crores. So how much we will be putting equity from our side?

Sanjay Bansal: So around INR200 crores equity will be put in by DBL in both the projects, and balance will be raised at the Holdco level as Mezz debt.

Shravan Shah: INR200 crores. Both put together or each?

Rohan Suryavanshi: Yes. INR200 crores to INR300 crores that will be put for our side for both this platforms that we're talking about, whether it's solar or transmission. And the other, like Sanjay sir explained, it will be structured equity with an acquirer plus some part of structured debt to it, which once we complete, with the same strategy like what we have done earlier with CPPIB. Once we took that and once the projects were completed, there was a bigger upside that we could do once we flipped it into pure equity. So rather than giving complete equity returns to someone, keeping

part of it for ourselves for a long term and flipping it once the assets mature and achieve COD.
Shravan Shah: And last, DBL Infra...
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Moderator: Sorry to interrupt, Mr. Shravan Shah. I would request you to please come back in the queue. The next question comes from the line of Sanjay Parekh with Sohum Asset Managers.

Sanjay Parekh: Yes. Congratulations on great order book and doing the heavy lifting, and more so focusing on profitable orders. That is really appreciated. And phenomenal work done in coal MDO and Shrem -- I mean the units in the InvIT side.

My question only one thing is that while we are in a growth phase and deleveraging is yet to happen, but at a point -- you'll appreciate that the stock has remained the same for last 1.5 years.

So at a point -- and it could be 6, 9 months away or 12 months away, we are not for short-term.

Can you just consider something which unlocks the value and reflect

s in the price? It could be a split of the coal MDO.

Because, the buyback rules also have been very liberal now, but I don't know whether that's feasible given our current debt levels. But at a point, if there's an alternative between getting into a growth asset or doing a short buyback of INR400 crores, I'm not talking about a big thing, even that can be considered. And I'm not saying today, but maybe at a point if the stock price doesn't reflect the current value. That's the suggestion I have.

Rohan Suryavanshi: Sanjay sir, your suggestion is very well taken, and the company is thinking around a bunch of interesting ideas. And obviously, like I said, as a shareholder of our company, we will obviously come and also discuss the various options and opportunities that can be done.

The hiving off, let's say, coal business is -- or demerging of that business is -- a part of it is also regulatory, where the contract that we have entered, how their language is also structured and what we may want to do at a certain point of time. So rest assured that the monetization is something that we have as an agenda, the timing of which as -- can only be discussed in the coming future, and we will have that conversation too.

Sanjay Parekh: Thank you very much and best of luck.

Moderator: The next question comes from the line of Darshika with AV Fincorp.

Darshika: Thank you for the opportunity. My question was mainly on the line of the timeline of the transfer of assets to Anantam InvIT, I think, which was answered -- asked by the previous participant.

Would you be able to give us more idea on the fact that 9 projects were supposed to be transferred to Anantam initially and -- but only 7 were transferred. What led to this delay? Could you just highlight on that?

Sanjay Bansal: So basically, we had idea to transfer 9 assets, 8 assets of Dilip Buildcon and 1 asset of Alpha bought from outside, but the NHA approval could not receive, one project of ours and one project of Alpha they bought from market. So we could flip only 7 assets. So one asset left from the first 8 and the 10 subsequent assets will basically transfer this quarter this year. The coming financial year, so quarter 1, we are expecting 3 assets of DBL will be flipped to InvIT and balance assets in quarter 4.

Darshika: All right. I'm sorry. Can you just repeat the last part, 3 assets of DBL will get transferred in Q4?

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Sanjay Bansal: Q1 of '27.

Darshika: All right. Q1 of '27.

Sanjay Bansal: And 8 assets Q4 of '27. So FY '27, all 11 assets will be flipped to InvIT.

Darshika: That's it from me. Thank you.

Moderator: The next question comes from the line of Bhavin Modi with Anand Rath.

Bhavin Modi: Thank you for the opportunity. Just wanted to understand that at the stand-alone level, our debt has increased, right? But we would have also taken a good amount of mobilization advance saying that we had a good inflow in the last 2 quarters. So just wanted to understand the position, like how much mobilization advance did we take? And why the debt has not reduced?

Rohan Suryavanshi: Bhavin ji, why the debt has not reduced, I had explained in quite detail on the -- in the opening remarks and also in the earlier questions. So I think that -- repetition of that again would be probably not the best use of your time to explain. But we will take that separately and we can read through that.

Now coming to mobilization advance. There has been no mobilization advance that has come from the projects, so there is no mobilization advance that has been received from any of the projects that we've won.

So we are working on that. The larger point is the debt could not be reduced as we had anticipated because of the lower execution from -- because -- you know our model is a fixed asset model, and if we are unable to do that, there will always be challenges in the direction that we want

to

do. But like I've mentioned, for the next year, given there is a clear order book that we have in hand, we anticipate that we will be able to meet the certain guidances that we are giving you all.

Bhavin Modi: Okay. The second thing is you mentioned about the capex, right? There won't be any heavy capex at the stand-alone level. Maybe there will be a replacement capex. But when we come at the SPV levels, for example, Siarmal or maybe now the Pottangi and the solar business. So what is the capex estimated at the SPV level?

Rohan Suryavanshi: Sir, for both the SPVs that you are talking about, first Siarmal, there's already -- it's financially closed, and the capex is being done on the SPV level, where we mentioned that there's already INR500 crores of FD that is also lying there. We had invested about INR350 crores of equity.

Against that investment, there is already INR500 crores cash lying in that account right now.

And we still have to draw down the debt for more equipment and also for the coal handling plant, which will be drawn in the subsequent 2 years. That plan has also been widely socialized and explained to the market.

Now in the bauxite mine, again, the capex will be done on the SPV level. And that's not a large capex. That is about INR150 crores of capex that we are anticipating, again, at that SPV level, which we will be servicing. So on the DBL parent level, we don't expect capex to be done -- like I had iterated, it's about INR100 crores of capex at DBL parent level. So like that.

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Now talking about solar and all, there's no equipment capex that we need to do. The solar -- whatever will be -- the project building cost, that will again come off the SPV level. That has nothing to do with DBL. All the equipment and all for building the solar this thing, whether it's excavator that might be needed for ground levelling and all, those are very basic, which we already have in hand. So I don't anticipate any specific capex for solar business or transmission business.

Bhavin Modi: Okay. Got it. And like what would be the margins, expected margins for Pottangi? Do we have any estimations?

Rohan Suryavanshi: Yes, sir. Sir, on the EPC -- so there's -- Pottangi mine has 2 parts to it. There is an EPC bit to it, like we've explained last time as well, about INR1,700 crores of EPC. And the rest is about INR150 crores of revenue that we will get every year for the next 22 years. So for the EPC, like I said, it will be in line with what we are doing...

Bhavin Modi: No, I'm asking about the SPV level. If you can give me any...

Rohan Suryavanshi: I mean, for SPV level, we're expecting mid-teens of EBITDA levels at the SPV level also there.

Bhavin Modi: Okay. And last thing. When I see the stand-alone financials, so obviously, there are many exceptional items which are there. Had it been a normal routine business, what would have been our PAT, adjusted PAT? Because I see a lot of adjustments with respect to the taxation and all. So if I have to see only the EPC business PAT, then what will that have been? So do you have any calculation in hand? Or I will take it separately?

Sanjay Bansal: No, we can take the calculations separately. We can discuss separately.

Bhavin Modi: Sure. That's it from my side.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Rohan Suryavanshi: On behalf of the whole DBL family, I thank all the participants who came and joined us today and asked all the questions that they did. In case we were not able to answer any of your questions, please feel free to reach out to us on a one-on-one basis and we'll be able to answer. The idea and the goal of the call was to give you the strategic direction with which the company is kind of functioning. Our commitment to whether it's debt level reduction or widening

our asset

platform approach, those remain in line, and that's how the company is kind of looking to grow going forward as well.

So thank you very much, and I look forward to you guys on our next conference call, and hope all of you have a great end to this financial year.

Moderator: Thank you. On behalf of Dilip Buildcon Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

May 21, 2026

Subject: - Transcript of the Analyst/Investors conference call

In continuation to our letter dated May 14, 2026 please find herewith the transcript of the Investor conference call for Investor and analyst meeting held on Thurs day, May 14, 2026 at 05.00 PM (IST) related to the financial results for the quarter and year ended March 31, 2026, conducted through digital means.

The aforesaid information is available on the website of the Company i.e.

<https://dilipbuildcon.com/investors/shareholders-centre/>

This is for your information and record.

With Regards,

For, Dilip Buildcon Limited

Abhishek Shrivastava
Company Secretary

To
BSE Limited
Listing Department
P.J Tower, Dalal Street
Mumbai – 400001

To
National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G
Bandra Kurla Complex,
Bandra (E), Mumbai – 400051

Stock Symbol -540047 Stock Symbol –DBL

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“Dilip Buildcon Limited
Q4 FY26 Earnings Conference Call ”
May 14, 2026

MANAGEMENT : MR. DEVENDRA JAIN – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – DILIP BUILDCON
LIMITED
MR. ROHAN SURYAVANSHI – HEAD STRATEGY AND
PLANNING – DILIP BUILDCON LIMITED
MR. SANJAY BANSAL – CHIEF FINANCIAL OFFICER –
DILIP BUILDCON LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Dilip Buildcon Limited Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any

assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

I now hand the conference over to Mr. Ashith Salian from Adfactors PR. Thank you, and over to you, sir.

Ashith Salian: Thank you. Good evening, everyone, and thank you for joining us today to discuss the audited financial performance for Q4 and FY26. I have with me Mr. Devendra Jain, MD and CEO; Mr. Rohan Suryavanshi, Head, Strategy and Planning; Mr. Sanjay Bansal, the CFO.

Before we proceed, I would like to bring to your attention that certain statements made during this discussion may constitute forward-looking statements. These statements are based on our current expectations, assumptions and beliefs regarding future developments and are inherently subject to various risks, uncertainties and factors beyond our control. Such forward-looking statements involve both known and unknown risks, and we advise you to interpret them with caution.

I will now hand over the call to Mr. Rohan Suryavanshi for his opening remarks. Thank you, and over to you, sir.

Rohan Suryavanshi: Thank you, and good evening, everyone. On behalf of the whole DBL family, I extend a warm welcome to all our investors and analysts to our Q4 FY26 earnings conference call. The financial results and investor presentation for the quarter have already been uploaded on the stock exchanges, and we trust that all of you had the opportunity to go through them.

I'm very pleased to inform that all our partners that this time we prepared a new presentation format, which simplifies how one should look at our company, given the new direction that we have embarked on. It talks about our past, our current status and where we are intending to go into the future.

It divides the company in three verticals: EPC, the MDO vertical and the Assets vertical. Now all these three verticals have different roles. The EPC vertical is going to be the one building all the assets, while the MDO and the Asset business will continue to give us long-term revenue visibility and profitability.

The reason why we have moved in this direction, I have already updated in the earlier calls. However, it is very important for me to point out right now that this strategic direction is very important for everyone to kind of pay attention to closely because by FY29 we anticipate three fourth of our profits to be coming from long-term assets and only one fourth to be coming from our EPC business. That is the scale of ramp-up that will happen in our asset business and the cash flows and profitability that it will provide.

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Along with taking a lion's share in the profitability, it also is going to give us the visibility of the next 15 to 50 years of cash flow visibility. As you're all aware, the EPC business only gives a visibility of 2, 3 years. So having said that, let me now give you highlights on the broader sector environment, before which I talk about the DBL's performance.

The infrastructure sector continues to offer strong long-term opportunities, supported by a sustained government focus on roads, railways and other sectors that we're currently involved in.

Now during FY26, the average monthly tendering activity for the overall infrastructure sector by national and state governments put together remained healthy at INR1.4 trillion. However, this awarding activity was little sluggish in terms of the initial FY26 target that the government has set. This was obviously on account of various

state elections, regulatory scrutiny and other administrative delays. But we remain optimistic about the sector in the midterm and the long term, given the government's continued focus on building assets across the infrastructure vertical.

With all that positivity, there is also certain near-term challenges. The ongoing geopolitical conflict and the elevated crude oil prices have led to inflationary pressures across fuel, bitumen transportation and other key raw material costs impacting margins across the infrastructure industry. And in addition to this, the competitive intensity and bidding remains high in certain segments. While delays in project approvals, land acquisition and receivable cycles continue to impact execution timelines.

However, despite these challenges, we believe the industry is gradually moving towards a more disciplined and execution-led growth cycle. In this backdrop, we continue to focus on selective tendering by prioritizing high-quality projects with better margin visibility, balanced risk/reward and strong counterparties rather than pursuing scale only.

We remain focused on maintaining execution discipline, strengthening operational efficiencies and preserving balance sheet strength, which we believe will help us navigate near-term volatility while positioning the company to benefit from long-term infrastructure opportunities.

in India.

Now coming to DBL's business performance. Our performance this year must be viewed through the lens of the DBL 2.0 philosophy, which we have shared earlier and spoken about in the presentation. We have consistently communicated that our approach to order booking is selective. We are prioritizing profitability, cash flow visibility and return ratios over pure top line growth. Increasingly, we view our EPC business not just as a volume -driven profit center, but as a capital -efficient execution and incubation engine. This engine allows us to create long duration, monetizable platforms across diversified asset classes.

I'm also very happy to report that for the FY26, DBL has secured total order inflows of INR18,548 crores, which is much higher than our original guided figure. We had also communicated this that we have exceeded that full year order inflow guidance earlier. But Q4FY26 has further added to it. Our order book today remains among the most diversified in
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the industry, providing strong visibility across multiple infrastructure segments without relying on any single one.

Our current bid pipeline stands at INR80,000 crores plus across sectors. With optimum utilization of existing assets and a disciplined approach towards capital expenditure, the company continues to enhance capital efficiency and deliver improved return on investments. Now turning on to our mining vertical, which is increasingly becoming an important driver of DBL's long -term earnings visibility and cash flow generation. Our coal MD O operations have continued to scale up steadily during FY26, beating our own targets in terms of production and helping diversify a larger part of business away from the cyclical nature of a traditional EPC business. At the Siarnal mine, Q4FY26 production stood at 7.24 crore tons and cumulatively FY26 production stood at 22.35 crore tons, achieving full year production target. Similarly, the Pachhwara coal mine continued its gradual ramp -up with FY26 production closing at 6.37 million metric tons. So on a consolidated basis, DBL coal production for FY26 stands at 28.72 million metric tons. Now we remain committed to achieving our annual coal production of around 57 million metric tons by FY29, which at its full capacity would represent a significant part of India's total coal output and positioning DBL as a critical partner in the nation's energy security. As production scales up further, mining is expected to contribute mean

ingfully to the company's EBITDA generation and overall cash flow strength.

Our InvIT strategy continues to progress in line with the road map we had outlined earlier. Following the successful listing of Anantam Highways InvIT, we currently hold about INR1,400 crores worth of units in the Anantam Highways and around INR200 crores in the Shrem InvIT, taking the total value of InvIT units on our balance sheet to nearly INR1,600 crores. Now this has created a long -term platform for predictable distributions and structured deleveraging for the company.

We also remain on track to transfer the remaining HAM assets in phases through March 2027. The next tranche of 11 assets is expected to require less than INR200 crores of incremental investment while generating InvIT units valued at around INR1,800 crores, implying a net equity value creation of INR1,500 crores to INR1,600 crores.

Now while I'm explaining these other sectors, I also want to take this opportunity to debunk some commonly held perceptions about the company, which we have also highlighted in the presentation. The first perception is that we have made significant revenues from our home state throughout our history of the past two decades. However, the data suggests otherwise, you would all be surprised to know that in the last 20 years, only 10% of the total revenue that we have made has come from the state government of MP, while 90% has come from national government and other states. Now this is a very big important perception that I'm trying to correct that we have been working mostly outside our home state rather than in our own state.

Similarly, there has been a perception about our debt that has lingered since many years. And even though in the past, our debt might have been higher than our peer groups as we were in a capex cycle and in a growing stage, our debt position today is very comfortable. And besides
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that, we have significant assets against it, which was not the case in the past. Now coming to our debt position. Outstanding debt as of March 31, 2026 stood at approximately INR1,800 crores at the stand -alone level and INR7,082 crores at the consol level. Now the consol obviously is because we keep building these new assets, and it's a temporary phenomenon where as soon as

we build the SPV and those are completed, we either sell them or we're going to put them into our InvIT. So it's a temporary 2 -, 3-year thing that we are going to do. And all the future revenues of those assets are tagged against that. So it's a very safe investment from that perspective. Now against our stand-alone debt of INR1,880 crores today, we hold nearly INR1,600 crores of InvIT units on the balance sheet. Had we chosen to sell all these units, our net debt would have been roughly INR300 crores or so. But because we decided that we wanted to build a platform where we have cash flows coming in for the next 15, 20 years, we have decided to retain them as we realize we are in a very comfortable position going forward, and we have a very good order book as well.

Besides these InvIT units, let me also point out 2 assets that we already have. We also have about INR1,000 crores plus invested in under construction projects, which will soon get transferred into the InvIT and generate additional InvIT units of, like I mentioned, INR1,800 crores. Similarly, we also have a gross block of little less about INR3,600 crores on our balance sheet, which translates into about an INR800 crores of net block. Now these assets are all debt free. These are all equipment that the company uses, and we have no debt against it. While our only working capital debt is shown, we have significant assets against all our debt. And more than this, as we have already said, our agenda is to be a net debt-free balance sheet by FY28. We are very confident of this because of the continu-

ed cash generation from our EPC

operations, our MDO operations and the growing income from our InvIT holdings. So it's a clear pathway that we see.

So overall, FY26, while it was a relatively challenging year for the infrastructure sector, we believe it also marks an important transition towards a more disciplined and execution-oriented industry environment. Dilip Buildcon with its diversified order book, our steadily scaling mining operations and a well-defined InvIT monetization platform, along with continued focus on capital efficiency, we are structurally positioned much better than before.

And as we move ahead, our focus remains firmly on disciplined growth, execution excellence, balance sheet strengthening and sustainable cash flow generation. Now supported by the long-term infrastructure opportunities in India and improving contribution from our own stable cash-generating businesses, we remain confident in our ability to create sustainable long-term value for all our stakeholders.

Now with that, I would like to hand over the call to our CFO, Mr. Sanjay Bansal who would like to take you through the financial performance for the quarter in greater detail. Thank you.

Sanjay Bansal : Thank you, Rohanji. Good evening to all. I will now briefly take you through the key highlights and financial performance for the quarter and full year ended 31st March 2026.

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During FY26, the company added projects worth INR18,548 crores and completed projects worth INR2,812 crores. As a result, the company continues to maintain a healthy and diversified order book with strong execution visibility across multiple infrastructure segments. On a stand-alone basis, the revenue for FY26 stood at INR7,005 crores as compared to INR9,004 crores in FY25, reflecting a Y-o-Y change of approximately 22.2% negative.

EBITDA for the year stood at INR734 crores against INR903 crores in the previous year, representing a Y-o-Y change of negative 18.72%, while the profit after tax stood at INR841 crores as against INR311 crores in FY25.

Now on a consolidated basis, FY26 revenue stood at INR8,984 crores as compared to INR11,317 crores in the previous year, reflecting a Y-o-Y change of negative 20.6%. The consolidated EBITDA stood at INR1,766 crores with an EBITDA margin of 19.6%, while profit after tax stood at INR1,398 crores as against INR840 crores in FY25.

With that overview, we are now happy to open the floor for questions. Thank you.

Moderator: First question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Congratulations on historic highest ever order inflow for us, INR18,000 crores plus. And also good to see that the new presentation and particularly the MDO revenue profitability that you have said, which we were asking for. So now a couple of questions. So first on the MDO front itself. So now we will be sharing this on a quarterly basis, the MDO revenue profitability, what we have said on the Slide number 14?

Rohan Suryavanshi: Sure, sir. We'll be sharing it on a quarterly basis, and thank you for your feedback. We understand you were asking for certain things. But strategically, what the company felt that this was the right time now to talk in greater detail about how we are planning to go ahead.

Shravan Shah: Yes. So, a couple of questions on the MDO front. So is it possible for us to kind of a broader thought process in terms of the kind of one can say, a guidance in terms of the broader the revenue and the margin, given that we need to still do a coal handling plant capex for Siarmal. So obviously, the depreciation will increase.

So how one can look at after 2 years kind of maybe a profitability or margin at the MDO level? And the related is how we are thinking to kind of monetize this from the investors' perspective. So whoever holding DBL shares, how they will get benefited through this -- th

e significant

profitability that we have and obviously, the revenue visibility is significant.

Rohan Suryavanshi: Thank you, Shravan ji. I think it's a great question. Obviously, as any analyst, you would like to understand how this business will shape up and how the profitability and the revenues will shape up. See, the beauty about this business, it's a very simple to sort of project kind of business because every year, by law, we are supposed to do a contracted value. And the pricing per tonne that the government is going to pay for us is already set.

So simply, what you have to do is as you keep on expanding our volume that we are providing every year, if you just do a simple mathematic fill number, that, okay, this year, if DBL did this

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much. So now Siarmal, you know that the rate is around, let's say, I think about INR500 or so is the rate at Siarmal and about INR1,100 tonne is a rate at Pachhwara.

So the simple math that you will have to do is just do it a multiple into how the next 3 years because by FY29, we will achieve full year target of 50 million metric tonne at Siarmal. And while Pachhwara is already working at the same 7 million metric tonne per year.

Now if I talk about FY27, we are expecting about 33 or 35 or 30 plus in that. And the year after that, we are targeting upwards of 40 million at Siarmal and then 50, like I mentioned, in the fifth year. Now Pachhwara, like I said, will be same. Pottangi, in the next 3 years, we'll be setting it up.

Again, the as per contract, we've defined how much we'll be doing in the next 3 years earlier in our earlier presentation as well. So the mining plan will be kind of flowing through that way only with the EPC business and the mining business will flow in that.

So put together, and I think it's a safe sort of way assumption to take that you take similar profitability for your sake of making the model. That would be how you can sort of do the mining sort of revenue separately and how the profitability will look.

Sorry. So what we anticipate from the current INR1,600 crores of revenue in this year, we expect revenue to increase to about INR2,500 crores or so in FY27, which will further increase to about INR3,000 plus INR100 crores in FY28. And eventually, I think in FY29, we should be somewhere in the range of around INR4,000 crores of revenue coming from this sector. So that's how it will kind of play out. If we were to do just a simple math of the multiplication of the total tonnage and the rate that we're at. So that's how it will work out.

Now coming to the second part that you asked, see, all these are subsidiaries held completely under Dilip Buildcon. And obviously, we would want to ensure that our shareholders always get maximum returns. So at an appropriate time, if we feel there is a certain way which will help us extract a greater value from all these assets that will be functioning at their peak capacity, we will take that call. Currently, we have no such agenda to apprise the market of.

Shravan Shah: Got it. Got it, sir. Sir, For second question on the InvIT part. So you have mentioned that currently, we are closely having a INR200 crores InvIT in the Shrem and INR1,400 crores in the Alpha. So put together, INR1,600 crores after maybe INR200 crores investment, we will be getting INR1,800 crores more. So roughly INR3,300 crores InvIT value that we will be having maybe a 2 years down the line.

So there in presentation last time, distribution from Alpha particularly, that number was on the higher side for '21 now that number is on the lower side, INR350 crores or then in 2019, it is coming INR386 crores. So just wanted to understand, is there some understanding that now we will be getting a lesser dividend or whatever the return on the equity or the InvITs that we are holding?

Sanjay Bansal : So as far as the InvIT units value is c

oncerned, you are right, after 11 assets further divestment

to InvITs, that kind of InvIT units holding will be there. But at the same time, you must

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appreciate that the timing of transfer the assets to InvIT changed in FY26. And in '27 also, we will be transferring 4 assets in quarter 1 and then balance in quarter 4 or quarter 1 of FY28. So basis that the cash flow from the distribution is envisaged in the Slide number 24 shown in the presentation.

Shravan Shah: Okay. Got it. Now sir, on the standalone part, the broader guidance number, just wanted to recheck. So on the standalone front, the revenue for FY27, EBITDA margin, order inflow, how much we are looking at capex? And also, if you can help us in terms of the net debt, you have said that by FY28, we will be net debt free. But in FY27, how much one can look at to a reduction?

Rohan Suryavanshi: So Shravan ji, as I mentioned earlier as well, now FY27 revenue target from -- if we look at FY26 number, we mentioned it will be a 30% to 40% growth from this number. So we're in line with that because we have the order. The order book is very healthy right now at almost INR28,000 crores. So we are very confident of the revenue that we should be able to get. That's where it will -- the revenue number would be at.

Now in terms of our EBITDA, we are targeting that same 11%, 12% EBITDA that we have mentioned. That will be in line with that. Now more than that, we are also targeting about INR10,000 crores, INR12,000 crores of new order inflow to come in this financial year, which will provide us good visibility extending up to FY '30. So that will be there.

Similarly, now you also asked us about the debt, how much we are anticipating to reduce in this financial year. We anticipate somewhere between INR600 crores to INR800 crores of debt will be reduced in this financial year. And already from last quarter, we've reduced about INR250 crores to INR300 crores of debt already. And we anticipate going forward in the next 2 years, like I mentioned, we should be where we are at near net debt 0 kind of numbers.

Moderator: Next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: So my question was again on the solar and transmission business, where we have decided to commit certain x amount of funds over a period of FY27 and '28. So I wanted to understand the structure of this investment. Firstly, on the part where you are stating in Slide number 24 that structured equity from acquirer for transmission, solar, a certain amount is given. What is it exactly? I mean, I want to understand the structure behind that. Secondly, I wanted to understand what would be our equity commitment and what would be the expected IRR on this project?

Sanjay Bansal : Basically, the idea of Dilip Buildcon in transmission and solar is to raise around 85% equity commitment through these projects from the investor who will be putting in equity during construction. So the commitment from DBL side would be 15% of the total equity requirement in these projects. In terms of EBITDA margin, in transmission, it is upward of 24%. IRR would be high teens in both the projects.

Vignesh Iyer: Okay. So if I understand it right, for these projects, would you be floating a separate SPV where the fundraise would be done? Or how is it? That is the structure I was thinking about?

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Sanjay Bansal : So basically, this is -- I said the acquirer will put in equity directly into the project coals. So transmission SPV, the potential acquirer will put in direct equity to the SPV of transmission and similarly in solar.

Vignesh Iyer: Okay. Okay. Got it. And yes, so my second question on this is on our the coal business. I heard you earlier regarding the MDO business where you gave a stated guidance on how you see the picture moving ahead. I wanted to just understand how do we see this business from the margin point of view, majorly, I mean, especially in quarter 4, I think the margins have come down a bit versus how do we see this margin going forward for the next 3 years to our stated target in FY29? Would we see more like a fixed percentage of margin coming in? Or as we scale up, would we see that operating leverage playing in it?

Rohan Suryavanshi: Sir, thank you for your question. See, the margin that you are talking about that has come down in the mining business temporarily right now is primarily because the evacuation by the government could not be done on time. So there is at the Siarmal mine, right now, we have about 6 million metric tons of stock, which is lying at site because of delayed evacuation by the government and because of unavailability of racks. Otherwise, production from our side was doing well. And these are temporary issues. We expect this to kind of normalize with the government taking a keen interest in ensuring that all the supply chain logistics are kind of worked out. So we expect in the mid to term, this will all kind of normalize.

Long term, if we talk about the margin profile, you're very right. There will be economies of scale that will play out as we work at peak capacity as our coal handling plant comes online. There is also a kicker in the contract where once the coal handling plant comes online, we will be entitled to a higher revenue share.

So all those things will add to a sweetener much later. However, we are just saying when you're looking to build your model, you can build it conservatively around these numbers and understand how this business will kind of flow. But we are confident that as scale hits and as we also complete our coal-handling plant and hit COD, the margins will meaningfully improve.

Vignesh Iyer: Okay. I mean if I have to see just from the numbers perspective, FY25 blended, the margin was around 26%. Now it is 23%. And quarter 4, because of onetime impact has led to a lower margin. So it would be fair to say that 24%, 25% is a more stabilized level of margin and any economies of scale that come after this would add on to the margin that is in place, right? If I...

Rohan Suryavanshi: You're right, sir. You're right. That range is the right range to take, and there will be improvement on that, yes.

Moderator: Next question is from the line of Sanjay Parekh from Sohum Asset Managers Private Limited.

Sanjay Parekh : I just wanted as we move to 29 and 30, what are the annuity streams of revenue, if you can broadly for each of the segment, you can explain that is one. And secondly particularly renewable project, my colleague asked, but where are we because I think these are short tenure projects.

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So what is the status a little bit on the payback and the structured equity, again, I just wanted to understand that of the equity portion, 15% will be put by us, 85% will come as equity, but they will be given debt returns. Is that the way? And who could be the potential investors here? So that is a little more granular understanding of that project? And when do we start and when do we complete? That is -- that will help me.

Rohan Suryavanshi: Sanjay sir, thank you for your question. I think you asked a bunch of questions. So let me start with the last bit that you're saying. So the transmission and the solar projects that we are doing, the larger strategy for us, as we mentioned earlier, that we want to build different asset classes. Just like what we've done in the road sector, we want to build it in other sectors as well, whether it's water, whether it's transmission, whether it's renewable, whether it's oil and gas, we want to do it across. But having done that, we have also promised the market that we want to be a debt-free company by FY28.

So while our

larger goal long term remains to create different platforms, short term, we also realize the reality that if we invest all our free cash in equity, then we won't be able to achieve our goal of being a net debt-free company by '28. So the model that we are going to do in between right now is that whatever these assets that we are building, we will build these assets, make our EPC margin. And we are looking to divest these assets at an earlier stage and find an investor right now also so that we attain our short-term goal of 2028 being near net debt free. That is why we are looking for investors currently in these assets.

Now 2 years down the line, when I'm completely debt-free, when I'm doing these assets, I will look to hold on because we will have significant amount of free cash flow coming from our mining operations, from our InvIT operations. So my thing would be at that time, where do I deploy this capital, which not only gives a greater return for my investors, but also gives us EPC business. So that will be the long-term goal that we have.

So, I hope -- the strategy that the company has is basically on the short term, why we're doing this finding a buyer right now is kind of clear because we want to also be net debt free and not put all our equity into building these assets. and then sell it completely at that one time. Hence, this methodology and the wire media has been adopted right now. That is the goal.

The structure that you are asking, it won't be like any investor who is coming in, it won't be a near debt kind of return that they'll be looking at. They'll be looking at, obviously, a more higher return than that. And we will be structuring to see how both their sort of aspirations and our goals can meet and we can find a common way between both of them.

That will be the idea and the goal for us. And those discussions are ongoing. Obviously, I'm not at the liberty to talk about any names and what it is. But I'm sure we'll be able to give you a better clarity and good news on that in the coming sort of short term only because those discussions are going on, and we will give you better clarity going forward.

Sanjay Parekh : No, it's very helpful, Rohan bhai. Only one thing, the structuring of this will be -- the debt portion will be depend on the structure, right, just to understand? The structure has to be in place for you to get the debt for the project.

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Rohan Suryavanshi: Sir, so the SPV has already been formed, all the SPVs have been formed. Now the equity and debt that has to be put in them, all of them have also been defined already, that how much equity and how much debt will go in each that has been defined. We have also gone to the lenders with that same structure, okay, that this is the equity that we'll put in and this is the debt that we will need. We also have in-principle approval from lenders for all the projects that we are talking

about.

So, we also have that. So all that process is done. Now the equity, let's say, in solar, about INR1,200 crores of equity and in transmission about INR400 crores of equity has to go, now what we are doing is of the INR1,600 crores of equity, we are looking to find a solution that 85% of the capital that has to be invested as equity comes from the investor, while 15% is put by on DBL's own balance sheet.

So essentially, the the free cash that is generated at the company level goes and reduces my standalone debt. So that is the goal because in these 2 areas right now, we don't have an InvIT. However, for the road, we already have an InvIT. We already have an exit platform. We already have units already that we are holding. So we would not want to let go of all those finished assets right now, but rather do this and because this is not a ready platform that we have, we are open to sell ing it completely also at this juncture just to

, like I said, achieve our short -term goal of being a near net debt company by FY28.

Sanjay Parekh : Perfect. Perfect. This is very helpful. And what is the commissioning deadline for this? Is there any commissioning deadline?

Rohan Suryavanshi: 2 years. 2 years.

Sanjay Parekh : 2 years from April '26?

Rohan Suryavanshi: Yes. that is broad line, whenever we start the project, so 2 years from there, it will go .

Moderator: Next question is from the line of Subhankar Ojha from SKS Capital & Research.

Subhankar Ojha: Sir, just quickly in terms of how many more assets to be transferred to this Anantam InvIT? And by when this will be done?

Rohan Suryavanshi: Sir, we have 11 more assets to be transferred into the Anantam InvIT, the road assets that we're talking about. And this will be happening gradually through this year and by first quarter next year is what we are expecting.

Subhankar Ojha: And how much more equity -- I mean, how much investment you'll have to put in for these assets to be completed and transferred?

Rohan Suryavanshi: Sir, for the 11 assets in total, it is less than INR200 crores, INR169 crores to be exact right now, which is there on in the presentation Slide number 24, you will find it there.

Subhankar Ojha: Okay. And once this is transferred, so by next year, quarter 1, what will be your the valuation of those...

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Rohan Suryavanshi: Sir, about INR3,000 crores, INR3,300 crores in between that will be total InvIT value that we'll have including the seven assets that we've done and these 11 that will go , so I mean, against the total 18 assets that we have that we will be putting in the InvIT, we will have InvIT units worth between INR3,000 crores to INR3,300 crores.

Subhankar Ojha: So here, you have INR3,300 crores and the other one is INR200 crores. So there is...

Rohan Suryavanshi: Yes.

Subhankar Ojha: So that INR200 crores is there. And you don't have any further increase of value in that . Is that right?

Rohan Suryavanshi: No, that will be the same. It's an InvIT unit. Those units are there. It is giving us dividend income.

Subhankar Ojha: So, R s. 3,500 crores plus in ownership of assets.

Rohan Suryavanshi: Somewhere in that range. All these are dependent , because there is some change of scope that happens at the project levels , government is not able to give us all the land at times. So the final BPC value obviously always determines. So these are obviously broad strokes that we are telling you.

Subhankar Ojha: I see. Great, sir, in terms of -- obviously, you have talked about it in terms of your payment from JJM last quarter. What is the status now? Do you have any further payment to be received from JJM?

Rohan Suryavanshi: Payments are regular monthly payments are happening there. We don't have any hold up there. That was earlier in the year that had been there, but there are hold up on JJM payments.

Moderator: Next question is from the line of Ishita Lodha from SVAN Investment.

Ishita Lodha: Congratulations on a very strong order inflow, much better than the other industry peers. I have a few questions for the CFO, sir. As per Slide number 33, the receivables have increased from INR1,384 crores as on March '25 to INR1,783 crores as on March 26, despite 22% decline in revenue and the funds that were blocked from Jal Jeevan Mission have been released. Can you just explain?

Sanjay Bansal : So basically, there are two types of payments from Jal Jeevan Mission. One is basically regular bills and one is basically the final amounts. So, Jal Jeevan Mission, the last 10%, which is basically uncertified one, which will be paid once we will do the last hydro testing. So that INR400 crores will be paid once we will do the hydro testing.

So basically, it will happen partly this quarter and partly next quarter. So, the increase in

receivable from FY25 t

o '26 is mainly on account of this INR400 crore s receivable from the Jal Jeevan Mission projects.

Ishita Lodha: Okay. And given the debt reduction target of INR600 crores to INR800 crores in FY27, what is our expected interest outgo from the cash flow next year?

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Sanjay Bansal : So basically, if you see this year we reduced around 11% interest cost , next year reduction in our Net debt , our total interest cost outflow will be close to between Rs. 375 -400 crores.

Ishita Lodha: Okay. And I heard in the opening remarks that the order inflow was INR18,500 crores. But if I do the back of envelope calculation, taking closing order book of INR28,800 crores and opening order book of almost INR15,000 crores and execution of INR7,000 crores, the implied order inflow comes to INR22,000 crores. So, the differential of INR2,400 crores is change of order or the order inflow that you received since FY27?

Sanjay Bansal : So madam, you can see -- let me tell you the slide number and remarks below the slide number, the INR18,550 crore s order book order is from third parties, whereas we have orders from our coal business. So, we aid the coal business next 3 years order book and every quarter has changed because we are in the phase where the volumes are increasing. So, every quarter, there is addition. So just see the note on the Slide number 18.

Ishita Lodha: Okay. Understood. And sir, what was the distribution income from Shrem and Alpha that was included in the standalone other income in FY26?

Sanjay Bansal : Total dividend and interest income during FY26 from both the units are INR64.5 crores. And the distribution was higher. So the total distribution was close to INR100 crores.

Ishita Lodha: Okay. so in the opening remarks, it was mentioned that bitumen and raw material costs have increased due to the crude price impact. So can we pass this on entirely? What is the on our margins?

Sanjay Bansal : So basically, for every contract, there is an inflation formula from which we get the impact of the increase in pricing of these raw material or the items, but this formula may not give you 100% increase because you can see the increase in the HSD and bitumen prices sha rply. But the formula gives partly adjusted through the formula. But the balance is impact on the margins. So, you can see some margin impact on coal business where the HSD is the major cost. So, there will be some impac t.

Moderator: Next question is from the line of Vishal Periwal from PL Capital.

Vishal Periwal: Sir, in terms of interest cost, though you did clarify how you see the projective next year. But if I look at FY26, interest costs have gone down, but debt level has seen an increase absolute level basis.

Sanjay Bansal : So basically, let me tell you, at the standalone level, yes, interest cost is reduced by 11%, and that is mainly because of the reduction in the cost of debt. Basically, the working capital cost of debt is reduced significantly on WCDL the interest rate r educed by almost 125 basis points, that is the impact on the interest cost.

Vishal Periwal: Okay. Because our revenue has also declined. So maybe probably mobilization advance or I mean like the interest cost linked to that, it will have certain bearing on the...

Sanjay Bansal : Yes, you are right, partly the impact of the lesser mobilization advance as well.

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Vishal Periwal: Yes. So maybe next year, when we are targeting a growth interest costs, I mean, like at an absolute level, do you see it will reduce? Reason is in terms of the outflow equity tracker that you mentioned, there is a shortfall around INR250-odd crores. Short -term debt could see an increase, revenues are increasing and interest for the absolute level, it could increase. So is that fair to understand or probably I'm missing?

Sanjay Bansal

: So basically, if you heard Rohanji in the opening remarks, he said this year, basically, by March '28, our target is to make this company debt free. So, this year, we will be reducing close to INR600 crores to INR800 crores debt gradually. So, the primary impact of interest reduction in absolute terms would be from the debt reduction.

Moderator: Next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: Yes. Sir, my question is, I wanted to understand on our standalone EPC order book I wanted to understand the part where do you think the ongoing war, there has been RM excalation -- and how -- so do we have a clause in place for pass -through of this escal ation of raw materials? How

is the arrangement for us and whichever order we have got till now?

Rohan Suryavanshi: Sir, obviously, whenever there is such a sudden spike or increase in prices, no contract will ever protect you against that because government contracts are linked more towards the WPI and CPI index and not -- does not take into account in this thing. So it's not completely passed through, and we will be facing those challenges as well as will be the rest of the industry. The -- I guess the saving grace here is the government is aware of this issue.

And we as a federation, the National Highway Builder Federation, we are also talking with the government about these issues. And we're trying to see how this blow can be softened. And hopefully, in the coming sort of days, there should be some kind of regulation that could do. I don't think and know that everything can or would be protected. But there will definitely be some kind of respite that we hope that the government will kind of step in and do.

Vignesh Iyer: Right. Sir, could you share what is our cost of borrowing ?

Sanjay Bansal : So, our cost of borrowing around 9% on average basis.

Moderator: Ladies and gentlemen, that was the last question of the day. I now hand the conference over to Mr. Rohan Suryavanshi for closing comments. Over to you.

Rohan Suryavanshi: On behalf of the whole DBL family, I thank all of our partners who came and joined and ask questions. I think please do go through our presentation in detail because we have put significant thought in terms of designing it for you guys to how the future of the company will pan out. And I think that might be very useful for an investor looking at how the company will shape up. So, thank you very much, and I look forward to seeing all of you guys for our next quarter call.

Moderator: Thank you. On behalf of the Dilip Buildcon Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.